



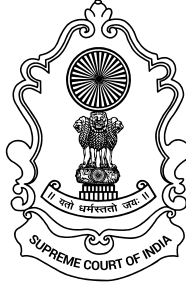
SUPREME COURT REPORTS

The Official Law Report
Fortnightly

2026 | Volume 1 | Part 2

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M/s Bhagheeratha Engineering Ltd.

v.

State of Kerala

(Civil Appeal No. 39 of 2026)

05 January 2026

[J.B. Pardiwala and K.V. Vishwanathan,* JJ.]

Issue for Consideration

Whether the High Court by the impugned order was justified in holding that the Arbitral Tribunal was appointed at the request of the State to adjudicate dispute No.1 only; was the non-issuance of a notice u/s.21, Arbitration and Conciliation Act, 1996 by the appellant fatal for it to pursue its claim before the Arbitrator.

Headnotes[†]

Arbitration and Conciliation Act, 1996 – Four packages of Road Maintenance Contract were awarded to the appellant – Appellant quantified the amounts due and submitted the same for decision by the Executive Engineer – As per the appellant, since the Executive Engineer/Superintending Engineer failed to take any decision, the appellant approached the Adjudicator under Clause 25.1 of the General Conditions of Contract, who ruled in favour of the appellant on dispute Nos.1 and 3 and against it on dispute Nos.2 and 4 – Respondent issued letter referring to arbitration Clause 25.3 expressing intention to refer only dispute No.1 to arbitration – Eventually, co-arbitrator nominated – By its award, the Arbitral tribunal answered all four disputes in favour of the appellant – Award challenged by the Respondent u/s.34 – Petition allowed by District Judge, award was set aside and the decision of the Adjudicator restored – Order upheld by High Court – Interference with:

Held: High Court erred in setting aside the award on the basis that the appointment of the Tribunal was only to adjudicate dispute No.1 – On facts, conduct of the respondent precluded it from relying on the mandate of clause 24, 24.1 and 25 to contend that the appellant was foreclosed from raising the entire dispute

* Author

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before the Arbitrator – The party at fault cannot be permitted to take advantage of the same – High Court also erred in holding that the non-issuance of notice u/s.21, A&C Act by the appellant with regard to dispute no.2 to 4 was fatal for it to pursue its claim before the arbitrator – There is no mandatory prerequisite for issuance of a s.21 notice prior to the commencement of Arbitration – Also, High Court erred in holding that the Arbitral Tribunal exceeded its jurisdiction in deciding the entire dispute – Arbitration Clause 25.3 is widely worded and any dispute or difference arising between the parties relating to any matter arising out of or concerned with the agreement are to be settled in accordance with the A&C Act by the Arbitral Tribunal – Judgment of High Court set aside – Award of the arbitrator upheld in its entirety – Contract Act, 1872 – s.28(b). [Paras 14-16, 18, 22]

Arbitration and Conciliation Act, 1996 – s. 21 – Object of – Was the non-issuance of a notice u/s.21 by the appellant fatal for it to pursue its claim before the Arbitrator:

Held: No – The object of s.21 is only for the purpose of commencement of arbitral proceedings – s.21 is concerned only with determining the commencement of the dispute for the purpose of reckoning limitation – There is no mandatory prerequisite for issuance of a s.21 notice prior to the commencement of Arbitration – Issuance of a s.21 notice may come to the aid of parties and the arbitrator in determining the limitation for the claim – Failure to issue a s.21 notice would not be fatal to a party in Arbitration if the claim is otherwise valid and the disputes arbitrable – High Court erred in holding that the non-issuance of notice u/s.21 by the appellant with regard to dispute no.2 to 4 was fatal for it to pursue its claim before the arbitrator. [Paras 14, 16]

Arbitration and Conciliation Act, 1996 – s.2(9), 23:

Held: Once the Arbitral Tribunal is constituted claims, defence and, counter claims are filed – Party which normally files the claim first is, for convenience, referred to as the ‘claimant’ and the party which responds is called the ‘respondent’ – The said respondent is also along with the defence statement entitled to file its counter claim – Hence, to contend that the appellant cannot be referred to as a claimant because no notice u/s.21 has been issued is completely untenable. [Para 21]

M/s Bhagheeratha Engineering Ltd. v. State of Kerala**Case Law Cited**

State of Goa v. Praveen Enterprises [2011] 10 SCR 1026 : (2012) 12 SCC 581; *M.K. Shah Engineers & Contractors v. State of M.P.* [1999] 1 SCR 419 : (1999) 2 SCC 594; *ASF Buildtech Private Limited v. Shapoorji Pallonji & Company Private Limited* (2025) 9 SCC 76; *Adavya Projects Private Limited v. Vishal Structurals Private Limited and Others* [2025] 5 SCR 243 : (2025) 9 SCC 686; *Indian Oil Corporation Ltd. v. Amritsar Gas Service and Others* [1991] 1 SCC 533 : (1991) 1 SCC 533 – relied on.

Steel Co. Ltd. v. Tiwari Road Lines [2007] 6 SCR 156 : (2007) 5 SCC 703; *MSK Projects India (JV) Limited v. State of Rajasthan and Another* [2011] 9 SCR 402 : (2011) 10 SCC 573 – held inapplicable.

List of Acts

Arbitration and Conciliation Act, 1996; Contract Act, 1872; DIAC Arbitration Proceedings Rules, 2018.

List of Keywords

Arbitral Tribunal did not exceed its jurisdiction in deciding the entire dispute; Entire dispute could be raised before Arbitrator; Entire dispute; Arbitration Clause widely worded; Section 21, Arbitration and Conciliation Act; Notice under Section 21, Arbitration and Conciliation Act; No mandatory prerequisite for issuance of Section 21, Arbitration and Conciliation Act notice prior to the commencement of Arbitration; Party at fault cannot take advantage of the same; Road Maintenance Contract; Kerala State Transport Project (KSTP); Development of roads in Kerala; Collaboration with World Bank; General Conditions of Contract (GCC); Pending payments.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 39 of 2026

From the Judgment and Order dated 07.01.2025 of the High Court of Kerala at Ernakulam in ARBA No. 56 of 2012

Appearances for Parties

Advs. for the Appellant(s):

Rajiv Shakdher, Sr. Adv., George Thomas, Dhiraj Abraham Philip, Sunny George, Febin Mathew Varghese, Ms. Lija Merin John, Ms. Soyarchon Khangrah.

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Advs. for the Respondent(s):

Naveen R Nath, Sr. Adv., Nishe Rajen Shonker, Mrs. Anu K Joy, Alim Anvar, Mrs. Devika A.I., Santhosh K, Ms. Disha Gupta, Aditya Nath, Sai Vaishnav.

Judgment / Order of the Supreme Court**Judgment**

K.V. Viswanathan, J.

1. Leave granted.
2. The present appeal calls in question the correctness of the judgment dated 07.01.2025 passed by the Division Bench of the High Court of Kerala at Ernakulam in Arbitration Appeal No. 56/2012. By the said judgment, the Division Bench of the High Court upheld the order of the District Judge, Thiruvananthapuram, dated 22.06.2010 in O.P. (Arb.) No.238 of 2006, *al beit*, on different grounds. The District Judge had set aside the award of the Arbitrator as being beyond the scope of reference and against the terms and conditions of the contract and restored the decision of the Adjudicator. The Adjudicator had, by his order of 14.08.2004, decided four disputes and held in favour of the appellant insofar as dispute Nos. 1 and 3 were concerned and against the appellant in relation to dispute Nos. 2 and 4.
3. The principal reason assigned by the High Court was that the Arbitral Tribunal was appointed at the request of the respondent-State to adjudicate on dispute no. (1) alone and the appellant never intended to raise any dispute regarding dispute nos. (2) to (4) by issuing a separate notice under Section 21 of the Arbitration and Conciliation Act, 1996 [for short “the A&C Act”]. The reasoning of the High Court is set out hereinbelow:-

25. We must bear in our mind that the arbitral tribunal was appointed at the request of the State to adjudicate on dispute no. (1) alone. The appellant never intended to raise any dispute regarding point Nos. (2) to (4) by issuing a separate notice under Section 21 of the Act. The assumption that where one-party files an application and gets an arbitrator appointed, the other party can raise all such disputes under the contract before the arbitrator is

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baseless, especially when the law governing the arbitration specifically provides that the arbitrator can decide only such dispute referred before him and not otherwise. To hold otherwise will certainly do violence to the statute. Hence, we find that the arbitral tribunal had clearly exceeded the jurisdiction in deciding the entire disputes. Perhaps the appellant was under a mistaken impression with regard to its right to have the entire disputes opened for arbitration. We must also note that the State was never put on notice regarding the intention of the appellant to go for arbitration. Even assuming that the contention of the appellant that the State had unequivocally agreed to arbitrate on the entire disputes, the tribunal ought to have framed an issue or given its finding on the jurisdiction as envisaged under Section 16. In the absence of any finding in this regard by the tribunal, we are afraid that the award in question clearly crossed the contours of the law and thus rendering itself to be inexecutable and falling within the mischief of Section 34 of the Arbitration and Reconciliation [sic] Act, 1996.”

4. It is the correctness of this decision, which the appellant has questioned before us in this appeal by way of special leave.
5. The facts lie in a very narrow compass:-
 - 5.1 Four packages of Road Maintenance Contract were awarded to the appellant as part of the Kerala State Transport Project (KSTP) for development of roads in Kerala in collaboration with the World Bank. The work was awarded through competitive bidding.
 - 5.2 The four projects awarded to the appellant were the following:-
 - “1. RMC 01” Thiruvananthapuram – Kottarakkara Road (5.70 to 25 KM)
 2. RMC 03: Thodupuzha – Kalur – Oonukal Road (0.00 to 20 KM)
 3. RMC 08: Kozikode – Mavoor Road (0.00 to 10.50 KM)
 4. RMC 12: Quilandy – Thamarassery Road (0.00 to 29.30 KM)”

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- 5.3 Under the General Conditions of Contract [for short “GCC”], the following mechanism was provided for adjudication of disputes:-

“24. Disputes

24.1 If the Contractor believes that a decision taken by the Engineer was either outside the authority given to the Engineer by the Contract or that the decision was wrongly taken, the decision shall be referred to the Adjudicator within 14 days of the notification of the Engineer’s decision.

25. Procedure for Disputes

25.1 The Adjudicator shall give a decision in writing within 28 days of receipt of a notification of a dispute.

25.2 The Adjudicator shall be paid daily at the rate specified in the Contract Data together with reimbursable expenses of the types specified in the Contract Data and the cost shall be divided equally between the Employer and the Contractor, whatever decision is reached by the Adjudicator. Either party may refer a decision of the Adjudicator to an Arbitrator within 28 days of the Adjudicator’s written decision. If neither party refers the dispute to arbitration within the above 28 days, the Adjudicator’s decision will be final and binding.

25.3 The arbitration shall be conducted in accordance with the arbitration procedure stated in the Special Conditions of Contract.”

Special Conditions of Contract

“4. ARBITRATION (GCC Clause 25.3)

The procedure for arbitration will be as follows:

25.3. (a) In case of Dispute or difference arising between the Employer and a domestic contractor relating to any matter arising out of or connected with this agreement, such disputes or difference shall be settled in accordance with the Arbitration and Conciliation Act, 1996. The arbitral tribunal shall

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consist of 3 Arbitrators one each to be appointed by the Employer and the contractor. The third Arbitrator shall be chosen by the two arbitrators so appointed by the Parties and shall act as presiding arbitrator. In case of failure of the two arbitrators appointed by the parties to reach upon a consensus within a period of 30 days from the appointment of the arbitrator appointed subsequently, the Presiding arbitrator shall be appointed by the Chairman of Executive Committee, Indian Roads Congress, New Delhi.”

- 5.4 Clause 24.1 states that if the contractor believes that a decision taken by the Engineer was either outside the authority given to the Engineer by the contract or that the decision was wrongly taken, the decision shall be referred to the Adjudicator within 14 days of the notification of the Engineer’s decision. Hence, it is clear that what is contemplated is that disputes may be referred to the Adjudicator, where the issue involves decisions beyond the authority of the Engineer, or where decision of the Engineer is erroneous.
- 5.5 Further, under Clause 25.1, the Adjudicator was to give a decision within 28 days of the receipt of the notification of a dispute and under Clause 25.2, either party may refer the decision of the Adjudicator to an Arbitrator within 28 days of the Adjudicator’s written decision and if neither party refers the dispute to the arbitration within 28 days, the Adjudicator’s decision will be final and binding.
- 5.6 In the present case, the appellant, by letters of 02.03.2004 and 24.03.2004 quantified the amounts due and submitted the same for decision by the Executive Engineer. According to the appellant, since the Executive Engineer/Superintending Engineer failed to take any decision, the appellant, by a letter dated 15.04.2004, approached the Adjudicator under Clause 25.1 of the GCC for decision on pending payments classifying the disputes as dispute Nos.1 to 4 under the following heads:-
- “The disputes before the Adjudicator were:
1. Value of work to be considered for calculating the price adjustment for bitumen and POL.

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2. Decision for releasing the escalation during the extended periods.
 3. Price of bitumen to be considered for calculation of price adjustment of the bitumen.
 4. Release of interest payable at 12% per annum for the delay in releasing the eligible payments beyond 42 hours from the date of submission of the monthly statement of the value of work done during the period as per Clause 42.2 and 43.1 of General Conditions of Contract.”
- 5.7 The Adjudicator, by his decision of 14.08.2004, ruled in favour of the appellant on dispute Nos.1 and 3 and ruled against the appellant on dispute Nos. 2 and 4.
- 5.8 Notwithstanding the decision of the Adjudicator and the submission of the final bill by the appellant, the respondent did not settle the bill on the ground that the finding of the Adjudicator *qua* dispute No.1 was unacceptable to the respondent.
- 5.9 On 01.10.2004, the respondent addressed the following letter to the appellant.
- “Sub: RMC-Contractors—RMC-01,03,08,12—
Adjudication-reg.
- Ref: Award of Adjudicator dated 14.8.2004
- Further to the letter cited under reference above, we write to inform you that the award of the Adjudication for Dispute No. 1 is not acceptable and we intent to refer the matter for an arbitration. We have appointed Mr. Subash Chandra Bose, as our arbitrator. Therefore, you may propose your arbitrator as per clause 25.3 of General Conditions of contract and intimate for further action.”
- 5.10 It will be seen that the reference was under Clause 25.3 which is the arbitration clause. The letter was issued by the respondent and, according to the respondent, it was confined to dispute No.1, namely, “value of work to be considered for calculating the price adjustment for bitumen and POL.

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- 5.11 In response to the letter dated 01.10.2004, the appellant sent a letter on 14.10.2004 to the respondent. The appellant stated that the adjudicator's decision was issued on 14.08.2004 and the time limit for reference to arbitration was till 11.09.2004, (on the expiry of 28 days) and as such the letter dated 01.10.2004 was beyond the stipulated time. The appellant stated that the decision of the adjudicator has become final and binding upon both the parties. The stand of the appellant was that, in view of the same, the Arbitral Tribunal has no jurisdiction to enter into the reference. The appellant also stated that they have not received any payment and that compound interest would be charged.
- 5.12 The respondent addressed a letter dated 30.10.2004 to the appellant in response to the appellant's letter dated 14.10.2004. The respondent stated that by their letter dated 01.10.2004, they had conveyed their intention to refer dispute No.1 to the arbitrator. They further added that they disagreed with the "recommendations of the adjudicator". It was further averred that under Clause 25.2 of the GCC the issue of delay in referring the matter to arbitration can also be referred and the appellant can take up the issue before the arbitrator. The crucial contents of the letter reads as follows:-

"..... Moreover as per clause 24.1 of the agreement within 14 days you have to refer to the adjudicator any decision not acceptable to you. Whereas all the disputes referred are after the stipulated time for referring the decision of Engineer to Adjudicator. Hence your argument [sic] with regard to dates will cut at the root of petition considered by the adjudicator.

Hence you are here by called upon to forward the name of the Co-arbitrator to constitute the tribunal. You are contractually bound to forward the name of the Co-arbitrator and question regarding dates and whether decision is binding on KSTP can be referred to the arbitrator.

As stated earlier your claims before the adjudicator are delayed for several months and refused to

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nominate the name of co-arbitrator will be viewed were serious and we hope you can understand the implications of disobedience of request of the employer. Moreover the employer is entitled proceed further to set aside the recommendation of adjudicator in accordance with agreement. Hence you are required to forward the name of co-arbitrator to our office and to Mr. Subash Chandra Bose to proceed further. **It is true that if the decision of the Adjudicator is not acceptable to either party, may refer within 28 days to the Arbitrator. But there is no existing Arbitrator. This body has to be constituted and then only refer the matter to the Arbitrator. We have taken action to constitute the Arbitration Panel.**

Since this is a matter of dispute we are not in a position to release the payment. Which shall be subject to Arbitrations decision.”

(Emphasis supplied)

- 5.13 The respondent also stated that any refusal to nominate the co-arbitrator would be viewed seriously and hoped that the appellant will understand the implications of disobedience of request of the employer. It was also stated that since it is a matter of dispute, they were not in a position to release payment which shall be subject to the decision in arbitration.
- 5.14 In response to the letter dated 30.10.2004 of the respondent, the appellant wrote to the respondent on 29.11.2004. After disagreeing with the interpretation of the respondent on Clause 25.2, the appellant agreed to nominate the co-arbitrator. The letter further stated as follows:-

“We reiterate that the decision of the Adjudicator’s decision dated 14.08.2004 is final and binding on both the parties as per clause 25,2 of the GCC. Since your grievance against the decision of adjudicator and no notice to go for arbitration was given within the

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stipulated period of GGC 25.2, the said decision is final and binding upon KSTP. Therefore, please take notice that we reserve the dispute that exists as on date for an adjudication by the Arbitral Tribunal is confined to the following.

Whether the parties have agreed under the contract to accept the decision of the adjudicator as final and binding on both the parties if notice to refer the decision to arbitration is not given within 28 days of the decision of the adjudicator?

If it is so agreed, whether the decision given by the adjudicator on 14.08.2004 is final and binding on both the parties as per clause 25.2 of the GCC?

Since the amount payable as per the decision of the adjudicator is delayed, whether the contractor is entitled for monthly compound interest quarterly on the principle sum so adjudicated as demanded by the contractor vide letter dated 14-10-04? If so, what is the reasonable rate of interest payable?

Without prejudice to the above, we would like record herein that if the Arbitral Tribunal ultimately decides that the adjudicator's decision is not final and binding and can be reopened in arbitration, **we would be raising the following issues for reference to the Arbitral Tribunal by way of counter claim.**

Whether the reason for delay in execution of work and the resultant extension of time of completion of the work is attributable to the contractor or to KSTP?

If so, whether the contractor is entitled to escalation during the approved extended period of contract?

Whether the liquidated damages imposed on the contractor during the extended period of contract is sustainable?

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Whether the contractor is eligible for interest on all delayed payments beyond 42 days after submission of the bill to the Engineer?

We have already submitted the final bill for all the above projects and the payment is still pending for payment. Payment for RMC 8 & 12 are due for payment since 08-05-04 and 10.01.04 respectively. We would request you to kindly release the payment against the work done for which there is no dispute for the item rates at an early date so that accumulation of interest charges for the late payment can be avoided.”

(Emphasis supplied)

- 5.15 On 11.01.2005, the Arbitral Tribunal was constituted. Initially, the appellant did file the application to consider the Adjudicator’s decision as final and binding which the respondent opposed. However, the appellant did not press the application and agreed to file its claim before the Arbitrator. The respondent filed an application to treat the entire decision of the Adjudicator as null and void on the ground that it was contrary to Clause 24.1 of the GCC. The respondent also objected to the appellant being allowed to file the claim petition with regard to all the issues which, according to the respondent, led to enlargement of the jurisdiction.
- 5.16 Respondent in the statement filed on 09.03.2005 sought a declaration that the decision of the adjudicator be declared null and void and contended that the appellant’s reference to the adjudicator itself was out of time and that the acceptance of the dispute by the adjudicator was not as per Clause 24.1. The relevant para in the statement is as follows:-

“If the contractor had any protest or dispute in calculating the ‘R’ value and price of Bitumen. The contractor should have referred the matter to the Adjudicator within 14 days of notification. The notification is the date of payment as per clause 24.1.

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The last date for referring the matter to the Adjudicator shall be as follows:

Contract		Date of payment (Decision)		To be reported to the Adjudicator		Date of report by contractor	Total delays
RMC-01	-	6.9.03	-	20.09.03	-	15.4.04	209 days
RMC-03	-	15.3.03	-	29.3.03	-	15.4.04	383 days
RMC-08	-	8.7.03	-	22.7.03	-	15.4.04	267 days
RMC-12	-	5.6.03	-	19.6.03	-	15.4.04	299 days

From the above it was noticed that the matter on dispute was referred to the Adjudicator was delayed. Hence the acceptance of dispute by the Adjudicator was not as per clause 24.1 and the Recommendation of the Adjudicator to be set aside.

As explained in the para 7.2. Our main contention is that the contractor is the defaulter, who refers the decision of the employer in calculation of 'R' value and the Bitumen price for price escalation as a dispute after a huge delay as tabulated in para 7.2. The adjudicator not considered the delay made by the contractor in referring the dispute to the Adjudication.

Since the contractors action for referring the disputes to the Adjudicator after expiring the time frame as per contract clause 24.1. The acceptance of dispute and award by the Adjudicators is considered to be null and void."

(Emphasis supplied)

- 5.17 By its ruling of 16.12.2005 under Section 16 of the A&C Act, the Arbitral Tribunal held that the claims of the appellant still remained unsettled. It further held that the arbitration clause

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was comprehensive enough to include any matter arising out of or connected with the Agreement. It further held that the prayer of the respondent to declare the Adjudicator's decision as null and void indicated their intention to reopen the four disputes originally brought for consideration before the Adjudicator. The Tribunal, however, disallowed the claims of the appellant insofar as they were beyond the claims raised before the Adjudicator. Pursuant to the decision under Section 16, the appellant revised its claims and confined the claims to four issues permitted by the order of 16.12.2005. In view of this, we are not called upon to decide whether the Arbitral Tribunal was justified in confining the appellant to the four issues raised before the Adjudicator.

- 5.18 By its award of 29.06.2006, the Arbitral Tribunal answered all four issues in favour of the appellant. In all, the appellant was awarded a total sum of Rs.1,99,90,777/- along with post award interest @ 18% p.a. Inter alia, the award of the arbitrator recorded that:-
- A) several claims were first raised by the Appellant and they still remained as unsettled claims;
 - B) Arbitration agreement is comprehensive enough to cover any dispute arising out of or in connection with the agreement;
 - C) The prayer of the respondent to declare the decision of the adjudicator null and void virtually indicated their intention to open the 4 disputes that are brought before the Arbitral Tribunal;
 - D) Both parties have rejected the decision of the Adjudicator which has now become infructuous.
- 5.19 The respondent challenged the Award under Section 34 before the District Judge, Thiruvananthapuram in O.P.(Arbitration) No. 238 of 2006. The respondent also challenged the decision under Section 16 dated 16.10.2005 in its Section 34 petition. By judgment dated 26.06.2010, the District Judge allowed respondent's Section 34 petition and set aside the award and restored the decision of the Adjudicator on the following two grounds:-

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- (i) there was no provision in the contract for extending the time for referring the issue beyond the period of 28 days; and
- (ii) hence there cannot be any question of there being any consensus between the parties for referring all the disputes.

5.20 In spite of so holding, the District Judge, for reasons best known to him, restored the recommendations of the Adjudicator. Aggrieved, the appellant filed an appeal under Section 37 of the A&C Act. The Division Bench, by the order impugned, clearly found that imposition of 28 days time-limit in Clause 25.2 was contrary to Section 28(b) of the Contract Act. However, on the ground that the appellant never sought reference of the dispute by issuing any notice under Section 21 of the A&C Act and only the respondent had issued such a notice on one issue, it found the award to be invalid. However, the order restoring the decision of the Adjudicator was not disturbed.

6. We have heard Mr. Rajiv Shakhder, learned Senior Advocate, for the appellant and Mr. Naveen R. Nath, learned Senior Advocate for the respondent. We have gone through the records, including the written submissions filed by the respective parties.

SUBMISSIONS OF THE APPELLANT: -

7. The learned senior counsel for the appellant submits that the arbitration clause is exhaustive and covers any dispute or difference arising between the parties relating to any matter arising out of or connected with the agreement. According to the learned senior counsel, the agreement was not limited to the reference of disputes decided by the adjudicator. It is further contended by the learned senior counsel that the Division Bench has set aside the award on a ground not taken by the respondent before the Arbitral Tribunal or in Court. According to the learned senior counsel, such a course of action was beyond the scope of Section 37 appeal.
8. Learned senior counsel further contends that there is a clear waiver under Section 4 of the A&C Act. Learned senior counsel for the appellant contends that notice is not envisaged at the stage of invocation under Clause 25.3 of the GCC and Clause 4 of the Special Conditions of Contract. Learned senior counsel contends that Section

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21 of the A&C Act opens with the phrase “Unless otherwise agreed by the parties”, and contends that, in the present case, it was otherwise agreed in the contract that if a party wishes to settle the dispute, it may first notify claims to the other party and refer it for settlement with the engineer and, thereafter, refer it to the adjudicator. According to the learned senior counsel, the dispute has already been referred through two stages before referring it to arbitration.

9. Learned senior counsel further contends that the purpose of Section 21 was to primarily determine whether the claims are within limitation, and no award can be set aside for want of a Section 21 notice. In any event, learned senior counsel contends that the letter dated 29.11.2004 issued by the appellant should be construed as the Section 21 notice. Assuming everything against the appellant, the learned senior counsel contends, that there is no requirement of issuance of notice under Section 21 by both parties. According to the learned senior counsel, if one party take steps to constitute an Arbitral Tribunal, the other party can raise all claims and counterclaims. Any other interpretation would result in multiple arbitration and conflicting awards. In conclusion, it was submitted that the Arbitral Tribunal is a final adjudicator regarding the arbitral procedure. So contending, it was prayed that the impugned order deserves to be set aside and the award of the arbitrator be upheld in entirety.

SUBMISSIONS OF THE RESPONDENT: -

10. Learned senior counsel for the respondent contends that the dispute resolution mechanism comprises escalatory measures which would mean that the dispute needs to be first resolved by the engineer and, in case the decision was not acceptable, it was to be referred to the adjudicator within 14 days. According to the learned senior counsel, the adjudicator’s decision is required to be in writing within 28 days of the receipt of the notification of dispute. Further what is referred to the arbitrator is the adjudicator’s decision and not the original dispute before the engineer.
11. Learned senior counsel submits that this is the agreed procedure for the appointment of the arbitrators as contemplated under Section 11(2); that these escalatory measures have statutory significance since they are intended to narrow the dispute referable to the Arbitral Tribunal. In view of that, it is submitted that for a party to invoke

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arbitration it must clearly and categorically be signified, by issuance of notice that it disputes the adjudicator's decisions either in entirety or on specified issues.

12. Learned senior counsel submits that the procedure for appointment of an arbitrator must be strictly complied and even under Section 28(3) of the A&C Act, the Arbitral Tribunal is required to take into account the terms of the contract. Learned senior counsel submits that issuance of notice under Section 21 is a mandatory requirement and both the parties to an arbitration agreement have the right to be informed of the arbitral dispute before the constitution of the Arbitral Tribunal. According to the learned senior counsel, the appellant could never be the claimant and the expression claimant can only be attributed to that party who initiates the arbitration proceedings by issuance of notice under Section 21. Learned senior counsel disputes the fact that the letter dated 14.10.2004 or 29.11.2004 of the appellant could be treated as Section 21 notice. Learned senior counsel submits that the case of the respondent was covered by para 41(c) of the decision of this Court in **State of Goa v. Praveen Enterprises¹**.

QUESTIONS FOR CONSIDERATION: -

13. In the above background, the questions that arises for consideration are (a) whether the High Court by the impugned order was justified in holding that the Arbitral Tribunal was appointed at the request of the State to adjudicate dispute No. 1 only? (b) Was the non-issuance of a notice under Section 21 of the A&C Act by the appellant fatal for it to pursue its claim before the Arbitrator?

ANALYSIS AND REASONING: -

14. In our opinion, the High Court totally erred in setting aside the award on the basis that the appointment of the Tribunal was only to adjudicate dispute No.1. The High Court also erred in holding that the non-issuance of notice under Section 21 of the A&C Act by the appellant with regard to dispute no. 2 to 4 was fatal for it to pursue its claim before the arbitrator. The High Court erred in holding that the Arbitral Tribunal exceeded its jurisdiction in deciding the entire dispute. We say so for the following reasons.

Supreme Court Reports**CONDUCT OF THE RESPONDENT: -**

15. Firstly, the sequence of events clearly demonstrates that the present was a case where conduct of the respondent clearly precluded it from relying on the mandate of clause 24, 24.1 and 25 to contend that the appellant was foreclosed from raising the entire dispute before the Arbitrator. This is because: -
- a) Clause 24.1 stipulated a time limit of 14 days to refer the decision of the Engineer to the adjudicator. While the appellant contends that the Engineer never decided on any issue after the appellant quantified the amounts and submitted the same on 02.03.2024 and 24.03.2024, the respondent has a different story to tell. According to the respondent, the payment dates of 06.09.2003, 15.03.2003, 08.07.2003 and 05.06.2003 for the four different contracts respectively, itself were the dates of the decision of the Engineer and the appellant delayed the reference to the adjudicator by 209 days, 383 days, 267 days and 299 days respectively. Even the adjudicator proceeded on the basis that the date of payments was the date of decision of the Engineer. Before the adjudicator no objection was taken by the respondent about the reference to the adjudicator itself being barred by time and beyond the scope of clause 24.1. The adjudicator went ahead and decided dispute Nos.1 and 3 in favour of the appellant and dispute Nos.2 and 4 in favour of the respondent. The Adjudicator gave his decision on 14 August 2004. Under Clause 25.1, the adjudicator was approached on 15.04.2004 and going by clause 25.1 the adjudicator ought to have given his decision within 28 days from 15.04.2004, that is on or before 13.05.2004. This is the second instance of parties including adjudicator not following the drill of clause 25.1, in its true letter and spirit.
 - b) Under Clause 25.2, either party can refer the decision of the adjudicator to the Arbitrator within 28 days of the adjudicator's written decision and if neither party refers the dispute to the adjudicator within 28 days, the adjudicator's decision will be final and binding. In this case, it was on 01.10.2004 i.e. after the expiry of 56 days that the respondent issued the letter which they claimed was the reference of the decision in dispute No.1 of the adjudicator. The High Court in the impugned order has

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in any event found that the 28 days time limit offends Section 28(b) of the Contract Act. Further, when the appellant wrote back objecting to the breach of time limit of 28 days, the respondent wrote back saying that the issue of delay in referring can itself be referred to the Arbitrator and that they disagreed with the recommendation of the adjudicator. This itself indicates that notwithstanding clause 25.2 specifying that on the expiry of 28 days the decision of the adjudicator was final and binding, the respondent never treated the decision of the adjudicator as final and binding.

- c) Further, the appellant had not received any payments under any of the heads and the respondent asserted that since the matter is in dispute, they were not in a position to release the payment which, according to them, is subject to the decision of the Arbitrator.
- d) The appellant also wrote to the respondent stating that they disagreed with the interpretation of the respondent of clause 24.2 and that they will be raising all issues before the Arbitrator to which there was no response from the respondent.
- e) To make the matters worse for the respondent before the Arbitral Tribunal they filed an application to treat the entire decision of the adjudicator as null and void on the ground that clause 24.1 had been violated.
- f) The Arbitral Tribunal adjudicating on the Section 16 objection of the respondent under Section 16 of A&C rightly held that the claims of the appellant remained unsettled and further that the arbitration clause was comprehensive enough to include any matter arising out of or connected with the agreement. The Tribunal further held that the prayer of the respondent to declare the adjudicator's decision as null and void indicated their intention to reopen the four disputes originally brought for consideration.

This Court in ***M.K. Shah Engineers & Contractors vs. State of M.P.***², a case similar to the present where the employer was trying

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to take advantage of its own wrong, rejected the contention of the employer and held as follows: -

“14. In Halsbury’s Laws of England (4th Edn.) Vol. 2, vide paras 652, 654, at pp. 363, 365, the law is so stated. The arbitration agreements may contain a clause which requires a certain act to be completed within a specified period and which provides that if that act is not done, either the claim or the ability to commence an arbitration will be barred. Such clauses are sometimes known as “Atlantic Shipping” clauses. The consequences of the expiry of a contractual limitation period before the completion of the specific act may however be avoided in three circumstances:

- (i) if the court exercises its discretion statutorily conferred on it, to extend the period to avoid undue hardship;
- (ii) if the arbitration clause confers a discretion on the arbitrator to extend the period and he exercises it;
- (iii) if the conduct of either party precludes his relying on the time-bar against the claimant.

17. No one can be permitted to take advantage of one's own wrong. The respondent-State of M.P. cannot and could not have been heard to plead denial of the two appellants' right to seek reference to arbitration for non-compliance with the earlier part of clause 3.3.29. In the case of M/s Chabaldas & Sons, the clause was complied with. Alternatively, even if it was not complied with in the case of M/s Chabaldas & Sons, but certainly in the case of M/s M.K. Shaw, the fault for non-compliance lies with the respondent-State of M.P. through its officials. The plea of bar, if any, created by the earlier part of clause 3.3.29 cannot be permitted to be set up by a party which itself has been responsible for frustrating the operation thereof. It will be a travesty of justice if the appellants for the fault of the respondents are denied the right to have recourse to the remedy of arbitration. **A closer scrutiny of clause 3.3.29 clearly suggests that the parties intended to enter into an arbitration agreement for deciding all the questions and disputes arising between them through arbitration and thereby excluding the jurisdiction of ordinary civil**

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courts. Such reference to arbitration is required to be preceded by a decision of the Superintending Engineer and a challenge to such decision within 28 days by the party feeling aggrieved therewith. The steps preceding the coming into operation of the arbitration clause though essential are capable of being waived and if one party has by its own conduct or the conduct of its officials, disabled such preceding steps being taken, it will be deemed that the procedural prerequisites were waived. The party at fault cannot be permitted to set up the bar of non-performance of prerequisite obligation so as to exclude the applicability and operation of the arbitration clause."

(Emphasis supplied)

We draw considerable support from the ratio of ***M.K. Shah*** (*supra*) on the aspect of conduct of the respondent and the holding therein, that the party at fault cannot be permitted to take advantage of the same. Further, like in ***M.K. Shah*** (*supra*) the Arbitration clause here also is of wide amplitude. In view of the above, we reject the contention of the respondent that the procedure for appointment of an arbitrator has not been complied with in this case and, as such, the award has to be set aside. We find absolutely no merit in the same.

OBJECT OF SECTION 21 OF A&C ACT: -

16. Secondly, the object of Section 21 of A&C Act, is only for the purpose of commencement of arbitral proceedings is also well settled. Section 21 is concerned only with determining the commencement of the dispute for the purpose of reckoning limitation. There is no mandatory prerequisite for issuance of a Section 21 notice prior to the commencement of Arbitration. Issuance of a Section 21 notice may come to the aid of parties and the arbitrator in determining the limitation for the claim. Failure to issue a Section 21 notice would not be fatal to a party in Arbitration if the claim is otherwise valid and the disputes arbitrable. In ***ASF Buildtech Private Limited*** vs. ***Shapoorji Pallonji & Company Private Limited***³, one of us, J.B. Pardiwala J., felicitously put the principle thus: -

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163. The marginal note appended to Section 21 of the 1996 Act makes it abundantly clear that the notice to be issued thereunder is for the purpose of “commencement of arbitration proceedings”. The substantive provision further makes it clear that the date on which a request/notice of invocation for referring a dispute is received by the respondent, would be the date on which the arbitral proceedings in respect of a particular dispute commences. The words “particular dispute” assume significance in the interpretation of this provision and its underlying object. **It indicates that the provision is concerned only with determining when arbitration is deemed to have commenced for the specific dispute mentioned in the notice. The language in which the said provision is couched is neither prohibitive or exhaustive insofar as reference of any other disputes which although not specified in the notice of invocation yet, nonetheless falls within the scope of the arbitration agreement. The term “particular dispute”, does not mean all disputes, nor does it confine the jurisdiction of the Arbitral Tribunal which is said to be one emanating from the “arbitration agreement” to only those disputes mentioned in the notice of invocation, as it would tantamount to reading a restriction into the jurisdiction of the Arbitral Tribunal to the bounds of the notice of invocation instead of the arbitration agreement. Thus, there is no inhibition under Section 21 of the 1996 Act for raising any other dispute or claim which is covered under the arbitration agreement in the absence of any such notice. Section 21 is procedural rather than jurisdictional it does not serve to create or validate the arbitration agreement itself, nor is it a precondition for the existence of the Tribunal’s jurisdiction, but merely operates as a statutory mechanism to ascertain the date of initiation for reckoning limitation.**

165. Section 23 sub-section (1) places an obligation upon the claimant to state the facts supporting his “claim”, the points at issue and the relief or remedy sought by way of

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its statement of claim, before the Arbitral Tribunal. Notably, the legislature, in the first part of the said sub-section, has deliberately and consciously used the term “claim” as opposed to “particular dispute” employed in Section 21 of the 1996 Act. Although, it could be said that the term “particular dispute” under Section 21 connotes a larger umbrella within which the term “claim” under Section 23 would be subsumed, thereby suggesting that there is no scope to deviate from what was sought to be referred by the notice of invocation, we do not think so. We say so because, the requirement for providing the points at issue and the relief or remedy sought that exists in sub-section (1) of Section 23 of the 1996 Act is patently absent in Section 21 of the 1996 Act, which clearly shows that the scope and object of these two provisions are at variance to each other. Further, this sub-section does not stipulate either explicitly or implicitly, that such “claim” must be the same or in tandem with the “particular dispute” in respect of which the notice of invocation was issued under Section 21 of the 1996 Act. This distinction in terminology is neither incidental nor redundant; rather, it reflects a conscious legislative design to demarcate the procedural objective of Section 21 from the substantive function sought or the framing of issues served by Section 23. Unlike Section 23, Section 21 does not require any articulation of the relief its sole purpose is to indicate when arbitration is deemed to have commenced, for the limited purpose of computing the limitation period.

169. Any restriction on the nature or content of claims, counterclaims, or set-offs in arbitration must be sourced solely from the express language of Section 23 and not from Section 21. Section(s) 21 and 23 of the 1996 Act although overlap in some aspects with each other in terms of the claims that would ordinarily be referred to the Tribunal more often than not tend to coincide, yet they are by no means tethered together in such a manner that neither of them can survive without one another. The latter serves only a procedural function and does not condition or limit the Tribunal’s

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jurisdiction to adjudicate claims that may not have been specifically invoked at the threshold stage. To read such a limitation into the statutory scheme would run contrary to both the text and the object of the Act.”

(Emphasis supplied)

More recently in **Adavya Projects Private Limited v. Vishal Structurals Private Limited and others⁴**, this Court reiterating the purpose and significance of a notice under Section 21 had the following to observe: -

“24. At this point, it is important to note this Court’s decision in *State of Goa v. Praveen Enterprises* [*State of Goa v. Praveen Enterprises*, (2012) 12 SCC 581] wherein it was held that the claims and disputes raised in the notice under Section 21 do not restrict and limit the claims that can be raised before the Arbitral Tribunal. The consequence of not raising a claim in the notice is only that the limitation period for such claim that is raised before the Arbitral Tribunal for the first time will be calculated differently vis-à-vis claims raised in the notice. However, non-inclusion of certain disputes in the Section 21 notice does not preclude a claimant from raising them during the arbitration, as long as they are covered under the arbitration agreement. **Further, merely because a respondent did not issue a notice raising counterclaims, he is not precluded from raising the same before the Arbitral Tribunal, as long as such counterclaims fall within the scope of the arbitration agreement.”**

[Emphasis supplied]

17. At this stage, it is appropriate to refer to the following passage from the decision of this Court in **Indian Oil Corporation Ltd. v. Amritsar Gas Service and Others⁵** which reinforces our holding:-

4 (2025) 9 SCC 686

5 (1991) 1 SCC 533

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“15. The appellant’s grievance regarding non-consideration of its counter-claim for the reason given in the award does appear to have some merit. In view of the fact that reference to arbitrator was made by this Court in an appeal arising out of refusal to stay the suit under Section 34 of the Arbitration Act and the reference was made of all disputes between the parties in the suit, the occasion to make a counter-claim in the written statement could arise only after the order of reference. The pleadings of the parties were filed before the arbitrator, and the reference covered all disputes between the parties in the suit. Accordingly, the counter-claim could not be made at any earlier stage. Refusal to consider the counter-claim for the only reason given in the award does, therefore, disclose an error of law apparent on the face of the award. However, in the present case, the counter-claim not being pressed at this stage by learned counsel for the appellant, it is unnecessary to examine this matter any further.”

ARBITRATION CLAUSE – WIDELY WORDED: -

18. Thirdly, Clause 25.3 is widely worded and any dispute or difference arising between the parties relating to any matter arising out of or concerned with the agreement are to be settled in accordance with the A&C Act by the Arbitral Tribunal. As held in ***State of Goa vs. Praveen Enterprises***⁶ if an arbitration agreement provides that all disputes between the parties relating to the contract shall be referred to arbitration, the reference contemplated is the act of parties to the arbitration agreement. In ***Praveen Enterprises*** (*supra*) it has been further held as follows:-

“19. There can be claims by a claimant even without a notice seeking reference. Let us take an example where a notice is issued by a claimant raising disputes regarding Claims A and B and seeking reference thereof to arbitration. On appointment of the arbitrator, the claimant files a claim statement in regard to the said Claims A and B. Subsequently if the claimant amends

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the claim statement by adding Claim C [which is permitted under Section 23(3) of the Act] the additional Claim C would not be preceded by a notice seeking arbitration. The date of amendment by which Claim C was introduced, will become the relevant date for determining the limitation in regard to the said Claim C, whereas the date on which the notice seeking arbitration was served on the other party, will be the relevant date for deciding the limitation in regard to Claims A and B. Be that as it may.

26. Section 23 of the Act makes it clear that when the arbitrator is appointed, the claimant is required to file the statement and the respondent has to file his defence statement before the arbitrator. The claimant is not bound to restrict his statement of claim to the claims already raised by him by notice, “unless the parties have otherwise agreed as to the required elements” of such claim statement. It is also made clear that “unless otherwise agreed by the parties” the claimant can also subsequently amend or supplement the claims in the claim statement. That is, unless the arbitration agreement requires the arbitrator to decide only the specifically referred disputes, the claimant can while filing the statement of claim or thereafter, amend or add to the claims already made.

27. Similarly, Section 23 read with Section 2(9) makes it clear that a respondent is entitled to raise a counterclaim “unless the parties have otherwise agreed” and also add to or amend the counterclaim, “unless otherwise agreed”. In short, unless the arbitration agreement requires the arbitrator to decide only the specifically referred disputes, the respondent can file counterclaims and amend or add to the same, except where the arbitration agreement restricts the arbitration to only those disputes which are specifically referred to arbitration, both the claimant and the respondent are entitled to make any claims or counterclaims and further entitled to add to or amend such claims and counterclaims provided they

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are arbitrable and within limitation.

41. The position emerging from the above discussion may be summed up as follows:

(a) Section 11 of the Act requires the Chief Justice or his designate to either appoint the arbitrator(s) or take necessary measures in accordance with the appointment procedure contained in the arbitration agreement. The Chief Justice or the designate is not required to draw up the list of disputes and refer them to arbitration. The appointment of the Arbitral Tribunal is an implied reference in terms of the arbitration agreement.

(b) Where the arbitration agreement provides for referring all disputes between the parties (whether without any exceptions or subject to exceptions), the arbitrator will have jurisdiction to entertain any counterclaim, even though it was not raised at a stage earlier to the stage of pleadings before the arbitrator.

(c) Where however the arbitration agreement requires specific disputes to be referred to arbitration and provides that the arbitrator will have the jurisdiction to decide only the disputes so referred, the arbitrator's jurisdiction is controlled by the specific reference and he cannot travel beyond the reference, nor entertain any additional claims or counterclaims which are not part of the disputes specifically referred to arbitration."

It will be seen that when the Arbitral Tribunal is constituted, the claimant is required to file the statement and the respondent to file his defence statement with counter claim, if any, before the arbitrator. The claimant is not bound to restrict his statement of claim to the claims raised by him in the notice issued, if any, before. The claimant can also amend or supplement the claims in the claim statement unless the arbitration agreement requires the arbitrator to decide only the specifically referred disputes. Equally, counter claims can also be filed and amended. In the present case, we have already held that the rigors of clause 24, 24.1 and 25 have not been followed by the parties and by their conduct the entire dispute have been thrown at large before the Arbitral Tribunal. Hence, the contention of the

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respondent that the case of the parties is governed by para 41(c) of ***Praveen Enterprises (supra)*** is rejected.

RELEVANT STATUTORY PROVISIONS: -

19. Section 2(9) of the A&C Act reads as under:-

“2(9) Where this Part, other than clause (a) of section 25 or clause (a) of sub-section (2) of section 32, refers to a claim, it shall also apply to a counter-claim, and where it refers to a defence, it shall also apply to a defence to that counter-claim.”

20. Section 23 of the A&C Act as is relevant is also set out hereinbelow:-

“23. Statement of claim and defence.—(1) Within the period of time agreed upon by the parties or determined by the arbitral tribunal, the claimant shall state the facts supporting his claim, the points at issue and the relief or remedy sought, and the respondent shall state his defence in respect of these particulars, unless the parties have otherwise agreed as to the required elements of those statements.

(2) The parties may submit with their statements all documents they consider to be relevant or may add a reference to the documents or other evidence they will submit.

(2A) The respondent, in support of his case, may also submit a counter-claim or plead a set-off, which shall be adjudicated upon by the arbitral tribunal, if such counter-claim or set-off falls within the scope of the arbitration agreement.

(3) Unless otherwise agreed by the parties, either party may amend or supplement his claim or defence during the course of the arbitral proceedings, unless the arbitral tribunal considers it inappropriate to allow the amendment or supplement having regard to the delay in making it.”

It will be noticed that once the Arbitral Tribunal is constituted claims, defence and, counter claims are filed. Party which normally files the claim first is, for convenience, referred to as the ‘claimant’ and the

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party which responds is called the ‘respondent’. The said respondent is also along with the defence statement entitled to file its counter claim. Hence, to contend that the appellant cannot be referred to as a claimant because no notice under Section 21 has been issued is completely untenable. To illustrate the point, the rules from the DIAC rules are set out: -

“DIAC Arbitration Proceedings Rules, 2018

2.1(g) “Claimant”, notwithstanding any nomenclature given to the parties in any Court in any proceeding between them, means the party which files the Statement of Claim first in point of time. The other party(ies) shall be referred to as “Respondent(s)”. The party filing Counter-Claim(s) shall be referred as “Counter-Claimant”.

21. The judgment cited by the respondent namely ***Iron & Steel Co. Ltd. v. Tiwari Road Lines***⁷, and ***MSK Projects India (JV) Limited vs. State of Rajasthan and Another***⁸, have no application to the facts of the case, as not only is there no breach of procedure in the appointment of Arbitral Tribunal, the Arbitral Tribunal has also not travelled beyond the scope of the reference. No other argument touching upon the merits of the award have been canvassed before us.
22. For the reasons stated above, we set aside the judgment of the High Court of Kerala at Ernakulam dated 07.01.2025 in Arbitration Appeal No. 56/2012. The consequence will be that the award of the arbitrator dated 29.06.2006 is upheld in its entirety. The appeal is allowed. No order as to costs.

Result of the case: Appeal allowed.

†Headnotes prepared by: Divya Pandey

7 (2007) 5 SCC 703

8 (2011) 10 SCC 573

Dalsukhbhai Bachubhai Satasia & Others

v.

State of Gujarat & Others

(Civil Appeal No. 6130 of 2016)

06 January 2026

[B.V. Nagarathna* and R. Mahadevan, JJ.]

Issue for Consideration

Issue arose whether the High Court was justified in dismissing the writ petitions by not applying s.4 of the Repealing Act and thereby not granting relief to the appellants; was the delivery of notice u/s.10(5) of the ULC Act to the appellants (as possessors of the concerned lands) a mandatory step, the non-fulfilment of which would render abatement of the proceedings in terms of s.4 of the Repealing Act; and that despite the recording of lands in the name of the State Government, if actual possession was not subsequently transferred to the Government, would this render the proceedings to abate u/s.4 of the Repealing Act.

Headnotes[†]

Urban Land (Ceiling and Regulation) Act, 1976 – ss.6(1), 10(5), 10(6), 21 – Urban Land (Ceiling and Regulation) Repeal Act, 1999 – ss.3, 4 – Acquisition of vacant land in excess of ceiling limit – Requirement of issuance of notice to possessors – Land admeasuring 9303 square metres belonged to the heir as its true owner and occupier – Order by the competent authority that the land in question was exempt u/s.21 and the remaining land was within the ceiling limit and was not excess land – In a public auction, land was purchased by a Society and issued possession receipts to multiple sub-plot holders including the appellant – Assistant Collector cancelled the mutation entry, thereafter, the order was challenged before various forums and finally the Competent Authority passed an order declaring 662.18 sq. metres as excess land – On the cancellation of the auction purchase, the original landowner, entered into a registered agreements of sale for the sub-plots in favour of

* Author

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the sub-plot holders/appellants, and the appellants became owners and came into possession of sub-plots – Notice u/s.10(5) issued only to original landholder directing him to vacate and handover possession of the “excess land” to the respondent-State – Since possession was not surrendered, the Deputy Collector directed taking over of possession of the excess land – Sub-plot holders tried to resell their sub-plots, the Competent Authority refused to grant NOCs – Writ petitions by the appellants before High Court dismissed as also appeals thereagainst – Correctness:

Held: Requirement of issuance of notice u/s.10(5) is mandatory and must be issued to the persons actually in possession of the concerned land – This is clear from the wording of the statute-order any person who may be in possession of it – Importance of delivering notice lay in avoiding a situation where a person is “dispossessed” without notice which would be in violation of the principles of natural justice, thereby clearly envisioning that the possessor must be served with notice – As per the provisions of s.10(3) and 10(5), the subject land, despite having ‘vested’ in the State Government, was not in the possession of the Government – Possession of the land continued with the appellant – Proviso to s.4 not applicable and the benefit of abatement under the section would apply – Legislative intent is that in cases where lands were deemed to have been vested but possession was not yet transferred as on date of enforcement of the Repealing Act, the lands were to remain in possession of the private parties – Vesting and possession are distinct and that without the latter, the private parties have a claim over continuing to be in possession – On the date of issuance of notice, the appellants as possessors did not receive the notice – It was sent to the erstwhile owner of the subject land – This also implies that the respondents also were aware of the fact that actual possession was not with them and there was a need to issue notice u/s.10(5) before taking over actual possession – However, the respondents did not ascertain as to in whose name actual possession stood – Thus, no notice was issued to the appellants and hence there being no transfer of possession in accordance with s.10, it continues with the appellants both in fact as well as in law – Hence, entitled to the benefit of s.4 of the Repealing Act as they do not fall within the scope of s.3 of the said Act which is the savings clause – Omission to issue notice to the

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appellants violated the mandatory requirement of serving notice u/s.10(5) and meant that the legal process of acquiring possession was still ongoing, leading to abatement of proceedings u/s.4 of the Repealing Act on its enforcement – Abatement of proceedings is by operation of law based on the facts of each case and once the proceedings u/s.10 abate, the consequential reliefs would have to be granted to the appellants – Hence, the appellants entitled to all consequential reliefs pursuant to the abatement of the proceedings u/s.4 of the Repealing Act as the case of the appellants squarely falls within the scope of the provision – Division Bench of the High Court not right in holding that the appellants not in possession of the subject land on the date on which the ULC Act came into force and were illegal occupants; and that although the electricity bills showed the name of the appellants, it did not establish their possession u/s.10(5) – Impugned orders of the High Court set aside. [Paras 18.1, 18.3, 19.2-19.4, 22 22.1-22.9, 23]

Case Law Cited

C. Albert Morris v. K. Chandrasekaran [2005] Supp. 4 SCR 779 : (2006) 1 SCC 228; *State of Assam v. Bhaskar Jyoti Sarma* [2014] 14 SCR 1451 : (2015) 5 SCC 321; *Mangalsen v. State of Uttar Pradesh* (2014) 15 SCC 332; *Gajanan Kamly Patil v. Additional Collector & Competent Authority* [2014] 1 SCR 1032 : (2014) 12 SCC 523; *State of Orissa v. Sakhi Bewa* [2021] 10 SCR 1105 : (2022) 16 SCC 594 – referred to.

State of Uttar Pradesh v. Hari Ram [2013] 2 SCR 301 : (2013) 4 SCC 280; *AP Electrical Equipment Corporation v. Tahsildar* [2025] 2 SCR 1625 : 2025 SCC OnLine SC 447; *U.A. Basheer v. State of Karnataka* [2021] 1 SCR 893 : (2021) 5 SCC 313 – relied on.

List of Acts

Urban Land (Ceiling and Regulation) Act, 1976; Urban Land (Ceiling and Regulation) Repeal Act, 1999; Gujarat Land Revenue Rules, 1972.

List of Keywords

Excess vacant land; Vesting; Possession; Paper possession; *de jure* and *de facto* possession; Effect of the Repealing Act; Notice; Abatement of proceedings; Mandatory notice; Natural justice; Person in possession; Forced dispossession.

Dalsukhbhai Bachubhai Satasia & Others v. State of Gujarat & Others**Case Arising From**

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 6130 of 2016
From the Judgment and Order dated 23.07.2014 of the High Court of Gujarat at Ahmedabad in LPA No. 2024 of 2010 and SCA No. 533 of 2009

Appearances for Parties

Advs. for the Appellant(s):

K.K. Trivedi, Rabin Majumder, Krishna Yadav.

Advs. for the Respondent(s):

Ms. Deepanwita Priyanka, Anuj Chaudhary.

Judgment / Order of the Supreme Court**Judgment**

Nagarathna, J.

This civil appeal assails the impugned judgment dated 23.07.2014 passed by the High Court of Gujarat at Ahmedabad in LPA No.2024/2010 in Special Civil Application No.533/2009 wherein the appeal filed by the appellants herein was dismissed.

Factual Backdrop:

2. The facts of the case are that the land in question is admeasuring 9303 square metres and bearing Survey No. 339 of Town Planning Scheme No.4, Final Plot Nos.9A and 9B of Village Katargam, Surat, Gujarat (for short, “Survey 339”). According to the appellants, the said land belonged to one Nathubhai Ranchhodbhai, upon whose death in the year 1933, his heir Kuberbhai Nathubhai became its true owner and occupier.
 - 2.1 On 17.02.1976, the Urban Land (Ceiling and Regulation) Act, 1976 (“ULC Act”, for the sake of convenience) came into force. Section 6(1) of the said Act directed every person holding vacant land in excess of the ceiling limit to file a statement specifying the location, extent, value and such other particulars of all vacant lands held by him. Accordingly, on 12.08.1976,

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Kuberbhai Nathubhai filed a Form under Section 6(1) of the ULC Act declaring the following lands of Katargam, Surat under his holding:

Sl. No.	Survey No.	Area (square metre)	Type of Use
1.	470/1 paiki	23168	Agricultural
2.	472 paiki	3035	Agricultural
3.	472 paiki	11331	Agricultural
4.	Residence House No. 1355 in Ward No. 15	111-484	Residential

- 2.2 Thereafter, on 18.02.1980, the Competent Authority under the ULC Act (for short, “Competent Authority-I”) passed an order holding that lands bearing Survey Nos. 479 and 472/p were exempt under Section 21 of the ULC Act, which stated that excess vacant land shall not be treated as excess in certain cases. The order also held that the remaining land of Survey No.339 was within the ceiling limit, so there was “no excess land” being held by the family members of Kuberbhai Nathubhai. The respondents contended that the form filled earlier under Section 6(1) was not processed and was kept pending.
- 2.3 Thereafter, one Khodidas Kanjibhai Patel, the organiser of Sardar Hira Udhayog Sahakari Mandali Ltd. (for short, “the Society”) purchased the lands of Survey No.339 at a public auction held by the Special Recovery Officer on 28.04.1981. By order dated 28.05.1981, the officer confirmed the auction, and directed that the name of the Society be entered in the records of rights. Accordingly, the name of the Society was entered in the revenue records by Mutation Entry No.7068 on 16.05.1983. Thereafter, Khodidas Kanjibhai Patel obtained Construction Permission (for short, “Raja Chitthi”) on 13.12.1983 from the Surat Municipal Corporation for constructing industrial units for the Society. Khodidas Patel then issued Possession Receipts (for short, “Kabja Receipts”) to multiple sub-plot holders, the appellants herein, who have remained in possession of the said sub-plots since the year 1983-84.
- 2.4 However, on 12.10.1984, the Assistant Collector, Choryasi Prant, passed an order cancelling Mutation Entry No.7068 dated

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16.05.1983, *inter alia*, on the basis that the public auction dated 28.04.1981 was not conducted according to the provisions of the ULC Act. This order was challenged before the Collector, Choryasi Prant in Appeal No.152/1985, which passed an order dated 16.01.1986 upholding the original order dated 12.10.1984 of the Assistant Collector. The order of the Collector was in turn challenged before the Assistant Secretary, Revenue Department in Revision under Rule 108(6A) of the Gujarat Land Revenue Rules, 1972. By order dated 07.04.1986, said Revision was dismissed thereby upholding the order dated 16.01.1986 passed by the Collector in Appeal No.152/1985.

- 2.5 On 03.05.1988, the Government of Gujarat exercised its powers of revision under Section 34 of the ULC Act and set aside the order dated 18.02.1980 passed by the Competent Authority-I, and remanded the matter to the Competent Authority & Additional Collector, ULC, Surat (for short, "Competent Authority-II") for reconsideration of the question of "excess land" with regard to the subject land Survey No.339. Thereafter, on 16.01.1989, the Competent Authority-II passed an order declaring that 662.18 square metres out of the total area of 9303 square metres of the subject land in Survey No.339 – Final Plot Nos. 9A and 9B was 'excess land'.
- 2.6 According to the appellants, in the order dated 16.01.1989, the cancellation of the mutation entry was specifically mentioned. However, they were not served with any notice by the Competent Authority-II, though they were the unit holders (sub-plot holders), and were in actual physical and legal possession of the said units. Furthermore, none of them was made a party before the Competent Authority-II, despite being in possession.
- 2.7 Therefore, on the cancellation of the auction purchase in favour of Khodidas Kanjibhai Patel the original landowner, Kuberbhai Nathubhai, entered into a registered agreements of sale for the sub-plots in favour of the sub-plot holders/appellants herein, and hence the appellants became owners and came into possession of sub-plot Nos.1 to 77 situated upon Survey No.339. According to the appellants, majority of them are engaged in the business of diamond cutting and polishing, while a few of them are engaged in different businesses, such as embroidery and other small businesses.

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- 2.8 On 22.11.1990, a notice under Section 10(5) of the ULC Act was issued to the original landholder directing him to vacate and handover possession of the “excess land” to the respondent/State Government within a period of thirty days. Since possession was not surrendered, the Deputy Collector, ULC drew *Panchnama* dated 21.01.1992, directing taking over possession of the ‘excess land’ to the tune of 662.18 square metres out of the total area of the land admeasuring 9303 square metres. In the said order, it was also observed that the said excess land is “open on the site” and that the possession of the same has been taken by the Competent Authority and Deputy Collector, ULC.
- 2.9 When some of the sub-plot holders tried to resell their sub-plots, the Competent Authority-II sent letters dated 20.06.2007 and 05.07.2008 refusing to grant ‘No Objection Certificates’ (for short, “NOCs”) for the subsequent sale, on the ground that the constructed units were situated over the alleged ‘excess land’ as the said surplus land was taken over and therefore vested in the government since 21.01,1992. The appellants contended that this was the first time it came to their knowledge that the said property had been declared as ‘excess land’ by the Competent Authority-II.
- 2.10 Aggrieved, the appellants preferred Writ Petition being Special Civil Application No.533/2009 before the Gujarat High Court, seeking relief in the nature of directions to the respondent to issue the necessary NOCs for subsequent sale of the said sub-plots. Thereafter another Writ Petition being Special Civil Application No.10844/2010 was preferred by the appellants before the Gujarat High Court, seeking relief in the nature of a declaration to the effect that no ‘Non-Agricultural Use Permission’ was required for the usage of the said allotted sub-plots. Both the said Writ Petitions were dismissed *vide* separate orders dated 08.02.2010 by the Gujarat High Court.
- 2.11 Aggrieved by the dismissal of the said Writ Petitions, the appellants preferred Letters Patent Appeals bearing LPA Nos.2024/2010 and 1171/2011 before the Gujarat High Court. The said Letters Patent Appeals were dismissed *vide* impugned common order dated 23.07.2014. The Gujarat

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High Court, while dismissing the said Letter Patent Appeals, observed that the appellants herein are 'illegal occupants' of the said sub-plots and had the knowledge and notice of the proceedings under the ULC Act as it is apparent from the perusal of the sale deeds and '*Raja Chitthi*' that said transfers were made subject to the proceedings and provisions of the ULC Act. It was further observed by the High Court that the order of permission granted was in favour of the Society and not in favour of the appellants. It was observed that the fact that electricity connections and subsequent bills raised were in the name of the appellants but the same do not establish their possession as emphasised under Section 10(5) of the ULC Act. Lastly, the High Court also observed that none of the appellants were in possession of the said pieces of land on the date on which the ULC Act came into force.

- 2.12 Aggrieved by the impugned common order dated 23.07.2014 passed in LPA No.2024/2010 in Special Civil Application No.533/2009 and LPA No.1171/2011 in Special Civil Application No.10844/2010, the appellants have preferred the present Civil Appeal. The appellants submitted that they have only challenged one order and hence the declaration of 'excess vacant land' is the only hurdle preventing the issuance of NOC's. Therefore, if they were to succeed in the present appeal, the other reliefs sought for, and grievances of the appellants, including the relief sought for in LPA No.1171/2011, can be redressed by the respondents themselves.

Submissions:

3. We have heard learned counsel for the respective parties and perused the materials on record.
- 3.1 Learned counsel for the appellants submitted as follows:
- 3.1.1 As per the wording of Section 10(5) of the ULC Act, the intention of the legislation is clear inasmuch as the persons who are in possession of the land are required to be served with notice and not merely the persons who had filled the declaration form under Section 6(1) of the ULC Act. Therefore, the High Court misinterpreted the provisions of Section 10(5) of the ULC Act. Had the

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appellants, as possessors of the concerned plots been served notice, they would have been in a position to take appropriate action against the orders of the Competent Authority-II, as well as the original landowners. Neither Benches of the High Court disagreed with the fact that the physical and actual possession of the sub-plots in question were with the appellants. Rather, while the learned Single Judge did not consider the question of possession, the Division Bench held that possession of the sub-plots by the appellants was illegal under the provisions of the ULC Act.

- 3.1.2 That the above finding is contrary to law. This is because when the Society allotted the sub-plots to its members, including the appellants herein, in the year 1983-84, there was no declaration regarding 'excess vacant land'. No notice was ever served to the appellants about such a declaration, despite them possessing the sub-plots, putting up construction upon them and running small factories/diamond factories/industrial units. The appellants had adduced electricity bills in their name to prove possession. However, the High Court held that the electricity bills do not establish possession.
- 3.1.3 Further, the High Court erred in holding that the appellants were in illegal occupants. The original landowners, who had executed the sale deeds, did not mention the declaration of 'excess vacant land'. Moreover, the Competent Authority-II only took 'paper possession' of the sub-plots, and did not take over actual, physical and legal possession, which has always remained with the appellants. No notice was served on the appellants and therefore the possession of 'excess vacant land' was not taken over legally by, for and on behalf of the respondents. Therefore, the High Court should have declared the proceedings 'abated' under Section 4 of the Urban Land (Ceiling and Regulation) Repeal Act, 1999 (for the sake of convenience, "Repealing Act"), which speaks of abatement of legal proceedings and granted relief to the appellants herein.

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4.1 At the outset, while arguing before the learned Single Judge of the Gujarat High Court, the appellants conceded all claims, except the prayer to direct the Competent Authority-II to issue necessary NOCs for the purpose of getting the registered sale deed that was withheld by the Joint Sub-Registrar, Surat. Therefore, the High Court was constrained to not consider the challenge to the order dated 16.06.1989 on merits. The High Court thus never had to consider the applicability of the Repealing Act, the challenge to the order dated 16.06.1989, or the claims regarding the appellants' right to receive notice under Section 10(5). The concessions made by the appellants cannot now be raised before this Court.

4.1.1 The appellants have no *locus* to challenge any order passed since the alleged sales were made without obtaining permission from the Competent Authority-II and were in violation of Sections 5(3) and 27 of the ULC Act. The concerned lands were recorded in the name of the State Government by an entry dated 22.10.1993, well before the repeal of the ULC Act. The appellants have challenged the order dated 16.06.1989 after almost twenty-one years.

4.1.2 The possession claimed by the appellants traces back to possession receipts issued by the Society, in whose favour the land was transferred by auction dated 28.04.1981. However, this auction was cancelled by order dated 12.10.1984, following which the registration in the name of the Society was cancelled, and possession of the land was restored to the original landowner. The fact that the landowner challenged the order dated 16.06.1989 by an appeal under Section 33 of the ULC Act, shows that possession was with the landowner.

4.1.3 It was further submitted that Section 4 of the Repealing Act does not apply in the present case, since the appellants had no pending proceedings under the ULC Act before the commencement of the Repealing Act. On 24.09.1992, a final order was passed under Section 11 of the ULC Act regarding compensation for 'excess vacant

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land'. This marked the conclusion of proceedings under the ULC Act.

- 4.1.4 The claim of the appellants depends solely upon the alleged non-issuance of mandatory notice under Section 10(5) of the ULC Act. However, the legislature did not intend that illegal possessors be provided the requisite notice under Section 10(5). In this regard, the judgement of this Court in ***C. Albert Morris vs. K. Chandrasekaran, (2006) 1 SCC 228*** was referred to.
- 4.1.5 Possession was restored to the landowner upon cancellation of the auction. Therefore, the subsequent sale deed executed in favour of the appellants was in violation of Section 5(3) of the ULC Act. If a right is borne out of an act that does not have legal sanction, such a right may exist, but is not enforceable. Therefore, the appellants cannot contend that they had an enforceable right to receive notice under Section 10(5) of the ULC Act.

Points for consideration:

5. The following points would arise for our consideration:
 - (i) Whether the High Court was justified in dismissing the Writ Petitions by not applying Section 4 of the Repealing Act and thereby not granting relief to the appellants herein.
 - (ii) What Order?
6. Section 10 of the ULC Act reads as under:

“10.Acquisition of vacant land in excess of ceiling limit. –

(1) As soon as may be after the service of the statement under section 9 on the person concerned, the competent authority shall cause a notification giving the particulars of the vacant land held by such person in excess of the ceiling limit and stating that-

 - (i) such vacant land is to be acquired by the concerned State Government; and
 - (ii) the claims of all person interested in such vacant land may be made by them personally or by

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their agents giving particulars of the nature of their interests in such land,

to be published for the information of the general public in the Official Gazette of the State concerned and in such other manner as may be prescribed.

(2) After considering the claims of the persons interested in the vacant land, made to the competent authority in pursuance of the notification published under sub-section (1), the competent authority shall determine the nature and extent of such claims and pass such orders as it deems fit.

(3) At any time after the publication of the notification under sub-section (1), the competent authority may, by notification published in the Official Gazette of the State concerned, declare that the excess vacant land referred to, in the notification published under sub-section (1) shall, with effect from such date as may be specified in the declaration, be deemed to have been acquired by the State Government and upon the publication of such declaration, such land shall be deemed to have vested absolutely in the State Government free from all encumbrances with effect from the date so specified.

(4) During the period commencing on the date of publication of the notification under sub-section (1) and ending with the date specified in the declaration made under sub-section (3) –

- (i) no person shall transfer by way of sale, mortgage, gift, lease or otherwise any excess vacant land (including any part thereof) specified in the notification aforesaid and any such transfer made in contravention of this provision shall be deemed to be null and void; and
- (ii) no person shall alter or cause to be altered the use of such excess vacant land.

(5) Where any vacant land is vested in the State Government under sub-section (3), the competent authority may, by notice in writing, order any person who may be in

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possession of it to surrender or deliver possession thereof to the State Government or to any person duly authorised by the State Government in this behalf within thirty days of the service of the notice.

(6) If any person refuses or fails to comply with an order made under sub-section (5), the competent authority may take possession of the vacant land or cause it to be given to the concerned State Government or to any person duly authorised by such State Government in this behalf and may for that purpose use such force as may be necessary.

Explanation.- In this section, in sub-section (1) of section 11 and in sections 14 and 23, "State Government", in relation to-

(a) any vacant land owned by the Central Government, means the Central Government;

(b) any vacant land owned by any State Government and situated in a Union Territory or within the local limits of a cantonment declared as such under section 3 of the Cantonments Act, 1924, means that State Government."

7. Section 10 of the ULC Act speaks of acquisition of vacant land in excess of the ceiling limit. Once a final statement is issued under Section 9 of the ULC Act, the same has to be served on the person concerned by the Competent Authority which shall also issue a notification giving the particulars of the vacant land held by such person in excess of the ceiling limit. The said notification shall also state that:
 - (i) such vacant land is to be acquired by the concerned State Government;
 - (ii) the claims of all persons interested in such vacant land may be made by them personally or by their agents giving particulars of the nature of their interests in such land.
8. The said notification has to be published in the Official Gazette of the State concerned. The Competent Authority shall thereafter consider the claims of the persons interested and determine the nature and extent of such claims and pass orders accordingly. From the date of the publication of the notification in the Official Gazette of the State

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as per sub-Section (1) of Section 10 of the ULC Act, the vacant land is deemed to have been acquired by the State Government. Also, the publication of such a notification implies a declaration that such land shall be deemed to have vested absolutely in the State Government free from all encumbrances with effect from the date so specified. No person can transfer any excess vacant land specified in the notification in any manner known to law and no person shall alter or cause to be altered the use of such excess vacant land once the publication of the notification under sub-Section (1) is made till the dates specified in the declaration made under sub-Section (3) of Section 10 of the ULC Act.

9. On the basis of the vacant land having vested in the State Government as per sub-Section (3) of Section 10 of the ULC Act, the Competent Authority, by notice in writing, order any person who may be in possession of vacant land of it to surrender or deliver possession to the State Government or to any person duly authorised by the State Government within thirty days of the service of the notice (*vide* Section 10(5) of the ULC Act). In case, if any person refuses or fails to comply with an order made under sub-section (5) of Section 10 of the ULC Act, the Competent Authority may take possession of the vacant land or cause it to be given to the concerned State Government or to any person duly authorised by such State Government and may for that purpose use such force as may be necessary.
10. Therefore, Section 10 of the ULC Act categorically distinguishes between the vesting of land in the State Government and taking possession of the vested land from any person who is in possession of the said land. The two legal consequences are distinct and have to be borne in mind while considering the savings clause as well as the abatement clause under Sections 3 and 4, respectively of the Repealing Act.
11. The Explanation to Section 10 does not require any discussion for the purpose of this case.
12. In the ***State of Uttar Pradesh vs. Hari Ram, (2013) 4 SCC 280*** (“*Hari Ram*”), a two-judge bench of this Court explained the enactment of the ULC Act, as well as the Repealing Act, in great detail including the history of the ULC Act. Then, this Court referred to the Statement of Objects and Reasons of the Repealing Act, outlining as follows:

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“12. Before examining the scope of sub-section (3) of Section 10 as well as sub-sections (5) and (6) of Section 10, reference may be made to the Repeal Act, 1999 and its object and reasons which are as follows:

Statement of Object and Reasons:

“1. The Urban Land (Ceiling and Regulation) Act, 1976 was passed when Proclamation of Emergency was in operation with a laudable social objective in mind..... Unfortunately public opinion is nearly unanimous that the Act has failed to achieve what was expected of it. It has on the contrary pushed up land prices to unconscionable levels, practically brought the housing industry to a stop and provided copious opportunities for corruption. There is widespread clamour for removing this most potent clog on housing.

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4. The proposed repeal, along with some other incentives and simplification of administrative procedures is expected to revive the stagnant housing industry and provide affordable living accommodation for those who are in a state of underserved want and are entitled to public assistance. The repeal will not however, affect land on which building activity has already commenced. For that limited purpose, exemptions granted under Section 20 of the Act will continue to be operative. Amounts paid out by the State Government will become refundable.”

13. While the Repealing Act thus sought to put an end to the substantive operation of the ULC Act, it contained a savings clause, which is as follows:

“3. Savings.—(1) The repeal of the principal Act shall not affect—

(a) the vesting of any vacant land under sub-section (3) of Section 10, possession of which has been taken over by the State Government or any person duly authorised by the State Government in this behalf or by the competent authority;

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(b) the validity of any order granting exemption under sub-section (1) of Section 20 or any action taken thereunder, notwithstanding any judgment of any court to the contrary;

(c) any payment made to the State Government as a condition for granting exemption under sub-section (1) of Section 20.

(2) Where—

(a) any land is deemed to have vested in the State Government under sub-section (3) of Section 10 of the principal Act but possession of which has not been taken over by the State Government or any person duly authorised by the State Government in this behalf or by the competent authority; and

(b) any amount has been paid by the State Government with respect to such land,

then, such land shall not be restored unless the amount paid, if any, has been refunded to the State Government.”

14. On the other hand, Section 4 of the Repealing Act provides for abatement of proceedings pending immediately before the commencement of the Act, and for immediate reference, is reproduced once as under:

“4. Abatement of legal proceedings.—All proceedings relating to any order made or purported to be made under the principal Act pending immediately before the commencement of this Act, before any court, tribunal or other authority shall abate:

Provided that this section shall not apply to the proceedings relating to Sections 11, 12, 13 and 14 of the principal Act in so far as such proceedings are relatable to the land, possession of which has been taken over by the State Government or any person duly authorised by the State Government in this behalf or by the competent authority.”

15. The core of the dispute at hand centers around the proper application of Section 4 of the Repealing Act to the facts of this case. The appellants contended that without notice being delivered to them

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under Section 10(5) of the ULC Act (since they were in actual possession of the concerned land), possession has not been legally transferred to the State. Therefore, the proceedings relating to transfer of possession of the sub-units was ‘pending’ at the time of commencement of the Repealing Act, resulting in their abatement under Section 4 of the Repealing Act.

15.1 *Per contra*, the respondents submitted that a ‘final order’ regarding compensation for the land deemed to be “excess” and “vacant” was passed on 24.09.1992. With this order, the proceedings concluded and hence there is no question of the matter of possession having been ‘abated’ with the advent of the Repealing Act.

16. The legal questions that arise for our consideration in the present appeal are therefore as follows:

- i) Was the delivery of notice under Section 10(5) to the appellants (as possessors of the concerned lands) a mandatory step, the non-fulfilment of which would render abatement of the proceedings in terms of Section 4 of the Repealing Act?
- ii) Despite the recording of lands in the name of the State Government, if actual possession was not subsequently transferred to the Government, would this render the proceedings to abate under Section 4 of the Repealing Act?

The aforesaid questions shall be considered together.

17. In ***Hari Ram***, this Court considered the proper meaning of the phrases “deemed to have been acquired by the State Government” and “vested absolutely in the State Government” in Section 10(3) of the ULC Act. The relevant paragraphs containing this Court’s reasoning are reproduced below:

“24. The expression “deemed to have been acquired” used as a deeming fiction under sub-section (3) of Section 10 can only mean acquisition of title or acquisition of interests because till that time the land may be either in the ownership of the person who held that vacant land or to possess such land as owner or as a tenant or as mortgagee and so on as defined under Section 2(1) of the Act. The word “vested” has not been defined in the Act,

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so also the word “absolutely”. What is vested absolutely is only the land which is deemed to have acquired and nothing more....

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29. What is deemed “vesting absolutely” is that “what is deemed to have acquired”. In our view, there must be express words of utmost clarity to persuade a court to hold that the legislature intended to divest possession also, since the owners or holders of the vacant land are pitted against a statutory hypothesis....

30. Vacant land, it may be noted, is not actually acquired but deemed to have been acquired, in that deeming things to be what they are not. Acquisition, therefore, does not take possession unless there is an indication to the contrary. It is trite law that in construing a deeming provision, it is necessary to bear in mind the legislative purpose. The purpose of the Act is to impose ceiling on vacant land, for the acquisition of land in excess of the ceiling limit thereby to regulate construction on such lands, to prevent concentration of urban lands in the hands of a few persons, so as to bring about equitable distribution. For achieving that object, various procedures have to be followed for acquisition and vesting. When we look at those words in the above setting and the provisions to follow such as sub-sections (5) and (6) of Section 10, the words “acquired” and “vested” have different meaning and content. Under Section 10(3), what is vested is de jure possession not de facto, for more reasons than one because we are testing the expression on a statutory hypothesis and such an hypothesis can be carried only to the extent necessary to achieve the legislative intent.”

(underlining by us)

- 17.1 Therefore, the land ‘vesting’ with the State Government does not connote the transfer of possession. Rather, what is ‘deemed’ to have ‘vested’ are the aspects that have deemed i.e., by a legal fiction to have been ‘acquired’, i.e., title or interests. Possession, as explained in ***Hari Ram*** vests *de jure* and not *de facto*. ‘Acquisition’ (of title or interests) does not necessarily

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involve the transfer of such *de facto* possession. Such transfer requires certain explicit steps to be taken, which were also outlined by this Court in ***Hari Ram*** as follows:

“Voluntary Surrender

31. The “vesting” in sub-section (3) of Section 10, in our view, means vesting of title absolutely and not possession though nothing stands in the way of a person voluntarily surrendering or delivering possession...

32. We are of the view that so far as the present case is concerned, the word “vesting” takes in every interest in the property including de jure possession and, not de facto but it is always open to a person to voluntarily surrender and deliver possession, under Section 10(3) of the Act.

33. Before we examine sub-section (5) and sub-section (6) of Section 10, let us examine the meaning of sub-section (4) of Section 10 of the Act, which says that during the period commencing on the date of publication under sub-section (1), ending with the day specified in the declaration made under sub-section (3), no person shall transfer by way of sale, mortgage, gift or otherwise, any excess vacant land, specified in the notification and any such transfer made in contravention of the Act shall be deemed to be null and void. Further, it also says that no person shall alter or cause to be altered the use of such excess vacant land. Therefore, from the date of publication of the notification under sub-section (1) and ending with the date specified in the declaration made in sub-section (3), there is no question of disturbing the possession of a person, the possession, therefore, continues to be with the holder of the land.

Peaceful dispossession

34. Sub-section (5) of Section 10, for the first time, speaks of “possession” which says that where any land is vested in the State Government under sub-

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section (3) of Section 10, the competent authority may, by notice in writing, order any person, who may be in possession of it to surrender or transfer possession to the State Government or to any other person, duly authorised by the State Government.

35. If de facto possession has already passed on to the State Government by the two deeming provisions under sub-section (3) of Section 10, there is no necessity of using the expression “where any land is vested” under sub-section (5) of Section 10. Surrendering or transfer of possession under sub-section (3) of Section 10 can be voluntary so that the person may get the compensation as provided under Section 11 of the Act early. Once there is no voluntary surrender or delivery of possession, necessarily the State Government has to issue notice in writing under sub-section (5) of Section 10 to surrender or deliver possession.....

Forceful possession

36. The Act provides for forceful dispossession but only when a person refuses or fails to comply with an order under sub-section (5) of Section 10. Sub-section (6) of Section 10 again speaks of “possession” which says, if any person refuses or fails to comply with the order made under sub-section (5), the competent authority may take possession of the vacant land to be given to the State Government and for that purpose, force—as may be necessary—can be used.... Forcible dispossession of the land, therefore, is being resorted to only in a situation which falls under sub-section (6) and not under sub-section (5) of Section 10. Sub-sections (5) and (6), therefore, take care of both the situations i.e. taking possession by giving notice, that is, “peaceful dispossession” and on failure to surrender or give delivery of possession under Section 10(5), then “forceful dispossession” under sub-section (6) of Section 10.”

(underlining by us)

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- 17.2 Hence, after *de jure* possession is vested, there are three methods by which *de facto* possession may be transferred: the first is voluntary transfer by the possessor under Section 10(3) of the ULC Act. If possession is not voluntarily transferred, then the second method is through delivery of notice under Section 10(5) of the ULC Act to the possessor. In case possession is still not transferred, then the third method involves the Competent Authority taking possession under Section 10(6) of the ULC Act (by force, if required) and delivering it to the State Government.
18. On the question of delivery of notice under Section 10(5), this Court observed in ***Hari Ram*** as under:

“37. The requirement of giving notice under sub-sections (5) and (6) of Section 10 is mandatory. Though the word “may” has been used therein, the word “may” in both the sub-sections has to be understood as “shall” because a court charged with the task of enforcing the statute needs to decide the consequences that the legislature intended to follow from failure to implement the requirement. Effect of non-issue of notice under sub-section (5) or sub-section (6) of Section 11 is that it might result in the landholder being dispossessed without notice, therefore, the word “may” has to be read as “shall”.

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39. The abovementioned directives make it clear that sub-section (3) takes in only *de jure* possession and not *de facto* possession, therefore, if the landowner is not surrendering possession voluntarily under sub-section (3) of Section 10, or surrendering or delivering possession after notice, under Section 10(5) or dispossession by use of force, it cannot be said that the State Government has taken possession of the vacant land.”

(underlining by us)

- 18.1 We, therefore, see that the requirement of issuance of notice under Section 10(5) is mandatory and must be issued to the person(s) actually in possession of the concerned land. This is clear from the wording of the statute (“order any person

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who may be in possession of it”), which are interpreted by this Court in ***Hari Ram***. This Court opined that the importance of delivering notice lay in avoiding a situation where a person is “dispossessed” without notice which would be in violation of the principles of natural justice, thereby clearly envisioning that the possessor must be served with notice.

- 18.2 Having held thus, this Court concluded by establishing the proper scope of application of Section 4 of the Repealing Act, as under:

“Effect of the Repeal Act

41. Let us now examine the effect of Section 3 of Repeal Act 15 of 1999 on sub-section (3) of Section 10 of the Act. The Repeal Act, 1999 has expressly repealed Act 33 of 1976. The objects and reasons of the Repeal Act have already been referred to in the earlier part of this judgment. The Repeal Act has, however, retained a saving clause. The question whether a right has been acquired or liability incurred under a statute before it is repealed will in each case depend on the construction of the statute and the facts of the particular case.

42. The mere vesting of the land under sub-section (3) of Section 10 would not confer any right on the State Government to have de facto possession of the vacant land unless there has been a voluntary surrender of vacant land before 18-3-1999. The State has to establish that there has been a voluntary surrender of vacant land or surrender and delivery of peaceful possession under sub-section (5) of Section 10 or forceful dispossession under sub-section (6) of Section 10. On failure to establish any of those situations, the landowner or holder can claim the benefit of Section 4 of the Repeal Act. The State Government in this appeal could not establish any of those situations and hence the High Court is right in holding that the respondent is entitled to get the benefit of Section 4 of the Repeal Act.”

(underlining by us)

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- 18.3 Therefore, landowner/holder of land may claim the benefit of Section 4 of the Repealing Act (abatement of proceedings) if *de facto* possession has not yet been transferred either through voluntary surrender, peaceful transfer under Section 10(5) (which, as observed earlier, requires notice to the possessor) or forceful dispossession under Section 10(6) of the ULC Act.
19. It would also be apt to refer to a more recent judgment of this Court in ***AP Electrical Equipment Corporation vs. Tahsildar, 2025 SCC OnLine SC 447 (“AP Electrical”)***, in which a Bench comprising J.B. Pardiwala and R. Mahadevan, JJ. (one of us) ruled on the acquisition of ‘possession’ under the ULC Act. Writing for the bench, Pardiwala, J. observed:

“20. Thus, by virtue of the provisions of Section 3 of the Repeal Act, 1999, if possession of vacant land has been taken over on behalf of the State Government before the coming into force of the Repeal Act, 1999, the repeal of the Principal Act would not affect the vesting of such land under sub-section (3) of Section 10 of Act, 1976. Hence, the issue as to whether actual possession of land declared excess under the Act has been taken over or not assumes great significance after the coming into force of the Repeal Act, 1999 inasmuch as if possession has not been taken over, the proceedings would abate under Section 4 of the Repeal Act, 1999 and the ownership of the land, if vested in the State Government under Section 10(3) of the Act, 1976 would be required to be restored to the original land-holder subject to repayment of any amount that has been paid by the State Government with respect to such land.”

(underlining by us)

- 19.1 On the specific question of delivery of notice under Section 10(5) of the ULC Act, it was held as follows:

“22. On a plain reading of the aforesaid provisions, it is apparent that the statute contemplates giving an opportunity to the landholder or any person in possession of excess vacant land to surrender or deliver possession thereof to the State Government

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and for this purpose provides for giving notice in writing, ordering such person to surrender or deliver possession of such land. It is only when pursuant to such notice, such person refuses or fails to comply with an order under sub-section (5) within a period of thirty days of the service of notice, that the competent authority is required to take over possession of the vacant land and for that purpose may use force, if necessary. Therefore, the provisions of sub-section (6) are to be resorted to only when there is refusal or non-compliance of an order under sub-section (5) of Section 10 of the Act, 1976 within the prescribed period.

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25.when sub-section (5) of Section 10 mandates giving notice of an order under the said sub-section to the person in possession, the same is required to be complied with in its true letter and spirit. Considering the nature of rights involved, mere issuance of notice without service thereof, cannot be said to be due compliance with the provisions of the statute. Besides, the provisions of subsection (6) of Section 10 can be resorted to only if the person fails to comply with an order under sub-section (5) thereof, within a period of thirty days of service of notice. Hence, possession cannot be taken over under Section 10(6) of the Act, 1976 unless a period of thirty days from the date of service of notice has elapsed. In absence of service of notice under sub-section (5) of Section 10, there will be no starting point for calculating the period of thirty days. In other words, time will not start running, hence the question of taking over possession under sub-section (6) of Section 10 of the Act, 1976 will not arise at all....

(underlining by us)

- 19.2 The delivery of notice to the person in possession was therefore unequivocally held to be mandatory. Indeed, the emphasis

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was on the service of notice on the possessor, as opposed to mere issuance of the same. In the absence of such service of notice, any attempt at forced dispossession was held to be contrary to the statute and hence illegal.

- 19.3 This Court reiterated the conclusion in ***Hari Ram***, i.e., that if possession has not been taken over by the State Government, then the proceedings under the Act would abate under Section 4 of the Repealing Act. The “mere vesting of the vacant land with the State Government by operation of law, without actual possession, is not sufficient”. This Court in ***AP Electrical*** phrased the conclusion of ***Hari Ram*** in the following manner:

“29.To put it in other words, the mere paper possession would not save the situation for the State Government unless the State is able to establish by cogent evidence that actual physical possession of the entire land was taken over by evicting each and every person from the land. The onus is on the State to establish that actual physical possession of the excess vacant land was taken over before the repeal.”

(underlining by us)

- 19.4 A situation in which possession was not actually transferred to the State Government under the provisions of Section 10 of the ULC Act, was thus deemed to be ‘paper possession’, and incapable of preventing proceedings from abating under Section 4 of the Repealing Act.
- 19.5 This Court in ***AP Electrical*** examined a prior decision of this Court in ***State of Assam vs. Bhaskar Jyoti Sarma, (2015) 5 SCC 321 (“Bhaskar Jyoti Sarma”)***, since it appeared to “at the first blush create an impression that the dictum as laid in ***Hari Ram*** has been diluted”. It assessed the effect of ***Bhaskar Jyoti Sarma*** on the dictum on ***Hari Ram*** as follows.

“33. We quote few relevant paras of the said judgment as under:—

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“15. The High Court has held that the alleged dispossession was not preceded

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by any notice under Section 10(5) of the Act. Assuming that to be the case all that it would mean is that on 7th December, 1991 when the erstwhile owner was dispossessed from the land in question, he could have made a grievance based on Section 10(5) and even sought restoration of possession to him no matter he would upon such restoration once again be liable to be evicted under Sections 10(5) and 10(6) of the Act upon his failure to deliver or surrender such possession. In reality therefore unless there was something that was inherently wrong so as to affect the very process of taking over such as the identity of the land or the boundaries thereof or any other circumstance of a similar nature going to the root of the matter hence requiring an adjudication, a person who had lost his land by reason of the same being declared surplus under Section 10(3) would not consider it worthwhile to agitate the violation of Section 10(5) for he can well understand that even when this Court may uphold his contention that the procedure ought to be followed as prescribed, it may still be not enough for him to retain the land for the authorities could the very next day dispossess him from the same by simply serving a notice under Section 10(5). It would, in that view, be an academic exercise for any owner or person in possession to find fault with his dispossession on the ground that no notice under Section 10(5) had been served upon him.

16. The issue can be viewed from another angle also. Assuming that a person in possession could make a grievance, no

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matter without much gain in the ultimate analysis, the question is whether such grievance could be made long after the alleged violation of Section 10(5). If actual physical possession was taken over from the erstwhile land owner on 7th December, 1991 as is alleged in the present case any grievance based on Section 10(5) ought to have been made within a reasonable time of such dispossession. If the owner did not do so, forcible taking over of possession would acquire legitimacy by sheer lapse of time. In any such situation the owner or the person in possession must be deemed to have waived his right under Section 10(5) of the Act. Any other view would, in our opinion, give a licence to a litigant to make a grievance not because he has suffered any real prejudice that needs to be redressed but only because the fortuitous circumstance of a Repeal Act tempted him to raise the issue regarding his dispossession being in violation of the prescribed procedure.

17. Reliance was placed by the respondents upon the decision of this Court in Hari Ram's case (*supra*). That decision does not, in our view, lend much assistance to the respondents. We say so, because this Court was in Hari Ram's case (*supra*) considering whether the word 'may' appearing in Section 10(5) gave to the competent authority the discretion to issue or not to issue a notice before taking physical possession of the land in question under Section 10(6). The question whether breach of Section 10(5) and possible dispossession without notice would vitiate the act of dispossession itself or render it

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non est in the eye of law did not fall for consideration in that case. In our opinion, what Section 10(5) prescribes is an ordinary and logical course of action that ought to be followed before the authorities decided to use force to dispossess the occupant under Section 10(6). In the case at hand if the appellant's version regarding dispossession of the erstwhile owner in December 1991 is correct, the fact that such dispossession was without a notice under Section 10(5) will be of no consequence and would not vitiate or obliterate the act of taking possession for the purposes of Section 3 of the Repeal Act. That is because Bhabadeb Sarma-erstwhile owner had not made any grievance based on breach of Section 10(5) at any stage during his lifetime implying thereby that he had waived his right to do so."

(Emphasis supplied)

34. We have supplied emphasis on paras 15 and 17 of Bhaskar Jyoti Sharma (supra) referred to above, for the purpose of highlighting that Hari Ram (supra) has not been diluted in any manner. We are of the firm view that Hari Ram (supra) holds the field even as on date. The statements of law in Hari Ram (supra) are absolutely correct.

35. If two decisions of this Court appear inconsistent with each other, the High Courts are not to follow one and overlook the other, but should try to reconcile and respect them both and the only way to do so is to adopt the wise suggestion of Lord Halsbury given in Quinn v. Leathem, [1901] A.C. 495 and reiterated by the Privy Council in Punjab Cooperative Bank Ltd. v. Commr. of Income Tax, Lahore AIR 1940 PC 230:

"..... every judgment must be read as applicable to the particular facts proved or

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assumed to be proved, since the generality of the expressions, which may be found there, are not intended to be expositions of the whole law, but governed or qualified by the particular facts of the case in which such expressions are to be found.” and follow that decision whose facts appear more in accord with those of the case at hand.”

20. We are inclined to agree with this view of this Court in **AP Electrical** regarding the effect of **Bhaskar Jyoti Sarma** on the dictum in **Hari Ram**. In the former, de facto possession had actually been transferred to the State Government. Albeit, this was done by force in contravention of the requirement to mandatorily issue notice under Section 10(5) of the ULC Act. In this regard, this Court held that if the objection regarding the non-compliance with Section 10(5) is not made within a “reasonable time”, then the right to so object is “waived”.

20.1 However, the facts of **Hari Ram** (and indeed, the present case) are different insofar as *de facto* possession was not transferred, by force or otherwise. Therefore, the question is not whether an actual transfer of possession by force is vitiated by a delay in raising objections to the transfer. Rather, the question is whether actual possession has been transferred at all, if no process of transfer has been conducted under the various provisions of Section 10 of the ULC Act. Therefore, the dictum in **Hari Ram** stands undisturbed by the judgment in **Bhaskar Jyoti Sarma**.

20.2 In fact, this Court in **AP Electrical** wholly aligned with the dictum in **Hari Ram** regarding the difference between ‘vesting’ and ‘possession’, observing as follows:

“38. If de facto possession has already passed on to the State Government by the two deeming provisions under sub-section (3) to Section 10, there is no necessity of using the expression “where any land is vested.” under sub-section (5) to Section 10...

39. The mere vesting of the land under subsection (3) of Section 10 would not confer any right on the

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State Government to have de facto possession of the vacant land unless there has been a voluntary surrender of vacant land before 18.03.1999. State has to establish that there has been a voluntary surrender of vacant land or surrender and delivery of peaceful possession under subsection (5) of Section 10 or forceful dispossession under sub-section (6) of Section 10. On failure to establish any of those situations, the landowner or holder can claim the benefit of Section 3 of the Repeal Act, 1999. In the case on hand, the State Government has in our considered view not been able to establish any of those situations and hence the learned Single Judge was right in holding that the appellant herein is entitled to get the benefit of Section 3 of the Repeal Act, 1999.”

(underlining by us)

- 20.3 Finally, bringing all the above concepts together, this Court summed up the proper effect of the Repealing Act, as also the question of possession under Section 10 of the ULC Act, as follows:

“40. The effect of Repeal Act, 1999 is further clear. If the landowner remains in physical possession, then irrespective of his land being declared surplus and/or entry being made in favour of the State in revenue records, he will not be divested of his rights....

41. The propositions of law governing the issue of possession in context with Sections 10(5) and 10(6) respectively of the Act, 1976 read with Section 3 of the Repeal Act, 1999 may be summed up thus:

- [1] The Repeal Act, 1999 clearly talks about the possession being taken under Section 10(5) or Section 10(6) of the Act, 1976, as the case may be.
- [2] It is a statutory obligation on the part of the competent authority or the State to take possession strictly as permitted in law.

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- [3] In case the possession is purported to have been taken under Section 10(6) of the Act, 1976 the Court is still obliged to look into whether “taking of such possession” is valid or invalidated on any of the considerations in law.
- [4] The possession envisaged under Section 3 of the Repeal Act, 1999 is de facto and not de jure only.
- [5] The mere vesting of “land declared surplus” under the Act without resuming “de facto possession” is of no consequence and the land holder is entitled to the benefit of the Repeal Act, 1999.
- [6] The requirement of giving notice under sub-sections (5) and (6) of Section 10 respectively is mandatory. Although the word “may” has been used therein, yet the word “may” in both the sub-sections should be understood as “shall” because a Court is obliged to decide the consequences that the legislature intended to follow from the failure to implement the requirement.
- [7] The mere vesting of the land under sub-section (3) of Section 10 would not confer any right on the State Government to have de facto possession of the vacant land unless there has been a voluntary surrender of vacant land before 18th March 1999.
- [8] The State has to establish by cogent evidence on record that there has been a voluntary surrender of vacant land or surrender and delivery of peaceful possession under sub-section (6) of Section 10 or forceful dispossession under sub-section (6) of Section 10.”

(underlining by us)

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- 20.4 We find that this view is in accordance with the prior dictum of this Court in ***Hari Ram***, and agree with the same. At this juncture, we find it appropriate to briefly go through certain other pronouncements of this Court, all of which are aligned on the necessity of serving notice on the possessor under Section 10(5); the difference between vesting and possession; the difference between *de jure* and *de facto* possession and the effect of the Repealing Act.
21. The following judgments of this Court could be adverted to at this stage:
- a) In ***Mangalsen vs. State of Uttar Pradesh, (2014) 15 SCC 332***, this Court observed that the application filed under Section 20 of the ULC Act was still pending and therefore, the State Government's claim to taking possession of the surplus land was found not based on facts. It was also not clear from the record whether or not the notice under Section 10(5) was served upon the appellant therein. The notice under Section 11(8) of the ULC Act determining compensation was after a gap of ten years. Hence, it was observed that there was no evidence to prove that the notice issued under Section 10(5) had been served upon the appellant therein or that he had illegally occupied the surplus land after 30.01.1990. In paragraph 14 of the judgment, this Court has also noted the tardy approach in the matter by the competent authority which makes an interesting reading.
 - b) In ***Gajanan Kamlya Patil vs. Additional Collector & Competent Authority, (2014) 12 SCC 523***, it was held that in the absence of any evidence to show that appellant therein had voluntarily surrendered or respondents therein had taken peaceful or forceable possession of the lands in question, the respondents therein had only *de jure* possession before coming into force of the Repealing Act. Since *de facto* possession of lands was not taken before execution of possession receipt, it was held that the respondent therein could not hold on to the lands in question which were legally owned and possessed by the appellants therein. Accordingly, it was observed as under:

“12. We have, therefore, clearly indicated that it was always open to the authorities to take forcible possession and, in fact, in the notice issued under Section 10(5) of the ULC Act, it was stated that if the

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possession had not been surrendered, possession would be taken by application of necessary force. For taking forcible possession, certain procedures had to be followed. The respondents have no case that such procedures were followed and forcible possession was taken. Further, there is nothing to show that the respondents had taken peaceful possession, nor is there anything to show that the appellants had given voluntary possession. The facts would clearly indicate that only de jure possession had been taken by the respondents and not de facto possession before coming into force of the repeal of the Act. Since there is nothing to show that de facto possession had been taken from the appellants prior to the execution of the possession receipt in favour of MMRDA, it cannot hold on to the lands in question, which are legally owned and possessed by the appellants...."

(underlining by us)

- c) In ***U.A. Basheer vs. State of Karnataka, (2021) 5 SCC 313***, while referring to Sections 3 and 4 of the Repealing Act which deal with savings clause and abatement of proceeding clause respectively observed as under:

"18. It is clear from the aforementioned legislative provisions that the question of current possession of the suit property is absolutely material to a full adjudication of the controversy before us. This is because, if the appellant does enjoy possession, as claimed by him, any proceedings for any excess land under the principal Act are liable to abate, as per Section 3 and Section 4 of the Repeal Act, and the appellant would be entitled to ownership and possession over the suit property....."

(underlining by us)

- d) In ***State of Orissa vs. Sakhi Bewa, (2022) 16 SCC 594***, it was held that the question whether surplus land was taken over by the State is a question of fact and is not concerned with payment of compensation to the landowner. That merely

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because compensation has not been paid, it cannot be presumed that possession was not taken over. In the aforesaid context, it was observed as under:

“4.3. A fair reading of Sections 3 and 4 of the 1999 Repeal Act makes it clear that all proceedings relating to any order made or purported to be made under the principal Act (the 1976 Act) pending immediately before the commencement of the 1999 Repeal Act, before any court, tribunal or other authority shall abate. Section 4 of the Repeal Act shall not apply provided possession of land has been taken over by the State Government or any person duly authorised by the State Government in this behalf or by the competent authority. Therefore, if the possession of the surplus land/land has been taken over by the State Government or any person duly authorised by the State Government in this behalf or by the competent authority, in that case, the proceedings relating to any order made under the principal 1976 Act shall not abate, meaning thereby that the 1999 Repeal Act shall not affect all those proceedings with respect to the land of which the possession has been taken over. Therefore, before declaring the proceedings as having abated in view of Sections 3 and 4 of the 1999 Repeal Act, it has to be considered and decided whether possession of the surplus land/land has been taken over by the State Government or any person duly authorised by the State Government in this behalf or by the competent authority or not. If it is found and held that the possession of the surplus land has been taken over, in that case, the proceedings shall not be declared as having been abated.”

(underlining by us)

22. The land in question is admeasuring 9303 square metres in Village Katargam, Surat, Gujarat which initially belonged to one Nathubhai Ranchhodbhai and on his demise to his heir Kuberbhai Nathubhai. That on the enforcement of ULC Act proceedings were initiated under the said Act on Kuberbhai Nathubhai filing a Form under Section 6(1) of the ULC Act and by making a declaration thereby. Initially,

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the Competent Authority-I under the ULC Act held that the land in question was exempt as per Section 21 of the said Act and the remaining land was within the ceiling limit. The Society purchased the land bearing Survey No.339 at a public auction on 28.04.1981 conducted by the Special Recovery Officer and the name of Society was entered in the Mutation records. Industrial units were developed on the said land. Thereafter, the Assistant Collector passed an order cancelling Mutation entries on the premise that the public auction dated 28.04.1981 was not conducted in accordance with the provisions of the ULC Act which order was challenged before the Collector and on being unsuccessful, it was challenged before the Assistant Secretary, Revenue Division by filing a revision petition.

22.1 When the matters stood thus, the Government of Gujarat exercised its revisional powers under Section 34 of the ULC Act and set aside the initial order dated 18.02.1980 passed by the Competent Authority-II and remanded the matter for reconsideration and on 16.01.1989 it was held that 662.18 square metres was 'excess land'. None of the appellants herein were parties to the proceedings culminating in the order dated 16.01.1989. Further, on the cancellation of the auction purchase in favour of Khodidas Kanjibhai Patel, the original landowner, Kuberbhai Nathubhai, entered into an agreement of sale of the sub-plots in favour of the appellants herein, and they became owners in possession of the said sub-plot Nos.1 to 77 situated upon Survey No.339. When such being the position, on 22.11.1990, a notice was issued under Section 10(5) of the ULC Act to the original landholder directing him to vacate and handover possession of the "excess land" to the respondent/State Government within a period of thirty days. The said notice has been extracted below. The said notice was not issued to the appellants herein and despite that it appears that the Deputy Collector, ULC drew a *Panchnama* dated 21.01.1992, "taking over possession" of the 'excess land' to the tune of 662.18 square metres out of the total area of the land admeasuring 9303 square metres. It is only when the appellants herein sought 'No Objection Certificates' for further sale that they became aware that 'excess land' was taken over by the State Government and had vested with them. Hence, they filed the Writ Petition before the High Court which was dismissed.

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22.2 The fact that notice under Section 10(5) of the ULC Act was issued to the original owners implies that the respondents were aware that the possession of the said land had to be taken in accordance with Section 10 of the ULC Act. This was without ascertaining the fact that possession of the said land was with the appellants herein but no notice was issued to the appellants herein who were in actual possession of the subject land.

22.3 Applying the above settled law to the facts at hand, we find the following facts on the face of the record:

- a) The appellants herein were in actual possession of the sub-plots in question at the time of enforcement of the Repealing Act.
- b) On 22.11.1990, a notice under Section 10(5) regarding transfer of possession to the State Government was issued to the original landowner but not the appellants herein, who were in possession of the concerned sub-plots. The said notice reads as under:

“Regd. Post A.D. No.ULC/6(1)2/773/3912/733/

Section – 10(5)
Competent Authority and
Additional Collector Office,
First Floor, Nanpura, Surat

Date : 22-11-90

To,

Smt. Maniben wd/o Kuberbhai Nathubhai
Resident: Gotalavadi, Katargam,
Dist. Surat

Pursuant to Section – 9 of the Urban Land Ceiling and Regulation Act, Part “CH” of Form – 3 of the Final Statement made surplus and notice to the land holder under Section – 10(5) regarding entrusting the possession of the land forfeited to the government vide Notification of Section – 10(3).

It is hereby informed to you that by passing an order under Section – 8(4) of the above act regarding

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the land as described in the schedule below, Final Statement under Section – 9 was forwarded on 16-6-89, after that Notification of Section – 10(1) was published vide dated 28-9-89. Now Final Notification of Section – 10(3) has been published on dated 21-8-90 in Government Gazette in Part 4-C in English and Gujarati on Page No.1316 to 1317. According to that notification, a land mentioned in the schedule below has been forfeited to the government from the date of publication as an additional land free from all encumbrances.

So, it is hereby ordered under Section – 10(5) of the above Act that person holding the possession / usage of the land mentioned in the schedule below to entrust the possession of the said land to the officer authorized by the state government i.e. Additional Collector, Urban Land Ceiling, Surat within days – 30 (thirty) from the receipt of this notice.

If you may commit any delay or failure in entrusting the possession of the land mentioned in the schedule, possession shall be taken by using required force by taking requisite steps under Section 10 – (6) of the above act. So this notice is for entrusting the possession of the land within time limit of 30 days.

SCHEDULE

Sr. No.	Name of the Land Holder	Name of Taluka	S.No. Area of the Plot land No.	Declared surplus sq. Mt.
1	2	3	4	5
	Maniben wd/o Kuberbhai Nathubhai	Katargam Choryasi	339 Paiki T.P. No.4	662.18 No.9/A Paiki 9/B

Sd/-
Competent Authority and
Additional Collector, Surat

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Copy forwarded: -

Surveyor – Shree I.G. Parekh

2/- For preparing map of the above surplus land in triplicate.”

- 22.4 Therefore, as per the provisions of Sections 10(3) and 10(5) of the ULC Act, the subject land, despite having ‘vested’ (along with acquisition of title or interests) in the State Government, was not in the possession of the Government. Further, possession was not taken by any of the three possible means, i.e., voluntary transfer by the appellants, issuance of notice under Section 10(5) to the appellants followed by peaceful transfer or forceful acquisition of possession under Section 10(6) of the ULC Act. The possession of the land continues with the appellants herein till date.
- 22.5 Such a scenario is clearly one where the provision of abatement under Section 4 of the Repealing Act applies. The proviso to Section 4 states that the section would not apply to proceedings under Sections 11, 12, 13 and 14 of the ULC Act relating to land that has already been taken possession of by the State Government. Therefore, the proviso has no applicability to the facts at hand and the benefit of abatement under the section would apply wholesale.
- 22.6 That the approach to be had with cases such as the present one is also evident upon a reading of Sections 3 and 4 of the Repealing Act. Clearly, the legislative intent is that in cases where lands were deemed to have been vested but possession was not yet transferred as on date of enforcement of the Repealing Act (such as the present case), the lands were to remain in possession of the private parties. Section 3(2) of the Repealing Act prescribes the procedure to be followed in specific types of situations, i.e., where amounts paid by the State Government must be refunded. This is not so in the present case. However, the underlying concepts are clear – that vesting and possession are distinct and that without the latter, the private parties have a claim over continuing to be in possession. This is subsequently further emphasised in Section 4 of the Repealing Act, as explained earlier under which proceedings abate as a result.

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- 22.7 We are therefore unable to agree with the contentions of the respondents herein. Also, it is not correct to submit that the proceedings under the Act had concluded with the 'final order' regarding compensation dated 24.10.1992. The matter could only have concluded by transfer of possession through one of the three possible means explained above. The mere recording of the lands in the name of the State Government by entry dated 22.10.1993 does not demonstrate transfer of possession. Rather, the same only denotes *de jure* possession with the *de facto* possession remaining in the hands of the appellants herein.
- 22.8 Similarly, we are unable to agree with the contention of the respondents that the appellants cannot claim a right to receive notice under Section 10(5) of the ULC Act. The propriety of the sale deed executed in favour of the appellants is immaterial. Section 10(5) mandates the delivery of notice to the person(s) in possession of the concerned lands. On the date of issuance of notice (22.11.1990), the appellants as possessors did not receive the same. It was sent to the erstwhile owner of the subject land. This also implies that the respondents also were aware of the fact that actual possession was not with them and there was a need to issue notice under Section 10(5) of the ULC Act before taking over actual possession. However, the respondents did not ascertain as to in whose name actual possession stood. Therefore, no notice was issued to the appellants and hence there being no transfer of possession in accordance with Section 10 of the ULC Act, it continues with the appellants both in fact as well as in law. Hence, they are entitled to the benefit of Section 4 of the Repealing Act as they do not fall within the scope of Section 3 of the said Act which is the savings clause. The omission to issue notice to the appellants violated the mandatory requirement of serving notice under Section 10(5) and meant that the legal process of acquiring possession was still ongoing, leading to abatement of proceedings under Section 4 of the Repealing Act on its enforcement.
- 22.9 Another argument of learned standing counsel for the respondent-State is to the effect that the appellants herein had not pressed the main reliefs in Special Civil Application No.533/2009 and had only sought prayer in terms of paragraph

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26(c) i.e., directing the competent authority and Additional Collector, ULC, Surat to issue necessary “NOC” for the purpose of getting the registered sale deeds released by the Joint Sub-Registrar, Surat, and the said prayer was not rightly granted as the other prayers were not pressed is also not correct. Further, in the writ petition, the learned Single Judge of the High Court also observed that the appellants herein cannot be granted NOC as they did not have a valid title. We find that the said reasoning is contrary to Section 4 of the Repealing Act inasmuch as the abatement of proceedings is by operation of law based on the facts of each case and once the proceedings under Section 10 of the ULC Act abate, the consequential reliefs would have to be granted to the appellants herein. Hence, the appellants are entitled to all consequential reliefs pursuant to the abatement of the proceedings under Section 4 of the Repealing Act as the case of the appellants squarely falls within the scope of the provision.

The consistent reasoning adopted by this Court in similar cases, as detailed above squarely applies to this case also.

23. In this case, the Division Bench of the High Court was not right in holding that the appellants were not in possession of the subject land on the date on which the ULC Act came into force and they were illegal occupants. Further, the High Court was also not right in holding that although the electricity bills showed the name of the appellants, it did not establish their possession under Section 10(5) of the ULC Act.
24. Consequently, the impugned orders of the High Court in LPA No.2024/2010 in Special Civil Application No.533/2009 dated 23.07.2014 and in Special Civil Application No.533/2009 dated 08.02.2010 are set aside. This appeal is allowed in the aforesaid terms.

No costs.

Result of the case: Appeal Allowed.

Divjot Sekhon
v.
State of Punjab and Others

(Civil Appeal No. 67 of 2026)

06 January 2026

[Sanjay Kumar* and Alok Aradhe, JJ.]

Issue for Consideration

As regards admission to MBBS/BDS courses under sports quota, the issue arose as to whether the procedure of keeping the admission process elastic after issuance of the prospectus and submission of applications by the candidates with their sports achievements would be valid in the eye of law.

Headnotes[†]

Education/Educational Institution – Admission to MBBS/ BDS courses through NEET-UG under sports quota during session-2024 – Change in policy w.r.t the zone of consideration midstream during the admission process – Impermissibility – Prospectus for admission to the colleges in Punjab in undergraduate medical courses, including MBBS/BDS courses, during session-2024 was released by the University providing that credit would be given only for sports achievements during Classes XI and XII – However, later the impugned email and an Addendum affirming it was issued asking the candidates to submit their sports certificates in relation to their achievements during any class/year instead of just Classes XI and XII – In the merit list, respondent Nos.4 ('KK') and 5 were placed higher than the appellants on the strength of their sports achievements in Classes IX and X – Writ petitions filed by appellants, dismissed by High Court – Challenge to:

Held: Rules of the game cannot be altered once the game has begun – Just as modification of recruitment norms is forbidden in law after the recruitment process has begun, it is equally illegal for an admission process to not be fully defined in all its contours

* Author

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before its commencement, so as to leave room for the authorities to stipulate norms later on to suit their own interests or to permit nepotism – The transparency of such a process is paramount to ensure fairness and prevent arbitrariness – The admission process to MBBS/BDS courses during session-2024, by altering the zone of consideration for sports quota at the behest of one ‘RKK’, a Roller-Skating Coach was vitiated as he failed to disclose that his recommendation benefitted his own daughter ‘KK’-respondent No.4 – Further, when the State specifically noted in its Corrigendum in 2023 that enlargement of the zone of consideration to include Classes IX and X was only for session-2023 in view of the pandemic, the departure from the policy of limiting consideration to only sports achievements during Classes XI and XII, which was the policy obtaining prior thereto, ought not to have been effected midstream after applications were submitted by the candidates along with their sports achievements – State and its instrumentalities have a duty and responsibility to act fairly and reasonably in terms of the mandate of Art.14 – Any decision taken by the State must be reasoned and not arbitrary – Procedure followed by the State of Punjab in leaving the norms elastic, without disclosing as to what would be the exact policy w.r.t the zone of consideration, and allowing itself sufficient leeway to change such policy midstream during the admission process is not fair, transparent and enables arbitrariness and nepotism – Modification in the policy quashed – Appellants to be accommodated in the seats in the government medical college(s) allotted to respondent Nos.4 and 5, who in turn shall be given the seats vacated by the Appellants in the private medical college – Constitution of India – Art.14. [Paras 18, 21, 33, 35, 38]

Education/Educational Institution – Admission to MBBS/ BDS courses through NEET UG under sports quota during session-2025 – Change in policy w.r.t the zone of consideration midstream during the admission process – Such modification of the policy during session-2024 was continued during session-2025 – Challenge to:

Held: Modification of the policy during session-2024 was vitiated – Continuation of that policy during session-2025 with nothing further would also be open to challenge on the same ground – However, since admissions have already been made for session-2025 and

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no candidate who would be adversely affected by interference therewith was made a party to this litigation – Therefore, this *lis* cannot be given a quietus at this stage – These appellants are granted liberty to approach the High Court once again by way of a properly constituted proceeding, impleading all the proper and necessary parties thereto, and seek appropriate relief. [Para 42]

Judicial Review – Policy decision – Plea of the State of Punjab that the Court would, ordinarily, not interfere in policy matters:

Held: Not accepted – When a policy decision is riddled with arbitrariness or even provides avenues therefor, the Court would be justified in nullifying it – The fact that a policymaker is to be allowed some elbow room in formulating policy does not translate to allowing scope for arbitrariness or nepotism. [Para 37]

Internal notings – Relevance – Change in policy formulated by the State examined through file notings reflecting how the decision-making process progressed from stage to stage:

Held: In the present case, the notings in the file disclosing the role played by one ‘RKK’, are utmost relevant and cannot be ignored as his intervention in the matter was what actually prompted the policy change that was brought about thereafter. [Para 34]

Case Law Cited

Tej Prakash Pathak and others v. Rajasthan High Court and Others, [2024] 12 SCR 28 : (2025) 2 SCC 1; *Sivanandan C.T. and Others v. High Court of Kerala and Others* [2023] 11 SCR 674 : (2024) 3 SCC 799 – followed.

Maharashtra State Road Transport Corporation and Others v. Rajendra Bhimrao Mandve and Others (2001) 10 SCC 51; *K. Manjusree v. State of Andhra Pradesh and Another* [2008] 2 SCR 1025 : (2008) 3 SCC 512; *Mandeep Singh and Others v. State of Punjab and Others*, 2025 INSC 834 [2025] 8 SCR 34 : 2025 SCC Online SC 1420 – relied on.

Harinagar Sugar Mills Limited (Biscuit Division) and Another v. State of Maharashtra and Other [2025] 7 SCR 427 : (2025) 10 SCC 286; *Pimpri Chinchwad New Township Development Authority v. Vishnudev Cooperative Housing Society and Others* [2018] 11

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SCR 310 : (2018) 8 SCC 215 – referred to.

Ibadat Sekhon v. State of Punjab and Others, Decision of the High Court of Punjab and Haryana dtd. 20.02.2025 in CWP No. 18657 of 2023 (O&M) – referred to.

List of Acts

Constitution of India.

List of Keywords

Admission to MBBS/BDS courses under sports quota; National Eligibility cum Entrance Test (Undergraduate) (NEET UG-2024); NEET UG-2025; Rules of the game cannot be altered once the game has begun; Change in policy midstream during the admission process; Arbitrariness; Nepotism; Favouritism; Revised Prospectus; Addendum; Fairness; Rules of game; Policy change; Altering zone of consideration; Zone of consideration; Admission process elastic; Admission norms elastic; Admission policy; Policy decision; Criteria for selection cannot be altered in the middle or after the process of selection has commenced; Transparency in admission process; Admission processes to educational courses; Sports merit list; Sports achievements; Sports certificates; Admission criteria; Internal notings; Internal notings in official files of Government; Sports policy, 2023; Sports policy, 2018; Double standards; Unlawful benefit; Illegal benefit.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 67 of 2026

From the Judgment and Order dated 11.09.2024 of the High Court of Punjab & Haryana at Chandigarh in CWP No. 21051 of 2024.

With

Civil Appeal No(s). 68 and 69 of 2026

Appearances for Parties

Advs. for the Appellant(s):

Ms. Misha Rohatgi, Suneet Pal Singh Aulakh, Nakul Mohta, Ayush Kashyap, Amulya Upadhyay, Ms. Jyoti Mendiratta, B.K. Satija.

Advs. for the Respondent(s):

Siddhant Sharma, Vikram Choudhary, G.K. Bansal, Nitin Kaushal,

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Manoj Pandey, Anuj Tyagi, Ms. Shreelekha Vyas, Ms. Tanya Swarup.

Judgment / Order of the Supreme Court**Judgment****Sanjay Kumar, J**

1. Leave granted.
2. These appeals arise out of separate orders passed by the High Court of Punjab and Haryana at Chandigarh dismissing the writ petitions filed by the appellants. The first of the appeals pertains to Divjot Sekhon. Her writ petition in CWP-21051-2024 was dismissed by a Division Bench of the High Court on 11.09.2024. Her prayer therein was to quash the email dated 16.08.2024 sent by Baba Farid University of Health Sciences, Faridkot¹, whereby candidates applying for admission to MBBS/BDS courses under sports quota in session-2024 were asked to submit their certificates/achievements of any class/year instead of just Classes XI and XII. She also challenged the merit list dated 23.08.2024 of candidates admitted to MBBS/BDS courses under sports quota, that placed Kudrat Kashyap and Mansirat Kaur, respondent Nos. 4 and 5, at high positions therein on the strength of their sports achievements in Classes IX and X.
3. The next appeal is of Shubhkarman Singh, another MBBS aspirant under sports quota during session-2024. On 12.09.2024, the same Division Bench dismissed his writ petition in CWP-23083-2024, following its decision in Divjot Sekhon's case, a day earlier. His prayer was on the same lines as Divjot Sekhon's. In addition thereto, he assailed the Addendum dated 03.09.2024, whereby the University informed all National Eligibility-cum-Entrance Test (Undergraduate) [NEET UG-2024] aspirants who applied under sports quota that sports achievements during Classes XI and XII was misprinted in the Prospectus and that they were told *via* email dated 16.08.2024 to submit all their sports achievements during any class/year/session in person on 19.08.2024 (upto 3 PM).

1 For short, 'the University'

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4. The email dated 16.08.2024, issued by the Admission Branch of the University, was addressed to all the candidates who had applied under sports quota and they were informed that, as per Punjab Government's Notification for admission to MBBS/BDS courses under NEET UG-2024, the clause pertaining to sports category read: 'Credit and admission shall be made on the basis of inter-se merit determined on the basis of gradation (Category A/B/C) as per sports policy notified by Department of Sports & Youth Services, Government of Punjab'. The candidates were told that, as per the above clause, it was not compulsory to submit only sports achievements of 10+1 & 10+2 Classes and they were supposed to submit all their sports achievements made during any class/year. They were told that if they wanted to submit any more documents in support of their claim under sports category, which they had not submitted earlier, they could submit the same in person on 19.08.2024 upto 3 PM. Thus, the addendum dated 03.09.2024, issued *post facto*, was only an affirmation of the email dated 16.08.2024.
5. The last appeal pertains to Agrima Mann, Gauranshi Dhingra and Navreet Singh, aspirants for admission to MBBS/BDS courses under sports quota for the next year, i.e., during session-2025. They filed CWP-19735-2025 assailing Clauses 15(v) and 16(v) of the Notification dated 09.08.2024, published on 17.06.2025, for admission to MBBS/BDS courses through NEET UG-2025. The impugned clauses related to 1% reservation of seats under sports quota, whereby credit was sought to be given to sports achievements during any academic year without restriction. Their prayer was that the benefit should be restricted to the achievements in Classes XI and XII only and that there was no justification in perpetuating the criteria that was adopted during Covid-19 pandemic. They sought a direction to the authorities to restore the policy decision/ criteria which existed prior to session-2023 in respect of admissions to MBBS/BDS courses for session-2025. In the alternative, they sought a direction to the authorities to implement the changed policy decision/ criteria in a staggered manner so as to not take the existing aspirants by surprise. This writ petition was dismissed by a Division Bench of the High Court on 16.07.2025, but there was no independent application of mind as the Bench merely followed the decision rendered in Divjot Sekhon's case by the coordinate Bench, presided over by the same learned Judge.

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6. We will first deal with the cases of Divjot Sekhon and Shubhkarman Singh as they relate to MBBS/BDS admissions during session-2024. The Prospectus for admission to the colleges in Punjab in undergraduate medical courses, including MBBS/BDS courses, during session-2024 was released by the University on 09.08.2024. It specifically provided that credit would be given only for sports achievements during Classes XI and XII. Admissions were to be made on the basis of inter-se merit of candidates determined on the basis of gradation (Category A/B/C). While so, the Government of Punjab issued Notification dated 09.08.2024, outlining the admission criteria to MBBS/BDS courses for session-2024. The notification was, however, silent about the classes/years which would be considered under sports quota for assessing sports achievements of the candidates. A revised Prospectus was issued by the University on 10.08.2024, wherein the stipulation about considering sports achievements during Classes XI and XII was retained. Applications for admission under sports quota along with relevant documents were to be submitted by 16.08.2024. The checklist provided to aid the process of submission of documents stated as follows: -
- ‘4. Gradation Certificate of Category (A/B/C) issued by the Director Sports Punjab for Sports Achievements made during 10+1 (passing year_____) & 10+2 (passing year _____)
 - 5. Sports Certificate played during 10+1 (passing year _____) & 10+2 (passing year _____)’
7. While so, on 16.08.2024 at 6:07 pm, the impugned email was issued to all the candidates who had applied under sports quota for admission to MBBS/BDS courses. Thereby, the University asked them to submit their sports certificates in relation to their achievements during any class/year. Divjot Sekhon is a Roller Skater/Inline Hockey player. Shubhkarman Singh plays Baseball. They appeared for NEET UG-2024 on 05.05.2024. The results of NEET UG-2024 were declared on 26.07.2024. Thereafter, the merit list of eligible candidates under sports quota was released by the Director of Sports, Punjab, on 23.08.2024. This merit list was drawn up by considering candidates’ sports achievements during Classes IX and X also. On the strength of their achievements during Classes IX and X, Kudrat Kashyap, respondent No. 4, a Roller Skater/Inline Hockey player, stood at

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rank No. 1, while Mansirat Kaur, respondent No. 5, another Roller Skater, stood at rank No. 5. Divjot Sekhon was shown at rank No. 8 while Shubhkarman Singh was at rank No.9 therein. Basing on these ranks, Divjot Sekhon and Shubhkarman Singh were admitted to MBBS course in Gian Sagar Medical College, Banur, a private medical college.

8. According to the appellants, only for session-2023, the sports merit list was prepared on the basis of the sports achievements not only during Classes XI and XII but also Classes IX and X, owing to the Covid-19 pandemic that held sway from 2020 to 2022. Earlier, only the sports achievements of candidates during Classes XI and XII were being taken into consideration. They pointed out that even for session-2024, the Prospectus initially released by the University stated that only the sports achievements during Classes XI and XII would be considered. But, thereafter, the State and the University did a *volte-face* and took into account the sports achievements of candidates during Classes IX and X also. They challenged this action on their part alleging that the admission process had been changed after its commencement.
9. In its reply filed before the High Court, the University stated that it had specifically mentioned in the prospectus issued on 09.08.2024 that the notification for admission to MBBS/BDS courses during session-2024 was still awaited but, keeping in view the schedule issued by the Medical Counselling Committee/Government of India, applications had been invited on urgent basis, but eligibility for admission to MBBS/BDS courses under NEET UG-2024 would be subject to issuance of the notification by the Department of Medical Education and Research, Government of Punjab. The University published advertisements in the newspapers indicating the last date for depositing registration fee through the online payment gateway as 16.08.2024. As per the University, the advertisements also indicated that any notification/update issued by the Medical Counselling Committee/Government of India/Government of Punjab regarding NEET UG-2024 would be applicable.
10. Thereafter, the Department of Medical Education and Research, Government of Punjab, issued Notification dated 09.08.2024 and, accordingly, the revised prospectus, including the notification, was published on 10.08.2024. This prospectus superseded the instructions

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issued earlier. Clause 15 of this prospectus pertained to reservation in government medical/dental colleges while Clause 16 pertained to private institutes/universities. Sports reservation was indicated as 1% in both categories. Clauses 15 and 16 stipulated that credit and admission shall be on the basis of inter-se merit of the candidates determined on the basis of gradation (Category A/B/C), as per the sports policy notified by the Department of Sports and Youth Services, Government of Punjab.

11. The University stated that, in all, 5721 candidates applied for admission through NEET UG-2024, of whom 58 candidates had applied under sports quota and submitted their Sports Gradation Certificates, along with other credentials/documents, on 16.08.2024. According to the University, page 18 of the NEET UG-2024 Prospectus issued by it regarding sports persons wrongly indicated that sports achievements during Classes XI and XII only would be considered and it, therefore, sent an email to all the aspirants on 16.08.2024 at 6.07 pm, clarifying that all candidates should submit their sports achievements during any class/year by 3 pm on 19.08.2024. All such documents submitted by aspirants till 3 pm on 19.08.2024 were forwarded by the University to the Director of Sports, Punjab, under letter dated 20.08.2024. Pursuant thereto, the Director of Sports, Punjab, issued the sports merit list dated 23.08.2024 and the same was published by the University on its website on the very same day. The University claimed that it was only a nodal agency which was bound to follow the instructions issued by the Department of Medical Education and Research, Government of Punjab, as sports policy was within the exclusive domain of the Director of Sports, Punjab. The University filed a reply before this Court on the same lines.
12. The State of Punjab also filed a reply before us. Therein, while reiterating what it had stated in its reply before the High Court, the State sought to place reliance on the decision of the High Court of Punjab and Haryana in ***Ibadat Sekhon vs. State of Punjab and others***² in relation to the sports quota during session-2023. Notably, the said decision turned upon the Corrigendum dated 01.08.2023 issued by the State of Punjab. Clauses 15(v) and 16(v) in the earlier Notification dated 10.03.2023, pertaining to government medical/

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dental colleges and private institutes/ universities, provided that credit would be given only for sports achievements during Classes XI and XII. This was modified by the Corrigendum dated 01.08.2023 whereby the zone of consideration was expanded to include Classes IX and X also. The Corrigendum dated 01.08.2023 read thus: -

“In partial modification of the Notification No. 5/5/2021-5HB3/446 dated 10.03.2023, para 15(v) and 16(v) are amended as under only for the session 2023:

“Credit shall be given for the sport achievements made during session 2019-20 to 2022-23. The admission shall be made on the basis of *inter-se* merit of the candidates determined on the basis of gradation (Category A/B/C) issued by the Director of Sports, Punjab. However, for exempted categories under para 11 of the Notification, the competent authority will be Director, Sport of that state or U.T., from where the candidate has passed his class XI and XII examinations.”

Note: This corrigendum is for this session only, in the light of the special circumstances prevailed during the COVID-19 pandemic.”

The corrigendum, therefore, made it clear that the modification was only for that session, i.e., session-2023, and it was owing to the special circumstances brought about by the Covid-19 pandemic. It is in this backdrop that the High Court dismissed Ibadat Sekhon's writ petition. However, adoption and perpetuation of the same modified policy, which was categorically stated to be an exception, during the later session-2024 and thereafter did not flow from the Corrigendum dated 01.08.2023.

13. Pertinently, the prospectus issued earlier by the University for session-2024 contained a list of categories and category codes and insofar as sports persons under Category Code No. 17 were concerned, it stated that credit would be given only for sports achievements during Classes XI and XII. However, in the general instructions in Part A, under Clause 14, it was stated that in case of any discrepancy or contradiction between the Government's notifications and the University's instructions contained in the said prospectus, the letter and spirit of the notifications shall prevail

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but in academic matters, the University shall be the final authority. Further, in the Schedule for admission through NEET UG-2024, it was specifically stated in Note#1 that any subsequent notification/notice/amendments/corrigenda issued by the Government of Punjab/University would be followed in letter and spirit and the candidates were required to visit the University website regularly for any updates.

14. We may note that even in the Notification dated 09.08.2024 issued by the Department of Medical Education and Research, Government of Punjab, except for quantifying the reservation for sports persons at 1%, the issue as to how such reservation was to be implemented was not spelt out and it was merely stated that admission under this quota would be made on the basis of *inter se* merit of candidates determined on the basis of gradation (Category A/B/C) as per the sports policy notified by the Department of Sports and Youth Services, Government of Punjab. This was in relation to both government medical/dental colleges as well as private institutes/universities.
15. The Department of Sports and Youth Services, Government of Punjab, brought out the Sports Policy, 2023, *vide* Notification dated 31.07.2023. This was in supersession of the Sports Policy, 2018. Though the Sports Policy, 2023, envisioned encouraging all citizens to adopt an active life style; motivate children to come to play/run; and to restore Punjab's glory in sports at national and international levels, and promised eight actionable points, including putting sports on a high pedestal through rewards and job opportunities for outstanding sports persons, it left certain issues unanswered. More specifically, it did not elaborate on the zone of consideration for assessment of sports achievements for conferment of benefits. Rule 4.2 of the said policy, however, specifically stated that a sub-junior tournament would be ineligible while grading sporting achievements. When the policy specifically excluded sub-junior tournaments, the University's email dated 16.08.2024 requiring the candidates to submit their sports achievements during any class/year defies comprehension. Significantly, the University did not limit its expansion thereby to only Classes IX and X but required candidates to submit even their sub-junior achievements, if any, which was contrary to the State's sports policy. Needless to state, there had to be clarity in that regard as leaving the issue open to be decided at a later point of time on a case-to-case or course-to-course basis would invariably introduce

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arbitrariness and let in the scope for favouritism.

16. The Sports Policy, 2023, did not indicate the classes/years that would be taken into consideration for assessing the competing merit of candidates under sports quota, i.e., the classes or years that would be treated as relevant for assessing their sports achievements during that period. Rule 5.1 of the Sports Policy, 2023, merely specified how *inter se* merit under sports quota was to be decided amongst winners, runners up and third position holders. Therefore, when there was no change in the basic sports policy and the prospectus for session-2024, in accordance therewith, mentioned that only Classes XI and XII would be considered for assessment of sports achievements, the State of Punjab cannot fall back on the procedure followed for session-2023 to justify the change that it brought about by again including Classes IX and X within the zone of consideration, contrary to its own Corrigendum dated 01.08.2023.
17. That said, the case law relied upon by the appellants about the binding nature and legal status of a prospectus is not relevant to this adjudication as the prospectus issued by the University contained the caveat that the notifications issued thereafter by the Government of Punjab would be binding. The larger question, however, is whether this procedure of keeping the admission process elastic after issuance of the prospectus and submission of applications by the candidates would be valid in the eye of law. This question arises in the backdrop of the necessity to maintain complete transparency in the admission process so as to obviate any possibility of arbitrariness or nepotism creeping in at a later stage, i.e., after submission of applications and sports achievements by candidates for admission to MBBS/ BDS courses under sports quota.
18. It is well-settled that the rules of the game cannot be altered once the game has begun. In ***Maharashtra State Road Transport Corporation and others vs. Rajendra Bhimrao Mandve and others***³, this Court observed that “the rules of the game, meaning thereby, that the criteria for selection cannot be altered by the authorities concerned in the middle or after the process of selection has commenced”. The same principle was followed subsequently by a 3-Judge Bench in ***K. Manjusree vs. State of Andhra Pradesh***

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and another⁴ and by a Constitution Bench in **Tej Prakash Pathak and others vs. Rajasthan High Court and others**⁵. This principle is just as applicable to admission processes to educational courses as it would be to recruitment processes. Just as modification of recruitment norms is forbidden in law after the recruitment process has begun, it is equally illegal for an admission process to not be fully defined in all its contours before its commencement, so as to leave room for the authorities concerned to stipulate norms later on to suit their own interests or to permit nepotism. The transparency of such a process is paramount to ensure fairness and prevent arbitrariness.

19. Significantly, for Bachelor of Physiotherapy course, Bachelor of Medical Laboratory Technology course and BSc course in Anatomy, Physiology & Biochemistry offered by the University during the very same session-2024, the Director of Sports, Punjab, instructed the University, *vide* letter dated 08.07.2024, that as per Rule 5.1 of the revised Sports Policy, 2023, only the sports achievements of Classes XI and XII were to be considered while preparing the sports merit list for those courses. There is no explanation forthcoming from the authorities as to why these double standards had been adopted.
20. It was in this context that this Court directed the State of Punjab to produce all the relevant material to examine how the matter progressed from stage to stage. Thereupon, the original files pertaining to this issue were placed before us. Perusal thereof reflected that one Ramesh Kumar Kashyap, a Roller-Skating Coach, who is none other than the father of Kudrat Kashyap, respondent No.4, had submitted a representation requesting that, in the admission process for MBBS/BDS courses in educational institutions in the State of Punjab, the sports achievements during Classes IX and X should also be included. Significantly, while making this recommendation, citing various reasons, Ramesh Kumar Kashyap failed to mention that his daughter, Kudrat Kashyap, would herself be benefited by this change.
21. According to the undated representation made by Ramesh Kumar Kashyap, if a student wins a medal or participates in international competitions in Classes IX and X, he/she might not get another

4 (2008) 3 SCC 512

5 (2025) 2 SCC 1

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opportunity in Classes XI and XII, since such events are conducted once in every four years and by the time the next event occurs, the student would have already passed Class XII. He further stated that if a student, who achieved medals at the national/international level in Class IX or X is injured during Class XI or XII and cannot participate further, his/her earlier achievements would be ignored during MBBS/BDS admissions. According to him, students who pursue sports seriously until Class X often lag behind in academics and if they continue sports at the same intensity during Classes XI and XII, they might fail to qualify for the NEET examination. He further stated that many students who secure sports medals in Classes XI and XII, usually participate in obscure or lower level competitions, and often such students have never been active in sports prior to Class XI and manage achievements in later years using influence, thereby disadvantaging genuine athletes. He asserted that a true athlete's capability should be judged based on their performance over the past four years and doing so would cause no disadvantage to anyone. He pointed out that even during the previous year, sports achievements from Classes IX, X, XI and XII were considered. He, accordingly, recommended that it would be appropriate that sports achievements of Classes IX and X also be considered along with Classes XI and XII from the academic year 2024-2025 onwards.

22. Having stated so much about the rationale behind his recommendation, it was incumbent upon Ramesh Kumar Kashyap, had he been acting *bonafide* on behalf of all sportspersons and if his only aim was to secure their interest, to have also mentioned the fact that his daughter, Kudrat Kashyap, had participated in international events earlier and by inclusion of Classes IX and X within the zone of consideration, she would be hugely benefited as she was appearing for NEET UG-2024. The facts manifest that she was, in fact, so benefited as she was ranked at No. 1 in the merit list dated 23.08.2024. This lack of probity on the part of Ramesh Kumar Kashyap, so as to benefit his own daughter, and his influencing of the authorities without disclosing this fact, so as to bring about a change in the policy contrary to what was stated in the Corrigendum dated 01.08.2023, is sufficient in itself to vitiate the modification that was brought about during session-2024 to the detriment of other candidates under sports quota, including Divjot Sekhon and Shubhkarman Singh.
23. The fact that these modified parameters were not extended to

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other medical and allied courses offered by the University during session-2024 clearly underlines the arbitrariness that crept in only in relation to admissions to MBBS/BDS courses. Be it noted that, during session-2024, only Classes XI and XII were taken into consideration for assessment of sports achievements for admission to Bachelor of Ayurvedic Medicine and Surgery course (BAMS), Bachelor of Homeopathic Medicine and Surgery course (BHMS) and Bachelor of Unani Medicine and Surgery course (BUMS). Even thereafter, during session-2025, only Classes XI and XII were taken into consideration for assessment of sports achievements for admission to BSc (Nursing) and Bachelor of Veterinary Science and Animal Husbandry, in addition to the aforestated courses.

24. In this regard, we may also note that the prospectus issued by the University for session-2024 in respect of post-graduate medical/dental courses, wherein sports persons were provided 2% reservation, specifically stated that credit would be given only for the sports achievements during MBBS/BDS courses only. The logic behind such a prescription is not far to gather, as achievements during the period immediately preceding admission to the course in question would be of relevance and not some achievements in the distant past. This is more so in the case of admission to MBBS/BDS courses, as a student aspiring for admission to such courses has to obtain not only adequate academic ranking but also secure sports achievements during that period. He/she would be entitled to the benefit of such reservation, having balanced both effectively, so as to stand in a sufficiently high position in the merit list.
25. According to Divjot Sekhon, she would have ranked at No. 6 in the merit list if the authorities had considered only the sports achievements during Classes XI and XII and she would have secured a seat in a government medical college at much lesser financial cost. She pointed out that the fees to be paid by her in the private medical college was over ₹22 lakh for the entire 5-year course whereas she would have only incurred expenditure of ₹9.5 lakh in a government medical college. Reference was made to the procedure followed for admission to MBBS/ BDS courses during session-2019; session-2021; and session-2022, wherein only Classes XI and XII were the zone of consideration for assessment of sports achievements. As already noted hereinbefore, insofar as session-2023 was concerned, the norm was modified only for that particular session in the light of

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Covid-19 pandemic, by expanding the zone of consideration to include Classes IX and X also. However, it appears that Ramesh Kumar Kashyap, who is stated to have trained Divjot Sekhon also, seems to have struck upon the idea that perpetuating the same would benefit his daughter and he, accordingly, made a recommendation to the authorities without disclosing his own private interest. This is clear and manifest from the files placed before us, which set out in detail the recommendation made by him and how it finally weighed with the authorities concerned.

26. Kudrat Kashyap, respondent No.4, filed replies in both the appeals. Therein, she adverted to her sports achievements, including her participation in an event at the international level. However, no mention was made of how her father, Ramesh Kumar Kashyap, went about securing a change in the policy which had prevailed till session-2023 and was modified only for that session, in the context of the Covid-19 pandemic, so as to benefit her.
27. Mansirat Kaur, respondent No.5, also filed her replies stating that no relief had been claimed against her and that she was impleaded unnecessarily. However, if we set aside the modification to the zone of consideration, i.e., its enlargement from Classes XI and XII to include Classes IX and X also, she would be adversely affected. She cannot, therefore, state that she is not a proper and necessary party to this litigation and that her name should be deleted from the memo of parties.
28. Acting upon Ramesh Kumar Kashyap's representation, the Director of Sports, Punjab, *vide* letter dated 18.10.2023, made these comments: -

“With reference to the comments sought in the subject matter, it is stated that the Department always takes initiative for the welfare of sports persons. Therefore, in view of the representation submitted by the applicant, consideration may be given to providing 3% reservation for sports persons in admissions to medical education, so that maximum players can avail the benefit. Further, for example, if a sports person wins a medal at the national/ international level at an early age, i.e., in Class 9th or 10th, such a player brings laurels to the state and the country at a young age. However, due to the existing rules, he/she is

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unable to avail the benefit of the sports quota at the time of admission. Along with sports, maintaining education is also essential. As per the existing practice, Baba Farid University of Health Sciences, Faridkot, considers sports achievements of Classes 11th and 12th for MBBS/BDS admissions. The Department of Medical Education and Research, while issuing the notifications for the year 2023-24, had directed that sports achievements of Classes 9th, 10th, 11th and 12th be considered for that year. Therefore, it is recommended that, in the future as well, on a permanent basis, sports achievements obtained during Classes 9th, 10th, 11th and 12th be considered for admission to MBBS/BDS courses.”

29. In that context, the view of the Sports Department, *vide* Note #15 dated 02.11.2023, warrants extraction in its entirety. It reads as follows:

“Further, for example, if a sports person wins a medal at the national/international level at an early age, i.e., in Class 9th or 10th, such a player brings laurels to the state and country at a young age. However, due to the existing rules, he/she is unable to avail the benefit of the sports quota at the time of admission. Along with sports, maintaining education is also essential. As per the existing practice, Baba Farid University of Health Sciences, Faridkot, considers sports achievements of Classes 11th and 12th for MBBS/BDS admissions. The Department of Medical Education and Research, while issuing the notification for the year 2023-24, had directed that sports achievements of Classes 9th, 10th, 11th and 12th be considered for that year. Therefore, it is recommended that, in the future as well, on a permanent basis, sports achievements obtained during Classes 9th, 10th, 11th and 12th be considered for admission to MBBS/BDS courses.”

The above Note failed to take into account the fact that the modification during session-2023 was limited to that academic session only, in terms of the Corrigendum dated 01.08.2023, and the reason therefor was stated to be the Covid-19 pandemic. Those crucial aspects were completely overlooked by the Sports Department while endorsing the recommendation made by Ramesh Kumar Kashyap. The contrary

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endorsement at Note #50 dated 13.04.2024 by the Nodal Officer (Legal) also warrants reproduction. It reads as under:

“Medical Education is providing 1% reservation for sports persons instead of govt policy of 3%, that too for the achievements in 10+1 and 10+2 only, because this is crucial time which a student is giving to sports instead of studies. Achievements made in 9th and 10th will not hold that student to any disadvantage. It's clear that we don't need such reservation to be extended beyond 11th and 12th.”

30. Surprisingly, the State of Punjab thereafter produced another set of documents before us. This set of documents merely referred to a representation having been received regarding the rules for sports quota but no reference was made therein to Ramesh Kumar Kashyap. The file moved forward from stage to stage thereafter but there is neither mention nor awareness at any stage of Kudrat Kashyap, the daughter of Ramesh Kumar Kashyap, being benefited by the proposed change that he wanted. Ultimately, the State accepted and acted upon his recommendation.
31. In that regard, we may refer to the observations made by this Court in ***Mandeep Singh and others vs. State of Punjab and others***⁶: -

“58. True, the State is entitled to change its policy, yet a sudden change without valid reasons will always be seen with suspicion. Even in cases where there is no statutory prescription of any particular way of doing a thing, the executive must observe the long-standing practice, and a deviation from such a practice would require passing the muster of reasonableness, which is a facet of Article 14 of the Constitution. In this regard, this Court in *Bannari Amman Sugars Ltd. v. CTO* [(2005) 1 SCC 625] observed that:

“9. While the discretion to change the policy in exercise of the executive power, when not trammelled by any statute or rule is wide enough, what is imperative and implicit in terms of Article 14 is that a change in policy must be made fairly and should not give the impression that it was so done arbitrarily or

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by any ulterior criteria. The wide sweep of Article 14 and the requirement of every State action qualifying for its validity on this touchstone irrespective of the field of activity of the State is an accepted tenet. The basic requirement of Article 14 is fairness in action by the State, and non-arbitrariness in essence and substance is the heartbeat of fair play. Actions are amenable, in the panorama of judicial review, only to the extent that the State must act validly for discernible reasons, not whimsically for any ulterior purpose...”

This Court held that the State and its instrumentalities have a duty and responsibility to act fairly and reasonably in terms of the mandate of Article 14 of the Constitution and that any decision taken by the State must be reasoned and not arbitrary. It was further observed that when a thing is done in a post-haste manner, *malafides* would be presumed as anything done with undue haste can be termed arbitrary and would not be condonable in law. The aforesaid principle would apply with equal vigour to an admission process relating to sought-after courses like MBBS/BDS.

32. In ***Sivanandan C.T. and others vs. High Court of Kerala and others***⁷, a Constitution Bench observed as under: -

“45. The underlying basis for the application of the doctrine of legitimate expectation has expanded and evolved to include the principles of good administration. Since citizens repose their trust in the State, the actions and policies of the State give rise to legitimate expectations that the State will adhere to its assurance or past practice by acting in a consistent, transparent, and predictable manner. The principles of good administration require that the decisions of public authorities must withstand the test of consistency, transparency and predictability to avoid being regarded as arbitrary and therefore violative of Article 14.”

33. We, therefore, have no hesitation in holding that the admission process to MBBS/BDS courses during session-2024, by altering the zone of consideration for sports quota at the behest of Ramesh

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Kumar Kashyap, whose motives remained undisclosed, cannot be sustained even if the State of Punjab acted upon his recommendation *bonafide* and in ignorance of his subterfuge. The very foundation for such modification stands vitiated as Ramesh Kumar Kashyap failed to disclose that his recommendation benefitted his own daughter, Kudrat Kashyap.

34. We may also note that, in ***Harinagar Sugar Mills Limited (Biscuit Division) and another vs. State of Maharashtra and others***⁸, this Court observed that internal notings cannot be relied upon to establish compliance with procedure. Reference was made to the earlier decision of this Court in ***Pimpri Chinchwad New Township Development Authority vs. Vishnudev Cooperative Housing Society and others***⁹, wherein it was observed that mere notings in the official files of the Government, while dealing with any matter pertaining to any person, is essentially an internal matter of the Government and will carry with it no legal sanctity. That was a case relating to withdrawal from acquisition in relation to a particular person's property and the aforesaid observation was made in that context. These decisions have no impact in the present context, where the change in policy formulated by the State is being examined through the file notings which reflect how the decision-making process progressed from stage to stage. The notings in the file, which clearly disclose the role played by Ramesh Kumar Kashyap, are utmost relevant and cannot be ignored as his intervention in the matter was what actually prompted the policy change that was brought about thereafter.
35. That apart, when the State specifically noted in its Corrigendum dated 01.08.2023 that enlargement of the zone of consideration to include Classes IX and X was only for session-2023, in view of the pandemic, the departure from the policy of limiting consideration to only sports achievements during Classes XI and XII, which was the policy obtaining prior thereto, ought not to have been effected midstream after applications were submitted by the candidates along with their sports achievements.
36. More significantly and as already noted hereinabove, the practice

8 (2025) 10 SCC 286

9 (2018) 8 SCC 215

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and procedure followed by the State of Punjab in leaving the norms elastic, without disclosing as to what would be the exact policy with regard to the zone of consideration, and allowing itself sufficient leeway and elbow room to change such policy midstream during the admission process is not in accordance with the principles of fair play in action. Lack of transparency at the outset invariably enables and makes room for arbitrariness and nepotism to walk in through the backdoor, a situation to be eschewed and avoided by an egalitarian State.

37. Though the State of Punjab would seek to rely upon case law in support of its argument that the Court would, ordinarily, not interfere in policy matters, it is equally well settled that when a policy decision is riddled with arbitrariness or even provides avenues therefor, the Court would be justified in nullifying it. The fact that a policymaker is to be allowed some elbow room in formulating policy does not translate to allowing scope for arbitrariness or nepotism. We, therefore, find no merit in the contentions of the State of Punjab.
38. The modification in the policy is, therefore, quashed leaving it open to the State of Punjab to apply its mind independently and uninfluenced by the so-called recommendation made by Ramesh Kumar Kashyap, so as to take a reasoned and well-informed policy decision as to what should be the criteria to be followed in future. The State of Punjab would be well advised to formulate the admission policy in its entirety before initiation of the admission process for each year, if it seeks to modify the same time and again. It is not proper and correct to do so mid-stream during the admission process. However, insofar as session-2024 is concerned, Kudrat Kashyap, who was the direct beneficiary of the subterfuge of her father, Ramesh Kumar Kashyap, cannot be permitted to enjoy the unlawful benefit garnered in her favour through his manipulations and machinations. Though Mansirat Kaur, respondent No. 5, also stood benefited thereby, though through no fault of hers, she is also liable to be divested of the illegal benefit that was conferred upon her owing to the wrongdoings of Ramesh Kumar Kashyap.
39. We are conscious of the fact that Ramesh Kumar Kashyap is not a party to these proceedings and the observations and remarks that we have made are adverse to him. However, we may note that he was very much present in the Court during the proceedings and was well aware of the sentiments expressed against him by the Court,

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but he took no steps to get himself impleaded, if he had anything to say in his own defence.

40. In terms of our findings hereinabove, we would have ordinarily directed the University to redraw the entire merit list for the sports quota during session-2024, by excluding from consideration the sports achievements of candidates secured during Classes IX and X. However, doing so at this stage would impact the admissions of those who are not even before us and would unsettle settled matters, as no candidate other than Divjot Sekhon and Shubhkarman Singh has raised a grievance about this issue. The relief to be granted pursuant to this judgment is accordingly limited to them. Divjot Sekhon and Shubhkarman Singh shall, therefore, be accommodated in the seats in the government medical college(s) which were allotted to Kudrat Kashyap and Mansirat Kaur, respondent Nos. 4 and 5. In turn, Kudrat Kashyap and Mansirat Kaur shall be given the seats vacated by Divjot Sekhon and Shubhkarman Singh in Gian Sagar Medical College, Banur. The course of study undergone by all of them and the fees already paid by all of them shall remain unaffected and they shall all be permitted to continue with their studies in their new colleges from that stage onwards.
41. In so far as the appeal filed by Gauranshi Dhingra, Agrima Mann and Navreet Singh is concerned, it pertains to the policy of the State of Punjab while making admissions to MBBS/BDS courses under sports quota during session-2025. The modification made at the behest of Ramesh Kumar Kashyap during session-2024 was perpetuated thereafter and applied during session-2025. Pursuant thereto, the appellants were shown at Rank Nos. 13 (Navreet Singh), 14 (Gauranshi Dhingra) and 15 (Agrima Mann) in the merit list of 63 candidates prepared by the Director of Sports, Punjab, after considering the 67 candidates who had applied under sports quota for admission to MBBS/BDS courses. As per the State of Punjab, all three appellants were entitled to admission under the sports quota in private colleges only.
42. The grievance of the appellants is that the authorities continued to apply the same modified policy with regard to the enlarged zone of consideration that was followed during session-2024, i.e., by including Classes IX and X along with Classes XI and XII for assessment of

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the sports achievements of candidates. The High Court nonsuited them straightaway by following its earlier decision in Divjot Sekhon's case. However, in the light of what we have stated hereinabove, with regard to how the modification of the policy during session-2024 stands vitiated, continuation of that policy during session-2025 with nothing further would also be open to challenge on the same ground. However, we are informed that admissions have already been made for session-2025 and no candidate who would be adversely affected by interference therewith has been made a party to this litigation. Therefore, we cannot give a *quietus* to this *lis* at this stage. The only relief that can be given to these appellants is to grant them the liberty to approach the High Court once again by way of a properly constituted proceeding, impleading all the proper and necessary parties thereto, and seek appropriate relief.

The appeals are allowed in the aforestated terms.

Parties shall bear their own costs.

Result of the case: Appeals allowed.

[†]Headnotes prepared by: Divya Pandey

Muslimveetil Chalakkal Ahammed Haji

v.

Sakeena Beevi

(Civil Appeal No. 3894 of 2022)

07 January 2026

[Vikram Nath and Sandeep Mehta,* JJ.]

Issue for Consideration

Whether the issue of limitation was erroneously decided by the trial Court as well as the High Court, leading to an unjustified rejection of the suit for specific performance of agreement to sell filed by the appellant; whether the issue of readiness and willingness was also wrongly decided against the appellant and in favour of the defendant-respondent; whether the High Court committed grave error in the facts as well as in law in dismissing the appeal filed by the appellant and affirming the judgment of the trial Court.

Headnotes[†]

Specific Relief Act, 1963 – Suit for specific performance of agreement to sell – Rejection of, when not justified – After the death of the defendant-respondent’s father, the plaintiff schedule property together with the school building standing thereon and all appurtenant improvements, including ownership and management of the school, devolved upon his nine children, including the defendant-respondent – All the nine legal heirs executed an unregistered power of attorney (Exh. A4) in favour of the eldest son who executed an agreement for sale (Exh. A1) in favour of the appellant, the date of execution whereunder was extended thrice – Respondent revoked the unregistered power of attorney (Exh. A4) issued in favour of her brother – Later, she executed an affidavit (Exh. A5) ratifying the power of attorney (Exh. A4) and the acts carried out thereunder, and further expressing her consent to transfer her share in the plaintiff schedule property – Thereafter, the remaining eight siblings executed a sale deed conveying their collective 10/11th share in the entire chunk of land on which the school building exists in favour of the appellant – However, later as the respondent refused to execute the sale deed in respect of her share, the appellant filed suit for specific performance – Dismissed by trial Court on the ground of limitation – Appellant

* Author

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filed appeal before High Court, dismissed on the grounds of lack of readiness and willingness on the part of the appellant to get the sale deed executed as well as on the ground of limitation – Interference with:

Held: Impugned judgments set aside – High Court erred in the facts as well as in law in dismissing the appeal filed by the appellant and affirming the judgment of the trial Court – The factum of three extensions stands duly proved by the appellant – Also, the theory projected by the respondent that the power of attorney executed by her in favour of her brother stood revoked is *ex facie* untenable and contrary to the record – The affidavit (Exh. A5) executed by the defendant which was neither disputed nor denied tilts the balance in favour of the appellant which clearly establish that the respondent not only ratified the acts performed by the power of attorney holder, her brother but also expressly conveyed her no-objection to the change in management and so also the ownership of the school and the properties appurtenant thereto in favour of the appellant – Once the two facts, *i.e.*, the publication of notice in the year 2012 for revocation of the unregistered power of attorney (Exh. A4) and the affidavit dtd.30.04.13 are cumulatively taken into account, limitation would start running from the later date because it is, at that stage, that the respondent finally refused execution of sale deed to the extent of her share in the suit property – Thus, the issue of limitation was erroneously decided by the trial Court as well as the High Court, leading to an unjustified rejection of the suit instituted by the appellant – The suit was instituted within the prescribed period of limitation, reckoned from the date of the affidavit – On facts, the issue of readiness and willingness was also wrongly decided against the appellant and in favour of the respondent – Appellant entitled to conveyance of the 1/11th share of the respondent in the plaint schedule property – Further directions issued – Limitation Act, 1963 – Kerala Education Rules, 1959 – Kerala Education Rules, 2005. [Paras 34-41]

List of Acts

Specific Relief Act, 1963; Kerala Education Rules, 1959; Limitation Act, 1963; Kerala Education Rules, 2005.

List of Keywords

Suit for specific performance of agreement to sell; Unjustified rejection of the suit for specific performance of agreement to

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sell; Suit was instituted within the prescribed period of limitation; Readiness and willingness; Power of attorney not revoked; Revocation of the unregistered power of attorney; Acts performed by the power of attorney holder ratified.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 3894 of 2022

From the Judgment and Order dated 16.10.2020 of the High Court of Kerala at Ernakulam in RFA No. 267 of 2016

With

Civil Appeal No. 3895 of 2022

Appearances for Parties

Advs. for the Appellant(s):

Gaurav Agrawal, Sr. Adv., Mohammed Sadique T.A., Mrs. Anu K Joy, Alim Anvar, Santhosh K, Mrs. Devika A.L., Nishe Rajen Shonker.

Advs. for the Respondent(s):

Dr. Menaka Guruswamy, R. NedumarSan, Sr. Advs., Manas P. Hameed, Ms. Ipsita Ojal, Jude James, Harshad V. Hameed, Dileep Poolakkot, Mrs. Ashly Harshad, Mahabir Singh, Anshul Saharan.

Judgment / Order of the Supreme Court**Judgment**

Mehta, J.

Civil Appeal No(s). 3894 of 2022

1. Heard.
2. The present appeal is directed against the final judgment and order dated 16th October, 2020, passed by the High Court of Kerala at Ernakulam¹ in R.F.A. No. 267 of 2016, whereby the first appeal preferred by Muslimveetil Chalakkal Ahammed Haji² came to be

¹ Hereinafter, referred to as the "High Court".

² Hereinafter, referred to as the "plaintiff-appellant".

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dismissed, affirming the judgment and decree dated 30th October, 2015, rendered by the Sub-Judge, Chavakkad³ in Original Suit No.862 of 2013, by which the suit instituted by the plaintiff-appellant seeking specific performance of agreement to sell was dismissed.

Factual Background

3. Briefly stated, the facts relevant and essential for the disposal of the appeal are noted hereinbelow.
4. The plaint schedule property admeasuring approximately three acres thirty-five cents fell to the share of Shri Buquarayil Valappilakkayil Seethi Thangal (hereinafter 'Seethi Thangal'), father of the respondent-Sakeena Beevi⁴, by virtue of a registered partition deed bearing No. 1274 of 1985, registered in the office of the Sub-Registrar, Mullassery.
5. Pursuant to the death of Seethi Thangal on 22nd August, 2002, the plaint schedule property, comprised in Survey No. 116/7 of Kundazhiyoor Desom, together with the school building standing thereon and all appurtenant improvements, including ownership and management of the school, devolved upon his nine children, including the defendant-respondent.
6. All the nine legal heirs of Seethi Thangal executed an unregistered power of attorney (Exh. A4) in favour of the eldest son, Shri Muhammed Rafi Thangal, on 3rd September, 2002. Subsequently, on 4th September, 2002, the respondent Sakeena Beevi executed a separate registered power of attorney (Exh. B1) in favour of her son Shri Rasheeq Ahmed (DW-1).
7. The eldest brother, namely, Shri Muhammed Rafi Thangal, executed an agreement for sale (Exh. A1) dated 14th May, 2007 in favour of the plaintiff-appellant for a total consideration of Rs.2,70,00,000/-. A sum of Rs.25,00,000/- was paid as an advance at the time of execution of the agreement. The date of execution under the agreement (Exh. A1) was extended on three occasions, i.e., on 14th April, 2008 [Exh. A1(a)], 7th August, 2010 [Exh. A1(b)], and 7th July, 2011 [Exh. A1(c)]. On 14th November, 2012, the defendant-respondent caused

3 Hereinafter, referred to as the "trial Court".

4 Hereinafter, referred to as the "defendant-respondent".

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publication of a newspaper notice revoking the unregistered power of attorney (Exh. A4) issued in favour of Shri Muhammed Rafi Thangal.

8. On 30th April, 2013, the defendant-respondent executed an affidavit (Exh. A5) ratifying the power of attorney (Exh. A4) and the acts carried out thereunder, and further expressing her consent to transfer her share in the plaint schedule property. Thereafter, on 8th May, 2013, the remaining eight siblings executed a sale deed conveying their collective 10/11th share in the entire chunk of land on which the school building exists in favour of the plaintiff-appellant.
9. As the defendant-respondent refused to execute the sale deed in respect of her share, the plaintiff-appellant instituted a suit for specific performance in the year 2013, which came to be registered as O.S. No. 862 of 2013 before the trial Court.
10. The trial Court dismissed the suit *vide* judgment and decree dated 30th October, 2015, primarily on the ground of limitation, and consequently denied the relief of specific performance as well as the alternate relief of refund of the advance amount to the plaintiff-appellant.
11. Aggrieved thereby, the plaintiff-appellant preferred an appeal before the High Court, which, while reversing certain findings recorded by the trial Court, ultimately dismissed the suit on the grounds of lack of readiness and willingness on the part of the plaintiff-appellant to get the sale deed executed, as required under the Specific Relief Act, 1963, as well as on the ground of limitation.
12. The High Court held that the plaintiff-appellant failed to establish his continued readiness and willingness to perform the contract. It was observed that the payments made and the endorsements extending the agreement were obtained only from Shri Muhammed Rafi Thangal, the brother of the defendant-respondent, who lacked valid authority to execute and extend the contract after the defendant-respondent had executed a registered power of attorney (Exh.B1) in favour of her son Shri Rafeeq Ahmed (DW-1) thereby, by a deeming fiction, revoking the earlier unregistered power of attorney. Consequently, the payments made to Shri Muhammed Rafi Thangal were held not to be binding on the defendant-respondent.
13. The High Court further held that the agreement had become time-barred, observing that the breach on the part of the plaintiff-appellant occurred on 14th July, 2008, whereas the suit came to be instituted

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in the year 2013, well beyond the period of three years prescribed under Article 54 of the Schedule to the Limitation Act, 1963.

14. The above judgment of the High Court is the subject matter of challenge in the present appeal by way of special leave.
15. It needs to be noted that during the pendency of the appeal, the parties were referred to mediation; however, the mediation efforts did not fructify in a settlement. Further, during the course of the hearing, Shri Gaurav Agrawal, learned senior counsel appearing for the plaintiff-appellant, on instructions, offered a sum of Rs.75,00,000/- to the defendant-respondent, as fair value for her 1/11th share which offer was declined outright.

Submissions on behalf of the plaintiff-appellant

16. Shri Gaurav Agrawal, learned senior counsel appearing for the plaintiff-appellant urged that although the plaintiff-appellant could have relinquished the said 1/11th share of the defendant-respondent in plaint schedule property, such a course would render the functioning of the school unviable and in breach of the requirements under the Kerala Education Rules, 1959, which mandates a minimum extent of three acres of land for running a higher secondary school.
17. Shri Agrawal drew the Court's attention to the affidavit (Exh. A5) dated 30th April, 2013 sworn by the defendant-respondent, whereby the agreement in favour of the plaintiff-appellant was affirmed and ratified. The said affidavit (Exh. A5) is an admitted document and reads as under: -

"I, Mrs. B.V. Sakeena Beevi, aged 59 years, presently residing at Bukharyil Valapil House, W/o Fakrudheen Thangal, Bukharayil Ayittandiyil, Mathilakam Post - 680 685 do hereby solemnly affirm and state as follows:

That myself one the legal heirs of deceased Mr. B.V. seethe Thangal, Ex. M.L.A., along with other legal heirs, had executed a valid power of attorney in favour of Mr. B.V. Muhammed Raphy Thangal, residing at Bukharayil Valappil house, Venkitangu, P.O. Padoor, on 3rd September 2002 regarding the property in Re-Survey No. 116/7 in Padoor Desam, Situated within the Mullassery Sub registrar Office. While the Power of Attorney to various officials including

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the Assistant Educational Officer, Mullassery. **Now we have amicably settled all disputes and I hereby ratify the acts of the said Power of Attorney Holder Mr. B.V. Muhammed Raphy Thangal. I have no objection to perform all acts, deeds and things as assigned in the said Power of Attorney Holder Mr. B.V. Muhammed Raphy Thangal. I have no objection to perform all acts, deeds and things as assigned in the said Power of Attorney by me.** I do hereby undertake to carry out the terms and conditions set out in the said Power of Attorney by me. I do hereby undertake to carry out the terms and conditions set out in the said Power of Attorney and I will be personally bound by the terms and also I will be personally present whenever necessary. **I have no objections in changing management involving ownership of Aleemul Islam Higher Secondary School, and ownership of properties of the above said school, in favour of Mr. Ahammed Haji, S/o Moidunni, Muslim Veettil Chalakkal House, Kundaliyoor desom, Engandiyoor amsom, as already submitted through my power of attorney holder.**

What is stated above is true to the best of my knowledge and belief.

Dated this the 30th day of April, 2013.”

[Emphasis supplied]

18. Shri Agrawal contended that once the defendant–respondent had agreed to the terms of the transaction and expressly conveyed her no-objection for transfer of ownership of the plaint schedule property through her power of attorney holder Shri Muhammed Rafi Thangal, the power of attorney executed (Exh. A4) in his favour, by necessary implication, stood ratified and reaffirmed, and the acts performed by the said power of attorney holder could not thereafter be questioned or doubted in a Court of law. He further urged that the findings recorded by the trial Court as well as the High Court, holding that the unregistered power of attorney (Exh. A4) executed by the defendant–respondent in favour of her brother, Shri Muhammed Rafi Thangal, stood revoked with effect from 4th September, 2002, are contrary to the material available on record and suffer from manifest error.

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19. He further drew the Court's attention to the written statement filed by the defendant–respondent, wherein the validity of the agreement was expressly admitted, and the only objection raised pertained to limitation. It was pointed out that in the written statement, the defendant–respondent admitted that the agreement dated 14th May, 2007 (Exh.A1), was negotiated on her behalf by her son, Shri Rasheeq Ahmed, acting as her power of attorney holder. It was reiterated by learned senior counsel that the subsequent acts performed by Shri Muhammed Rafi Thangal were duly and expressly ratified by the defendant–respondent.
20. He further submitted that in the entire written statement, the defendant–respondent did not deny or dispute the affidavit (Exh. A5) dated 30th April, 2013, affirming her ratification of all the acts done by Shri Muhammed Rafi Thangal in furtherance of the unregistered power of attorney (Exh. A4).
21. Shri Agrawal also pointed out that the stand taken by the defendant–respondent that the unregistered power of attorney (Exh. A4) executed in favour of Shri Muhammed Rafi stood revoked on 4th September, 2002 upon execution of the registered power of attorney (Exh. B1) in favour of her son Shri Rasheeq Ahmed (DW-1), is belied by the fact that she herself affirmed validity of the agreement (Exh. A1) dated 14th May, 2007 which was executed by Shri Muhammed Rafi Thangal on strength of the disputed unregistered power of attorney (Exh. A4). Furthermore, she issued a notice dated 10th November, 2012 to Shri Muhammed Rafi and the educational authorities, for the first time, expressing her intent to revoke the said unregistered power of attorney (Exh. A4).
22. He further submitted that the trial Court had affirmed the evidentiary value of the affidavit (Exh.A5) by treating it as an admission of the defendant–respondent, but thereafter proceeded to discard the said document on the basis of the testimony of Shri Rasheeq Ahmed (DW-1), the son of the defendant–respondent. It was urged that if the defendant–respondent had any intention to prove revocation of the power of attorney executed in favour of Shri Muhammed Rafi Thangal (Exh. A4) or to disown the affidavit (Exh. A5), she ought to have stepped into the witness box herself. However, admittedly, the defendant–respondent did not enter the witness box during the trial.

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23. He, therefore, urged that it is a fit case wherein this Court should exercise its jurisdiction under Article 136 of the Constitution of India for balancing the equities by setting aside the impugned judgment and directing the specific performance of the agreement to the extent of the 1/11th share of the respondent-defendant.

Submissions on behalf of the defendant-respondent

24. *Per contra*, Ms. Menaka Guruswamy, learned senior counsel appearing for the defendant-respondent, vehemently and fervently opposed the submissions advanced on behalf of the plaintiff-appellant. She submitted that the power of attorney (Exh. A4) executed in favour of Shri Muhammed Rafi Thangal was an unregistered document, whereas the power of attorney executed (Exh. B1) in favour of Shri Rasheeq Ahmed (DW-1), the son of the defendant-respondent, was a registered instrument. It was contended that upon execution of the registered power of attorney (Exh. B1), the earlier unregistered power of attorney (Exh. A4) stood automatically revoked.
25. Without prejudice to the above, she further contended that the unregistered power of attorney (Exh. A4) executed by the defendant-respondent in favour of her brother, Shri Muhammed Rafi Thangal, did not authorise him to convey the plaint schedule property to any third party without the express consent of the executant, and, therefore, the defendant-respondent could not be bound by the acts undertaken by Shri Muhammed Rafi Thangal acting under the unregistered power of attorney (Exh. A4). It was further submitted that the original agreement (Exh. A1) *inter se* the parties, bearing the endorsement of Shri Rasheeq Ahmed (DW-1), the son of the defendant-respondent and her power of attorney, was executed on 14th May, 2007, and only a sum of Rs.25,00,000/- was paid as advance at the time of its execution. It was urged that the suit came to be instituted in the year 2013 and was thus clearly barred by limitation in view of the Article 54 of Schedule to the Limitation Act, 1963.
26. She further submitted that the affidavit (Exh. A5) was executed solely with a view to facilitating the continued functioning of the school and not for the purpose of transferring the share of the defendant-respondent in the suit property. It was contended that the said document was, therefore, rightly not relied upon by the trial Court as well as the High Court in favour of the plaintiff-appellant. She

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further submitted that the defendant–respondent is willing to make a counter offer to purchase the entire property for a consideration of Rs.3 crores, being the amount originally stipulated under the agreement (Exh. A1).

27. She, therefore, urged that this Court ought not to interfere with the concurrent findings of facts recorded by the trial Court and the High Court, whereby the suit instituted by the plaintiff-appellant was dismissed.

Discussion and Analysis

28. We have given our thoughtful consideration to the submissions advanced at bar and have gone through the material available on record.
29. At the outset, it may be noted that the plaint schedule 1/11th share of the defendant-respondent forms part of a larger tract of land admeasuring three acres thirty-five cents originally owned by her late father Shri Seethi Thangal. A school was built on the entire three acres area and is presently being run by the plaintiff-appellant.
30. The plaintiff-appellant has consistently asserted that, having regard to the requirements of the Kerala Education Rules, 1959, the campus of a higher secondary school cannot be reduced below three acres and, but for such statutory constraint, he would have conveniently given up the claim for the 1/11th share of the defendant-respondent in the plaint schedule property.
31. It is further a matter of record that during the course of hearing of the appeal, this Court made efforts to facilitate a settlement through mediation, and the plaintiff-appellant offered a handsome amount of Rs.75 lakhs to the defendant-respondent. However, the said offer was point-blank refused by the defendant-respondent, who seems to have been overcome by greed owing to the difficulty faced by the plaintiff-appellant who would risk losing the right to operate the school in case the land area is reduced to less than three acres.
32. It is in this background that we shall now proceed to examine the material available on record to determine whether the view taken by the High Court in affirming the rejection of the suit by the trial Court is justified.

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33. The High Court dismissed the suit primarily on two grounds, namely: -
- (i) The failure of the plaintiff-appellant to establish readiness and willingness to perform his obligations under the contract (Exh.A-1);
 - (ii) limitation.
34. On the first aspect, it may be noted that the factum of three extensions dated 14th April, 2008 (executed by all nine co-sharers); 7th August, 2010 and 7th July, 2011(executed by the power of attorney holder, Shri Muhammed Rafi Thangal), stands duly proved by the plaintiff-appellant through unimpeachable and credible evidence. It was only on 14th November, 2012, that the defendant-respondent, for the first time, caused publication of a newspaper notice purporting to revoke the power of attorney executed in favour of Shri Muhammed Rafi Thangal. Furthermore, the defendant-respondent does not even dispute the validity of the agreement (Exh. A1) dated 14th May, 2007 which was executed by Shri Muhammed Rafi Thangal acting on the unregistered power of attorney (Exh. A4). In this backdrop, the theory projected by the respondent that the power of attorney executed by her in favour of Shri Muhammed Rafi Thangal stood revoked as far back as the year 2002 is *ex facie* untenable and contrary to the record.
35. The most crucial and vital document, which, in our considered view, tilts the balance in favour of the plaintiff-appellant, is the affidavit (Exh. A5) executed by the defendant on 30th April, 2013. The execution of the said affidavit (Exh. A5) was neither disputed nor denied by the defendant–respondent, who admittedly did not enter the witness box in the suit proceedings. Instead, her son Shri Rasheeq Ahmed alone was examined as DW-1. A plain reading of the affidavit, particularly the highlighted portions (*supra*) thereof, clearly establish that the defendant–respondent not only ratified the acts performed by the power of attorney holder, her brother Shri Muhammed Rafi Thangal, but also expressly conveyed her no-objection to the change in management and so also the ownership of the school and the properties appurtenant thereto in favour of the plaintiff-appellant. Once the two facts, i.e., the publication of notice in the year 2012 for revocation of the unregistered power of attorney (Exh. A4) and the affidavit dated 30th April, 2013 are cumulatively taken into account, manifestly, limitation would start running from the later date because

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it is, at that stage, that the respondent-defendant finally refused execution of sale deed to the extent of her share in the suit property.

36. In this backdrop, we are of the firm view that the issue of limitation was erroneously decided by the trial Court as well as the High Court, leading to an unjustified rejection of the suit instituted by the appellant.
37. As the execution of the affidavit (Exh. A5) is not in dispute, the period of limitation would commence from the said date, i.e., 30th April, 2013. We have no hesitation in holding that the suit was instituted within the prescribed period of limitation, reckoned from the date of the affidavit. The said affidavit (Exh. A5) not only ratifies the acts performed by the power of attorney holder Shri Muhammed Rafi Thangal but also records the unequivocal no-objection of the executant–defendant to transfer the ownership of the property in favour of the plaintiff-appellant.
38. There is no dispute that pursuant to the last extension, the plaintiff-appellant paid the remaining sale consideration which was accepted by eight co-sharers of the defendant-respondent and the partial sale deed to that extent, stood executed in his favour on 8th May, 2013. Thus, the issue of readiness and willingness was also wrongly decided against the plaintiff-appellant and in favour of the defendant-respondent.
39. In this background, we are of the firm opinion that the High Court committed grave error in the facts as well as in law in dismissing the appeal suit filed by the plaintiff-appellant and affirming the judgment of the trial Court.
40. The impugned judgments do not stand to scrutiny and are hereby set aside.
41. The plaintiff-appellant is held entitled to conveyance of the 1/11th share of the defendant–respondent in the plaint schedule property. The trial Court shall determine the balance sale consideration payable to the defendant-respondent, having regard to the original consideration stipulated in the principal agreement for sale (Exh. A1), and shall apply simple interest at the rate of 9% thereon. The appellant shall deposit the said amount before the trial Court within a period of two months from the date of such determination, whereupon a registered sale deed in respect of the suit schedule property shall be executed in favour of the appellant.

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42. The appeal is allowed in these terms. No costs.
43. Decree be prepared accordingly.
44. Pending application(s), if any, shall stand disposed of.

CIVIL APPEAL NO(S). 3895 OF 2022

45. This appeal is preferred against the interim order dated 19th November, 2021 passed by the High Court in Writ Appeal No.1425 of 2021.
46. The writ appeal was preferred by defendant-respondent Sakeena Beevi through her power of attorney holder Shri Rasheeq Ahmed (DW-1), assailing the order dated 11th October, 2021 passed by the learned Single Judge. By the said order, learned Single Judge upheld the decision of the Director of Public Instruction (DPI) rejecting the representation preferred by the writ petitioner against the proposed assignment of the ownership and management of Aleemul Islam Higher Secondary School, Padoor to the plaintiff-appellant (respondent No. 3 before the High Court). Accordingly, the writ petition was dismissed and the order of the DPI was affirmed.
47. The writ petitioner alleged that since she had not agreed to sell her share from the joint family land on which the school existed, the total land area of the school fell below 3 acres mandatorily required to operate a higher secondary school as per Rule 5A Chapter 3 of the Kerala Education Rules, 2005. The DPI, however, rejected the representation of the writ petitioner. As stated above, the writ petition also came to be rejected.
48. During the pendency of the writ appeal, the District Education Officer (DEO), Chavakkad, by order dated 15th November, 2021 recognised the plaintiff-appellant as the Manager of the school w.e.f. 3rd September, 2019.
49. The Division Bench stayed the effective operation of the order of learned Single Judge dated 11th October, 2021 and also the order dated 15th November, 2021 passed by the DEO during pendency of the writ appeal. Consequently, the management of the school was directed to be vested with the DEO, Chavakkad. While providing for this interim arrangement, the Division Bench directed the DEO to discharge the functions of the Manager on the joint instructions of the writ petitioner and the plaintiff-appellant.

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50. Learned counsel representing the State of Kerala vehemently and fervently contended that looking to the disputes pending between the parties pertaining to 1/11th share of the defendant (writ appellant) in the suit schedule property, the High Court, rightly passed the impugned order making an interim arrangement for management of the school so that the functioning thereof would not suffer. He urged that as the DEO has been ordered to act under the instructions of the writ petitioner as well as the plaintiff-appellant herein, no prejudice would be caused to any of the parties in continuing such arrangement.
51. By way of judgment passed in Civil Appeal No. 3894 of 2022, we have granted the decree of specific performance in favour of the plaintiff-appellant. In view of the above decision, manifestly, the plaintiff-appellant would have available to him the full tract of 3 acres land for running the school as required under the Kerala Education Rules, 2005.
52. Hence, there is no further requirement of continuing the interim arrangement as directed by the High Court by the impugned order.
53. Consequently, the impugned order dated 19th November, 2021 passed by the High Court is set aside.
54. The appeal is allowed in these terms. No costs.
55. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeals allowed.

[†]Headnotes prepared by: Divya Pandey

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(Civil Appeal No. 14250 of 2025)

08 January 2026

[Rajesh Bindal* and Manmohan, JJ.]

Issue for Consideration

Issue arose as to whether on mere admission in a course, right is conferred for appointment on the post of Ayurvedic Staff Nurse.

Headnotes[†]

Service law – Appointment – Post of Ayurvedic Staff Nurse – Advertisement inviting application for the course of Ayurvedic Nursing Training – Respondent admitted and thereafter passed out from government institutions between 2015-19 – Representation before the competent authority seeking appointment, however was rejected – Respondent then filed writ petition – Case of the appellant-State that earlier there were only 20 seats in one government college for imparting Ayurvedic Nursing Training Course, and after completion they were being given appointment, however post 2011, there was a change in policy, the permission was granted to number of private colleges to impart training in that course, and the availability of candidates for appointment on the post of Ayurvedic Staff Nurse was more, hence, due process of selection was required to be followed, and post was now required to be filled up by the UPSSSC – However, the High Court allowed the writ petition – Appeal thereagainst also dismissed – Correctness:

Held: Direction issued by the High Court mandating the State to consider the candidature of respondents for appointment as Ayurvedic Staff Nurse in a Medical College, Hospital or Dispensary under the State Government, cannot be legally sustained – Perusal of the advertisement inviting application for the course of Ayurvedic Nursing Training, shows that no promise had been made for

* Author

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appointment – Clause 9 in the advertisement clearly stipulated that only in case the candidate is appointed after training, he/she shall compulsorily serve the government for at least 5 years – Bond was only meant for the candidate selected for the government service – Principle of legitimate expectation cannot be applied as there was a change in policy and scheme of government – Existing facts and circumstances underwent a substantial shift from the year 2012, when the private institutions were granted permission to conduct the Ayurvedic Nursing Training Course, by way of government order – Candidates pursuing the said course had grown exponentially and all such candidates could not be recruited after training due to limited vacancies – Respondent-candidates failed to identify any specific clause in the advertisements for admission to the course that guarantees right to appointment upon admission – While advertisements for private colleges explicitly state that admission does not grant a right to appointment, the absence of this specific disclaimer in government college advertisements does not mean a right to appointment is automatically implied – Past practice was merely on the basis of the situation at the relevant time when there were only 20 seats for imparting education for Ayurvedic Nursing Training Course and only one government institution was authorized to conduct the course – Since there were more vacancies, most of them may have been adjusted – There were no appointments made by following the earlier system available – There was change in the process of selection as well, earlier the selection was being made by UPPSC, now it was being made by UPSSSC – After the change in policy of the government permitting private institutions to impart training for Ayurvedic Nursing Training Course, the availability of candidates was much more as compared to the earlier regime – Available vacancies with the government being less, the normal rule provides for a selection process to be followed so that the best available candidate is selected – Thus, no violation of Art. 14 as, there was no discrimination against the respondents or that the action of the State was arbitrary – Essence of discrimination is the unequal treatment of equals; however, the State clearly established that no appointments were made under the old system for any candidate admitted after the 2010-11 session – Since no batchmates of the respondent, nor any other candidates passing out after the first private college in 2016, given direct appointments, no instance of similarly situated person being

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treated preferentially – Plea of discrimination factually and legally unsustainable – Thus, the impugned judgment of the High Court set aside. [Paras 19-21, 26-28]

Case Law Cited

N. Suresh Nathan and Anr. v Union of India and Ors [1991] **Supp. 2 SCR 423 : (1992) Supp. 1 SCC 584**; *Sivanandan C T and Others v. High Court of Kerala and Others*, **2023 INSC 709 : [2023] 11 SCR 674 – referred to.**

List of Acts

United Provinces [Indian Medicines] Act, 1939; Uttar Pradesh Ayush Department (Ayurved) Nursing Service Rules, 2021.

List of Keywords

Admission; Appointment; Post of Ayurvedic Staff Nurse; Course of Ayurvedic Nursing Training; Government institutions; Representation before competent authority; Change in policy; Availability of candidates for appointment; Process of selection; Government service; Principle of legitimate expectation; Right to appointment upon admission; Discrimination; Unequal treatment of equals.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 14250 of 2025

From the Judgment and Order dated 17.01.2025 of the High Court of Judicature at Allahabad, Lucknow Bench in SPLA No. 214 of 2020

With

Civil Appeal No(s). 14251 and 14252 of 2025

Appearances for Parties

Advs. for the Appellant(s):

Ms. Sakshi Kakkar, Mrigank Mishra, Ms. Gargi.

Advs. for the Respondent(s):

Varun Singh, Ms. Alankriti Dwivedi, Somesa Gupta, Shivam Sharma, Mudit Gupta, M Shaz Khan, Sudhanshu Tewari, Rafid Akhter, Faizan Ahmed, Talha Abdul Rahman.

Supreme Court Reports**Judgment / Order of the Supreme Court****Judgment****Rajesh Bindal, J.**

1. This order will dispose of three appeals involving common questions of law and facts.
2. The State is before this Court impugning the judgment dated 17.01.2025 passed by the Division Bench of the High Court¹ in Special Appeals² filed by the State. The same were filed against 3 different orders passed by the Single Bench of the High Court in Writ Petitions³ filed by the respondents.
3. For the purpose of consideration of the issues involved, we are noticing facts from Civil Appeal No. 14250 of 2025 (arising out of S.L.P.(C) No.19707 of 2025).
4. Taking us through the long history of facts of the case, learned counsel for the State submitted that vide Government Order dated 12.11.1986, procedure for selection of candidates for Ayurvedic Nursing Training Course in the State was circulated. The selection procedure was specified which provided for written examination followed by an interview and the marks assigned for the same. Tone and tenor of the aforesaid order clearly established that the same was meant for selection of the candidates for the purpose of training for Ayurvedic Nursing Training Course and not for appointment. This was followed by another Government Order dated 22.04.2010. Earlier permission was being granted to continue with the aforesaid course on year-to-year basis. Realizing the need thereof, it was directed that no fresh permission was required every year.
 - 4.1 In the aforesaid backdrop, an advertisement was issued on 23.09.2013 inviting applications for admissions to the Ayurvedic Nursing Training Course for the year 2013-14. The notice clearly suggested that for the aforesaid session, the admission was for 20 seats in the Government Ayurvedic College and Hospital,

1 High Court of Judicature at Allahabad, Lucknow Bench

2 Special Appeal Nos.214 and 257 of 2020 and Special Appeal No.317 of 2021

3 Service Single Nos. 12609 and 33476 of 2019 and Service Single No. 3415 of 2020

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Lucknow. Clause 9 of the advertisement provided that after completion of training, in case the government selects any candidate for mandatory service, it shall be incumbent for the candidate to serve the State at least for a period of 5 years from the date of appointment. The candidates had to submit a bond stating that after training, in case they are appointed by the State government, they shall compulsorily serve the State for at least 5 years. Upon failure to abide by this bond, the entire amount paid during the training period to the candidate was recoverable along with interest @12% per annum.

5. A development which had taken place just prior to the issuance of the aforesaid advertisement, as referred by the learned counsel for the State, was a notification dated 21.10.2011, specifying that Ayurvedic Nursing Training Course in Ayurvedic and General Nursing (Unani Nurses) shall now be conducted by the institutions both in the government and non-government sectors. The interested institutions were to seek permission for the same. After due process, 15 institutions were granted permission in the meeting of the Board⁴ held on 29.03.2012 to impart the aforesaid training. The permission was granted in exercise of powers under the United Provinces [Indian Medicines] Act, 1939.
6. After this permission was granted, even the private institutions started admitting candidates for the aforesaid course. Consequently, the number of pass outs were much more than the vacancies and many times more than those who were earlier getting admission in the government institution.
7. Reference was made to the communication dated 23.12.2013, wherein the respondent was called for appearing in the written examination. Thereafter, vide letter dated 14.02.2024, she was notified about her selection and was required to appear and complete the formalities to be considered for admission in the Ayurvedic Nurses Training Session 2013-14.
8. Learned counsel have further referred to a notification dated 15.12.2014 issued by the State directing that the selection process for the post carrying Pay Band-1 (Rs.5200-20200), Grade Pay

4 Board of Ayurvedic, Unani, and Tibbia, Systems of Medicine, Uttar Pradesh

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Rs.1900/- and above but below Pay Band-2 (Rs.9300-34800), Grade Pay Rs.4600/- shall come within the purview of Uttar Pradesh Subordinate Services Selection Commission.⁵ Notification further stated that for the posts aforementioned, the requisitions already forwarded to the Uttar Pradesh Public Service Commission⁶ shall continue to be processed and finalized by the said Commission. For the present and future vacancies, this exercise shall be undertaken exclusively by the UPSSSC. It was submitted that at that relevant time there were no service rules notified for the post in question.

9. Further, the argument raised by learned counsel for the appellant is that when the respondents passed out, there was a change in the process of selection. By that time, number of private colleges having the requisite infrastructure for imparting Ayurvedic Nursing Training Course were granted permission to start the aforesaid course. The availability of candidates, thus, became more in number. Due selection process was required to be followed to select the best available candidates, as compared to the earlier times, when there were only 20 seats in the State for imparting education for the Ayurvedic Nursing Training Course. It is not denied that earlier, they were being given appointment.
10. After the respondent completed her training course in the year 2017, it is claimed that she sent a representation to the competent authority seeking appointment. To expedite the decision thereon, the respondent filed Writ Petition⁷ before the High Court, seeking a direction for her appointment. The same was disposed of on 19.07.2019 permitting the respondent/petitioner therein, to file a representation before the respondent No. 2 therein and the same was directed to be decided within a period of 3 months from the date of receipt of the copy of the said order. After due consideration, the representation made by the respondent/petitioner therein was rejected by the competent authority vide order dated 25.09.2019. The basis for the rejection was twofold: firstly, it was asserted that there were currently no notified service rules for Ayurvedic Nurses, and the matter of promulgation was under active consideration by

5 Hereinafter, "UPSSSC"

6 Hereinafter, "UPPSC"

7 Service Single No. 19652/2019

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the Government; secondly, reliance was placed on the notification dated 15.12.2014, stating that the pay scales for the post of Ayurvedic Staff Nurse had been revised, which now fall in Pay Band II (Rs. 9300-34800) with Grade Pay of Rs. 4600. Due to this revised pay scale, the direct recruitment for this post fell within the purview of the UPSSSC. The competent authority concluded that a requisition for appointment could only be forwarded to the UPSSSC subsequent to the notification of the relevant service rules.

11. Another factor pointed out by the learned counsel for the appellant was that no appointments were made to the post of Ayurvedic Staff Nurses from 15.12.2014 except some appointments given in 2015. It encompassed candidates who had been admitted to the training course up to the year 2010-11. This is evident from the letter dated 28.05.2015, brought on record by the appellant, which refers to an order passed by the High Court.
12. The aforesaid rejection order dated 25.09.2019 was challenged by the respondent by filing Writ Petition⁸ before the High Court. Definite stand taken by the State before the High Court was that mere admission in the course did not give any right of appointment. There was a change in policy. Permission had been granted to number of private colleges to impart training in that course. The availability of candidates for appointment on the post of Ayurvedic Staff Nurse was more. Hence, due process of selection was required to be followed. Further, the post was now required to be filled up by the UPSSSC.
13. The aforesaid Writ Petition was allowed by the High Court. Reference was made to the letter dated 28.05.2015 placed on record, which showed the relevant policy being followed for the previous batches and it further indicated that certain appointments had been made in the same manner even after the issuance of the government order dated 15.12.2014.
14. The State preferred intra-court appeal.⁹ The same was dismissed vide the impugned order. The opinion of the High Court was that the case of the respondent falls within the principles of legitimate expectation as the erstwhile policy, which was in accordance with

8 Service Single No. 33476/2019

9 Special Appeal No. 214/2020

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Government Order dated 12.11.1986, had been followed for number of years. The candidates who were admitted in the course were being appointed immediately after completion of their training.

15. In the aforesaid factual matrix, learned counsel for the appellant argued that the government order issued on 12.11.1986 only provided a selection procedure for Ayurvedic Nursing Training course for the academic session commencing from 1986. The permission was only for imparting training. The condition in the advertisement regarding the five-year bond was only in case of selection for the post of Ayurvedic Nurse Staff but that did not entitle them for appointment. The condition of bond was applicable only for those who were selected and appointed. Earlier appointments were being given to all the candidates who passed the course of Ayurvedic Nursing Training as there were only 20 seats. Whereas after permission was granted to 15 private colleges to conduct the Ayurvedic Nursing Training, the number of available candidates increased manifold and proper process of selection was required to be followed to select the most competent candidates for the purpose of appointment. The issue of legitimate expectation will not be applicable in the case in hand as the process of selection changed later on. As opposed to the earlier regime, the selection was now required to be undertaken by the UPSSSC for the most suitable candidates. The appointments given in May 2015 were due to an order passed by the High Court in a Writ Petition and that will not give a right of appointment to the respondents. There may be few candidates before this court, however, there are number of petitions pending on the same issue in the High Court. Much water has flown after such candidates have passed out. They can very well compete, whenever the process of selection is notified, subject to their eligibility and thereafter, the meritorious candidates shall be selected.
16. On the other hand, learned counsel for the respondent submitted that from the year 1972 till 2015, the process followed by the State was that whosoever got admission in the course was given appointment as an Ayurvedic Staff Nurse. The bond was required to be furnished at the time of the admission of the course itself. The respondents had passed out from a government institution and not from a private college. The language used in the advertisement issued for admission in a private college was different as it clearly specified that admission will not bind the Board of Ayurvedic and

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Unani Tibbi System of Medicine to offer government service to the trained candidates. Such a clause was missing in the advertisement issued in the present case at the time when the respondent had got admission. The respondent certainly had legitimate expectation at the time of admission in the course as the same system was being followed for decades. Only after seeing those batches, the respondent thought of choosing this career. Even the notification issued by the government on 15.12.2014 will not take away the right of the respondent. In fact, there was no change in the policy after the government order dated 20.11.2011. It is only that some private colleges were also granted permission to impart training of Ayurvedic Nursing course. The process of selection remained the same. In fact, the appointments made in the year 2015 even after the notification of 15.12.2014 clearly show that, the State was still continuing with the old process. The original policy remained the same even at the time of rejection of the representation of the respondent, regardless of the fact that certain private colleges had been granted permission to impart training for Ayurvedic Nursing course. The batches admitted up to 2013-14 prior to the notification dated 15.12.2014, certainly have right of legitimate expectation. He further referred to a communication of the government dated 29.02.1968 to submit that the trainees undergoing the training of Ayurvedic/Unani Nurses will be treated as on duty under the Fundamental Rule 9(6)(b) of the financial hand book Volume II Part II and they were to be paid travel allowances. In support of the argument, reliance was placed on the judgment of this Court in **N. Suresh Nathan and Anr. Vs Union of India and Ors.**¹⁰

17. Heard learned counsel for the parties and perused the relevant referred record.
18. Though the facts have been noticed in detail in the previous paras, still briefly, we reiterate the same. These may be relevant for consideration of the arguments raised by the learned counsel for the parties. From 1986 onwards, till certain private institutions were granted permission to impart training of Ayurvedic Nursing Course, the same was being conducted only by government institution¹¹ with

¹⁰ (1992) Supp. 1 SCC 584

¹¹ Government Ayurvedic College and Hospital, located on Tulsidas Marg (also referred to as Turiyaganj) in Lucknow, Uttar Pradesh.

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intake of 20 students. At that time, the vacancies may have been more, so those were filled with the available candidates, who were given appointments. With the change in the policy vide notification dated 21.10.2011 even the private institutions were permitted to impart education for the aforesaid course. As a result, the number of pass outs increased. The first batch which passed out from the private college was in the year 2016. No doubt, the respondent had passed out from a government institution. However, the fact remains that when she passed out in the year 2017, there was a change in the policy. The selection to the post of Ayurvedic Staff Nurse was to be made by the UPSSSC.

19. The issue arises as to whether mere admission in a course, right is conferred for appointment on the post of Ayurvedic Staff Nurse. A perusal of the advertisement inviting application for the course of Ayurvedic Nursing Training, shows that no such promise had been made. Rather, Clause 9 in the advertisement clearly stated that a candidate who is finally selected for the mandatory service-training by the State Government, shall have to execute a bond in the favour of the government. It stipulated that only in case the candidate is appointed after training, he/she shall compulsorily serve the government for at least 5 years. It is not that the bond was applicable for all the candidates. It was only meant for the candidate selected for the government service.
20. It is on record that the respondents in the present appeals passed out from government institutions between 2015-19. When the permission for imparting Ayurvedic Staff Nurse Training Course was initially granted in the year 2012, only 15 private colleges had started the course. However, as stated by the appellants in their appeals before the High Court, with the passage of time, precisely, by the year 2019-20, nearly 311 institutions were conducting Ayurvedic Nursing Training Course. Thus, the number of pass outs had far outnumbered the available vacancies. As a result, it was impossible to recruit all the pass outs. Besides, appointing candidates passing out of government institutions and not offering the same to the candidates passing out of private institutions would have led to discrimination.
21. It may be far-fetched to apply the principle of legitimate expectation to the case in hand as there was a change in policy and scheme of government. The existing facts and circumstances underwent a

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substantial shift from the year 2012, when the private institutions were granted permission to conduct the Ayurvedic Nursing Training Course, by way of government order dated 21.10.2011. As noted above, the candidates pursuing the aforesaid course had grown exponentially and all such candidates could not be recruited after training due to limited vacancies. Further, the respondent-candidates have failed to identify any specific clause in the advertisements for admission to the course that guarantees a right to appointment upon admission. While advertisements for private colleges explicitly state that admission does not grant a right to appointment, the absence of this specific disclaimer in government college advertisements does not mean a right to appointment is automatically implied. Further, it is pertinent to note that the notice for admission for 20 seats in the Ayurvedic Nursing Training course was issued by the government college itself whereas for a private institution, the notice was issued by the Board.

22. It is the definite case of the State that no appointments were made as per the old system when the State was offering appointments to the candidates who had passed out from the government institution. After the issuance of notification dated 15.12.2014, except for few appointments in the year 2015, no appointments were made. It was on account of order of Court. Those were also of the students who were admitted upto the session 2010-11, which is prior to issuance of notification dated 15.12.2014 as well as granting of permission to private institutions to impart training of the Ayurvedic Nursing course. Thereafter, the selections were made only by the UPSSSC as service rules for the post in question had also been notified vide the Uttar Pradesh Ayush Department (Ayurved) Nursing Service Rules, 2021, which came into force w.e.f. 18.11.2021.
23. As far as the judgment of ***N. Suresh Nathan case (supra)***, relied upon by learned counsel for the respondent, is concerned, the same deals with an issue where a long-standing practice of construction of service rules was sought to be upset. The issue considered in the aforesaid judgment is summed up in paragraph 2 thereof, which is extracted below:

“2. The dispute in the present case is whether a Diploma-holder Junior Engineer who obtains a Degree while in service becomes eligible for appointment as Assistant

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Engineer by promotion on completion of three years' service including therein the period of service prior to obtaining the Degree or the three years' service as a Degree-holder for this purpose is to be reckoned from the date he obtains the Degree. The Diploma-holders contend that they are entitled to include the earlier period and would be eligible for promotion in this category on obtaining the Degree if the total period of service is three years inclusive of the earlier period. The Degreeholders contest this position and contend to the contrary. According to the Degree-holders, these are two distinct categories. In the first category are Degree-holders with three years' service in the grade as Degree-holders, the period of three years being subsequent to the date of obtaining the Degree as in the case of the Junior Engineers who join the service with a Degree; and the other category is of Diploma-holders with six years' experience."

24. It was finally opined that the relevant recruitment rules must be interpreted to mean that the three years of service required in the grade of degree-holder is to be reckoned only from the date of obtaining the degree, as the department had consistently followed the practice of counting the three-year period only from the date the degree was obtained. The Court concluded that since this interpretation was legally tenable and supported by consistent past practice, it would be inappropriate to unsettle it.
25. The doctrine of legitimate expectation under the Indian Law was recently considered by a Constitution Bench of this Court in ***Sivanandan C T and Others vs. High Court of Kerala and Others***¹². While referring to various judgments of this Court, in paragraphs 43 and 44 of the aforesaid judgment, this Court opined as under:

"43. The underlying basis for the application of the doctrine of legitimate expectation has expanded and evolved to include the principles of good administration. Since citizens repose their trust in the state, the actions and policies of the state give rise to legitimate expectations that the state

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will adhere to its assurance or past practice by acting in a consistent, transparent, and predictable manner. The principles of good administration require that the decisions of public authorities must withstand the test of consistency, transparency, and predictability to avoid being regarded as arbitrary and therefore violative of Article 14.

44. From the above discussion, it is evident that the doctrine of substantive legitimate expectation is entrenched in Indian administrative law subject to the limitations on its applicability in given factual situations. The development of Indian jurisprudence is keeping in line with the developments in the common law. The doctrine of substantive legitimate expectation can be successfully invoked by individuals to claim substantive benefits or entitlements based on an existing promise or practice of a public authority. However, it is important to clarify that the doctrine of legitimate expectation cannot serve as an independent basis for judicial review of decisions taken by public authorities. Such a limitation is now well recognized in Indian jurisprudence considering the fact that a legitimate expectation is not a legal right. It is merely an expectation to avail a benefit or relief based on an existing promise or practice. Although the decision by a public authority to deny legitimate expectation may be termed as arbitrary, unfair, or abuse of power, the validity of the decision itself can only be questioned on established principles of equality and non-arbitrariness under Article 14. In a nutshell, an individual who claims a benefit or entitlement based on the doctrine of legitimate expectation has to establish: (i) the legitimacy of the expectation; and (ii) that the denial of the legitimate expectation led to the violation of Article 14."

26. Two tests have been laid down, one being the legitimacy of the expectation and second being denial of legitimate expectation that led to violation of Article 14. When the facts of the case are examined in the light of the enunciation of law in the aforesaid judgment of the Constitution Bench of this Court, may be, at the cost of petition, we need to add that in the case in hand, the past practice was merely on the basis of the situation at the relevant time when there were only 20 seats for imparting education for Ayurvedic Nursing Training

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Course and only one government institution was authorized to conduct the course. Since there were more vacancies, most of them may have been adjusted. However, subsequently there was change in the policy as number of private institutions were permitted to impart education for the Ayurvedic Nursing Training Course. It is also on record that there were no appointments made by following the earlier system available after 15.12.2014, except few as is evident the letter dated 28.05.2015. It is evident therefrom that only the candidates who were admitted till the year 2010-11 were given appointment and that too due to Court order. The private colleges were permitted to impart education thereafter.

27. Statutory rules governing the post had not been framed earlier, and the same came to be framed in the year 2021. There was change in the process of selection as well, namely, earlier the selection was being made by UPPSC, now it was being made by UPSSSC. Further, after the change in policy of the government permitting private institutions to impart training for Ayurvedic Nursing Training Course, the availability of candidates was much more as compared to the earlier regime where only 20 seats in the government institution were there. The available vacancies with the government being less, the normal rule provides for a selection process to be followed so that the best available candidate is selected. There is no violation of Article 14 as, in the facts of this case, it cannot be opined that there was any discrimination against the respondents or that the action of the State was arbitrary. The essence of discrimination is the unequal treatment of equals; however, the State has clearly established that no appointments were made under the old system for any candidate admitted after the 2010-11 session. Since no batchmates of the respondent, nor any other candidates passing out after the first private college batch in 2016, were given direct appointments, there is no instance of a similarly situated person being treated preferentially. The respondent has failed to point out a single candidate from her own batch or subsequent batches who was directly appointed by the State, thereby rendering the plea of discrimination factually and legally unsustainable.
28. For the reasons mentioned above, in our view, the direction issued by the High Court mandating the State to consider the candidature of respondents for appointment as Ayurvedic Staff Nurse in a Medical College, Hospital or Dispensary under the State Government, cannot

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be legally sustained and is set aside. The appeals are, accordingly, allowed, while setting aside the impugned judgment of the High Court.

29. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

^tHeadnotes prepared by: Nidhi Jain

C.S. Prasad
v.
C. Satyakumar and Others
(Criminal Appeal No. 140 of 2026)

08 January 2026

[Sanjay Karol and Prashant Kumar Mishra,* JJ.]

Issue for Consideration

Issue arose whether the High Court erred in quashing the criminal proceedings against respondent Nos.1 to 3 in the criminal case arising out of FIR.

Headnotes[†]

Code of Criminal Procedure, 1973 – s.482 – Quashing the criminal proceedings – Family property dispute – Civil matter and criminal prosecution – Complaint by appellant alleging that respondents by abusing advanced age and medical vulnerability of the executants, caused execution and registration of settlement deeds to their unlawful advantage, used the documents as genuine for deriving proprietary benefits, disclosing dishonest intention at the inception of the transaction as well as fabrication and wrongful use of documents – Criminal case registered arising out of FIR u/ss.417, 420, 465, 468 and 471 IPC – Prior thereto, civil suit had also been filed challenging the validity of the settlement deeds – Respondents sought quashment of entire criminal proceedings u/s.482 – High Court quashed the same holding that the dispute was of civil nature, there was delay and suppression of facts – Correctness:

Held: High Court must avoid usurping the function of a trial court or conducting a mini-trial when disputed factual questions attend the maintainability of a complaint – Only requirement is to examine whether the uncontroverted allegations, as contained in the FIR, taken at their face value, disclose the commission of any cognizable offence – Whether these allegations can ultimately be proved is a matter strictly within the province of the trial court – High Court not right in quashing the proceedings primarily on the ground that the

* Author

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validity of the settlement deeds has been upheld in the proceedings before the Civil Court – Civil liability and criminal liability may arise from the same set of facts and that the pendency or conclusion of civil proceedings does not bar prosecution where the ingredients of a criminal offence are disclosed – Civil adjudication cannot always be treated as determinative of criminal culpability at the stage of quashment – Moreover, the civil proceedings have not attained finality – Adjudication of forgery, cheating or use of forged documents in relation to a settlement deed will always carry a civil element – Thus, there cannot be any general proposition that whenever dispute involves a civil element, a criminal proceeding cannot go on – Criminal liability must be examined independently – To permit quashing on the sole ground of a civil suit would encourage unscrupulous litigants to defeat criminal prosecution by instituting civil proceedings – High Court erred in law by embarking upon an inquiry with regard to the conduct of the appellant and credibility or otherwise of the allegations in the complaint and the FIR – Delay in filing a complaint, by itself, never a ground for quashing criminal proceedings at the threshold – When factual foundation for prosecution exists, criminal law cannot be short-circuited by invoking inherent jurisdiction u/s.482 – Where allegations require adjudication on evidence, proper course is to permit the trial to proceed in accordance with law – On facts, the issues relating to the state of mind of the executants at the time of execution of the settlement deeds, the role of respondents in the execution and the use of the settlement deeds, the existence of fraudulent intent, and the manner in which proprietary advantage obtained by them, all require a full-fledged trial on evidence – Thus, impugned order of the High Court quashing the proceedings in the criminal case set aside – Criminal case restored for trial. [Paras 22, 24-29, 30-31]

Case Law Cited

State of Haryana and Others v. Bhajan Lal and Others [1990] Supp. 3 SCR 259 : (1992) Supp. 1 SCC 335; *Neeharika Infrastructure Private Limited v. State of Maharashtra and Others* [2021] 4 SCR 1044 : (2021) 19 SCC 401; *Kathyayini v. Sidharth P.S. Reddy and Others* [2025] 7 SCR 463 : 2025 SCC OnLine SC 1428 – referred to.

List of Acts

Code of Criminal Procedure, 1973, Penal Code, 1860.

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List of Keywords

Quashing criminal proceedings; Family property dispute; Civil matter; Criminal prosecution; Validity of the settlement deeds; Dispute of civil nature; Delay; Suppression of facts; Mini-trial; Civil liability; Criminal liability; Civil adjudication; Criminal culpability; Adjudication of forgery, cheating or use of forged documents.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 140 of 2026

From the Judgment and Order dated 22.10.2024 of the High Court of Judicature at Madras in CRLOP No. 10961 of 2023

Appearances for Parties

Advs. for the Appellant(s):

Ms. Bansuri Swaraj, Sr. Adv., Dr. G. Sivabalamurugan, Selvaraj Mahendran, Harikrishnan P.V, Kavin Ananth. C, C. Aadhikesavan.

Advs. for the Respondent(s):

Amit Anand Tiwari, Sr. Adv./ A.A.G., S. R. Rajagopal, Sr. Adv., Ms. Abhilasha Shrawat, S. Santanam Swaminadhan, Vidhusan C., Shanmitha, Ms. Vaisnavi Jay, Shikhar Bhardwaj, Mrs. Aarthi Rajan, Ms. Purnima Krishna, M.F.Philip, Togin M. Babichen, Mrs. Aarthi Rajan, Ms. Purnima Krishna, Sabarish Subramanian.

Judgment / Order of the Supreme Court

Judgment

Prashant Kumar Mishra, J.

1. Leave granted.
2. The present Appeal arises out of the impugned order dated 22.10.2024 passed by the High Court of Judicature at Madras¹ in CrI.O.P. No. 10961 of 2023 filed under Section 482 of the Code of Criminal Procedure, 1973², whereby the High Court had proceeded to quash

¹ 'High Court'

² 'Cr.PC'

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the proceedings against respondent Nos. 1 to 3 herein in C.C. No. 2 of 2023 arising out of FIR No. 229 of 2021 registered for offences under Sections 417, 420, 465, 468, 471 and 120B of the Indian Penal Code, 1860³ on the file of the learned Special Metropolitan Magistrate-I, Special Court for Exclusive Trial of Land Grabbing Cases, Allikulam, Egmore, Chennai.

3. The appellant herein is Dr. C.S. Prasad, the de-facto complainant, whereas the accused persons are Dr. C. Satyakumar, Dr. Swarnakumari (wife of Dr. C. Satyakumar) and Shri S. Ravi Chitturi (their son), who are respondent Nos. 1 to 3 respectively in this Appeal. Dr. Ranjith Chittoori, who is respondent No. 5 herein, is the nephew of respondent No. 1 and the appellant.

FACTUAL MATRIX

4. The record discloses that the present criminal proceedings arise out of a dispute rooted in the execution of three registered settlement deeds concerning valuable immovable properties situated in Chennai, originally owned by Late Dr. C. Satyanarayana and his wife Late Smt. C. Lakshmi Devi. The couple had three sons, namely, respondent No. 1 (elder son), the appellant herein, and Dr. C. Ranga Rao, who predeceased them in the year 2011. Dr. Ranjith Chittoori is the son of the predeceased Dr. C. Ranga Rao, and nephew of respondent No. 1 and the appellant.
5. During their lifetime, Late Dr. C. Satyanarayana and Late Smt. C. Lakshmi Devi are said to have executed three registered settlement deeds in respect of different properties. The first settlement deed was executed on 31.12.2010 bearing Document No. 2701 of 2010, settling property bearing R.S. Nos. 376/2 and 376/3 Part, Egmore village, Door No. 192, Poonamallee High Road, Chennai, in favour of their elder son, respondent No. 1. Thereafter, a second settlement deed came to be executed on 14.02.2012, registered as Document No. 535 of 2012, in respect of Plot No. 2441, T.S. No.384, Block No.I-D, Anna Nagar, Chennai. Subsequently, a third settlement deed was executed on 30.03.2012, registered as Document No. 707 of 2012, in respect of Door No.57, New Avadi Road, Kilpauk, Chennai-10.

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6. In the interregnum, on 28.03.2012, Late Dr. C. Satyanarayana executed a Power of Attorney⁴ in favour of respondent No. 1, authorising him to present documents for registration. The third settlement deed dated 30.03.2012 was accordingly presented for registration through the said PoA holder. Shortly thereafter, Late Dr. C. Satyanarayana passed away on 18.04.2012, followed by the demise of his wife Late Smt. C. Lakshmi Devi on 22.04.2012.
7. Two years later, in 2014, respondent No. 5 instituted O.S. No. 2190 of 2014 before the learned II Additional Judge, City Civil Court, Chennai, seeking declaration that the three settlement deeds dated 31.12.2010, 14.02.2012 and 30.03.2012 were null and void, along with a prayer for partition and separate possession of the properties. The appellant was arrayed as defendant No. 2 in the said suit and had entered appearance. However, the record reflects that he did not actively contest the proceedings and allowed the matter to proceed *ex parte* against him.
8. During the pendency of civil proceedings, the appellant lodged a Police complaint on 08.01.2020, alleging fraud, impersonation and forgery in the execution of the settlement deeds. After preliminary inquiry, the Police closed the complaint on 17.03.2020, treating the dispute to be of a purely civil nature. Thereafter, the appellant invoked the jurisdiction of the Magistrate by filing Crl.M.P. No. 13803 of 2021 under Section 156(3) of the Cr.PC. On 12.10.2021, the learned Magistrate directed registration of an FIR. Pursuant thereto, FIR No. 229 of 2021 dated 16.12.2021 came to be registered by the Central Crime Branch, Land Grabbing Cell, Egmore, Chennai, for offences under Sections 417, 420, 465, 468 and 471 of the IPC against respondent Nos. 1 to 3 herein and others.
9. Meanwhile, upon completion of the trial in O.S. No. 2190 of 2014, the Civil Court by judgment dated 24.01.2023 dismissed O.S. No. 2190 of 2014, upholding the validity of all the three settlement deeds. Aggrieved by the said decree, respondent No. 5 preferred A.S. No. 403 of 2023 before the High Court. By interim order dated 26.07.2023, the High Court had granted an order of injunction against respondent Nos. 1 to 3 restraining alienation of the properties during the pendency of the appeal.

4 'PoA'

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10. On completion of investigation in FIR No. 229 of 2021, the Police filed a Final Report (FR-18/2023) dated 11.03.2023 before the learned Special Metropolitan Magistrate-I, Special Court for Exclusive Trial of Land Grabbing Cases, Allikulam, Egmore. The learned Magistrate took cognizance of the offences, and the case was registered as C.C. No. 2 of 2023.
11. Earlier, respondent Nos. 1 to 3 had filed Crl.O.P. No. 16932 of 2022 before the High Court seeking quashing of the FIR No. 229 of 2021. However, the said petition was withdrawn on 28.07.2022. After cognizance was taken on the Final Report, respondent Nos. 1 to 3 again approached the High Court by filing Crl.O.P. No. 10961 of 2023 under Section 482 of the Cr.PC seeking quashment of the entire criminal proceedings pending in C.C. No. 2 of 2023 arising from FIR No. 229 of 2021.
12. *Vide* its order dated 22.10.2024, the High Court allowed Crl.O.P. No. 10961 of 2023 and proceeded to quash the criminal proceedings in C.C. No. 2 of 2023 *qua* respondent Nos. 1 to 3, holding *inter alia* that the ingredients of the alleged offences in FIR No. 229 of 2021 were not made out and that the allegations in the complaint amount to giving a civil dispute a criminal color. The High Court also noted that the appellant had suppressed material facts relating to the earlier civil proceedings in O.S. No. 2190 of 2014 initiated by respondent No. 5 in which the appellant was also a party. According to the High Court, all the three settlement deeds were executed during the lifetime of the original owners and were duly registered in accordance with law and that their validity had already been tested and upheld in a full-fledged civil trial by dismissal of O.S. No. 2190 of 2014 and that the appellant, despite being a party to the said suit, had consciously allowed it to proceed *ex parte* against him. Furthermore, the High Court noted that the appellant had knowledge of the impugned transactions since 2014, yet chose to initiate criminal proceedings only in 2020, after an inordinate and unexplained delay. In summation, the High Court was of the view that the continuation of criminal prosecution against respondent Nos. 1 to 3 would amount to misuse of the criminal justice process.
13. Aggrieved, the appellant has preferred the present Appeal challenging the quashing of proceedings against respondent Nos. 1 to 3 in C.C. No. 2 of 2023 arising out of FIR No. 229 of 2021.

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SUBMISSION OF PARTIES

14. Learned counsel for the appellant has argued that the High Court had failed to take note of the fact that the PoA executed by Late Dr. C. Satyanarayana in favour of respondent No. 1 granted only limited authority for registration of the deeds. However, according to the learned counsel for the appellant, respondent No. 1 has misused the authority to execute the settlement deeds in his own favour.
15. Learned counsel for the appellant further submits that the PoA and the subsequent settlement deeds are fraudulent documents and are alleged to have been obtained by deceiving Late Dr. C. Satyanarayana. Learned counsel further highlights that the High Court had failed to take note of the mental state of Late Dr. C. Satyanarayana at the time of executing the settlement deeds.
16. Lastly, the learned counsel for appellant submits that the High Court had erroneously quashed the proceedings against respondent Nos. 1 to 3 on the pretext that the matter was a civil dispute. Learned counsel further submits that both civil and criminal proceedings can co-exist if the ingredients of the offence alleged are made out.
17. *Per contra*, learned counsel for respondent Nos. 1 to 3 has supported the impugned order passed by the High Court quashing C.C. No. 2 of 2023 arising from FIR No. 229 of 2021. Learned counsel argues that the present petition is a misuse of criminal process to re-open a family property dispute that has already been decided in civil proceedings in its judgment dated 24.01.2023 passed in O.S. No. 2190 of 2014.
18. Learned counsel points out that the appellant had full knowledge of the transactions since the filing of the said suit, and had deliberately remained *ex parte* in the civil proceedings. To supplement, learned counsel further points out that the complaint dated 08.01.2020 preferred by the appellant was grossly delayed, and was filed only as a retaliatory measure after the civil litigation.
19. Lastly, learned counsel has submitted that the offences alleged against respondent Nos. 1 to 3 in the complaint are not made out and the same was filed by the appellant only to harass respondent nos. 1 to 3.

ANALYSIS

20. We have heard the learned counsel for the parties and have carefully perused the material on record.

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21. The short issue that arises for our consideration is whether the High Court erred in quashing the criminal proceedings against respondent Nos. 1 to 3 in C.C. No. 2 of 2023 arising out of FIR No. 229 of 2021.
22. The jurisdiction under Section 482 of the Cr.PC is extraordinary in nature and is to be exercised with great caution. This Court in catena of judgments has emphasised that the High Court must avoid usurping the function of a trial court or conducting a *mini-trial* when disputed factual questions attend the maintainability of a complaint. The only requirement is to examine whether the uncontroverted allegations, as contained in the FIR, taken at their face value, disclose the commission of any cognizable offence. In ***State of Haryana and Others vs. Bhajan Lal and Others***⁵, a Division Bench of this Court had discussed about the scope of Section 482 of the Cr.PC as follows:

“102. In the backdrop of the interpretation of the various relevant provisions of the Code under Chapter XIV and of the principles of law enunciated by this Court in a series of decisions relating to the exercise of the extraordinary power under Article 226 or the inherent powers under Section 482 of the Code which we have extracted and reproduced above, we have given the following categories of cases by way of illustration wherein such power could be exercised either to prevent abuse of the process of any court or otherwise to secure the ends of justice, though it may not be possible to lay down any precise, clearly defined and sufficiently channelised and inflexible guidelines or rigid formulae and to give an exhaustive list of myriad kinds of cases wherein such power should be exercised.

(1) Where the allegations made in the first information report or the complaint, even if they are taken at their face value and accepted in their entirety do not prima facie constitute any offence or make out a case against the accused.

(2) Where the allegations in the first information report and other materials, if any, accompanying the FIR

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do not disclose a cognizable offence, justifying an investigation by police officers under Section 156(1) of the Code except under an order of a Magistrate within the purview of Section 155(2) of the Code.

(3) Where the uncontroverted allegations made in the FIR or complaint and the evidence collected in support of the same do not disclose the commission of any offence and make out a case against the accused.

(4) Where, the allegations in the FIR do not constitute a cognizable offence but constitute only a non-cognizable offence, no investigation is permitted by a police officer without an order of a Magistrate as contemplated under Section 155(2) of the Code.

(5) Where the allegations made in the FIR or complaint are so absurd and inherently improbable on the basis of which no prudent person can ever reach a just conclusion that there is sufficient ground for proceeding against the accused.

(6) Where there is an express legal bar engrafted in any of the provisions of the Code or the concerned Act (under which a criminal proceeding is instituted) to the institution and continuance of the proceedings and/or where there is a specific provision in the Code or the concerned Act, providing efficacious redress for the grievance of the aggrieved party.

(7) Where a criminal proceeding is manifestly attended with mala fide and/or where the proceeding is maliciously instituted with an ulterior motive for wreaking vengeance on the accused and with a view to spite him due to private and personal grudge.”

(emphasis supplied)

23. Furthermore, in ***Neeharika Infrastructure Private Limited vs. State of Maharashtra and Others***⁶, a three-Judge Bench of this Court had held that the power to quash criminal proceedings must be exercised sparingly, and only where the complaint, even if accepted

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in full, discloses no offence or continuation would amount to abuse of process. This Court had issued the following directions to the High Courts to be kept in mind while exercising the power under Section 482 of the Cr.PC:

“Conclusions

33. In view of the above and for the reasons stated above, our final conclusions on the principal/core issue, whether the High Court would be justified in passing an interim order of stay of investigation and/or “no coercive steps to be adopted”, during the pendency of the quashing petition under Section 482CrPC and/or under Article 226 of the Constitution of India and in what circumstances and whether the High Court would be justified in passing the order of not to arrest the accused or “no coercive steps to be adopted” during the investigation or till the final report/charge-sheet is filed under Section 173CrPC, while dismissing/disposing of/not entertaining/not quashing the criminal proceedings/complaint/FIR in exercise of powers under Section 482CrPC and/or under Article 226 of the Constitution of India, our final conclusions are as under:

33.1....

33.2. Courts would not thwart any investigation into the cognizable offences.

33.3. It is only in cases where no cognizable offence or offence of any kind is disclosed in the first information report that the Court will not permit an investigation to go on.

33.4. The power of quashing should be exercised sparingly with circumspection, as it has been observed, in the “rarest of rare cases” (not to be confused with the formation in the context of death penalty).

33.5. While examining an FIR/complaint, quashing of which is sought, the court cannot embark upon an enquiry as to the reliability or genuineness or otherwise of the allegations made in the FIR/complaint.

33.6. Criminal proceedings ought not to be scuttled at the initial stage.

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33.7. Quashing of a complaint/FIR should be an exception rather than an ordinary rule.

33.8 to 33.11....

33.12. The first information report is not an encyclopedia which must disclose all facts and details relating to the offence reported. Therefore, when the investigation by the police is in progress, the court should not go into the merits of the allegations in the FIR. Police must be permitted to complete the investigation. It would be premature to pronounce the conclusion based on hazy facts that the complaint/FIR does not deserve to be investigated or that it amounts to abuse of process of law. After investigation, if the investigating officer finds that there is no substance in the application made by the complainant, the investigating officer may file an appropriate report/summary before the learned Magistrate which may be considered by the learned Magistrate in accordance with the known procedure.

33.13 and 33.14....

33.15. When a prayer for quashing the FIR is made by the alleged accused and the court when it exercises the power under Section 482CrPC, only has to consider whether the allegations in the FIR disclose commission of a cognizable offence or not. The court is not required to consider on merits whether or not the merits of the allegations make out a cognizable offence and the court has to permit the investigating agency/police to investigate the allegations in the FIR.

.....”

(emphasis supplied)

24. On these lines, it is apt clear that even though the powers under Section 482 of the Cr.PC are very wide, its conferment requires the High Courts to be more cautious and diligent. While examining any FIR, the High Court exercising its power under this provision cannot go embarking upon the genuineness of the allegations made. The High Court must only consider whether there exists any sufficient material

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to proceed against the accused or not and must not be concerned with the reliability, sufficiency, or acceptability of the evidence.

25. Testing on the aforesaid parameters, we find that the complaint dated 08.01.2020 made by the appellant contains categorical allegations that respondent Nos. 1 to 3, by abusing the advanced age and medical vulnerability of the executants, caused the execution and registration of the three settlement deeds to their unlawful advantage, and thereafter used such documents as genuine for the purpose of deriving proprietary benefits. The allegations in the complaint also disclose dishonest intention at the inception of the transaction as well as fabrication and wrongful use of documents. At this stage, we must note that the High Court in its jurisdiction under Section 482 of the Cr.PC is bound to take the allegations on its face value. Whether these allegations can ultimately be proved is a matter strictly within the province of the Trial Court.
26. In the impugned order, the High Court has quashed the proceedings primarily on the ground that the validity of the settlement deeds has been upheld in the proceedings before the Civil Court. We are of the view that this approach adopted by the High Court is not correct. It is a settled principle of criminal jurisprudence that civil liability and criminal liability may arise from the same set of facts and that the pendency or conclusion of civil proceedings does not bar prosecution where the ingredients of a criminal offence are disclosed. In ***Kathyayini vs. Sidharth P.S. Reddy and Others***⁷, this Court had made it crystal clear that *“pendency of civil proceedings on the same subject matter, involving the same parties is no justification to quash the criminal proceedings if a prima facie case exists against the accused persons.”*
27. Adjudication in civil matters and criminal prosecution proceed on different principles. The decree passed by the Civil Court neither records findings on criminal intent nor on the existence of offences such as forgery, cheating, or use of forged documents. Therefore, civil adjudication cannot always be treated as determinative of criminal culpability at the stage of quashment. Moreover, in the case at hand, the civil proceedings have not attained finality.

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28. Adjudication of forgery, cheating or use of forged documents in relation to a settlement deed will always carry a civil element. Therefore, there cannot be any general proposition that whenever dispute involves a civil element, a criminal proceeding cannot go on. Criminal liability must be examined independently. Respondent Nos. 1 to 3 were entitled to acquittal only upon failure of proof in the trial and not at the threshold jurisdiction under Section 482 of the Cr.PC. To permit quashing on the sole ground of a civil suit would encourage unscrupulous litigants to defeat criminal prosecution by instituting civil proceedings.
29. A further perusal of the impugned order would show that the High Court has also attached significance to the conduct of the appellant and the delay of almost 6 years on his part in initiation of criminal proceedings without any plausible explanation. The High Court had noted that the appellant remained *ex parte* instead of participating in the civil proceedings in O.S. No. 2190 of 2014 of which he was already a party. Instead, the appellant had preferred a private complaint suppressing the fact that the settlement deeds are already a subject matter of the said suit. The High Court had found this conduct of the appellant to be in favour of respondent Nos. 1 to 3 and had proceeded to quash the proceedings against them. Before we express our opinion on this, it is apposite to reproduce the relevant observations of the High Court on this aspect:

“8. In the said suit O.S.No.2190 of 2014, the defacto complainant C.S. Prasad was arrayed as 2nd defendant. He had entered appearance through a counsel, but had not contested the suit neither he filed statement or adduced evidence challenging the validity of the registered documents. He remained exparte. If really he had any material to establish that he was cheated by his elder brother by making false documents and forgery, he should have participated in the suit proceedings or atleast filed complaint immediately. He had filed a complaint to the Commissioner of Police only on 08.01.2020 and the same after enquiry was closed on 17.03.2020 as civil dispute. When his complaint was closed as dispute is civil in nature, the suit O.S.No.2190 of 2014 was pending. Hence, he had all opportunities to file application to set aside the exparte

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order passed against him on 08.06.2015 and participate in the suit where the validity of the 3 settlements deeds were one of the issues under consideration.

9. Instead of participating in the civil proceeding, the private complaint filed on 12.10.2021 under Section 156(3) of Cr.P.C., suppressing the fact that settlement deeds are subject matter in the pending suit. In this regard it can be safely presumed that the 2nd respondent herein had knowledge about the settlement deeds if not earlier at least on the date of receipt of suit summons in O.S.No.2190 of 2014. Whereas no plausible explanation placed by him in his complaint for delay of 6 years in filing the complaint.”

(emphasis supplied)

30. We are not impressed with the above findings reached by the High Court. In ***Neeharika Infrastructure Private Limited*** (*supra*), this Court had made it clear that while exercising the powers under Section 482 of the Cr.PC, the High Court cannot undertake a roving inquiry into the disputed questions of fact or record findings on the merits of the allegations. On perusal of the above observations of the High Court, we find that the High Court has erred in law by embarking upon an inquiry with regard to the conduct of the appellant and credibility or otherwise of the allegations in the complaint and the FIR. Delay in filing a complaint, by itself, is never a ground for quashing criminal proceedings at the threshold. Whether the delay stands satisfactorily explained or whether it impacts the credibility of the prosecution, is a matter of appreciation of evidence before the Trial Court and not for summary determination by the High Court under Section 482 of the Cr.PC.
31. It is a settled proposition that when a factual foundation for prosecution exists, criminal law cannot be short-circuited by invoking inherent jurisdiction under Section 482 of the Cr.PC. Where allegations require adjudication on evidence, the proper course is to permit the trial to proceed in accordance with law. In the present case, the issues relating to the state of mind of the executants at the time of execution of the settlement deeds, the role of respondent Nos. 1 to 3 in the execution and the use of the settlement deeds, the existence of fraudulent intent, and the manner in which proprietary advantage was obtained by them, all require a full-fledged trial on evidence.

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CONCLUSION

32. In light of the aforesaid discussion and for the reasons above, we come to the following conclusion:
- a) The Appeal is **allowed**.
 - b) The impugned order of the High Court dated 22.10.2024 passed in CrI.O.P. No. 10961 of 2023 quashing the proceedings in C.C. No. 2 of 2023 arising out of FIR No. 229 of 2021 is **set aside**.
 - c) C.C. No. 2 of 2023 shall stand restored for trial before the learned Special Metropolitan Magistrate-I, Special Court for Exclusive Trial of Land Grabbing Cases, Allikulam, Egmore, Chennai.
33. All contentions of the parties on merit are left open. We make it clear that none of the observations contained herein shall have a bearing on the main trial. The Trial Court shall independently arrive at its conclusion based on the evidence tendered before it.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Nidhi Jain

Yerram Vijay Kumar
v.
The State of Telangana & Anr.

(Criminal Appeal No. 147 of 2026)

09 January 2026

[J.K. Maheshwari* and K. Vinod Chandran, JJ.]

Issue for Consideration

Whether cognizance of the alleged offences u/ss.448 and 451, Companies Act, 2013 could have been taken on a private complaint in view of the statutory scheme of the Companies Act and if not, whether the criminal proceedings must be quashed in respect of those sections; if the proceedings for the offences u/ss.448 and 451, Companies Act ought to be quashed, would the criminal proceedings also have to be quashed in respect of the offences under the IPC in light of the provisions as contained in s.436(2), Companies Act; whether continuation of the criminal proceedings would amount to abuse of process of law, warranting interference u/s.482, CrPC.

Headnotes[†]

Companies Act, 2013 – ss.447, 448, 451, second proviso to s.212(6) – Disputes arose between the parties *w.r.t* management and control of the Company incorporated by the Complainant and his wife, who at that time were the promoters, first Directors and majority shareholders, and the Appellants who were later inducted as Directors however, were subsequently removed – Complainant filed private complaint before the Special Court alleging that one of the Appellants illegally convened an Extra-Ordinary General Meeting without authority, appointed third parties as Directors in the Company, fabricated the Board and shareholders’ resolutions, and uploaded statutory filings along with other forged and false documents on the website of the MCA – Special Court took cognizance of the alleged offences and issued summons to the Appellants – Quashing petition filed by the Appellants, dismissed by High Court *inter alia* holding that the allegations disclosed a *prima*

* Author

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***facie* commission of serious offences involving forgery and fraud – Whether cognizance of the alleged offences u/ss.448 and 451 could have been taken on a private complaint in view of the statutory scheme of the Companies Act and if not, whether the criminal proceedings must be quashed in respect of those sections:**

Held: s.447 lays down the punishment for ‘fraud’ in various forms – Thus, punishment section for s.448 (Punishment for false statement) is s.447 and both sections cannot be read in isolation, since they are inextricably linked – In case an allegation of fraud u/s.447 is to be made out, the complaint has to be made by the Director, Serious Fraud Investigation Office or any officer of the Central Government authorized by a written order of the Government – The offence u/s.448 is an ‘offence covered u/s.447’ as mentioned in s.212(6) and therefore, the bar against taking cognizance under the second proviso of s.212(6), unless specific conditions are met, is attracted in the present case – Cognizance, therefore, in such a case, cannot be taken merely by filing of a private complaint by the Complainant – Since, cognizance cannot be taken for s.448 without following the requirements under the second proviso to s. 212(6), cognizance of ‘repeated default’ u/s.451, Companies Act is not made out – Complaint case, the order of the Special Court taking cognizance and all consequential proceedings to the extent of ss.448 and 451 quashed – Impugned judgment set aside – Penal Code, 1860 – ss.420, 406, 426, 468, 470, 471 & 120B – Code of Criminal Procedure, 1973 – s.482 – Companies (Amendment) Act, 2015. [Paras 33, 35, 42, 45-47, 60]

Companies Act, 2013 – ss.213, 447, 448, 451, second proviso to s.212(6):

Held: Punishment section for s.448 (Punishment for false statement) is s.447 and both sections cannot be read in isolation, since they are inextricably linked – In case an allegation of fraud u/s.447 is to be made out, the complaint has to be made by the Director, Serious Fraud Investigation Office or an officer authorized by a written order of the Government – The offence u/s.448 is an ‘offence covered u/s.447’ as mentioned in s.212(6) and therefore, the bar against taking cognizance under the second proviso of s.212(6), unless specific conditions are met, is attracted in the present case – Cognizance, therefore, in such a case, cannot be taken merely by filing of a private complaint by the Complainant –

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However, the Complainant is not absolutely remediless – The right recourse for a person, who makes an allegation of fraud in the affairs of a company is to file an application u/s.213 before the NCLT upon satisfying the eligibility u/s.213(a) and 213(b). [Para 45]

Companies Act, 2013 – s.447 – Invocation of:

Held: Where the Special Court under the Companies Act is taking cognizance of an offence under a section in the Companies Act which, if proved, would make the person(s) 'liable u/s.447' or 'liable for action u/s.447', it must also invoke s.447 with the corresponding section and in such a case, it must comply with the bar against taking cognizance as specified in the second proviso to s.212(6) – Anything that cannot be done directly, also cannot be done indirectly – Merely because there is a bar under the second proviso to s.212(6) against taking cognizance of the offence u/s.447 unless specific conditions mentioned therein are met, does not mean that cognizance may be taken by the Special Court u/s.448 of the Act without including the punishment section, *i.e.* s.447 on filing of a private complaint – Non-inclusion of the punishment section u/s.447 since the very inception will also lead to procedural absurdity since ultimately the said s.447 must be invoked in order to impose any punishment after trial is conducted. [Paras 59, 43, 44]

Companies Act, 2013 – ss.447, 448, second proviso to 212(6) – Interpretation – Bar under the second proviso to s.212(6) against taking cognizance by the Special Court in cases involving s.447, a safeguard – Object of, stated – 'offence covered under Section 447' introduced by means of a substitution in s.212(6) in the 2015 Amendment Act *w.e.f* 29.05.2015 *vis-à-vis* Pre-Amendment – Scheme of the Companies Act, discussed – Companies (Amendment) Act, 2015. [Paras 27-35]

Companies Act, 2013 – ss.447, 448, second proviso to s.212(6) – s.448 not to be read in isolation and must be read along with s.447:

Held: s.447 lays down the punishment for 'fraud' in various forms – In the present case, cognizance has been taken by the Special Court u/ss.448 and 451 – s.448 itself does not lay down any punishment for its contravention, it simply lays down the ingredients of the offence of making a false statement and provides

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that in case such a false statement is made, the 'person(s)' shall be liable u/s.447 – That is to say, even if, after trial, an offence u/s.448 is proved to have been committed by a 'person', it is only with the aid of s.447 that the punishment for the said offence may be imposed – Therefore, s.448 cannot be read in isolation and must be read along with s.447 – The offence u/s.448 is an offence 'covered under Section 447' of the Companies Act mentioned in s.212(6), since the offence u/s.448 is inextricably linked to the punishment for 'fraud' as mentioned in s.447 and as such, the second proviso to s.212(6) is attracted – Companies (Amendment) Act, 2015. [Paras 33, 34]

Companies Act, 2013 – s. 436(2) – Penal Code, 1860 – ss.420, 406, 426, 468, 470, 471 & 120B – If the proceedings for the offences u/ss.448 and 451 ought to be quashed, would the criminal proceedings also have to be quashed in respect of the offences under the IPC in light of the provisions as contained in s.436(2) – Plea of the Appellants that in view of s.436(2), if the offences under the Companies Act are quashed, the Special Court may not try the offences under the sections of the IPC under which cognizance was taken:

Held: s.436(2) lays down the pre-requisite that the Special Court should be trying offences under the Companies Act, for it to also try offences under the IPC – Once the offences under the Companies Act are quashed, it is the Court of appropriate territorial jurisdiction which would have jurisdiction to try the private complaint filed by the Respondent No. 2 against the Appellants – The judge of the Special Court where the complaint case is pending shall take steps, in consultation with the Principal District Judge of the district to transfer the complaint case to the appropriate court having territorial jurisdiction to try the complaint case – Further directions issued. [Paras 54, 60]

Code of Criminal Procedure, 1973 – s.482 – Criminal proceedings when ought not to be quashed – Appellants submitted that the complaint case insofar as it relates to offences under the IPC, is abuse of process of law since there are two civil suits and one company petition (filed by the Appellants) pending between the parties – Whether continuation of the criminal proceedings would amount to abuse of process of law, warranting interference u/s.482 of CrPC:

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Held: Mere institution or pendency of civil proceedings between the parties cannot be a ground to quash the criminal proceedings instituted by the Respondent No. 2 by filing a complaint case or to conclude that the dispute is purely civil in nature – Respondent No. 2 and the Appellants were in a commercial relationship and the inception of the dispute can be traced to a tussle for control over the Company – The civil suits filed by the Appellants are for seeking a permanent injunction against the Company and the Complainant from violating the terms and conditions of MoU and, a declaration that the agreements to sell executed by the Complainant with respect to the properties of the Company be declared void, respectively, while the Company Petition has been filed before the NCLT challenging the removal of the Appellants from directorship in the Company – Pendency of these proceedings would not absolve the criminality as alleged in the complaint, in the facts and circumstances of this case – No ground to quash the offences under the IPC of which cognizance was taken by the Special Court. [Paras 55-57]

Case Law Cited

S. Satyanarayana v. Energo Masch Power Engg. & Consulting (P) Ltd. [2015] 3 SCR 1094 : (2015) 13 SCC 1 – referred to.

Sumana Paruchuri v. Jakka Vinod Kumar Reddy, 2022 : TSHC : 30033; *Sivananda Rajaram v. M/s New Shipping Kaisha Ship Management Pvt. Ltd.*, Criminal Petition (OP) No. 19154/2021; *M. Gopal v. Ganga Reddy*, 2022 : KHC : 35824; *Yogesh Chander Goyal and Ors. v. State and Anr.*, 2024 SCC OnLine Del 3197; *Sunil Mandwani v. State of M.P.*, 2019 SCC OnLine MP 1248 – referred to.

List of Acts

Companies Act, 2013; Code of Criminal Procedure, 1973; Penal Code, 1860; Companies (Amendment) Act, 2015.

List of Keywords

Section 447, Companies Act, 2013; Section 447, Companies Act, 2013; Section 451, Companies Act, 2013; Section 212(6), Companies Act, 2013; Section 436(2), Companies Act, 2013; Special Court under the Companies Act; 'liable under Section 447' or 'liable for action under Section 447'; Fraud under the Companies

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Act, 2013; Punishment for false statement; Punishment for repeated default; Punishment for fraud; Private complaint; Serious Fraud Investigation Office (SFIO); Bar on taking cognizance by the Special Court in cases involving Section 447, Companies Act, 2013; Notification for designation of Special Courts under the Companies Act, 2013; Extra-Ordinary General Meeting; Amendments to the AoA; Quashing; Fraud.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 147 of 2026

From the Judgment and Order dated 20.06.2024 of the High Court for the State of Telangana at Hyderabad in CRLP No. 720 of 2023

With

Criminal Appeal No. 148 of 2026

Appearances for Parties

Advs. for the Appellant(s):

Shailesh Madhiyal, Sr. Adv., Awanish Kumar, Anchit Singa, Ms. Garima, M/s Dharmaprabhas Law Associates.

Advs. for the Respondent(s):

Jayanth Muth Raj, Sr. Adv., Kumar Vaibhaw, Ms. Devina Sehgal, Dhananjay Yadav, Sadineni Ravi Kumar.

Judgment / Order of the Supreme Court

Judgment

J.K. Maheshwari, J.

1. Leave granted.
2. The present appeals have been filed against the impugned judgment dated 20.06.2024 passed by the Single Bench of High Court for the State of Telangana at Hyderabad (hereinafter referred to as “**High Court**”) whereby the petition under Section 482 of the Code of Criminal Procedure, 1973 (hereinafter referred to as “**CrPC**”) of the Appellants – accused was dismissed. The prayer in the said petition was to quash the criminal proceedings in complaint case bearing C.C.

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No. 58 of 2022 filed by Respondent No. 2 – Complainant against the Appellants where the Special Court for Economic Offences at Hyderabad (hereinafter referred to as “**Special Court**”) has taken cognizance of offences under Sections 448 & 451 of the Companies Act, 2013 (hereinafter referred to as “**Companies Act**”) and Sections 420, 406, 426, 468, 470, 471 & 120B of the Indian Penal Code, 1860 (hereinafter referred to as “**IPC**”).

FACTS

3. The genesis of the dispute lies in the affairs of a private limited company, namely M/s Shreemukh Namitha Homes Private Limited (hereinafter referred to as “**Company**”), which was incorporated on 19.08.2015 under the provisions of the Companies Act by the Complainant and his wife, Namitha. At the time of incorporation, they were the promoters, first Directors and majority shareholders of the Company. Accused No. 1, i.e., Appellant in the Criminal Appeal arising out of SLP (Crl.) No. 11530/2024 was inducted as a Director in the Company on 03.09.2016. Accused No. 2, i.e., Appellant in the Criminal Appeal arising out of SLP (Crl.) No. 14783/2024 was inducted as a Director in the Company on 27.08.2015. The initial disputes between the parties arose with regard to management and control of the Company.
4. The original Articles of Association (hereinafter referred to as “**AoA**”) of the Company did not provide any fixed tenure for Directors, nor did it contemplate their retirement by rotation. On 17.08.2016, Accused No. 1 entered into a Memorandum of Understanding with the Complainant and certain other stakeholders, pursuant to which he agreed to make substantial financial investment, approximately to the tune of Rs. 30 crores, in a real estate project of the Company. The arrangement contemplated sharing of profits in mutually agreed proportions.
5. An Extra-Ordinary General Meeting (hereinafter referred to as “**EOGM**”) is stated to have been held on 22.08.2016, preceded by a Board Meeting on 21.07.2016, in which amendments to the AoA were approved and uploaded on the website of the Ministry of Corporate Affairs (hereinafter referred to as “**MCA**”) on 12.09.2016. As alleged by Accused No. 1, no notice of either meeting was served upon him despite being a Director of the Company at

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the relevant time. The relevant portion of the amended AoA is reproduced as thus: -

“64. (i) Subject to the provisions of Section 149, the board shall have the power at any time, and from time to time, to appoint a person as an additional director, provided the number of directors and additional directors together shall not at any time exceed the maximum strength fixed by the Board for the articles.

(ii) Such person shall hold office only up to the date of the next annual general meeting of the company but shall be eligible for appointment by the company as a director at that meeting subject to provisions of the Act.”

6. As a result of the amendment in the AoA, the tenure of a Director was fixed until the date of next annual general meeting of the company.
7. On 02.11.2021, the complainant and his wife convened another EOGM wherein the AoA were further amended, in terms of which, all Directors other than the Complainant and his wife were required to retire annually and seek re-appointment. Pursuant thereto, an Annual General Meeting was held on 30.11.2021 wherein resolutions for re-appointment of the Accused were placed. The said resolutions failed as the Complainant and his wife, holding majority shareholding, voted against them. As such, the accused ceased to be Directors of the Company with effect from 30.11.2021.
8. Such removal was challenged by Accused No. 1 before the National Company Law Tribunal at Hyderabad (hereinafter referred to as “NCLT”) by filing Company Petition No. 10 of 2022, which is pending adjudication.
9. Subsequent to such challenge, on 19.05.2022, the Complainant filed a private complaint before the Special Court alleging that Accused No. 1 illegally convened an EOGM on 01.12.2021 without authority, appointed third parties as Directors in the Company, fabricated the Board and shareholders’ resolutions, and uploaded statutory filings along with other forged and false documents on the website of the Ministry of Corporate Affairs. In parallel, two civil suits were also instituted by the Appellants before the competent civil courts seeking a permanent injunction against the Company and the Complainant from violating the terms and conditions of MoU dated

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17.08.2016 and a declaration that the agreements to sell executed by the Complainant with respect to the properties of the Company be declared void, respectively.

10. The Special Court recorded the sworn statement of the Complainant and, by order dated 10.10.2022, took cognizance of the alleged offences and issued summons to the Appellants, leading to registration of C.C. No. 58 of 2022. Aggrieved by the summoning order and further proceedings, the Appellants invoked inherent jurisdiction of the High Court under Section 482 of CrPC and filed the quashing petition. The Appellants *inter alia* contended that the dispute was essentially civil and corporate in nature; the criminal complaint was a counterblast to the proceedings pending before NCLT; cognizance of offences involving alleged fraud under the Act, particularly Section 447 was barred by Section 212(6) of the Act in the absence of a complaint by the Serious Fraud Investigation Office (hereinafter referred to as “SFIO”) or other authorised agency; and that the mandatory statutory procedure as per the Companies Act preceding investigation were not followed.
11. The High Court *vide* the impugned judgment dismissed the quashing petition, holding that the allegations disclosed a *prima facie* commission of serious offences involving forgery and fraud, and that disputed questions of fact could not be examined in a petition under Section 482 of CrPC. The Appellants have, therefore, approached this Court by way of the present appeals.

ARGUMENTS ADVANCED

12. Mr. Shailesh Madhiyal, learned Senior Advocate appearing on behalf of the Appellants, vociferously urged that the High Court failed to appreciate that the learned Special Court had taken cognizance of various offences including Section 448 of the Companies Act. It is his submission that Section 448 of the Companies Act clearly specifies that whoever fails to act as per mandate of the said provision shall be liable to be punished under Section 447 of the Companies Act. Therefore, the Special Court should not have taken cognizance under said provisions against the Appellants despite there being an express legal bar contained in the second proviso to Section 212(6) of the Companies Act, which prohibits the taking of cognizance of offences covered under Section 447 of the Companies Act except on

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a complaint made by the categories of persons prescribed thereunder, namely, the Director of SFIO or any officer of the Central Government authorised by an order in writing in that behalf.

13. It is further submitted that a bare reading of Section 448 makes it clear that any person who makes a false statement as specified therein “shall be liable under Section 447”. In other words, the liability for an offence under Section 448 is directly linked to Section 447, which prescribes the punishment for fraud. Therefore, the legal bar imposed by the second proviso to Section 212(6) of the Companies Act, as applicable to Section 447, is squarely applicable to offences alleged under Section 448 of the Act, hence, the Special Court is precluded from taking cognizance of such offences on filing of a private complaint by the Complainant.
14. It is also submitted that the cognizance by the Special Court was without jurisdiction as the procedure mandated under Section 206 of the Companies Act was not followed. Section 206 provides that the Registrar of Companies, on receiving information, shall seek explanation and conduct enquiry. On being satisfied about violation of the Companies Act in running the affairs of the company, the Registrar may conduct enquiry and can then report to the Central Government for conducting further investigation, which, if satisfied, may entrust the case to SFIO for further investigation. In the instant case, the said procedure has been completely bypassed.
15. Learned Senior Counsel further submitted that the Complainant has given a criminal cloak to a civil dispute inasmuch as there are several civil cases pending between the parties in respect of the present dispute. The Appellants have filed O.S. No. 55 of 2022 before the III Junior Civil Judge, Kukatpally, O.S. No. 99 of 2022 before the XV Additional District Judge, Kukatpally, and C.P. No. 10 of 2022 before the National Company Law Tribunal, which are all pending for adjudication. Therefore, the impugned proceeding was maliciously instituted and liable to be quashed.
16. *Per contra*, Mr. Kumar Vaibhaw, learned Advocate appearing for Respondent No. 1 - State of Telangana, submitted that the Special Court has taken cognizance of the offences based on the material placed on record and had issued summons to the Appellants. It is submitted that there is no bar on the Special Court in taking cognizance of the offence under Section 448 of the Companies Act,

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on a private complaint. It is further submitted that all the contentions raised by the Appellants have to be examined at the time of framing of charges, and the Appellants ought not to be permitted to ask for quashing of the private complaint and the order taking cognizance under Section 482 CrPC. There are several disputed questions of fact which need to be looked into for the purpose of adjudication, and such an adjudicatory process cannot be undertaken by the Court in proceedings under Section 482 CrPC.

17. Learned Senior Advocate, Mr. Jayant Muth Raj, appearing for Respondent No. 2 - Complainant, adopted the submissions made on behalf of Respondent No. 1 - State and further submitted that the Companies (Amendment) Act, 2015 (hereinafter referred to as **"2015 Amendment Act"**) came into effect on 29.05.2015, and from such date, Section 212(6) of the Companies Act was amended to delete Section 448 and other provisions from its ambit. Prior to the amendment, Section 212(6) covered offences under various provisions of the Companies Act, including Section 448, which attracted the punishment for fraud provided in Section 447 of the Act. However, after the amendment, the bar on taking cognizance is applicable only for the offence under Section 447 of the Act. It is submitted that the present complaint has been filed for the offence under Sections 448 and 451 of the Companies Act, and not under Section 447. In view of the amendment made to Section 212(6), there is no bar on the Special Court from taking cognizance of offences under Section 448 of the Act on the basis of a private complaint. The bar is applicable only for offences under Section 447.
18. It is also submitted that the Appellants had surreptitiously conducted an EGOM on 01.12.2021 without the requisite quorum and illegally appointed two Directors in an attempt to usurp managing control over the Company from Respondent No. 2. The Appellants fraudulently submitted FORM DIR-12 to the Ministry of Corporate Affairs, declaring the aforesaid appointments, despite being well aware of the fact that they no longer held the position of Director after 30.11.2021.
19. It is submitted that the Appellants have played fraud on the members of the Company and have falsified the records of the Company. The Appellants, with an intention to deceive the shareholders and other Directors of the Company and with an intent to usurp the management of the Company, passed resolutions appointing the wife of Accused

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No. 1 and another person as Directors of the Company falsifying the records of the Company. Therefore, it constitutes serious offences under the Companies Act as well as under the IPC. The allegations require trial, and cannot be quashed at this stage. The impugned judgment does not suffer from any legal infirmity and does not warrant interference by this Court. As such, the present appeals deserve to be dismissed.

ISSUES FOR CONSIDERATION

20. After hearing learned counsel for the parties at length and on perusal of the facts and material placed on record, the following issues arise for consideration:
 - (i) *Whether cognizance of the alleged offences under Sections 448 and 451 of the Companies Act could have been taken on a private complaint in view of the statutory scheme of the Companies Act and if not, whether the criminal proceedings must be quashed in respect of those sections?*
 - (ii) *If the proceedings for the offences under Sections 448 and 451 of the Companies Act ought to be quashed, would the criminal proceedings also have to be quashed in respect of the offences under the IPC in light of the provisions as contained in Section 436(2) of the Companies Act?*
 - (iii) *Whether continuation of the criminal proceedings would amount to abuse of process of law, warranting interference under Section 482 of CrPC?*

ANALYSIS OF ISSUE 1:

Since Issue 1 has a material bearing on the other issues framed, we are analysing the contentions in that respect, first.

Scheme of the Companies Act

21. In the present case, cognizance has been taken by the Special Court under Sections 448 and 451 of the Companies Act. Section 448 of the Companies Act prescribes the punishment for false statement by any person in any return, report, certificate, financial statement, prospectus, statement or other document required by the Companies Act or Rules. Section 448 of the Companies Act

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is relevant for the purposes of this case and is therefore quoted for reference: -

“448. Punishment for false statement. – *Save as otherwise provided in the Act, if in any return, report, certificate, financial statement, prospectus, statement or other document required by, or for, the purposes of any of the provisions of this Act or the rules made thereunder, any person makes a statement, -*

(a) which is false in any material particulars, knowing it to be false; or

(b) which omits any material fact, knowing it to be material,

he shall be liable under Section 447.”

22. Section 451 of the Companies Act punishes repeated commission of an offence punishable either with fine or with imprisonment within three years by a company or an officer of the company. Section 451 is also relevant, and is therefore quoted: -

“451. Punishment for repeated default. – *If a company or an officer of a company commits an offence punishable either with fine or with imprisonment and where the same offence is committed for the second or subsequent occasions within a period of three years, then, that company and every officer thereof who is in default shall be punishable with twice the amount of fine for such offence in addition to any imprisonment provided for that offence.”*

23. Section 448 of the Companies Act, in turn, makes a reference to Section 447 of the Companies Act, which prescribes the punishment for fraud. The said Section is integral to Section 448 therefore reproduced as under: -

“447. Punishment for fraud. – *Without prejudice to any liability including repayment of any debt under this Act or any other law for the time being in force, any person who is found to be guilty of fraud, involving an amount of at least ten lakh rupees or one per cent. of the turnover of the company, whichever is lower shall be punishable with*

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imprisonment for a term which shall not be less than six months but which may extend to ten years and shall also be liable to fine which shall not be less than the amount involved in the fraud, but which may extend to three times the amount involved in the fraud:

Provided that where the fraud in question involves public interest, the term of imprisonment shall not be less than three years.

Provided further that where the fraud involves an amount less than ten lakh rupees or one per cent of the turnover of the company, whichever is lower, and does not involve public interest, any person guilty of such fraud shall be punishable with imprisonment for a term which may extend to five years or with fine which may extend to 3[fifty lakh rupees] or with both.

Explanation – For the purposes of this section –

(i) “fraud”, in relation to affairs of a company or any body corporate, includes any act, omission, concealment of any fact or abuse of position committed by any person or any other person with the connivance in any manner, with intent to deceive, to gain undue advantage from, or to injure the interests of, the company or its shareholders or its creditors or any other person, whether or not there is any wrongful gain or wrongful loss;

(ii) “wrongful gain” means the gain by unlawful means of property to which the person gaining is not legally entitled;

(iii) “wrongful loss” means the loss by unlawful means of property to which the person losing is legally entitled.”

24. The thrust of the argument presented by the Appellants is that there is a specific bar contained in the second proviso to Section 212(6) of the Companies Act which prevents the Special Court from taking cognizance of an ‘offence covered under Section 447’ except upon a complaint in writing made by the Director, SFIO or any officer of the Central Government authorized, by general or special order in writing in this behalf by the Government. Section 212(6) of the Companies Act is relevant and is therefore quoted herein:

Yerram Vijay Kumar v. The State of Telangana & Anr.***“212. Investigation into affairs of Company by Serious Fraud Investigation Office. –***

(6) Notwithstanding anything contained in the Code of Criminal Procedure, 1973 (2 of 1974), offence covered under section 447 of this Act shall be cognizable and no person accused of any offence under those sections shall be released on bail or on his own bond unless—

(i) the Public Prosecutor has been given an opportunity to oppose the application for such release; and

(ii) where the Public Prosecutor opposes the application, the court is satisfied that there are reasonable grounds for believing that he is not guilty of such offence and that he is not likely to commit any offence while on bail:

Provided that a person, who, is under the age of sixteen years or is a woman or is sick or infirm, maybe released on bail, if the Special Court so directs:

Provided further that the Special Court shall not take cognizance of any offence referred to this subsection except upon a complaint in writing made by —

(i) the Director, Serious Fraud Investigation Office; or

(ii) any officer of the Central Government authorised, by a general or special order in writing in this behalf by that Government.”

25. Making a reference to the second proviso of Section 212(6) of the Companies Act, it is argued by the Appellants that in the absence of a complaint as specified therein, merely on a private complaint by the Respondent No. 2, cognizance could not have been taken by the Special Court.
26. Therefore, what falls for our consideration is whether the offence under Section 448 of the Companies Act is an ‘offence covered under Section 447’ of the Companies Act as mentioned in the Section 212(6) of the Companies Act, which would then attract the bar against taking cognizance under the second proviso to Section 212(6) of the Companies Act.

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27. It is pertinent to note that the phrase ‘offence covered under Section 447’ was introduced by means of a substitution in Section 212(6) of the Companies Act in the 2015 Amendment Act with effect from 29.05.2015. Prior to the amendment, instead of the phrase ‘*offence covered under Section 447*’, Section 212 of the Companies Act mentioned “*the offences covered under sub-sections (5) and (6) of section 7, section 34, section 36, sub-section (1) of section 38, sub-section (5) of section 46, sub-section (7) of section 56, sub-section (10) of section 66, sub-section (5) of section 140, sub-section (4) of section 206, section 213, section 229, sub-section (1) of section 251, sub-section (3) of section 339 and section 448 which attract the punishment for fraud provided in section 447*”.
28. After the amendment to Section 212 in 2015, instead of individually mentioning different sections which attract the punishment for fraud under Section 447 of the Companies Act, ‘offence covered under Section 447’ was substituted. However, if we look to the Companies (Amendment) Bill, 2014 (Bill No. 185 of 2014) it provides the Statement of Objects and Reasons. In Clause (xii) of the same, it is mentioned:
- “(xii) to amend sub-section (6) of section 212 of the said Act to provide for bail restrictions to apply only for offence relating to fraud u/s 447;”*
29. The intent of legislature, as evinced from the ‘Statement of Objects and Reasons’ of the said Bill is to limit the applicability of the rigorous twin-conditions for grant of bail set out in Section 212(6) to the offence under Section 447 of the Companies Act.
30. In the context of the facts of this case, in the matter of taking cognizance with respect to ‘offence covered under section 447’, the interplay has been brought by the legislature under Section 212(6) of the Companies Act. The said section is in two parts – (I) the ‘offence covered under section 447’ shall be cognizable and (II) no person accused of any offence under those sections shall be released on bail, subject to twin conditions as mentioned therein. The first proviso to Section 212(6) provides a relaxation to children below 16 years of age, women, sick or infirm in the matter of releasing on bail. The second proviso relates to taking cognizance and makes a reference to first part of Section 212(6) whereby the Special Court has been permitted to take cognizance only on a complaint in writing by the Director, SFIO or any officer of the Central Government authorised by

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general or special order in writing in this behalf by the government. The said special provision has been enacted because as per Section 439 (1) and (2) of the Companies Act the other offences of the Companies Act were made non-cognizable.

31. In addition to Section 447 of the Companies Act, the provision under Section 448 of the Companies Act also has relevance, it criminalizes a statement made by any person in any return, report, certificate, financial statement, prospectus, statement or other document required by the Companies Act or Rules, which is (a) false in any material particulars, knowing it to be false or (b) which omits any material fact, knowing it to be material. In such case, the person shall then be liable under Section 447 of the Companies Act, which lays down the punishment for fraud. As per Section 447 of the Companies Act, depending on whether (a) the amount involved is more or less than ten lakh rupees or one per cent of turnover of the company, whichever is lesser or (b) involves public interest or not, the punishment has been prescribed in terms of imprisonment and fine.
32. Particularly, the stipulation that the 'person (s)' shall be 'liable under Section 447' is contained not only in Section 448 of the Companies Act, but also for offences as contained in Sections 34, 56(7), 66(10). Additionally, it has been mentioned that the 'person (s)' shall be 'liable for action under Section 447' in case of offences as mentioned in Sections 7(5), 7(6), 8(11), 34, 36, 38(1)(c), 46(5), 76A, 86(2), 90(12), 140(5), 229, 251, 339(3) of the Companies Act. As such, some offences under the Companies Act have been elevated to the level of 'fraud'. It appears that Section 447 is the catch-all provision laying down the punishment for fraud, in various manifestations thereof, in a multitude of Sections of the Companies Act. The word 'fraud' itself has been given a very wide and all-encompassing meaning in Section 447 of the Act, where it is defined in explanation (i) to Section 447 as:

“‘fraud’ in relation to affairs of a company or any body corporate, includes any act, omission, concealment of any fact or abuse of position committed by any person or any other person with the connivance in any manner, with intent to deceive, to gain undue advantage from, or to injure the interests of, the company or its shareholders or its creditors or any other person, whether or not there is any wrongful gain or wrongful loss;”

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33. From a bare perusal of the aforementioned provisions of the Companies Act, it is clear that Section 447 of the Companies Act lays down the punishment for 'fraud' in various forms. In the present case, cognizance has been taken by the Special Court under Section 448 and 451 of the Companies Act. Section 448 itself does not lay down any punishment for its contravention, it simply lays down the ingredients of the offence of making a false statement and provides that in case such a false statement is made, the 'person(s)' shall be liable under Section 447 of the Companies Act. That is to say, even if, after trial, an offence under Section 448 is proved to have been committed by a 'person', it is only with the aid of Section 447 of the Companies Act that the punishment for the said offence may be imposed. Section 448 of the Companies Act, therefore, cannot be read in isolation and must be read along with Section 447 of the Companies Act. Therefore, the offence under Section 448 is an offence 'covered under Section 447' of the Companies Act mentioned in Section 212(6), since the offence under Section 448 is inextricably linked to the punishment for 'fraud' as mentioned in Section 447 and as such, the second proviso to Section 212(6) of the Companies Act is attracted.
34. If the intention of the legislature were to bar the Special Court from taking cognizance of only the offence under Section 447 of the Companies Act, there would be no need to mention offences 'covered under' Section 447 in Section 212(6) of the Companies Act. Prior to the 2015 Amendment Act, various offences of the Companies Act were mentioned in Section 212(6) which, when proved, made the accused liable for the punishment prescribed for 'fraud' under Section 447 of the Companies Act. After the amendment, which was intended to ensure that the restrictive twin-condition for grant of bail is applied only in cases where Section 447 of the Companies Act has been invoked, the words 'offence covered under Section 447' was substituted.
35. That being said, the bar on taking cognizance by the Special Court in cases involving Section 447 of the Companies Act was a safeguard which was put in place to prevent filing of frivolous complaints by disgruntled company members / shareholders or competitors with vested interests. As such, in case an allegation of fraud under Section 447 of the Companies Act is to be made out, the complaint has to be made by the Director, SFIO or an officer authorized by a written

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order of the Government. This adds a further level of scrutiny and investigation prior to taking cognizance in cases where allegations of fraud are made and ensures that cognizance is not taken by the Special Court simply upon filing of a private complaint.

View taken by different High Courts

36. During hearing, it has been brought to our notice that the Single Bench of the High Court in its earlier judgment dated 06.06.2022, ***Sumana Paruchuri v. Jakka Vinod Kumar Reddy***¹ had interpreted the provisions as contained in Section 212(6) and Section 447/448 of the Companies Act in a challenge made by the accused therein to the criminal proceedings initiated on a private complaint and held as thus:-

“16. As seen from Section 212 (6) of the Companies Act, 2013, it provides a safeguard against frivolous complaints and ensures that a prosecution for fraud can only be launched after due investigation. Learned counsel for the respondent No. 1 contended that the respondent No. 1 was entitled to file complaint as a shareholder of the company under Section 439 (2) of the Companies Act, 2013. But, an exception is carved out under Section 439 (1) itself that every offence under the Act except the offences referred to in sub-section (6) of Section 212 of the Act shall be deemed to be non-cognizable. As such, Section 439 of the Companies Act, 2013 is not applicable to offences covered under Section 447 of the said Act. The contention of the learned counsel for the respondent No. 1 was that under Section 439 of the Companies Act, 2013, the Court can take cognizance of any offence including Section 447 of the Act so long as the SFIO had not been assigned investigation by the Central Government under Section 212 of the Act. But the heading of Section 439 of the Act itself would read as “offences to be non cognizable”. Hence, cognizance of the offence under Section 447 of the Act could not have been taken by the trial Court on a private complaint, as it is a cognizable offence.”

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17. Under Section 206 of the Companies Act, 2013, the Registrar of Companies based on the information received by him, seek for explanation, call for production of document and conduct enquiry. If the Registrar is satisfied on the basis of information available with him, or furnished to him or on a representation made to him by any person that the business of a company is being carried out not in compliance with the provisions of the Act, he can proceed with enquiry. If the enquiry conducted by the Registrar discloses material for further investigation, he, under Section 210 of the Companies Act, 2013 can report to the Central Government to conduct investigation into the affairs of the company. If the Central Government considers the allegations as true and considering the gravity of the offence that the matter was fit to be investigated by the SFIO, directs the matter to be investigated by the SFIO under Section 212 of the Companies Act, 2013. The Investigating Officers who were having better investigation skills in forensic auditing, corporate affairs and capital market would conduct investigation. If the Complainant is aggrieved, he should have resorted to the procedure as contemplated under the Act. The Registrar of Companies is a competent person to call for the records, conduct an enquiry and to arrive at an opinion. If there is any material, he would submit a report to the Government for investigation by SFIO. If SFIO is able to collect material sufficient to prosecute then it would file charge sheet after taking necessary sanctions from the Central Government. If the contention of the Complainant that any shareholder can file a complaint for fraud is accepted, it would open flood gates for any person commencing criminal proceedings merely by filing a complaint. There were several companies with millions of shareholders. The condition prescribed under Section 212(6) of the Act is a safeguard against frivolous criminal complaints. As such, I do not find any merit in the contention of the learned counsel for the respondent No. 1 that a private complaint for fraud is maintainable before the Special Court.

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21. Since the punishment for the offence under Section 448 of the Companies Act, 2013 was also under Section 447 of the Act, it was covered by the bar of taking cognizance under Section 212(6) of the Act.”

37. This judgment of the High Court pronounced on an earlier date than the impugned order has not been noticed by the High Court while passing the impugned judgment. We acknowledge the judgment dated 06.06.2022 and its pronouncement on the proposition of law as contained therein. The issue in the present appeal is the same as in the earlier case, the High Court ought to have considered its previous judgment which is on an identical question of law in almost similar factual situation. Principles of judicial comity and *stare decisis* are applicable to the High Court and the Court while passing the impugned order should have noticed its earlier judgment and, if so required, referred the matter to a larger bench.
38. The Madras High Court in **Sivananda Rajaram v. M/s New Shipping Kaisha Ship Management Pvt. Ltd.**² quashed a complaint case under Section 447 in light of the bar against taking cognizance under Section 212(6) of the Companies Act.
39. The Karnataka High Court has taken a similar view in **M. Gopal v. Ganga Reddy**³ and quashed the order of the Magistrate taking cognizance under Section 447 of the Companies Act on a private complaint filed by a shareholder. The Court held that the shareholder can go through the procedure under Section 213 of the Act in order to make a complaint which may eventually result in prosecution under Section 447 of the Companies Act.
40. The Delhi High Court in **Yogesh Chander Goyal and Ors. Vs. State and Anr.**⁴ has referred to the judgments of the Madras High Court and Karnataka High Court and held that the order taking cognizance under Section 447 of the Companies Act on a private complaint cannot be sustained in law.

2 Criminal Petition (OP) No. 19154/2021.

3 2022 : KHC : 35824.

4 2024 SCC OnLine Del 3197.

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Application of principles to the facts of the present case

41. Coming to the facts of this case, the High Court in the impugned judgment has not discussed or addressed the provisions of law as contained in Sections 448/451 read with Section 212(6) of the Companies Act nor has it referred to its previous judgment on similar facts. It has reached a finding that a mini-trial cannot be conducted by the High Court when exercising its inherent jurisdiction under Section 482 of the CrPC. The Court has found that allegations against the Appellants are serious in nature and they require trial to elicit the true facts of the case.
42. It goes without saying that the Special Court in the present case has, in its order dated 10.10.2022 taken cognizance under Section 448, 451 of the Companies Act and Sections 420, 406, 426, 468, 470, 471 & 120B of the IPC. We have found above that the punishment section for Section 448 of the Companies Act is Section 447 of the Companies Act and both sections cannot be read in isolation, since they are inextricably linked.
43. It is trite law that anything that cannot be done directly, also cannot be done indirectly. Merely because there is a bar under the second proviso to Section 212(6) of the Companies Act against taking cognizance of the offence under Section 447 of the Companies Act unless specific conditions mentioned therein are met, does not mean that cognizance may be taken by the Special Court under Section 448 of the Act without including the punishment section, i.e. Section 447 on filing of a private complaint.
44. Non-inclusion of the punishment section under Section 447 since the very inception will also lead to procedural absurdity since ultimately the said Section 447 of the Companies Act must be invoked in order to impose any punishment after trial is conducted. In saying so, we are aware of the proposition of law that cognizance is taken of an offence and not of a section under the law, and at the stage of framing charges, the Court may add or remove sections. However, in the present case, when there is a specific requirement under law which acts as a pre-condition for taking cognizance under Section 447 of the Companies Act, the decision of the Special Court to take cognizance under Section 448 of the Companies Act without invoking the punishment section, Section 447 cannot be countenanced.

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45. As such, the offence under Section 448 of the Companies Act is an 'offence covered under Section 447' as mentioned in Section 212(6) of the Companies Act and therefore, the bar against taking cognizance under the second proviso of Section 212(6) of the Companies Act, unless specific conditions are met, is attracted in the present case. Cognizance, therefore, in such a case, cannot be taken merely by filing of a private complaint by the Complainant. However, it is not to say that the Complainant is left absolutely remediless. The right recourse for a person, who makes an allegation of fraud in the affairs of a company is to file an application under Section 213 of the Companies Act before the NCLT upon satisfying the eligibility under Section 213(a) and 213(b) of the Companies Act.
46. The offence under Section 451 of the Companies Act is for punishment in case of repeated default. Since we are finding that cognizance cannot be taken for Section 448 of the Companies Act without following the requirements under the second proviso to Section 212(6) of the Companies Act, cognizance of 'repeated default' under Section 451 of the Companies Act is not made out.
47. As an upshot of the above discussion, the inescapable conclusion reached is that the complaint case bearing C.C. No. 58/2022, the order dated 10.10.2022 of the Special Court and all consequential proceedings to the extent of Section 448 and 451 of the Companies Act shall stand quashed.

ANALYSIS OF ISSUE 2 AND 3

48. It has been contended before us by the Appellants that in view of the provisions as contained in Section 436(2) of the Companies Act, if the offences under the Companies Act are quashed, the Special Court may not try the offences under the sections of the IPC under which cognizance has been taken *vide* order dated 10.10.2022 of the Special Court.
49. Section 436(2) of the Companies Act is relevant and is therefore reproduced as under:

"436. Offences triable by Special Courts. –

(2) When trying an offence under this Act, a Special Court may also try an offence other than an offence under

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this Act with which the accused may, under the Code of Criminal Procedure, 1973 (2 of 1974) be charged at the same trial.”

50. It is contended by the Appellants, in light of the aforementioned provision, that a Special Court under the Companies Act may try offences under the IPC only when it is also trying an offence under the Companies Act and not when the offences under the Companies Act have been quashed.
51. A similar question arose before this Court in ***S. Satyanarayana v. Energo Masch Power Engg. & Consulting (P) Ltd.***,⁵ albeit in slightly different factual scenario and in the context of the Companies Act, 1956, where this Court held that when multiple persons are made accused in respect of the same set of facts, even if some of them are prosecuted against for the offences under the Companies Act and others are being prosecuted against only for the offences under the IPC, the Special Court can try all the accused persons together in order to avoid multiplicity of proceedings.

“11. We accordingly set aside the findings of the High Court that taking of cognizance against Accused A-4, A-5, A-6 and A-9 is without jurisdiction on the ground that the complaint does not make out a prima facie case for the offences under Section 628 of the Companies Act, 1956 against the said accused. At this stage, it may be noted that the Special Court is empowered to try the offences under the Companies Act along with other Acts by virtue of a notification issued by the erstwhile Government of Andhra Pradesh dated 13-3-1981 which empowers such Special Courts to try offences under specified enactments such as the Companies Act, 1956 the Income Tax Act, 1961, the Wealth Tax Act, 1957, etc., which reads as follows:

“... even if such cases include offences punishable under the Penal Code, 1860 and any other enactments, if such offences form part of the same transaction....”

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(vide Notification reproduced in Supt. of Customs v. Kannur Abdul Kader Mohammed Haneefa [2014 SCC OnLine Hyd 622 : (2014) 310 ELT 49]), SCC OnLine Hyd para 15.

Thus, even if a number of persons are accused of offences under a special enactment such as “the Companies Act and as also the IPC” in respect of the same transaction or facts and even if some could not be tried under the special enactment, it is the Special Court alone which would have jurisdiction to try all the offences based on the same transaction to avoid multiplicity of proceedings. We make this observation because at some stage in the hearing the learned counsel addressed us on this point. We make it clear that in the present case all the accused are liable to be tried by the Special Court in respect of the offences under IPC as well as the Companies Act as alleged in the complaint.”

52. The High Court of Madhya Pradesh dealt with a similar question in **Sunil Mandwani v. State of M.P.**,⁶ where the FIR was registered under various sections of the IPC only yet the accused approached the Court seeking discharge on the ground that only offences under the Companies Act are made out and therefore only a Special Court under the Companies Act has jurisdiction to try the case. In that context, the Court held that since no trial has been initiated against the accused under the Companies Act, in the absence of offences under the Companies Act, the relevant Special Court does not have jurisdiction to try the IPC offences and only the Court having territorial jurisdiction may try such offences.
53. Pertinently, it is to be noticed that in **S. Satyanarayana** (Supra), this Court has relied upon the notification of the erstwhile Government of Andhra Pradesh dated 13.03.1981 which had empowered Special Courts under the Companies Act, 1956 to try cases under the IPC and other enactments if such offences form part of the same transaction. Even though no such notification has been brought on record for designation of Special Courts under the Companies Act, 2013, on research it is found that ‘The Special Court for trial of Economic Offences- cum-VIII Additional Metropolitan Sessions Judge Court-

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cum-XXII Additional Chief Judge, City Civil Court, Hyderabad' has been designated as the Special Court for the State of Telangana by the Central Government *vide* Notification bearing F. No. 01/12/2009-CL-I (Vol. IV) dated 23.03.2017. In this notification issued in exercise of powers conferred under Section 435(1) of Companies Act, there is no mention of offences under the IPC, it merely mentions '*...hereby designates the following Courts mentioned in the Table below as Special Courts for the purposes of providing speedy trial of offences punishable with imprisonment of two years or more under the said Act*'.

54. That being said, under the Companies Act, Section 436(2) governs the jurisdiction of the Special Court. The requirement of 'same transaction' is not present in Section 436(2) which only lays down the pre-requisite that the Special Court should be trying offences under the Companies Act, for it to also try offences under the IPC. As such, once the offences under the Companies Act are quashed, it is the Court of appropriate territorial jurisdiction which would have jurisdiction to try the private complaint filed by the Respondent No. 2 against the Appellants. The learned Judge of the Special Court where the C.C. No. 58 of 2022 is pending shall take steps, in consultation with the Principal District Judge of the district to transfer the complaint case to the appropriate court having territorial jurisdiction to try the complaint case.
55. Arguments have also been made by the Appellants about the propriety and legality of continuance of the proceedings in respect of offences under the IPC and it has been submitted by the Appellants that the complaint case insofar as it relates to offences under the IPC, is abuse of process of law since there are two civil suits and one company petition pending between the parties. However, we are not convinced by this argument. It is trite law that mere institution or pendency of civil proceedings between the parties cannot be a ground to quash the criminal proceedings instituted by the Respondent No. 2 by filing a complaint case or to conclude that the dispute is purely civil in nature.
56. The Respondent No. 2 and the Appellants were in a commercial relationship and the inception of the dispute can be traced to a tussle for control over the Company. The civil suits filed by the Appellants are for seeking a permanent injunction against the Company and the Complainant from violating the terms and conditions of MoU dated

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17.08.2016 and, a declaration that the agreements to sell executed by the Complainant with respect to the properties of the Company be declared void, respectively, while the Company Petition has been filed before the NCLT challenging the removal of the Appellants from directorship in the Company. Pendency of these proceedings would not absolve the criminality as alleged in the complaint, in the facts and circumstances of this case.

57. Therefore, without expressing any views on merits of the complaint case, we hold that there is no reason or ground to quash the offences under the IPC of which cognizance has been taken by the Special Court.
58. Issues 2 and 3 are answered as above.

CONCLUSION

59. In the interest of abundant clarity, as per the discussion hereinabove, we have held that where the Special Court under the Companies Act is taking cognizance of an offence under a section in the Companies Act which, if proved, would make the person(s) 'liable under Section 447' or 'liable for action under Section 447', it must also invoke Section 447 with the corresponding section and in such a case, it must comply with the bar against taking cognizance as specified in the second proviso to Section 212(6) of the Companies Act.
60. In view of the discussion, the present appeals are partly allowed, the impugned judgment of the High Court is set aside with the following directions:
- I. The complaint case bearing C.C. No. 58/2022, the order dated 10.10.2022 of the Special Court and all consequential proceedings to the extent of Section 448 and 451 of the Companies Act shall stand quashed.
 - II. The learned judge of the Special Court where the C.C. No. 58 of 2022 is pending shall take steps, in consultation with the Principal District Judge of the district to transfer the complaint case to the appropriate court having territorial jurisdiction to try the complaint case. The said transfer shall be made within a period of 4 weeks and then the complaint case shall be adjudicated on its own merits, uninfluenced by any of the observations made hereinabove, as expeditiously as possible.

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- III. We make it clear that the observations made hereinabove in paragraph 56 are not an expression of any views on the merits of the complaint, however, the competent Court, which is continuing the offences under the IPC and maintaining the private complaint may examine all relevant objections, if any, raised at appropriate stage or during trial by way of defence, uninfluenced by the above observations.
61. All pending applications shall stand disposed of. There shall be no order as to costs.

Result of the case: Appeals partly allowed.

[†]Headnotes prepared by: Divya Pandey

Ultratech Cement Ltd.

v.

The State of Gujarat & Ors.

(Civil Appeal No(s). 3352-3353 of 2017)

08 January 2026

[Pankaj Mithal* and Prasanna B. Varale, JJ.]

Issue for Consideration

Issue arose whether Heavy Earth Moving Machinery or special services vehicles or any construction equipment vehicles such as Dumpers, Loaders, Excavators, Surface Miners, Dozers, Drills, Rock Breakers etc. are “motor vehicles” within the ambit of s.2(28) of the Motor Vehicles Act, 1988 and are liable to be taxed under the Gujarat Motor Vehicles Tax Act, 1958.

Headnotes[†]

Gujarat Motor Vehicles Tax Act, 1958 – s.3(1) – Motor Vehicles Act, 1988 – s.2(28) – Motor Vehicles – Road Tax – Heavy Earth Moving Machinery or special services vehicles or any construction equipment vehicles such as Dumpers, Loaders, Excavators, Surface Miners, Dozers, Drills, Rock Breakers etc., if “motor vehicles” within the ambit of s.2(28) of the 1988 Act and liable to be taxed under the Gujarat Motor Vehicles Tax Act – Appellant for manufacturing work at cement plants, using various Heavy Earth Moving Machinery/construction equipment or special services vehicle, if liable to pay road tax on those vehicles under the Gujarat Tax Act:

Held: Vehicles used by the appellants not chargeable to tax – Vehicles used by the appellants are vehicles of special types-construction equipment vehicles which are suitable and are meant for use for operation and use within the industrial area/factory premises/ defined enclosed premises and are not meant for use on roads or public roads – They are off-road equipments and as such stand excluded not only from the purview of the “motor vehicle” as defined u/s.2(28) of the Act but also from tax as Entry 57 of List II of the Seventh Schedule of the Constitution only authorizes taxation of vehicles suitable for use on roads only – They are not

* Author

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even chargeable to road tax in view of Schedule I to s.3(1) of the Gujarat Tax Act which do not prescribe any tax for such kind of vehicles i.e., construction equipment vehicles – However, if any such kind of vehicles are found to be used on roads, they would not be free from the rigors of s.2(28) of the Act and s.3 of the Gujarat Tax Act and also be subject to proceedings for seizure and penalty – Impugned judgments and orders holding that the vehicles/equipment used by the appellants particularly Dumpers were “motor vehicles” under the Act and chargeable to tax, set aside – Constitution of India – Entry 57 of List II of the Seventh Schedule. [Paras 55, 56]

Case Law Cited

Bolani Ores Ltd. v. State of Orissa [1975] 2 SCR 138 : (1974) 2 SCC 777; *Tarachand Logistic Solutions Limited v. State of Andhra Pradesh & Ors.*, 2025 SCC OnLine SC 1851; *Chief General Manager, Jagannath Area & Ors. v. State of Orissa & Anr.* [1996] Supp. 6 SCR 570 : (1996) 10 SCC 676; *State of Gujarat & Ors. v. Akhil Gujarat Pravasi V.S. Mahamandal & Ors.* [2004] 3 SCR 956 : (2004) 5 SCC 155; *K.P. Varghese v. ITO* [1982] 1 SCR 629 : (1981) 4 SCC 173; *Travancore Tea Estates Co. Ltd v. State of Kerala & Ors.* [1980] 3 SCR 1388 : (1980) 3 SCC 619; *Union of India and Ors. v. Chowgule and Co. Pvt. Ltd. & Ors.* [1992] 2 SCR 992 : (1992) Supp. 3 SCC 141; *M/s Central Coal Fields Ltd. v. State of Orissa & Ors.* [1992] 2 SCR 982 : (1992) Supp. 3 SCC 133; *Bose Abraham v. State of Kerala & Anr.* [2001] 1 SCR 808 : (2001) 3 SCC 157 – referred to.

Natwar Parikh & Co. Ltd. v. State of Karnataka & Ors. [2005] Supp. 2 SCR 1100 : (2005) 7 SCC 364; *Western Coalfields Limited v. State of Maharashtra & Anr.* (2016) 11 SCC 613; *Chairman, Rajasthan State Road Transport Corporation & Ors. v. Santosh & Ors.* [2013] 3 SCR 720: (2013) 7 SCC 94 – held inapplicable.

List of Acts

Motor Vehicles Act, 1988; Gujarat Motor Vehicles Tax Act, 1958; Constitution of India; Central Motor Vehicle Rules, 1989.

List of Keywords

Heavy Earth Moving Machinery; Special services vehicles; Construction equipment vehicles; Tax; Chargeable to road tax;

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Industrial area; Factory premises; Roads; Public roads; Off-road equipments; Motor vehicle; Seizure and penalty; Registration fee; Arrears of tax.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s). 3352-3353 of 2017

From the Judgment and Order dated 15.07.2011 and 05.10.2012 of the High Court of Gujarat at Ahmedabad in SCA No. 4704 of 2007, RP No. 2598 of 2012, and SCA No. 4704 of 2007, respectively.

With

Civil Appeal No(s). 3357 and 3358 of 2017

Appearances for Parties

Advs. for the Appellant(s):

P. Chidambaram, Nakul Dewan, Sr. Advs., Mahesh Agarwal, Ankur Saigal, Rohan Talwar, Himanshu Saraswat, Uday Aditya Jetley Pocha, Sathvik Chandrashekar, Naman Agarwal, E. C. Agrawala.

Advs. for the Respondent(s):

K. Parameshwar, Sr. Adv., Ms. Deepanwita Priyanka, Prasad Hegde, Ms. Veda Singh, Ms. Priyal Sheth.

Judgment / Order of the Supreme Court**Judgment**

Pankaj Mithal, J.

1. Heard Shri P. Chidambaram, senior counsel appearing for the appellant-Ultratech Cement Ltd. in Civil Appeal Nos.3352-3353/2017 and Shri Nakul Dewan, senior counsel appearing for the appellant in Civil Appeal Nos.3357 and 3358/2017. Shri K. Parameshwar, senior counsel has been heard in opposition on behalf of respondent-State of Gujarat.
2. All the aforesaid four civil appeals are based on similar facts and raises a common question of law, namely; whether Heavy Earth Moving Machinery or special services vehicles or any construction equipment vehicles such as Dumpers, Loaders, Excavators, Surface

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Miners, Dozers, Drills, Rock Breakers etc. are “motor vehicles” within the ambit of Section 2 (28) of the Motor Vehicles Act, 1988¹ and are liable to be taxed under the Gujarat Motor Vehicles Tax Act, 1958².

3. The Civil Appeal Nos.3352-3353/2017 are the leading appeals and, therefore, the necessary facts in respect of those appeals only are being narrated for the sake of convenience.
4. The appellant-Ultratech Cement Ltd. is a public limited company engaged in manufacturing and marketing of clinker and cement products. It has two cement plants known as Gujarat Cement Works and Narmada Cement Works in Gujarat. In connection with the manufacturing work at the above two plants, it uses various Heavy Earth Moving Machinery/construction equipment or special services vehicle.
5. In Civil Appeal Nos.3352-3353/2017, the vehicles used are predominantly Dumpers and Loaders. In Civil Appeal No.3357/2017, the vehicles are Excavators and Surface Miners whereas in Civil Appeal No.3358/2017, the vehicles used are Dozers, Drillers, Rock Breakers, Excavators and Surface Miners.
6. The Regional Transport Officer, Bhuj, on 04.06.1996 issued a letter acknowledging that the Dumpers used by the appellants within the private premises do not require registration under the Act. However, later on the Transport Commissioner published a press advertisement in Gujarati Daily ‘*Sandesh*’ on 20.11.1999, directing registration of all special service vehicles including Dumpers as is mandated by Section 39 of the Act and that the appellants are required to pay road tax on those vehicles under the Gujarat Tax Act.
7. Pursuant thereto, in January 2000, the Regional Transport Officer even conducted an inspection of the vehicles used by the appellant and directed the appellant to get them registered and pay tax under the Gujarat Tax Act.
8. The appellant protested against it and replied to the Transport Commissioner on 02.02.2000 that these vehicles were not strictly “motor vehicles” as defined under Section 2 (28) of the Act and,

1 Hereinafter referred to as ‘the Act’

2 Hereinafter referred to as ‘the Gujarat Tax Act’

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therefore, they are neither required to be registered nor chargeable to tax under the Gujarat Tax Act. The Transport Commissioner refused to accept the plea taken by the appellant and insisted for the registration of vehicles and payment of road tax.

9. It may be worth noting that the vehicles so used by the appellants were not meant to be used “on-road”. They were transported to the work premises of the appellant in a dismantled condition on trailers and were confined to use within the factory/enclosed premises.
10. M/s Bharat Earth Movers Limited, the manufacturers/suppliers of the said vehicles, certified by their letter dated 23.03.2000 that they have been manufacturing and supplying heavy duty Dumpers amongst other range of products for operating in mining/industrial off-road activities. These products/vehicles that are manufactured and supplied by them are designed as vehicles of a special type to be adopted for use only in mining and industrial off-road operations and are not meant for use on-road. These products/vehicles are transported from their place on trailers to the destination and since these are meant for off-road operations, they do not issue any road worthiness certificate for the above products/vehicles.
11. A similar certificate was issued by M/s Hindustan Motors Limited on 17.03.2000 regarding the various models of Dumpers manufactured and supplied by them.
12. Even M/s Automotive Research Association of India also certified on 04.06.2004 that such Heavy Earth Moving Machineries are meant for off-road use and not on-road. These are carried from one location to another in the knocked down condition only on trailers or trucks.
13. These certificates were placed on record by the appellant-Ultratech Cement Ltd. and were not controverted by the respondent-State of Gujarat.
14. The Assistant Regional Transport Officer on 16.01.2002 again informed the appellant that the above vehicles/equipment used by it fall within the definition of “motor vehicles” and are liable for registration and payment of road tax. Subsequently, on 09.11.2006, the Regional Transport Officer issued a show cause notice demanding a sum of Rs.59,39,401/- towards registration fee, tax, arrears of tax along with 2 per cent interest and 25 per cent penalty with effect from the year 1999 when aforesaid vehicles/equipment were purchased by

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the appellant. The appellant, after multiple correspondence, were pressurized to get the said vehicles/equipment registered and to deposit a sum of Rs. 1.36 crores. The appellant got the vehicles registered and deposited Rs. 88.45 lakhs under protest.

15. In the above scenario, when the show cause notice was issued, the appellant approached the High Court of Gujarat for the quashing of aforesaid show cause notice dated 09.11.2006 and for the refund of the amount deposited by them. The High Court dismissed the petition by common judgment and order dated 15.07.2011 holding that the vehicles/equipment used by the appellants particularly Dumpers were “motor vehicles” under the Act and are chargeable to tax.
16. It is against the aforesaid judgment and order of the High Court dated 15.07.2011 that the appellant is in appeal before this Court. The appellants in other connected appeals are also before this Court in a similar fashion. As said earlier, all these appeals give rise to a common question of law as framed previously hereinabove, therefore, we are dealing with all of them together on the basis of the facts contained in Civil Appeal Nos. 3352-3353/2017.
17. The primary submission on behalf of the appellants is that Entry 57 of List II of the Seventh Schedule of the Constitution of India permits taxation only of vehicles “suitable for use on roads”, therefore, vehicles not used in public places or public roads or not suitable for use on roads are outside the purview of the definition of “motor vehicles” and are not chargeable to road tax. Secondly, it has been submitted that the manufacturer’s specifications and the certificates of the experts on record clearly demonstrate that the vehicles in question are off-road vehicles. The certificates and contentions have not been refuted by the State and the Court has simply ignored them by saying that the expert certificates and manufacturer’s specifications are not material.
18. It has also been contended that the Ministry of Road Transport and Highways (MoRTH) *vide* circular dated 13.07.2020 expressly states that such vehicles as used by the appellants are “off-road equipment” and they do not qualify to be “motor vehicles” which may require registration.
19. Moreover, ***Bolani Ores Ltd. vs. State of Orissa***³, squarely answers the question raised in these appeals wherein it has been held that

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the phrase “adapted for use upon roads” means vehicles which are suitable for plying on the roads and as such, vehicles and equipment not meant to be used on-roads are beyond taxation.

20. The aforesaid decision has been followed in ***Tarachand Logistic Solutions Limited vs. State of Andhra Pradesh & Ors.***⁴, wherein it has been held that vehicles operating within closed premises and vehicles which do not derive benefit from public road infrastructure, are not taxable. Merely because the vehicles in question have been registered under the Act, the appellants are not estopped from challenging its liability to pay road tax on the said vehicle.
21. The case laws relied upon by the State or the High Court in holding otherwise are distinguishable and are not applicable.
22. In response to the arguments advanced on behalf of appellants as aforesaid, Shri K. Parameshwar, senior counsel appearing for the State of Gujarat submits that Section 3 (1) of the Gujarat Tax Act is the charging provision and it uses the word “all motor vehicles” and, therefore, any vehicle which falls within the ambit of “motor vehicles”, whether meant for on-road or off-road use, is subject to payment of road tax. No distinction can be made between the vehicles on the basis of their use. The words “public place” or “public road” have not been used in Section 3 of the Gujarat Tax Act and are of no relevance.
23. The circular of the Ministry of Road Transport and Highways (MoRTH) dated 13.07.2020 has not been issued in exercise of any rule making power under the Act. It is not relevant and is not binding as it cannot override the express provision of the statute. Moreover, the said circular operates prospectively and would not apply to the vehicles which have been purchased earlier.
24. The decision of ***Tarachand Logistic*** (*supra*) relied upon on behalf of appellants is of no help, rather, the decisions rendered by this Court in ***Chief General Manager, Jagannath Area & Ors. vs. State of Orissa & Anr.***⁵ and ***State of Gujarat & Ors. vs. Akhil Gujarat Pravasi V.S. Mahamandal***⁶ & Ors., would prevail.

4 2025 SCC OnLine SC 1851

5 (1996) 10 SCC 676

6 (2004) 5 SCC 155

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25. Before embarking upon the question of law i.e., whether heavy earth moving machinery or special service vehicle or any construction equipment vehicles are “motor vehicles” within the ambit of Section 2 (28) of the Act and are chargeable to tax under the Gujarat Tax Act, it would be necessary for us to refer to certain provisions of the Constitution of India, then to the charging Section of the Gujarat Tax Act and then the definition of the “motor vehicle” as contained in the Act itself.
26. Article 265 of the Constitution of India clearly provides that tax shall not be levied or collected except by the authority of law. If we read the above Article in consonance with Entry 57 of List II of the Seventh Schedule of the Constitution, it would be evident that taxes can be imposed on vehicles which impliedly include “motor vehicle” suitable for use on roads.
27. Entry 57 of List II of Seventh Schedule of the Constitution reads as under:

“57. Taxes on vehicles, whether mechanically propelled or not, suitable for use on roads, including tram-cars subject to the provisions of Entry 35 of List III.”
28. Upon a conjoint reading of Article 265 and Entry 57 of List II of the Seventh Schedule of the Constitution, it is evident that the State is competent to levy and collect tax on vehicles i.e., motor vehicles if they are suitable for use on roads.
29. Section 3 of the Gujarat Tax Act provides for levying tax on motor vehicles. The relevant part of it stipulates as under:

“ 3. (1) Subject to the other provisions of this Act, on and from the 1st day of April 1958, there shall be levied and collected on all motor vehicles used or kept for use in the State, a tax at the rates fixed by the State Government, by notification in the Official Gazette, but not exceeding the maximum rates specified in the First, Second and Third Schedules:

Provided that in the case of any motor vehicle (irrespective of whether they are specified in the First Schedule or the Second Schedule or Third Schedule kept by a dealer in, or manufacturer of, such vehicles, for the

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purpose of trade, there shall be levied and collected annually such amount of tax not exceeding Rs.5000 as the State Government may, by notification in the Official Gazette specify on those motor vehicles only which are permitted to be used on the roads in the manner prescribed by rules made under the Motor Vehicles Act, 1988:.....”

30. The aforesaid charging Section contemplates to levy and collect tax on all motor vehicles either used or kept for use in the State. A plain reading of the aforesaid provision would reveal that tax can be levied and collected from all motor vehicles irrespective of the fact as to whether they are actually used or kept for use.
31. It may be pertinent to note that Entry 57 of List II of the Seventh Schedule of the Constitution permits imposition of tax on vehicles suitable for use on roads. Section 3 of the Gujarat Tax Act authorizes levy and collection of tax on all motor vehicles used or kept for use in the State without specifying whether suitable for use on roads or not. It is on account of the conspicuous absence of the qualification “suitable for use on roads” in the Gujarat Tax Act that the vehicles used by the appellants which are said to be off-road vehicles are sought to be taxed. The Gujarat Tax Act cannot travel beyond Entry 57 of List II of Seventh Schedule of the Constitution of India so as to tax vehicles which are not suitable for being used on roads.
32. Now, the basic issue is: what is meant by “motor vehicle” or what are “motor vehicles”.
33. The phrase “motor vehicle” has not been defined under the Gujarat Tax Act rather sub-Section (10) of Section 2 of the said Act provides that words and expressions not defined under the said Act shall have the same meaning as assigned to them under the Act.
34. Section 2 (10) is reproduced herein below:

“2. In this Act, unless the context otherwise requires:-

.....

(10) other words and expressions used, but not defined, in this Act, shall have the meanings respectively assigned to them in the Motor Vehicles, 1988 or the rules made thereunder.”

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35. In view of the above provision of Section 2 (10) of the Act as motor vehicle has not been defined under the Gujarat Tax Act, it has to be assigned the same meaning as is contained in the Act.
36. The Act defines “motor vehicle” under Section 2 (28) of the Act. It reads as under:

“2. **Definitions**-In this Act, unless the context otherwise requires.-

.....

(28) “motor vehicle” or “vehicle” means any mechanically propelled vehicle adapted for the use upon roads whether the power of propulsion is transmitted thereto from an external or internal source and includes a chassis to which a body has not been attached and a trailer; but does not include a vehicle running upon fixed rails or a vehicle of a special type adapted for use only in a factory or in any other enclosed premises or a vehicle having less than four wheels fitted with engine capacity or not exceeding twenty-five cubic centimeters;”

37. A simple and plain reading of the aforesaid provision would reveal that it is in two parts. The first part is inclusive and the second part is exclusive. The first part, in short, provides that a motor vehicle or a vehicle means any mechanically propelled vehicle which is adapted for use upon roads and includes the chassis to which a body has not been attached and a trailer. So, the above part of the definition of motor vehicle is inclusive in nature. The second part provides for the exclusion of certain vehicles from the definition of the motor vehicle. It provides that motor vehicle does not include a vehicle running upon fixed rails **or a vehicle of a special type adapted for use only in a factory or in any other enclosed premises.** It means that the legislature has consciously provided for the exclusion of the vehicles of the special kind which have been adapted for use only in a factory or any other enclosed premises from the definition of motor vehicle. In other words, though the term motor vehicle is wide enough but it expressly excludes some of the motor vehicles which are of special type and have been adapted for use only in factory or in any other enclosed premises from its ambit.
38. The vehicles in question used by the appellant are all in the nature of special vehicles as they are basically construction equipment

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vehicles which have been made suitable for use only in a factory and an enclosed premises rather than for use on roads. These vehicles may be capable of being used on road but essentially, they are meant to be used as a special vehicle inside the enclosed premises or in the factory premises alone and not outside on the road. Even for reaching the factory premises, or the so-called enclosed premises they do not ply on road and are taken on tractors and trailers from the place of their manufacturing to the place of their deployment. The various certificates of the manufacturers and suppliers as well as those issued by the Automotive Research Association of India amply demonstrate that the aforesaid vehicles used by the appellant are special type of vehicles meant for use only within the factory premises or the enclosed premise. They are all off-road vehicles that do not ordinarily ply on roads. Since, they do not run on the roads, the manufacturers and suppliers do not even issue any certificate of road worthiness in respect of these vehicles. In short, the vehicles used by the appellants are special type of vehicles meant to be used as construction equipment vehicle within the enclosed premises and as such *ex-facie* stands excluded from the definition of the motor vehicle as contained in Section 2 (28) of the Act, more particularly by virtue of the second part of the definition.

39. In view of the above, we can safely conclude that though the vehicles used by the appellant are “motor vehicles” within the first part of the definition under Section 2 (28) of the Act but they stand excluded from the definition of “motor vehicles” on account of their very nature of use and the place of the use by virtue of the second part of the definition.
40. There is another reason for excluding the above vehicles used by the appellant from the ambit of the motor vehicles. The Central Motor Vehicle Rules, 1989 framed under the Act *vide* Rule 2 (cab) defines “construction equipment vehicle” to mean rubber tyred, rubber padded or steel drum wheel mounted, self-propelled, excavator, loader, backhoe, compactor roller, dumper, motor grader, mobile crane, dozer, fork lift truck, self-loaded concrete mixture or any other construction vehicle or combination thereof designed for off-highway operations in mining, industrial undertaking, irrigation and general construction, modified and manufactured with “on or off” or “on and off” highway capabilities.

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41. In the light of the aforesaid definition, the vehicles used by the appellant though manufactured or modified for “on or off” or “on and off” highway capabilities are essentially construction equipment vehicles of special kind and are not simplicitor motor vehicles falling within the ambit of Section 2 (28) of the Act. They as such are special type of vehicles falling in the category of “construction equipment vehicles”.
42. The charging Section i.e., Section 3 (1) of the Gujarat Tax Act itself provides that tax on all motor vehicles shall be levied and collected at the rate fixed by the State Government but not exceeding the maximum rate specified in the first, second and third Schedule of the Act. If we go to the first schedule to the Gujarat Tax Act, we find that against each type of motor vehicles maximum annual rate of tax has been specified. However, under Item (ii) of Item (f) under Item VI of the First Schedule, though we find mention of motor vehicles exceeding particular specification and/or any construction equipment vehicles but there is no corresponding rate of tax. If the aforesaid entry in the Schedule I is read, it would demonstrate that the Schedule prescribes no rate of tax on construction equipment vehicles i.e., the vehicles as used by the appellant. Therefore, it can again be concluded that the vehicles used by the appellants are special type of vehicles which stand excluded from the definition of motor vehicles and, at the same time, being construction equipment vehicles, are not chargeable to tax. The Gujarat Tax Act itself does not provide for any rate of tax for collection of any tax from such vehicles.
43. It is for the above reason that the Ministry of Road Transport and Highways (MoRTH) had issued circular dated 13.07.2020 to clarify that vehicles as used by the appellants i.e., vehicles of special type or those used in construction activity, if are not being run on roads, do not qualify to be motor vehicles and regular registration. The said circular may not override the express provisions of law but nonetheless, is binding upon the departmental authorities as has been held in ***K.P. Varghese vs. ITO*** .
44. On a composite reading of Section 3 of the Gujarat Tax Act, the definition of motor vehicles under Section 2 (28) of the Act, the definition of construction equipment vehicles contained in Rule 2 (cab) of the Rules and Schedule I of the Gujarat Tax Act, it is crystal clear

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that the vehicles of the kind used by the appellant which are special vehicles i.e., construction equipment vehicles may be suitable for plying upon roads are essentially meant to be used in a factory or an enclosed premises and as such are not chargeable to tax under the Gujarat Tax Act. Even otherwise in view of the language employed in Entry 57 of List II of Seventh Schedule of the Constitution of India, no authority is authorized to levy or collect tax on vehicles which are not suitable for use on roads and have been designed for off-road use in factory or enclosed premises.

45. The view taken by us above finds full support from the three-Judge Bench decision of this Court ***Bolani Ores Ltd. vs. State of Orissa*** (*supra*). In the said case this Court was dealing with the definition of the motor vehicle as it existed in the Motor Vehicles Act of 1939 in reference to Bihar and Orissa Motor Vehicles Taxation Act, 1930. The “motor vehicle” was defined in Section 2(18) of the aforesaid Act which used the phrase “adapted for use upon roads”. In the light of the said definition, this Court considered whether dumpers, rockers and tractairs are taxable under the Bihar and Orissa Motor Vehicles Taxation Act, 1930. This Court while considering the meaning of the words “adapted for use” observed that they must be construed as “suitable for use or in other words fit for use on road”. This connotation was based upon Entry 57 of List II of the Seventh Schedule of the Constitution. It was held that in view of Entry 57 of List II of the Seventh Schedule of the Constitution, the power to impose tax on motor vehicles is regulatory and compensatory in nature and that the said power can be exercised to impose taxes on motor vehicles which use the roads in the State. This Court further observed that the vehicles such as dumpers, rockers and tractairs are though suitable for use on roads but in the light of the pleadings as they were used only within the enclosed premises specifically for the industrial purpose, they cannot be held liable for taxation. It was categorically held that if a vehicle does not use the public roads, it cannot be taxed. It was also observed that if a vehicle merely moves from one place to another, it need not necessarily be a motor vehicle. It also holds that vehicles though registered under the Act as motor vehicles need not be subjected to tax if otherwise those vehicles do not ply on roads.
46. The vehicles used by the appellant undeniably are not used on roads and are not even kept for use on roads.

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47. However, in the case of **Natwar Parikh & Co. Ltd. vs. State of Karnataka & Ors.**⁸ a three-Judge Bench of this Court without overruling **Bolani Ores Ltd.** (*supra*) held that tractor-trailers used for transporting goods constitute a different category of “goods carriage” which requires permit under Section 66 of the Motor Vehicles Act. Therefore, in the absence of such a permit they are liable to tax under Section 3(2) of the Karnataka Motor Vehicles Taxation Act, 1957.
48. The aforesaid decision in the case of **Natwar Parikh & Co. Ltd.** (*supra*) has simply held that the “goods carriage” requires a permit under the Motor Vehicles Act and therefore, they are “motor vehicles”. However, it failed to consider whether the vehicles in question which are allegedly special type vehicles or construction equipment vehicles specially designed to be used in factory premises or in the enclosed premises and not on the public roads would be covered by motor vehicles. Therefore, the above decision has no application to the facts and circumstances of the present case.
49. A three-Judge Bench of this Court in **Western Coalfields Limited vs. State of Maharashtra & Anr.**⁹ simply referring to the earlier decisions of this Court in **Natwar Parikh & Co. Ltd.** (*supra*) held that excavators fall within the meaning of the definition of “motor vehicles” as contained in Section 2 (28) of the Act and therefore, would be liable for registration and payment of taxes.
50. Since, the decision in the case of **Western Coalfields Limited** (*supra*) is based upon **Natwar Parikh & Co. Ltd.** (*supra*) in holding that excavators fall within the meaning of definition of “motor vehicles” as contained in Section 2 (28) of the Act and as such would be liable for registration and payment of tax but without going into the aspect whether such vehicles stands excluded from the definition of “motor vehicles” by virtue of second part of the definition contained under Section 2 (28) of the Act, it is of no use in the facts and circumstances of the case.
51. The decisions to the contrary cited at the Bar starting from **Travancore Tea Estates Co. Ltd vs. State of Kerala & Ors.**¹⁰, **Union of India**

8 (2005) 7 SCC 364

9 (2016) 11 SCC 613

10 (1980) 3 SCC 619

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and Ors. vs. Chowgule and Co. Pvt. Ltd. & Ors.¹¹, **M/s Central Coal Fields Ltd. vs. State of Orissa & Ors.**¹², **Chief General Manager, Jagannath Area & Ors.** (*supra*), **Bose Abraham vs. State of Kerala & Anr.**¹³, **State of Gujarat & Ors.** (*supra*) are all decisions of the different Division Benches of this Court. No doubt, they hold that vehicles used or kept for use on the public roads of the State are exigible to tax, and if they are not so used they can claim exemption but all these decisions fail to take into account the specific exclusion as contained in the second part of Section 2 (28) of the Act which defines “motor vehicles”. As stated earlier, the vehicles or the construction equipment vehicles used by the appellants are “motor vehicles” within the first part of the definition as contained in Section 2 (28) but they stand excluded by virtue of the second part of the said definition. This aspect of the matter has not been specifically considered by any of the above decisions. Moreover, all these decisions simply brushes aside **Bolani Ores Ltd.** (*supra*) without actually ruling it out on the ground that it relates to “motor vehicles” as defined under the old Act without realising that there was no material change between the definition of “motor vehicles” in the old or present Act.

52. If the principle laid down by the above decisions that vehicles either used or kept for use in the State irrespective of whether they are suitable for plying on roads or not or whether they are special type of vehicles meant to be used only in enclosed premises are subjected to tax is accepted, it will lead to an anomaly. It may be noted that aircrafts specially those belonging to Air Force are capable of landing on the highways and they can after taxing on the highway can also take-off from there, and as such would be vehicles suitable for use on roads which will make them motor vehicles liable for registration under the Act and payment of road tax within the ambit of various State Acts. Similar would be the case with the tanks belonging to Army inasmuch as they are also suitable to ply on roads if necessary and keeping them for use within any State would attract their registration as motor vehicles liable to payment of tax. This cannot be the intention of the legislature in prescribing the definition of the

11 (1992) Supp. 3 SCC 141

12 (1992) Supp. 3 SCC 133

13 (2001) 3 SCC 157

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motor vehicles under the Act and to impose tax thereupon. In this view of the matter, the principle laid down by the above decisions cannot be accepted and applied in an absolute form on all motor vehicles ignoring the distinction between normal motor vehicles and the motor vehicles of special kind such as heavy construction equipment or special type of vehicles which are meant to be used within a specified area and not on public roads.

53. One another decision in the case of ***Chairman, Rajasthan State Road Transport Corporation & Ors. vs. Santosh & Ors.***¹⁴ was cited. The said decision deals with the motorised cart “Jugaad” and it was held that it is a “motor vehicle” within the definition of Section 2 (28) of the Act and is exigible to road tax. The facts of the said case were quite distinct from the present case at hand in as much as in the said case the Court was only called upon to rule as to whether motorised cart “Jugaad” is a motor vehicle or not. The Court had not embarked upon to consider whether by virtue of its use it would stand excluded from the definition of the “motor vehicle”. Therefore, the aforesaid decision is also of no use in the present case.
54. Contrary to the above, this Court recently in ***Tarachand Logistic Solutions Limited*** (*supra*) was called upon to decide whether the premises of Visakhapatnam Steel Plant, Andhra Pradesh, a corporate entity of Rashtriya Ispat Nigam Limited (‘RINL’) where the alleged special type vehicles were exclusively used constitute a “public place”. This Court inter alia observed that if a motor vehicle is not used in a public place or is not kept for use in a public place and the person concerned is not deriving any benefit from the public infrastructure, he should not be burdened with the motor vehicle tax.
55. In view of the aforesaid discussion specially considering the pleadings and the material on record, we are of the conclusive opinion that the vehicles used by the appellants are vehicles of special types, precisely construction equipment vehicles which are suitable and are meant for use for operation and use within the industrial area/ factory premises/ defined enclosed premises and are not meant for use on roads or public roads. They are off-road equipments and as such stand excluded not only from the purview of the “motor vehicle” as defined under Section 2 (28) of the Act but also from tax as

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Entry 57 of List II of the Seventh Schedule of the Constitution only authorizes taxation of vehicles suitable for use on roads only. They are not even chargeable to road tax in view of Schedule I to Section 3 (1) of the Gujarat Tax Act which do not prescribes any tax for such kind of vehicles i.e., construction equipment vehicles. However, if any such kind of vehicles are found using roads, they would not be free from the rigors of Section 2 (28) of the Act and Section 3 of the Gujarat Tax Act and may also be subject to proceedings for seizure and penalty in accordance with the law.

56. Accordingly, the impugned judgments and orders dated 15.07.2011 and 19.12.2012 passed by the High Court of Gujarat are set aside and the appeals are allowed with no order as to cost.

Result of the case: Appeals allowed.

[†]Headnotes prepared by: Nidhi Jain

X

v.

The State of Uttar Pradesh & Another

(Criminal Appeal No. 164 of 2026)

09 January 2026

[B.V. Nagarathna and R. Mahadevan,* JJ.]

Issue for Consideration

Issue arose whether the High Court erred in granting bail to respondent no. 2-accused without due consideration of the heinous nature of the acts alleged to have been committed against the minor victim-gang-rape and sexual assault threatening with deadly weapon and recording of the incident.

Headnotes[†]

Protection of Children from Sexual Offences Act, 2012 – ss.5(I), 6, 9(g) and 10 – Bharatiya Nyaya Sanhita, 2023 – ss.65(1), 74, 137(2) and 352 – Code of Criminal Procedure, 1973 – Cancellation of bail in POCSO offence – Commission of offence of gang-raping a minor and sexual assault threatening her with deadly weapon and recording of the incident on a mobile phone, by respondent no. 2 and his friends – Registration of FIR – After investigation, chargesheet filed against respondent no. 2 u/ss.65(1), 74, 137(2) and 352 BNS and ss. 5(I), 6, 9(g) and 10 POCSO Act and against A2 to A4, u/ss.74 and 352 BNS and ss.9(g) and 10 POCSO Act – Respondent no.2 sought bail, which was denied by the trial court, however allowed by the High Court – Justification:

Held: Impugned judgment suffers from serious infirmities – Submission regarding consensual relationship between the parties wholly untenable in law – Statements of the victim recorded u/s.183 BNSS read with the Medico-legal examination report *prima facie* establish the commission of the alleged offences – Mere filing of chargesheet does not, by itself, preclude consideration of an application for bail – However, while assessing such an application, the Court duty-bound to have due regard to the nature and gravity of the offence and the material collected during investigation – Offences alleged are heinous and grave involving repeated

* Author

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penetrative sexual assault upon a minor victim committed under armed intimidation and accompanied by recording of the acts for the purpose of blackmail – Such conduct has a devastating impact on the life of the victim and shakes the collective conscience of society – High Court, while granting bail to respondent no. 2 failed to take into account the nature and gravity of the offences, vulnerability of the victim, likelihood of witness intimidation and the statutory rigour under the provisions of the POCSO Act – Omission to notice that the chargesheet had already been filed, coupled with the *prima facie* material emerging from the victim's statements renders the exercise of discretion by the High Court manifestly erroneous – Also, victim resides in the same locality as respondent no. 2 and counselling report of the Child Welfare Committee records that the victim is under fear and psychological distress – Post-release presence of respondent no. 2 gives rise to a real and imminent apprehension of intimidation and further trauma to the victim – In offences involving sexual assault against children, the likelihood of tampering with evidence or influencing witnesses constitutes a grave and legitimate concern – Safety of the victim and the need to preserve the purity of the trial process assume paramount importance – While bail is not to be refused mechanically, it must not be granted on irrelevant considerations or by ignoring material evidence – Grant of bail by the High Court is vitiated by material misdirection and non-consideration of relevant factors rendering the same manifestly perverse – Impugned judgment cannot be sustained in law and is set aside – Bail granted to respondent no. 2 cancelled. [Paras 11-19]

Case Law Cited

Deepak Yadav v. State of Uttar Pradesh and Another [2022] 4 SCR 1 : (2022) 8 SCC 559; *State of U.P. v Sonu Kushwaha* [2023] 10 SCR 993 : Criminal Appeal No. 1633 of 2023 dated 05.07.2023; *Ramji Lal Bairwa and Another v. State of Rajasthan and Others*, 2024 INSC 846 : [2024] 11 SCR 641; *Mahipal v. Rajesh Kumar and Another* [2019] 14 SCR 529 : (2020) 2 SCC 118; *Arjun Jalba Ichke v. State of Maharashtra*, Criminal Appeal No. 268 of 2025 dated 17.01.2025; *Bhagwan Singh v. Dilip Kumar @ Deepu @ Depak and Another* [2023] 11 SCR 469 : (2023) 13 SCC 549; *Satender Kumar Antil v. Central Bureau of Investigation* [2022] 10 SCR 351 : (2022) 10 SCC 51; *Manish Sisodia v. Directorate of Enforcement*, 2024 INSC 595 : [2024] 8 SCR 1061; *Padmausundara Rao (Dead) and Others v. State of Tamil Nadu and*

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Others [2002] 2 SCR 383 : (2002) 3 SCC 533; *State of Bihar v. Rajballav Prasad @ Rajballav Pd. Yadav @ Rajballabh Yadav* [2016] 9 SCR 652 : (2017) 2 SCC 178 – referred to.

List of Acts

Bharatiya Nyaya Sanhita, 2023; Bharatiya Nagarik Suraksha Sanhita, 2023; Protection of Children from Sexual Offences Act, 2012; Code of Criminal Procedure, 1973.

List of Keywords

Bail; Heinous nature of acts committed against minor; Gang-rape; Sexual assault; Deadly weapon; Recording of the incident on mobile phone; Cancellation of bail in POCSO offence; Counselling report; Child Welfare Committee; Medico-legal evidence; Repeated penetrative sexual assault.

Case Arising From

CRIMINAL APPELLATE JURISDICTION: Criminal Appeal No. 164 of 2026

From the Judgment and Order dated 09.04.2025 of the High Court of Judicature at Allahabad in CRMBA No. 9829 of 2025

Appearances for Parties

Advs. for the Appellant(s):

Md. Ali, Ms. Shalu.

Advs. for the Respondent(s):

Vishwa Pal Singh, Ghanshyam Singh, Adesh Kr. Gill, Akas Gothwal, Dr. Reji Kumarr., Anurag Pandey, Suraj Pal Singh Mina, Nagenra Singh, Ms. Akansha, Naman Raj Singh, Sparsh Choudhary, Ms. Srishti Mishra, Ms. Anjali Saxena, Dr. Amardeep Gaur.

Judgment / Order of the Supreme Court

Judgment

R. Mahadevan, J.

Leave granted.

2. The present criminal appeal has been filed challenging the final judgment and order dated 09.04.2025 passed by the High Court of

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Judicature at Allahabad¹ in Criminal Miscellaneous Bail Application No. 9829 of 2025, whereby the High Court granted bail to Respondent No. 2 – accused in connection with FIR No. 426/2024 registered with Police Station Kandhla, District Shamli, Uttar Pradesh for offences punishable under Sections 65(1), 74, 137(2) and 352 of the Bharatiya Nyaya Sanhita, 2023² and Sections 5(l), 6, 9(g) and 10 of the Protection of Children from Sexual Offences Act, 2012³.

3. The case of the appellant as projected in this appeal is as follows:
 - 3.1. Respondent No. 2 by name Arjun – accused was known to the minor victim for about six months prior to the incident. As per the statement of the minor victim, Respondent No. 2 repeatedly established physical relations with her by threatening her and pointing a locally made firearm (katta) at her. It is further stated that along with Respondent No. 2, his friends namely Goldi, Amit, Rupak and Vedansh used to abuse and molest the minor victim and also attempted to establish physical relations with her.
 - 3.2. On 01.12.2024 at around 05.30 p.m., when the minor victim was walking near her residence, the accused persons Arjun and Amit abducted her on their motorcycle, again molested her and ultimately abandoned her at Baraut Bus Stand, from where she contacted her uncle using a stranger's mobile phone. Thereafter, the minor victim narrated the entire incident including the sexual assault committed by the accused persons over the past six months to her family members. Immediately, the family members of the minor victim rushed to the police station to lodge a complaint. However, the police failed to register the FIR on 01.12.2024 and instead advised the minor victim and her family members to compromise and settle the matter with the accused persons. Ultimately, FIR No. 426/2024 came to be registered on 02.12.2024 under Sections 75(2), 79 and 137(2) of the BNS and Sections 9(g) and 10 of the POCSO Act against five accused persons including Respondent No. 2.

1 Hereinafter referred to as "the High Court"

2 For short, "BNS"

3 For short, "POCSO Act"

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- 3.3. During the course of investigation, on 03.12.2024, the statements of the minor victim and her uncle were recorded under Section 180 of the Bharatiya Nagarik Suraksha Sanhita, 2023⁴ (corresponding to Section 161 of the Code of Criminal Procedure, 1973⁵). The investigating officer obtained a certificate from Inter College, Ailum, District Shamli, certifying the date of birth of the minor victim as 18.07.2010, which established that she was around 14 years of age at the time of the commission of the offence. On 05.12.2024, the statement of the minor victim was recorded under Section 183 of the BNSS (corresponding to Section 164 Cr.P.C.) before the learned Magistrate, District Shamli, Uttar Pradesh. Thereafter, on 08.12.2024 the minor victim was medically examined and a medico-legal examination report was obtained, which revealed the gravity of the sexual offence committed against her.
- 3.4. Due to the influence exerted by the family members of the accused, Respondent No. 2 was not arrested immediately after registration of the FIR dated 02.12.2024 and was arrested only on 03.01.2025. Subsequently, he filed bail application which came to be dismissed by the learned District and Sessions Judge, Shamli on 13.02.2025.
- 3.5. Upon completion of investigation, the investigating officer filed chargesheet on 19.02.2025 for offences punishable under Sections 65(1), 74, 137(2) and 352 of the BNS and 5(l), 6, 9(g) and 10 of the POCSO Act. Thereafter, Respondent No. 2 approached the High Court by filing Criminal Misc. Bail Application No. 9829 of 2025. By the impugned judgment dated 09.04.2025, the High Court allowed the said application and enlarged Respondent No. 2 on bail, subject to certain conditions. Feeling aggrieved, the appellant has preferred the present appeal seeking cancellation of the bail granted to Respondent No. 2.
4. The learned counsel appearing for the appellant submitted that the High Court erred in granting bail to Respondent No. 2 without

4 For short, "BNSS"

5 For short, "Cr.P.C"

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due regard to the seriousness and gravity of the charges framed against him. It was contended that Respondent No. 2 is accused of committing a heinous and grave offence of repeatedly gang-raping a minor victim aged about 14 years by threatening her with a deadly weapon (katta) and recording the acts on a mobile phone.

- 4.1. It was further submitted that Respondent No. 2 deliberately suppressed a crucial and material fact before the High Court, particularly the filing of the chargesheet prior to the consideration of the bail application. Such suppression, it was urged, amounts to an abuse of the process of law and constitutes an independent ground for cancellation of bail.
- 4.2. The learned counsel contended that the statement of the minor victim recorded under Section 183 of the BNSS before the learned Magistrate discloses a consistent and detailed account of repeated sexual assault, the use of a katta to threaten the minor victim and the recording of the acts for the purpose of blackmail. Further, the medico-legal examination report prepared by the E.M.O., District Women Hospital, Saharanpur, Uttar Pradesh records the gravity of offence and trauma suffered by the minor victim viz., gang-rape, penetrative assault, physical violence and threats thereby fully corroborating the victim's version.
- 4.3. It was also pointed out by the learned counsel that although the FIR was registered on 02.12.2024, Respondent No. 2 was arrested only on 03.01.2025 owing to his influential social status and during this intervening period, he remained at large in the same village where the minor victim resides exposing her to intimidation and trauma.
- 4.4. The learned counsel contended that the High Court failed to consider the victim's detailed statement under Section 183 of the BNSS, the medico-legal evidence corroborating repeated sexual assault, the counselling reports of the Child Welfare Committee reflecting the fear and trauma suffered by the victim and the documentary proof of her date of birth. Instead, undue reliance was placed on irrelevant considerations such as the alleged delay in lodging the FIR and speculative observations regarding the victim's age.

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- 4.5. Further, the learned counsel placed reliance on the decision of this Court in ***Deepak Yadav v. State of Uttar Pradesh and another***⁶, particularly paragraph 33, which holds that bail may be cancelled even in the absence of supervening circumstances, *inter alia*, where relevant material is ignored, irrelevant considerations are taken into account, the influential position of the accused *vis-a-vis* the victim is overlooked, or where the order granting bail is whimsical, capricious, perverse or unjustified given the seriousness of the charges.
- 4.6. Thus, the learned counsel submitted that the grant of bail to Respondent No. 2 is perverse, unreasonable and contrary to settled principles of law governing bail in serious offences against minor victims and is accordingly liable to be set aside.
5. The learned counsel appearing for the State submitted that the impugned judgment granting bail to Respondent No. 2 – accused is legally unsustainable and warrants interference by this Court.
- 5.1. It was submitted that FIR No. 426/2024 was registered at Police Station Kandhla, District Shamli based on the complaint lodged by the uncle of the minor victim. The charges framed against the accused were under Sections 65(1), 74, 137(2) and 352 of the BNS and Sections 5(l), 6, 9(g) and 10 of the POCSO Act alleging commission of rape and sexual assault upon a minor victim aged about 14 years. According to the learned counsel, the allegations are grave, specific and directly attribute culpability to the accused thereby attracting stringent provisions of the POCSO Act.
- 5.2. The learned counsel further submitted that in her statement recorded under Section 183 of the BNSS before the learned Magistrate, the victim categorically stated that she had known Respondent No. 2 for about six months and he had established physical relations with her. On earlier occasions also, he had established physical relations with her by threatening that he would make her photographs public. She discontinued communication with Respondent No. 2 when her family

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members became aware of it. It was further alleged that on the date of the incident, the accused committed rape by threatening her with a firearm. These allegations, according to the State, disclose a clear *prima facie* case of sexual assault under the POCSO Act.

- 5.3. The learned counsel emphasized that the victim's date of birth was recorded as 18.07.2010 in her educational certificate. The medical examination also assessed her age to be approximately 16-17 years. Thus, there is no dispute that the victim was a minor on the date of the incident i.e. 01.12.2024.
- 5.4. Given the statutory presumption under the POCSO Act and the undisputed minority of the victim, the learned counsel submitted that consent, if any, is legally irrelevant.
- 5.5. It was argued by the learned counsel that the trial Court rightly rejected the bail application of Respondent No. 2 after considering the seriousness of the allegations, the vulnerability of the victim, and the statutory mandate governing offences under the POCSO Act. However, the High Court failed to accord due weight to these material factors and erroneously granted bail to Respondent No.2.
- 5.6. Reliance was placed on the judgments of this Court in ***State of U.P. v. Sonu Kushwaha***⁷ wherein it was observed that the POCSO Act was enacted to provide stringent punishment for offences involving child abuse and to safeguard children from sexual exploitation and in ***Ramji Lal Bairwa and another v. State of Rajasthan and others***⁸ wherein it was reiterated that offences under the POCSO Act cannot be treated as private disputes and must be regarded as serious offences against society at large.
6. *Per contra*, the learned counsel appearing for Respondent No. 2 – accused submitted that this respondent is innocent and has been falsely roped into the present case due to personal animosity and pressure exerted by the family members of the minor victim, who

7 Criminal Appeal No. 1633 of 2023 dated 05.07.2023

8 2024 INSC 846

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disapproved of her alleged association with the respondent. It was argued that the present case is nothing but a malicious attempt to criminalise a consensual acquaintance and to harass an innocent young man.

- 6.1. It was contended that the FIR was lodged with unexplained delay despite the police station being situated merely half an hour away from the alleged place of occurrence. Importantly, the initial allegations did not refer to rape; the accusation escalated only later allegedly after legal consultation. This delay and escalation seriously undermine the credibility of the prosecution's case. Further, there are glaring inconsistencies between the FIR, the statement of the victim under Section 180 of the BNSS and the statement under Section 183 of the BNSS. In her statement under Section 180 of the BNSS, the minor victim refrained from specifying any act of sexual assault or molestation by the respondent. However, in her later statement before the Magistrate, she acknowledged knowing the respondent for a considerable period and referred to her family's displeasure over her association with him. These contradictions, according to the learned counsel, strike at the root of the prosecution's version.
- 6.2. The learned counsel submitted that there is no medical corroboration of rape. The medico-legal examination conducted on 08.12.2024 revealed no injuries on the body of the minor victim. The absence of medical evidence further weakens the prosecution's case, especially given the seriousness of the allegations.
- 6.3. It was further highlighted that during the investigation and medical examination, the minor victim disclosed that she had known Respondent No. 2 for the past two years, had been in regular communication with him and had visited cafés with him on multiple occasions. She also admitted that she stopped communicating with Respondent No. 2 only after her family became aware of their association. According to the learned counsel, the victim later introduced entirely new and inconsistent versions of alleged rape, filming of the incident and involvement of additional persons, which render the prosecution's case unreliable.

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- 6.4. The learned counsel submitted that the dispute was triggered solely after the family of the minor victim discovered her alleged relationship with the respondent. The FIR was lodged by the paternal uncle of the victim with *mala fide* intention, without regard to the severe and irreversible impact that false allegations of this nature could have on the respondent's life, reputation and future.
- 6.5. It was further contended that the respondent was not present at the alleged place of occurrence on the date of the incident as he was out of the city from 28.11.2024 to 02.12.2024. The respondent's father furnished material evidence supporting the plea of alibi; however, the prosecution failed to properly verify or investigate this crucial aspect.
- 6.6. The learned counsel also emphasized that the respondent was only 18 years and 1 month old on the date of the alleged incident, had no criminal antecedents and had already remained in custody for a considerable period. Given his young age and formative stage of life, any adverse order would cause irreparable harm to his education, future prospects, and chances of reformation.
- 6.7. It was submitted that Respondent No. 2 has fully cooperated with the investigation and duly complied with all the bail conditions. Further, there is no allegation of misuse of liberty.
- 6.8. The learned counsel relied on the decision in ***Mahipal v. Rajesh Kumar and another***⁹, wherein this Court held that interference with an order granting bail is warranted only when the order is perverse, unreasoned, or ignores material considerations. In the present case, the High Court passed a well-reasoned order after independently assessing the facts and material on record.
- 6.9. Reference was also made to ***Arjun Jalba Ichke v. State of Maharashtra***¹⁰ wherein bail was granted despite invocation of stringent provisions. The respondent herein being similarly situated, the learned counsel sought parity.

9 (2020) 2 SCC 118

10 Criminal Appeal No. 268 of 2025 dated 17.01.2025

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- 6.10. Finally, the learned counsel submitted that the object of bail is not punitive but to secure the presence of the accused during trial. Therefore, the impugned judgment of the High Court granting bail to Respondent No. 2 does not warrant any interference by this Court.
7. We have heard the learned counsel appearing for all the parties and perused the documents placed before us.
8. The record reveals that the prosecution was instituted against Respondent No. 2 – accused on the basis of a complaint lodged by the uncle of the minor victim *inter alia* alleging commission of gang-rape, sexual assault and recording of the incident on a mobile phone for the purpose of blackmail. Initially, FIR No. 426/2024 was registered against five accused persons namely Respondent No. 2 Arjun (A1), Amit (A2), Goldi (A3), Rupak (A4) and Vedansh (A5). After investigation, chargesheet no. 38/2025 came to be filed on 19.02.2025 against Respondent No. 2 (A1) under Sections 65(1), 74, 137(2) and 352 of the BNS and Sections 5(l), 6, 9(g) and 10 of the POCSO Act and against A2 to A4, excluding A5 under Sections 74 and 352 of the BNS and Sections 9(g) and 10 of the POCSO Act. The present case pertains to Respondent No.2 (A1) alone.
- 8.1. It further discloses that the date of birth of the victim was ascertained from her educational records as 18.07.2010 and the medical officer assessed her age to be between 16-17 years. Though the FIR came to be registered on 02.12.2024, Respondent No. 2 was arrested only on 03.01.2025. His bail application was rejected by the District and Sessions Judge, Shamli upon consideration of the victim's statement under Section 183 of the BNSS. However, by the impugned judgement, Respondent No. 2 came to be released on bail. Hence, the present criminal appeal has been filed by the appellant.
9. The principal plank of the submissions urged on behalf of the appellant is that the High Court erred in granting bail to Respondent No. 2 – accused without due consideration of the heinous nature of the acts alleged to have been committed against the minor victim. In support thereof, the learned counsel invited our attention to the nature and gravity of the offence alleged against Respondent No. 2 – accused and the maximum punishment prescribed under the applicable provisions of law, as follows:

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S. No.	Acts	Sections	Nature of offence	Maximum punishment prescribed
1	BNS	137(2)	Kidnapping from lawful guardianship	7 years
2	POCSO Act	9(g)	Aggravated sexual assault more than once or repeatedly	7 years
3	POCSO Act	10		
4	BNS	65(1)	Punishment for rape on a woman under sixteen years of age	Imprisonment for life which shall mean imprisonment for the remainder of the convict's natural life
5	BNS	74	Assault or use of criminal force to woman with intent to outrage her modesty	5 years
6	BNS	352	Intentional insult with intent to provoke breach of peace	2 years
7	POCSO Act	5(l)	Aggravated penetrative sexual assault on the child more than once or repeatedly	Death or imprisonment for life which shall mean imprisonment for the remainder of the convict's natural life
8	POCSO Act	6		

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- 9.1. Further, the learned counsel strongly relied on the statements of the minor victim recorded before the learned Magistrate and the Medical Officer, which, according to him, would categorically demonstrate the alleged acts of sexual assault, physical violence and recording of the incident for the purpose of blackmail. Therefore, it was submitted that the grant of bail to Respondent No. 2 – accused is wholly unjustified and unsustainable in law.
- 9.2. The learned counsel also moved an application seeking to place on record that subsequent to being released on bail, Respondent No. 2 has been continuously threatening and intimidating the minor victim. It was stated that both reside in the same village and that Respondent No. 2 stalks the victim whenever she goes to school or outside, intimidates her by glaring and showing a katta (country-made pistol), and plays songs glorifying violence to instill fear. Owing to such conduct, the victim has become afraid and has stopped attending school. A complaint dated 02.09.2025 in this regard has been lodged with the concerned police station and intimated to other authorities including the school authorities. Therefore, the learned counsel sought cancellation of the bail granted to Respondent No. 2.
10. Refuting the allegations levelled against Respondent No. 2, particularly in relation to his alleged post-bail conduct, the learned counsel submitted that Respondent No. 2 has scrupulously complied with the bail conditions imposed by the High Court and has been fully cooperating with the proceedings.
11. Having given our consideration to the rival submissions and the materials placed on record, we are of the considered view that the impugned judgment suffers from serious infirmities. The present case involves allegations of gang rape of a minor coupled with the recording of sexual assault and threats of circulation. The submission advanced on behalf of Respondent No. 2 regarding a consensual relationship is wholly untenable in law, particularly where the allegations extend beyond a single accused and involve coercion, intimidation and multiple perpetrators. The statements of the victim recorded under Section 183 of the BNSS read with the Medico-legal examination report *prima facie* establish the commission of the alleged offences.

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12. It is settled law that the mere filing of a chargesheet does not, by itself, preclude consideration of an application for bail. However, while assessing such an application, the Court is duty-bound to have due regard to the nature and gravity of the offence and the material collected during investigation. The offences alleged in the present case are heinous and grave involving repeated penetrative sexual assault upon a minor victim committed under armed intimidation and accompanied by recording of the acts for the purpose of blackmail. Such conduct has a devastating impact on the life of the victim and shakes the collective conscience of society.
13. The High Court, while granting bail to Respondent No. 2 – accused, failed to take into account the nature and gravity of the offences and the statutory rigour under the provisions of the POCSO Act. The omission to notice that the chargesheet had already been filed, coupled with the *prima facie* material emerging from the victim's statements renders the exercise of discretion by the High Court manifestly erroneous. In **Bhagwan Singh v. Dilip Kumar @ Deepu @ Depak and another**¹¹, in the context of cancellation of bail in a POCSO offence, this Court has reiterated that bail granted without due consideration of material factors warrants interference. The following paragraphs are pertinent:

“13. It is also required to be borne in mind that when a prayer is made for the cancellation of grant of bail, cogent and overwhelming circumstances must be present and bail once granted cannot be cancelled in a mechanical manner without considering whether any supervening circumstances have rendered it in conducting to allow fair trial. This proposition draws support from the judgment of this Court in Dolat Ram v. State of Haryana [Dolat Ram v. State of Haryana, (1995) 1 SCC 349 : 1995 SCC (Cri) 237], Kashmira Singh v. Duman Singh [Kashmira Singh v. Duman Singh, (1996) 4 SCC 693 : 1996 SCC (Cri) 844] and X v. State of Telangana [X v. State of Telangana, (2018) 16 SCC 511 : (2020) 1 SCC (Cri) 902].

....

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16. *No doubt each case would have unique facts peculiar to its own and the same would hold key for adjudication of bail matters including cancellation thereof. There may be circumstances where interference to or attempt to interfere with the course of administration of justice or evasion or attempt to evade to due course of justice are abuse of concession granted to the accused in any manner.*

17. *The offence alleged in the instant case is heinous and would be an onslaught on the dignity of the womanhood and the age old principle of यत्र नार्यस्तु पूज्यन्ते स्मन्ते तत्र देवता: (where women are respected Gods live there) would recede to the background and the guilty not being punished by process of law or accused persons are allowed to move around freely in the society or in spite of there being prima facie material being present they are allowed to move around freely in the society before guilt is proved and are likely to indulge in either threatening the prosecution witnesses or inducing them in any manner to jettison the criminal justice system, then the superior court will have to necessarily step in to undo the damage occasioned due to erroneous orders being passed by the courts below.*

....

21. *In this background, the contention or plea of delay being fatal to the prosecution when examined, it would, prima facie, indicate that in the complaint/FIR which has been registered on 25-3-2022 relevant to the incident dated 24-2-2021 the reason has been assigned, namely, constant threat posed by the accused persons as stated in the complaint itself. It is in this background it will have to be seen as to whether in the societal circumstances the minor girl was placed, her tender age, then prevailing circumstances and the purported video depicting her nudity and the constant threat being posed to victim of video of rape which had been recorded being made viral in the event of prosecutrix informing anyone of the incident are factors which cannot be brushed aside which resulted in delay in filing the complaint. In other words, delay by itself would not be fatal for all times to come and the criminality*

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attached to the incident would not evaporate into thin air or get extinguished by virtue of such delay. It all depends upon facts that may unfold in given circumstances and same would vary from case to case. On the other hand, if the prosecution attempts to improvise its case stage by stage and step by step during the interregnum period, in such circumstances the accused would be justified in contending that delay was fatal to stave off the proceedings initiated against such accused. Thus, it depends on facts that would unfold in a given case. In the aforesaid background the fact of delay in the instant case prima facie cannot be held against the prosecution or in other words on the ground of delay in lodging FIR the genuineness of the complaint cannot be viewed with coloured glasses nor it can be held that by itself would be sufficient ground to enlarge the accused on bail.”

14. Moreover, the High Court failed to apply the settled parameters governing the grant of bail including the gravity of the offence, the vulnerability of the victim and the likelihood of witness intimidation. Instead, reliance was placed on **Satender Kumar Antil v. Central Bureau of Investigation**¹² and **Manish Sisodia v. Directorate of Enforcement**¹³. While *Satender Kumar Antil* laid down general guidelines for the grant of bail, *Manish Sisodia* turned on the peculiar facts of prolonged incarceration and inordinate delay in trial. In the present case, however, Respondent No. 2 had remained in custody for only a few months. That apart, mechanical reliance on precedent without factual correlation is impermissible as authoritatively held by the Constitution Bench in **Padmausundara Rao (Dead) and others v. State of Tamil Nadu and others**¹⁴.
15. It is also important to point out that the victim resides in the same locality as Respondent No. 2. The counselling report of the Child Welfare Committee records that the victim is under fear and psychological distress. The post-release presence of Respondent No. 2 gives rise to a real and imminent apprehension of intimidation

¹² (2022) 10 SCC 51

¹³ 2024 INSC 595

¹⁴ (2002) 3 SCC 533

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and further trauma to the victim. In offences involving sexual assault against children, the likelihood of tampering with evidence or influencing witnesses constitutes a grave and legitimate concern. The safety of the victim and the need to preserve the purity of the trial process assume paramount importance. In ***State of Bihar v. Rajballav Prasad @ Rajballav Pd. Yadav @ Rajballabh Yadav***¹⁵, this Court underscored that such factors must weigh decisively while considering bail in serious sexual offences. The following paragraphs are apposite:

“23. Keeping in view all the aforesaid considerations in mind, we are of the opinion that it was not a fit case for grant of bail to the respondent at this stage and grave error is committed by the High Court in this behalf. We would like to reproduce following discussion from the judgment in Kanwar Singh Meena v. State of Rajasthan [Kanwar Singh Meena v. State of Rajasthan, (2012) 12 SCC 180 : (2013) 4 SCC (Cri) 614] : (SCC pp. 186 & 189, paras 10 & 18)

“10. ... While cancelling bail under Section 439(2) of the Code, the primary considerations which weigh with the court are whether the accused is likely to tamper with the evidence or interfere or attempt to interfere with the due course of justice or evade the due course of justice. But, that is not all. The High Court or the Sessions Court can cancel bail even in cases where the order granting bail suffers from serious infirmities resulting in miscarriage of justice. If the court granting bail ignores relevant materials indicating prima facie involvement of the accused or takes into account irrelevant material, which has no relevance to the question of grant of bail to the accused, the High Court or the Sessions Court would be justified in cancelling the bail. Such orders are against the well-recognised principles underlying the power to grant bail. Such orders are legally infirm and

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vulnerable leading to miscarriage of justice and absence of supervening circumstances such as the propensity of the accused to tamper with the evidence, to flee from justice, etc. would not deter the court from cancelling the bail. The High Court or the Sessions Court is bound to cancel such bail orders particularly when they are passed releasing accused involved in heinous crimes because they ultimately result in weakening the prosecution case and have adverse impact on the society. Needless to say that though the powers of this Court are much wider, this Court is equally guided by the above principles in the matter of grant or cancellation of bail.

18. Taking an overall view of the matter, we are of the opinion that in the interest of justice, the impugned order granting bail to the accused deserves to be quashed and a direction needs to be given to the police to take the accused in custody.”

24. *As indicated by us in the beginning, prime consideration before us is to protect the fair trial and ensure that justice is done. This may happen only if the witnesses are able to depose without fear, freely and truthfully and this Court is convinced that in the present case, that can be ensured only if the respondent is not enlarged on bail. This importance of fair trial was emphasised in Panchanan Mishra v. Digambar Mishra [(2005) 3 SCC 143 : 2005 SCC (Cri) 660] while setting aside the order of the High Court granting bail in the following terms : (SCC pp. 147-48, para 13)*

“13. We have given our careful consideration to the rival submissions made by the counsel appearing on either side. The object underlying the cancellation of bail is to protect the fair trial and secure justice being done to the

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society by preventing the accused who is set at liberty by the bail order from tampering with the evidence in the heinous crime and if there is delay in such a case the underlying object of cancellation of bail practically loses all its purpose and significance to the greatest prejudice and the interest of the prosecution. It hardly requires to be stated that once a person is released on bail in serious criminal cases where the punishment is quite stringent and deterrent, the accused in order to get away from the clutches of the same indulge in various activities like tampering with the prosecution witnesses, threatening the family members of the deceased victim and also create problems of law and order situation."

16. It is equally well settled that while bail is not to be refused mechanically, it must not be granted on irrelevant considerations or by ignoring material evidence. Where an order granting bail is founded on an incorrect appreciation of facts or suffers from material omissions or where it results in miscarriage of justice, this Court is empowered to interfere. In the present case, the grant of bail by the High Court is vitiated by material misdirection and non-consideration of relevant factors rendering the same manifestly perverse.
17. In such view of the matter, the impugned judgment dated 09.04.2025 passed by the High Court cannot be sustained in law and is accordingly set aside. Consequently, the bail granted to Respondent No. 2 – accused is cancelled. Respondent No. 2 – accused is directed to surrender before the jurisdictional Court within a period of two weeks from today. In the event of his failure to do so, the trial Court shall take appropriate steps in accordance with law to secure his custody.
18. This Court is conscious of the fact that the POCSO Act is a beneficial legislation enacted to protect children from sexual offences and that proceedings under the said Act warrant prompt and sensitive handling. This Court has consistently emphasized the need for expeditious disposal of POCSO cases. At the same time, it is equally imperative that prosecutions must be subjected to careful judicial scrutiny so

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as to ensure that the process of law is not rendered oppressive. Accordingly, the trial Court is directed to give priority to the present case, conclude the trial and pass appropriate orders on its own merits and in accordance with law, as expeditiously as possible.

19. With the aforesaid directions, this criminal appeal is allowed.
20. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeal allowed.

[†]Headnotes prepared by: Nidhi Jain

NAK Engineering Company Pvt. Ltd.

v.

Tarun Keshrichand Shah and Ors.

(Civil Appeal No(s). 46-47 of 2026)

05 January 2026

[Pankaj Mithal* and Prasanna B. Varale, JJ.]

Issue for Consideration

Under challenge in these appeals is the judgment and order of the High Court dated 21.02.2022 setting aside the order of the court of first instance permitting impleadment of the appellant as one of the defendants to the suit.

Headnotes[†]

Suit – Recovery of service charges – A suit was instituted by respondent nos.1 and 2 against respondent no.3 for the recovery of service charges – Notice was served upon sole defendant i.e., respondent no.3 but no one appeared – The Court proceeded *ex-parte* – Thereafter, the appellant filed an application for being impleaded as the defendant in this suit contending that it is a successor of respondent no.3 – The court of first instance *vide* order dated 05.10.2018 allowed the motion to add the appellant as one of the defendants – However, the impleadment of the appellant was revoked by the High Court on the ground that it is not a proper or a necessary party to the suit – Correctness:

Held: The appellant has relied upon the Certificate of Incorporation dated 22.02.1988 to claim that it has succeeded the respondent no.3 – Its incorporation or its Certificate of Incorporation in no way conclusively proves that it has come into existence as a successor of respondent no.3 – In such circumstances, appellant cannot be accepted to be the successor of respondent no.3 so as to permit it to be impleaded and to defend the suit for the recovery of service charges – The appellant has nowhere established its independent right to be impleaded to defend the suit except for claiming to be the successor of respondent no.3 which, in opinion of this Court,

* Author

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has no legs to stand – In the case at hand, the respondent nos.1 and 2 are not claiming any relief against the appellant – There is no iota of material to indicate that the relief, as claimed in the suit against respondent no.3, if granted, would be implemented against the appellant – Therefore, the appellant is not a necessary party to the suit – The appellant cannot also be construed as a proper party once it has failed to establish that it is a successor to the respondent no.3 – In the absence of any evidence to prove that respondent no.3 has ceased to exist or cannot be represented in the suit on its own to contest it on merits – This apart, the respondent nos.1 and 2 who have instituted the suit are *dominus litis* and it is for them to choose their adversaries – If they do not array the proper and necessary parties to the suit, they do it at their own risk – They cannot be compelled to add a party to defend a suit – Besides, the summons issued in the suit meant to be served upon respondent no.3, were served in the year 2008 – The seal and signatures on the acknowledgement on the said summons is of the appellant – However, the appellant kept silent – The impleadment application was filed almost after nine years of the knowledge – Thus, the impleadment has been rightly refused to the appellant by the High Court. [Paras 30, 31, 37, 38, 39, 42]

Case Law Cited

Ramesh Hirachand Kundanmal v. Municipal Corporation of Greater Bombay [1992] 2 SCR 1 : (1992) 2 SCC 524; *Kasturi v. Iyyamperumal* [2005] 3 SCR 864 : (2005) 6 SCC 733; *Mumbai International Airport (P) Ltd. v. Regency Convention Centre & Hotels (P) Ltd.* [2010] 7 SCR 790 : (2010) 7 SCC 417; *Vidur Impex & Traders (P) Ltd. v. Tosh Apartments (P) Ltd.* [2012] 10 SCR 307 : (2012) 8 SCC 384; *Kanaklata Das v. Naba Kumar Das* [2018] 1 SCR 806 : (2018) 2 SCC 352 – relied on.

List of Acts

Constitution of India; Companies Act, 1956.

List of Keywords

Dominus Litis; Necessary Party; Proper Party; Privity of Contract; Successor-in-Interest; Impleadment; Inordinate Delay; *Ex-Parte*.

Supreme Court Reports**Case Arising From**

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s). 46-47 of 2026

From the Judgment and Order dated 21.02.2022 of the High Court of Judicature at Bombay in WP Nos. 3455 and 3456 of 2019

Appearances for Parties

Advs. for the Appellant(s):

Chander Uday Singh, Sr. Adv., Amarjit Singh Bedi, Ms. Surekha Raman, Harshit Singh, Sidharth Nair, Shreyash Kumar, M/s K J John And Co.

Advs. for the Respondent(s):

Abhinav Chandrachud, Surjendu Sankar Das, Ms. Annie Mittal, Janay Jain, Ms. Yugandhara Pawar Jha, Siddharth Dharmadhikari, Aaditya Aniruddha Pande.

Judgment / Order of the Supreme Court**Judgment**

Pankaj Mithal, J.

1. Leave granted.
2. We have heard Shri Chander Uday Singh, senior counsel assisted by Shri Amarjit Singh Bedi, Advocate-on-Record for the appellant-NAK Engineering Company Pvt. Ltd.¹ and Dr. Abhinav Chandrachud, learned counsel assisted by Shri Surjendu Sankar Das, Advocate-on-Record for the respondent No.1- Tarun Keshrichand Shah².
3. Respondent No.2- Priyalata Keshrichand Shah³ is reported to be dead and her interest is represented by respondent No.1.
4. Respondent No.3- M/s Kishore Engineering Company⁴ has not appeared. It had not even appeared in the Trial Court or the High

¹ Hereinafter referred to as 'appellant'

² Hereinafter referred to as 'respondent No.1'

³ Hereinafter referred to as 'respondent No.2'

⁴ Hereinafter referred to as 'respondent No.3'

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Court. It has not even filed any written statement, despite service of notice.

5. In a Suit No.6117 of 2007 filed by respondent No.1 and respondent No.2 against respondent No.3, a Notice of Motion No.1346 of 2018 was moved to add the appellant as the party defendant to participate and contest the aforesaid suit. Earlier, a Notice of Motion No. 1925 of 2017 was also moved by the appellant seeking to set aside the order to proceed in the said suit *ex-parte*. Both the said motions were allowed by the court of first instance vide a common Order dated 05.10.2018. However, the said order was set aside by the High Court by the impugned judgment and order dated 21.02.2022 in exercise of its power under Article 227 of the Constitution of India.
6. Under challenge in these appeals is thus the above judgment and order of the High Court dated 21.02.2022 setting aside the order of the court of first instance permitting impleadment of the appellant as one of the defendants to the suit meaning thereby that the motion of addition of the appellant as one of the defendants to the suit stands rejected.
7. One Keshrichand Shah was the original owner of the commercial premises admeasuring 1700 sq. feet existing on the third floor of the Churchgate House, Mumbai. He was the sole proprietor of M/s Union Commercial Corporation. The aforesaid Keshrichand Shah through its proprietorship firm M/s Union Commercial Corporation let out an area of 525 square feet of the above premises having five cabins to one M/s Modern Products Pvt. Ltd. The said M/s Modern Products Pvt. Ltd. licensed or sublet the same to the respondent no.3. In addition to the rent of Rs.400/- per month payable to M/s Modern Products Pvt. Ltd., the respondent No.3 also used to pay service charges at the rate of Rs.2,100/- per month for the use of furniture and fixtures therein to the owner, Keshrichand Shah. On the death of Kesharichand Shah, the said service charges were realized by his heirs, i.e., respondent nos.1 and 2.
8. The respondent Nos.1 and 2 instituted a Suit No.3319 of 2007 on the original civil side of the Bombay High Court but on account of pecuniary jurisdiction it was later transferred to the Bombay City Civil Court and re-numbered as Suit No.6117 of 2017.

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9. The aforesaid suit was instituted by respondent Nos.1 and 2 against respondent No.3 for the recovery of service charges at the rate of Rs.2,100/- per month, amounting to Rs.75,600/- for the period November 2004 to October 2007.
10. In the aforesaid suit, notice was served upon sole defendant i.e., respondent no.3 but no one appeared on its behalf and filed any written statement. Thus, after closing the evidence on 11.02.2014, the court *vide* order dated 12.11.2014 proceeded *ex-parte* in the matter.
11. It was much thereafter on 02.04.2018 that the appellant filed an application for being impleaded as the defendant in this suit contending that it is a successor of respondent No.3 under Part IX of the Companies Act, 1956. The appellant is actually running the business of respondent No.3. Therefore, it is a necessary party to the suit.
12. The appellant contended that it had acquired knowledge of the suit only on 02.10.2012 and that it has proceeded *ex-parte* against the respondent No.3. There was no proper service of the notice upon the respondent No.3 or upon the appellant. It was contended that the appellant has drawn separate proceedings for getting the *ex-parte* order set aside. The appellant had no knowledge of the transfer of the suit from the Bombay High Court to the City Civil Court as no notice in this regard was received or served upon it.
13. It may be not out of context to mention here that the respondent Nos.1 and 2 apart from instituting the above suit had also filed a suit for the eviction of the respondent No.3 and the appellant and its Directors from the premises in dispute in the Small Causes Court. This apart, a criminal complaint was also lodged against the appellant and its Director—Himanshu Patwa on account of dishonour of two cheques of Rs.2,100/- and Rs.400/- issued by them in respect of the monthly service charges and the rent respectively in connection with the demised premises.
14. It is in the above background that the court of first instance *vide* order dated 05.10.2018 allowed the motion to add the appellant as one of the defendants to the suit observing that there is no dispute to the fact that the appellant is in occupation of the suit premises. The suit premises was initially let out to the respondent No.3 and

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is now in possession of appellant, who claims to be the successor company that has taken over the business of respondent No.3. The certificate of incorporation relied upon by the appellant along with the Memorandum of Association *prima facie* reveals that the appellant has taken over and acquired the business interest of the respondent No.3. The court accepted the said certificate issued by the Registrar of the companies opining that it lacked jurisdiction to rule on the validity of the said certificate.

15. The aforesaid order of the court of first instance on being taken up before the High Court under Article 227 of the Constitution has been reversed and the impleadment of the appellant has been revoked on the ground that it is not a proper or a necessary party to the suit. The suit will not fail for want of its presence.
16. The High Court proceeded to pass the impugned order on the premise that no relationship of tenant and landlord existed between the parties and that the appellant is the unauthorized occupant that need not be joined as a defendant to the suit.
17. The High Court further held that the issue of recovery of arrears of service charges can be decided even in the absence of the appellant as the respondent No.3 had no legal sanctity of law to authorize the use of furniture and fixtures to a third party.
18. It is alleged that the High Court completely ignored the fact that the appellant is the successor company of the tenant– respondent No.3 whose complete business has been taken over by it. The appellant has stepped into the shoes of respondent No.3 and was in possession of the premises in that capacity and was not an unauthorized occupant.
19. It is in this background that we have been called upon to consider to decide whether the appellant is a necessary and proper party to be impleaded in the suit No.6117 of 2007 for the recovery of service charges in respect of the premises in dispute which was admittedly sublet to the respondent No.3 to whose business the appellant happens to be a successor.
20. The first and the foremost argument of Shri Chander Uday Singh, senior counsel appearing for the appellant is that the High Court exceeded its jurisdiction under Article 227 of the Constitution in setting aside the judgment and order of the court of first instance

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as if it is sitting in appeal. The order of the Trial Court allowing the impleadment was an interlocutory order which required no interference by the High Court in exercise of its supervisory power. The High Court incorrectly concluded that the appellant is not a necessary party to the suit, completely ignoring the fact that the respondent Nos.1 and 2 themselves had arrayed it as one of the defendants in a suit for eviction from the premises filed before the Small Causes Court. The High Court also erred in not appreciating that the appellant is a successor to respondent No.3 under the Companies Act and that the validity of the certificate of registration issued by the Registrar of Companies in favour of the appellant could not have been adjudicated while exercising powers under Article 227 of the Constitution.

21. It is further contended that the appellant has been paying service charges through cheque since 1991 and the respondent nos.1 and 2 were aware of it. Rather, the service charges from 2004 were received by the respondent Nos.1 and 2, implying an admission on their part that the appellant is the person liable to pay the same. Even the furniture and telephone lines in the premises, which existed, have been used by the appellant since 1991 with the knowledge of the respondent No.1. Therefore, the High Court was not right in holding that since there is no relationship of tenant and landlord between the parties, the appellant is not a necessary party. The relationship of tenant and landlord in the matter was not relevant and material, as it was not a suit for eviction rather a suit for recovery of service charges.
22. He further argued that, in fact, any decree that may be passed in the suit in question against the respondent No.3 that is practically defunct, would lead to execution of the decree against the appellant and as such the appellant is a necessary and proper party to the suit.
23. Dr. Abhinav Chandrachud, learned counsel appearing for the respondent No.1 in defense submits that the appellant has not come up before the court with clean hands rather with an ulterior motive to legitimize its illegal occupation over the premises in dispute. The summons in the suit were served upon the respondent No.3 way back in the year 2008. The acknowledgement bears the signature and the stamp of the appellant which clearly proves that the appellant was aware of the institution of the suit but even then, remained silent for over nine years before seeking impleadment. The appellant is

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an unauthorized occupant of the premises in dispute and therefore, in the suit for eviction, was made one of the defendants so that the eviction decree if any may be effectively executed. However, this does not mean that it is also a necessary and proper party to the present suit for the recovery of arrears of service charges.

24. Further, the certificate of incorporation of the appellant is not a proof of successorship to the respondent No.3 and that the certificate annexed with the appeal is a new and different document which was not part of the record before the courts below. The respondent No.3 still continues to be a registered company and is still in existence and therefore, the appellant cannot be accepted to be its successor more particularly when it is only a firm and not even a company.
25. Lastly, it has been submitted that the respondent Nos.1 and 2 who instituted the suit are *dominus litis* in the matter and cannot be compelled to add a defendant against their wishes if they do not desire to seek any relief against such a person.
26. Undisputedly, the suit in question has been filed by the owners of the property to recover service charges for the use of furniture and fixtures from the respondent No.3 that was inducted as a sub-tenant in the premises in dispute by M/s Modern Products Pvt. Ltd. The dispute is not regarding recovery of rent or arrears of rent. Therefore, the relationship of landlord and tenant between the parties is completely alien to the controversy in question.
27. The dispute is essentially with regard to payment of service charges between the owners of the property and its user i.e. respondent No.3. Therefore, no other person has any right to be impleaded so as to defend the suit regarding payment of service charges.
28. The appellant claims to be the successor of respondent No.3 and as such, wants to defend the suit on its behalf or as its representative.
29. The respondent No.3, though stated to be a private limited company, is only a partnership firm having only four members. There is no authentic proof on record that the above partnership firm was ever converted into a company. The conversion of a partnership firm into a company as under Part IX of Companies Act, 1956 requires fulfilment of strict conditions such as having at least seven partners/members and execution of certain deeds. The respondent No.3 was having

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only four partners and as such was ineligible for conversion under the relevant law. Further, there is nothing on record to indicate that the aforesaid firm respondent No.3 has ceased to exist or has become extinct. The extract of respondent No.3 firm dated 20.09.2016 from the office of the Registrar of Firms reveals that respondent No.3 continues to exist as a partnership firm even though appellant may have been incorporated as a new company.

30. The appellant has relied upon the Certificate of Incorporation dated 22.02.1988 to claim that it has succeeded the respondent No.3. No doubt, a company comes into existence as a body corporate from the date of its incorporation having perpetual succession and a common seal. However, its incorporation or its Certificate of Incorporation in no way conclusively proves that it has come into existence as a successor of respondent No.3. In such circumstances, appellant cannot be accepted to be the successor of respondent No.3 so as to permit it to be impleaded and to defend the suit for the recovery of service charges.
31. The appellant has nowhere established its independent right to be impleaded to defend the suit except for claiming to be the successor of respondent No.3 which, in our opinion, has no legs to stand.
32. The above discussion takes us to another aspect of the matter as to whether the appellant is a necessary or a proper party to be impleaded. The governing principles and law in this regard are well-settled.
33. The fundamental distinction between a “necessary party” and a “proper party” was succinctly explained in **Ramesh Hirachand Kundanmal v. Municipal Corporation of Greater Bombay**⁵, wherein this Court held:

“6... A necessary party is one without whom no order can be made effectively. A proper party is one in whose absence an effective order can be made but whose presence is necessary for a complete and final decision on the question involved in the proceeding.”

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34. In **Kasturi v. Iyyamperumal**⁶, this Court crystallized the twin tests for a necessary party:

“...the question of jurisdiction of the court to invoke Order 1 Rule 10 CPC to add a party who is not made a party in the suit by the plaintiff shall not arise unless a party proposed to be added has direct and legal interest in the controversy involved in the suit. ... two tests are to be satisfied for determining the question as to who is a necessary party. The tests are: (1) there must be a right to some relief against such party in respect of the controversies involved in the proceedings; (2) no effective decree can be passed in the absence of such party.”

35. This principle has been consistently reiterated. In **Mumbai International Airport (P) Ltd. v. Regency Convention Centre & Hotels (P) Ltd.**⁷, this Court reiterated:

“15. A “necessary party” is a person who ought to have been joined as a party and in whose absence no effective decree could be passed at all by the court. If a “necessary party” is not impleaded, the suit itself is liable to be dismissed. A “proper party” is a party who, though not a necessary party, is a person whose presence would enable the court to completely, effectively and adequately adjudicate upon all matters in dispute in the suit, though he need not be a person in favour of or against whom the decree is to be made. If a person is not found to be a proper or necessary party, the court has no jurisdiction to implead him, against the wishes of the plaintiff. The fact that a person is likely to secure a right/interest in a suit property, after the suit is decided against the plaintiff, will not make such person a necessary party or a proper party to the suit for specific performance.”

36. Thereafter, in **Vidur Impex & Traders (P) Ltd. v. Tosh Apartments (P) Ltd.**⁸, the broad principles governing impleadment were summarized:

⁶ (2005) 6 SCC 733

⁷ (2010) 7 SCC 417

⁸ (2012) 8 SCC 384

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“41.2. A necessary party is the person who ought to be joined as party to the suit and in whose absence an effective decree cannot be passed by the court.

41.3. A proper party is a person whose presence would enable the court to completely, effectively and properly adjudicate upon all matters and issues, though he may not be a person in favour of or against whom a decree is to be made.

41.4. If a person is not found to be a proper or necessary party, the court does not have the jurisdiction to order his impleadment against the wishes of the plaintiff.”

37. In the case at hand, the respondent Nos.1 and 2 are not claiming any relief against the appellant. There is no iota of material to indicate that the relief, as claimed in the suit against respondent No.3, if granted, would be implemented against the appellant. Therefore, the appellant is not a necessary party to the suit.
38. The appellant cannot also be construed as a proper party once it has failed to establish that it is a successor to the respondent No.3. In the absence of any evidence to prove that respondent No.3 has ceased to exist or cannot be represented in the suit on its own to contest it on merits, we are of the opinion that the appellant is not even a proper party to provide any assistance to the court in the suit.
39. This apart, the respondent Nos.1 and 2 who have instituted the suit are *dominus litis* and it is for them to choose their adversaries. If they do not array the proper and necessary parties to the suit, they do it at their own risk. However, they cannot be compelled to add a party to defend a suit against their wishes. The decree, if any, passed in the suit would be binding only between the parties to the suit and would not infringe upon any right of a third party, much less of the appellant that is not a party to the suit.
40. This conclusion is reinforced by the fundamental principle laid down in ***Kanaklata Das v. Naba Kumar Das***⁹, wherein this Court has observed:

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“11.4. ...the plaintiff being a dominus litis cannot be compelled to make any third person a party to the suit, be that a plaintiff or the defendant, against his wish unless such person is able to prove that he is a necessary party to the suit and without his presence, the suit cannot proceed and nor can be decided effectively. In other words, no person can compel the plaintiff to allow such person to become the co-plaintiff or defendant in the suit. It is more so when such person is unable to show as to how he is a necessary or proper party to the suit and how without his presence, the suit can neither proceed and nor it can be decided or how his presence is necessary for the effective decision of the suit.

11.5. ... a necessary party is one without whom, no order can be made effectively, a proper party is one in whose absence an effective order can be made but whose presence is necessary for a complete and final decision on the question involved in the proceeding.”

41. In the above facts and circumstances, if the High Court, for one reason or the other, has set aside the order of impleadment passed by the court of first instance, we do not consider it to be illegal so as to set it aside and restore the order of the Trial Court.
42. There is one another reason for not interfering with the impugned judgment and order of the High Court. The summons issued in the suit meant to be served upon respondent No.3, were served in the year 2008. The seal and signatures on the acknowledgement on the said summons is of the appellant which clearly indicates that the appellant had acquired knowledge of the suit in the year 2008. However, the appellant kept silent and moved the motion for impleadment only after the evidence was closed in the year 2014 and the court had directed to proceed *ex-parte* in the matter. The impleadment application was filed almost after nine years of the knowledge of the pendency of the suit. Thus, the impleadment has been rightly refused to the appellant by the High Court.
43. We are conscious of the fact that the jurisdiction of the High Court under Article 227 is simply supervisory in nature and that the High

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Court ought not to have intervened in the matter. However, once the order has been interfered with, and rightly so, we do not wish to commit another illegality by restoring an incorrect order passed by the court of first instance.

44. In view of the above discussion, we are of the opinion that the appeals lack merit and are dismissed but with the direction that the decree passed in the suit would not be used against the appellant and would not be implemented against it.
45. The appeals are dismissed with no order as to cost.
46. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeals dismissed.

[†]Headnotes prepared by: Ankit Gyan

M/s Jindal Equipment Leasing Consultancy Services Ltd.

v.

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(Civil Appeal No. 152 of 2026)

09 January 2026

[J.B. Pardiwala and R. Mahadevan,* JJ.]

Issue for Consideration

Issue arose as regards taxability of gains said to arise on amalgamation, where shares of the amalgamating company held by the assesseees as stock-in-trade, stand substituted by shares of the amalgamated company; whether such substitution, in and of itself, constitutes a realisation giving rise to taxable business income u/s.28, Income Tax Act, 1961 and if so, the conditions under which such accrual or receipt can be said to arise in the commercial sense, or whether the incidence of taxation arises only upon the subsequent sale of the substituted shares; whether the High Court while remanding the matter to the Tribunal to ascertain whether the shares of the amalgamating company were held as stock-in-trade or as capital assets, was justified in recording a finding that, if such shares were held as stock-in-trade, the allotment of shares of the amalgamated company pursuant to a court-sanctioned scheme of amalgamation would give rise to taxable business income in the hands of the appellants u/s.28 of the I.T. Act.

Headnotes[†]

Income Tax Act, 1961 – ss.2(1B), 2(14), 2(47), 28, 45(1), 47(vii) – Scope of s.28 – Appellants, investment companies of the *Jindal Group*, were shareholders of *Jindal Ferro Alloys Limited (JFAL)* and *Jindal Strips Limited (JSL)* – Pursuant to a scheme of amalgamation, JFAL was amalgamated with JSL – In terms of the share exchange ratio approved under the scheme, shareholders were allotted 45 shares of JSL against 100 shares of JFAL – During the relevant assessment year, the appellants claimed exemption u/s.47(vii), I.T. Act in respect of the receipt of JSL shares *in lieu* of JFAL shares, treating the same to be capital assets – Exemption denied by Assessing Officer holding that the shares of JFAL constituted stock-in-

^{*} Author

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trade in the hands of the appellants and taxed the difference between the value of the JSL shares (as on the appointed date) and the book value of JFAL shares – Order upheld by CIT(A) – However, Tribunal allowed the assessee's appeals – Appeals filed by Revenue – High Court set aside the Tribunal's order and remitted the matter for fresh consideration – Challenge to:

Held: Judgment of the High Court affirmed – s.28 is of wide import and encompasses all profits and gains arising in the course of business, even when such profit is realised in kind – The statutory substitution of shares of the amalgamating company by shares of the amalgamated company is not a mere neutral replacement; where the new shares are freely marketable and possess a definite commercial value, the event constitutes a commercial realisation giving rise to taxable business income – Such profit need not await actual sale if the benefit received is real and presently realisable – Where the shares of an amalgamating company, held as stock-in-trade, are substituted by shares of the amalgamated company pursuant to a scheme of amalgamation, and such shares are realisable in money and capable of definite valuation, the substitution gives rise to taxable business income within the meaning of s.28 – However, the charge u/s.28 is attracted only upon the allotment of new shares – At earlier stages namely, the appointed date or the date of court sanction, no such benefit accrues or is received – The receipt of shares of the amalgamated company in substitution of stock-in-trade can give rise to taxable business profits u/s.28 – However, the actual application of this principle to the facts of the present case, including whether the shares received are freely realisable or otherwise subject to restrictions, or whether the shares are held only as investment requires factual determination – Matter remitted to the Tribunal for fresh adjudication in accordance with law. [Paras 29-31, 33]

Income Tax Act, 1961 – s.28 – Profits and gains of business or profession – Scope of – Explained. [Paras 15-15.3, 18.3-18.6]

Income Tax Act, 1961 – s.28 – Profits and gains of business or profession – Governing test u/s.28 – Is not the presence of a sale, exchange, or extinguishment of rights in the technical sense, but whether the assessee has, in consequence of business operations, come into possession of a real and presently realisable commercial benefit – This may take the form of money directly received, or assets in kind capable of

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being immediately disposed of for money's worth – Therefore, the shares must be readily available for trading to be treated as stock-in-trade:

Held: The true test u/s.28 is not the legal label of “exchange” or “transfer”, but whether the assessee, in consequence of the amalgamation and thereby of its business, has obtained a profit that is real and presently realisable – The well-known real-income principle must be applied – Therefore, the enquiry for the Court is whether, as a result of the amalgamation, the assessee has in fact realised a profit in the commercial sense – This assessment may turn on whether, (a) The old stock-in-trade has ceased to exist in the assessee's books; (b) The shares received in the amalgamated company possess a definite and ascertainable value; and (c) The assessee, immediately upon allotment, is in a position to dispose of such shares and realise money – If these conditions are satisfied, the substitution bears the character of a commercial realisation and the profit may be taxed u/s.28 – Where, however, the allotment of shares is merely a statutory substitution mandated by the scheme of amalgamation, without yielding an immediately realisable benefit, no income can be said to accrue or be received at that stage, and taxability arises only upon the eventual sale of the shares – What must be established is that the transaction has the attributes of a commercial realisation resulting in a real and presently disposable advantage – Where this test is satisfied, taxability may arise at the stage of substitution – Otherwise, the accrual or receipt of income is deferred until actual sale. [Paras 18.3-18.6]

Interpretation of Statutes – Income Tax Act, 1961 – s.28 – Profits and gains of business or profession – Charging provisions, though construed strictly, are not to be read narrowly when the language of the provision itself is wide:

Held: The language of s.28 “the profits and gains of any business or profession” is deliberately wide, *i.e.*, the charge itself is cast in wide terms – Charging provisions, while construed strictly, are not to be read in an unduly narrow manner when the language of the provision itself is wide. [Para 15]

Income Tax Act, 1961 – s.28 – Profits and gains of business or profession – Amalgamation – Whether there is receipt or accrual of income upon amalgamation; Commercial realisability; Definite valuation – Real Income Principle:

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Held: In the context of amalgamation, what transpires is essentially a statutory substitution of one form of holding for another – The shareholder's interest in the transferor company is replaced by a corresponding interest in the transferee company – For the purposes of s.28, the first test is whether such substitution constitutes either a receipt or an accrual of income – The general position, nevertheless, is that what the law recognises in amalgamation is the receipt of shares in substitution of trading assets – Further, mere receipt of shares does not suffice to attract s.28; commercial realisability is also required when income is received in kind – Amalgamation is to be understood as a statutory substitution of holdings, and not as an “exchange” in the legal sense – Profit must be capable of definite valuation, so that the real gain or loss stands crystallized – The test is not satisfied merely by the receipt of realisable shares in substitution of earlier holdings; such shares must also be capable of quantification – Therefore, what attracts s.28 is the receipt of shares coupled with their present realisability and their nexus with business – These three conditions- actual receipt, present realisability, and ascertainability of value- together determine the timing of taxability in cases of amalgamation – The profit arising on receipt of the amalgamated company's shares may be taxed u/s.28 where the shares allotted are tradable and possess a definite market value, thereby conferring a presently realisable commercial advantage – Where such attributes are absent, the Court cannot, by analogy, extend s.28 to tax hypothetical accretions in the absence of an express statutory mandate – The enquiry whether, consequent upon an amalgamation, the allotment of new shares has resulted in a real and presently realisable commercial benefit must be determined on the facts of each case – The burden lies on the Revenue to establish the same – It is thereafter for the Tribunal, as the final fact-finding authority, to apply these principles to the evidence on record. [Paras 17-18.1, 24, 24.2, 24.3]

Words and Phrases – ‘Amalgamation’ – Concept and legal character, discussed:

Held: Amalgamation, in corporate law, signifies the statutory blending of two or more undertakings into one – The transferor company ceases to exist as a separate corporate entity, its business, assets, and liabilities are absorbed into and continue within the transferee – Amalgamation- ordinarily effected through a scheme

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of compromise or arrangement sanctioned by the Court or Tribunal is founded on agreement between shareholders and creditors, but its legal effect is statutory: upon sanction, all assets, rights, and liabilities of the transferor vest in the transferee by operation of law – Amalgamation is more than a mere contractual transfer; it is a statutory process of substitution – Notwithstanding its statutory character, amalgamation does involve a “transfer” within the meaning of the Income-tax Act. [Paras 16, 16.1-16.4, 18.2]

Income Tax Act, 1961 – s.28 – Plea of the appellants that even if the fair market value of the shares allotted in the amalgamated company exceeded the book value of the shares held in the amalgamating company, such excess would be merely hypothetical and illusory until the shares were sold, given that market value is inherently fluctuating:

Held: The test u/s.28 is not postponed until an actual sale, but is satisfied once the assessee comes into possession of an asset of determinable and presently realisable value in substitution of its trading stock – The fact that such value may fluctuate subsequently does not render the benefit unreal; valuation for tax purposes is always carried out at a particular point in time, notwithstanding subsequent volatility – What matters is that, on the date of allotment, the assessee must have received realisable instruments capable of being valued in money’s worth, and such receipt constitutes a real, and not a notional, commercial gain. [Para 26]

Income Tax Act, 1961 – s.47(vii):

Held: There is a difference between a charging provision and an exemption provision – A provision that enables the levy of tax on a particular transaction is a charging provision – Only a transaction that is covered by a charging provision is taxable – Only if the transaction is taxable can there be an exemption – Therefore, the transfer of shares arising out of an order of amalgamation, even if it is treated as a capital asset, is generally taxable but would be exempt from taxation only if both the requirements u/s.47 (vii) are satisfied. [Para 12]

Income Tax Act, 1961 – s.28 – Timing of taxability – Charge u/s.28 not attracted on the mere sanction of the scheme or on the appointed date:

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Held: In the context of amalgamation, three points in time require to be distinguished – First, the appointed date specified in the scheme, which determines corporate succession and continuity between the transferor and transferee companies – Secondly, the sanction of the scheme by the Court, which gives statutory force to the amalgamation – At these stages, however, there is only a substitution of rights by legal fiction, without any asset in the hands of the shareholder capable of commercial exploitation – Thirdly, the allotment of new shares in the amalgamated company, which alone crystallises the benefit in the shareholder's hands, for it is only then that the old stock-in-trade ceases to exist and is replaced by new shares of definite market value capable of immediate realisation – Thus, the charge u/s.28 is not attracted on the mere sanction of the scheme or on the appointed date, but only upon the receipt of the new shares, when the statutory substitution translates into a concrete, realisable commercial advantage. [Para 25]

Income Tax Act, 1961 – ss.28, 47 – Exemption in respect of capital assets – Rationale – Distinction between capital and business assets:

Held: s.47 expressly carves out an exemption in respect of certain transfers in the context of amalgamation, but that exemption is confined to capital assets – The rationale is plain – Where a shareholder holds shares as an investment, the underlying object is to remain invested in the corporate venture, and a mere amalgamation ordinarily does not alter that position – While the possibility of tax avoidance in the investment field cannot be ruled out altogether, the legislative judgment reflects that the risk is relatively low – Thus, the exemption u/s.47 is founded on the recognition that amalgamation, in the capital field, is essentially a corporate restructuring and not a true realisation of profit – It is also common in business parlance for entities to hold shares either as investments or as stock-in-trade – By contrast, s.28, which governs profits of business, contains no such carve-out, nor could it be otherwise – The nature of stock-in-trade is wholly different from that of an investment – Stock-in-trade represents circulating capital: it is held not for preservation or appreciation, but for conversion into money in the ordinary course of business – Thus, while the Act makes an express exception for amalgamation of capital assets, no such exception is contemplated in the case of business assets. [Paras 27, 27.1, 27.4]

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Shiv Raj Gupta v. Commissioner of Income-Tax, Delhi [2020] 5 SCR 874 : (2020) 425 ITR 420 (SC) – distinguished.

Commissioner of Income Tax v. Mahagun Realtors (P) Ltd [2022] 4 SCR 502 : (2022) 19 SCC 1; *Orient Trading Company Ltd. v. Commissioner of Income Tax, Calcutta* [1997] 1 SCR 446 : (1997) 3 SCC 340; *Commissioner of Income-tax, Cochin v. Grace Collis and Others* [2001] 2 SCR 98 : (2001) 3 SCC 430; *E.D. Sassoon & Co. Ltd v. Commissioner of Income-Tax* [1973] 1 SCR 1084 : (1954) 26 ITR 27 (SC); *Commissioner of Income Tax, Bombay City I v. Shoorji Vallabhdas & Co.* (1962) 46 ITR 144 (SC) – relied on.

Commissioner of Income Tax, Bombay v. Rasiklal Maneklal (HUF) and Others [1989] 2 SCR 179 : (1989) 2 SCC 454; *Vania Silk Mills P. Ltd v. Commissioner of Income-Tax* [1991] 3 SCR 577 : (1991) 191 ITR 647 (SC); *Commissioner of Income-Tax, Andhra Pradesh v. Motors & General Stores (P) Ltd* [1967] 3 SCR 876 : (1967) 66 ITR 692 (SC); *Hindustan Lever and Another v. State of Maharashtra and Another* [2003] Supp. 5 SCR 685 : (2004) 9 SCC 438; *State Bank of Travancore v. Commissioner of Income-Tax, Kerala* [1986] 1 SCR 25 : (1986) 158 ITR 102 (SC); *Godhra Electricity Co. Ltd v. Commissioner of Income-Tax* [1997] 3 SCR 539 : (1997) 225 ITR 746 (SC); *Commissioner of Income-Tax v. Excel Industries Ltd. and Another* [2013] 10 SCR 490 : (2013) 358 ITR 295 (SC); *R. Nagaraj (dead) through Legal Heirs and Another v. Rajamani and Others* [2025] 4 SCR 734 : 2025 Livelaw SC 416; *Mansarovar Commercial Pvt. Ltd v. Commissioner of Income-Tax* [2023] 8 SCR 452 : (2023) 454 ITR 1 (SC); *Mazagaon Dock Ltd v. Commissioner of Income Tax and Excess Profits Tax* [1959] 1 SCR 848 : AIR 1958 SC 861; *Ujagar Prints Etc. v. Union of India and Others Etc.* [1989] 1 SCR 344 : (1989) 3 SCC 488; *Commissioner of Customs (Import), Mumbai v. Dilip Kumar and Company and Others* [2018] 7 SCR 1191 : (2018) 9 SCC 1 (5-Judge Bench); *Commissioner of Income Tax v. T.V. Sundaram Iyengar & Sons Ltd.* [1996] Supp. 5 SCR 785 : (1996) 222 ITR 344 (SC); *Commissioner of Income Tax v. Meghalaya Steels Ltd* [2016] 1 SCR 952 : (2016) 383 ITR 217 (SC); *Commissioner of Income Tax, Delhi v. Woodward Governor India P. Ltd* [2009] 5 SCR 738 : (2009) 312 ITR 254 (SC); *Saraswati Industrial Syndicate Ltd v. Commissioner of Income Tax* [1990] Supp. 1 SCR 332 : (1990) Supp. SCC 675; *Religare*

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Finvest Ltd. v. State (NCT of Delhi) [2023] 12 SCR 197 : (2024) 1 SCC 797; *Kanchanganga Sea Foods Ltd v. Commissioner of Income Tax* [2010] 7 SCR 866 : (2010) 11 SCC 144; *Raja Mohan Raja Bahadur v. Commissioner of Income Tax* [1967] 3 SCR 482 : (1967) 66 ITR 378; *Commissioner of Income Tax v. Ashokbhai Chimanbhai* [1965] 1 SCR 758 : (1965) 56 ITR 42; *Commissioner of Income Tax v. Woodward Governor India (P) Ltd.* [2009] 5 SCR 738 : (2009) 13 SCC 1; *Commissioner of Income Tax v. Express Newspapers Ltd.*, 1964 INSC 152 : [1964] 8 SCR 189 – referred to.

Royal Insurance Co. Ltd v. Stephen, 14 Tax Cases 22; *Walker's Settlement, In re*, 1935 Ch 567 (CA); *Californian Copper Syndicate Ltd v. Inland Revenue* 05 TC 159; *Raja Raghunandan Prasad Singh v. Commissioner of Income Tax*, 1933 SCC OnLine PC 8 – referred to.

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Income Tax Act, 1961; Companies Act, 2013; Code of Civil Procedure, 1908.

List of Keywords

Section 28, Income Tax Act, 1961; Profits and gains of business or profession; Amalgamation; Stock-in-trade; Taxability of gains arising on amalgamation; Shares of amalgamating company held as stock-in-trade, substituted by shares of the amalgamated company; Taxable business income under Section 28, Income Tax Act, 1961; Shares held as stock-in-trade; Allotment of shares of amalgamated company; Court-sanctioned scheme of amalgamation; Jindal Ferro Alloys Limited (JFAL); Jindal Strips Limited (JSL); No taxable profit; Section 2(14), Income Tax Act, 1961; Section 2(17), Income Tax Act, 1961; Section 2(47), Income Tax Act, 1961; Section 47(vii), Income Tax Act, 1961; Section 45, Income Tax Act, 1961; Transfer of shares; Capital assets; Chargeability of the "profits and gains of any business or profession"; Statutory substitution of rights; Whether the substitution of shares results in real commercial profits; Commercial realisability; Amalgamating company ceases to exist; The true test under Section 28; Real-income principle;

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Real or completed profit capable of being taxed under Section 28;
Definite valuation; Timing of taxability; Distinction between Capital
and Business assets.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 152 of 2026

From the Judgment and Order dated 07.08.2020 of the High Court
of Delhi at New Delhi in ITA No. 935 of 2005

With

Civil Appeal No(s). 153, 154 and 155 of 2026

Appearances for Parties

Advs. for the Appellant(s):

Ajay Vohra, Ms. Kavita Jha, Sr. Advs., Vaibhav Kulkarni, Aniket
Deepak Agrawal, Ms. Aabgina Chishti.

Advs. for the Respondent(s):

Raghavendra P Shankar, A.S.G., Raj Bahadur Yadav, Udai Khanna,
Karan Lahiri, Mrs. Vimla Sinha, Ms. Seema Bengani, Preeti Rani,
Digvijay Dam.

Judgment / Order of the Supreme Court

Judgment

R. Mahadevan, J.

Leave granted.

2. The present appeals arise out of a common judgment and final order dated 07.08.2020 passed by the High Court of Delhi¹ in ITA Nos. 935, 822, 853, and 961 of 2005, pertaining to the Assessment Year 1997-98. By the impugned judgment, the High Court remanded the matters to the Income Tax Appellate Tribunal² for fresh adjudication on the question of whether the shares held in the amalgamating company constituted stock-in-trade or capital assets, upon observing

¹ Hereinafter referred to as “the High Court”

² For short, “the Tribunal”

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that, if the shares were, in fact, held as stock-in-trade, the transaction would fall outside the purview of Section 47(vii) of the Income Tax Act, 1961³, and its taxability would consequently be governed by Section 28 under the head “profits and gains of business or profession”.

FACTUAL MATRIX

3. The facts, which are common to all these appeals, may be briefly stated as under:
 - 3.1. The appellants are investment companies of the Jindal Group. The shares of the operating companies, namely Jindal Ferro Alloys Limited (JFAL) and Jindal Strips Limited (JSL), were held as part of the promoter holding, representing controlling interest. The appellants had also furnished non-disposal undertakings to the financial institutions / lenders who had advanced loans to the operating companies. These shares were reflected as investments in the balance sheets of the appellants.
 - 3.2. During the previous year relevant to the assessment year 1997-98, pursuant to a scheme of amalgamation approved by orders dated 19.09.1996 and 03.10.1996 of the High Courts of Andhra Pradesh and Punjab & Haryana respectively, under Sections 391 – 394 of the Companies Act, 2013, JFAL was amalgamated with JSL. As per the sanctioned scheme, the appointed date of amalgamation was 01.04.1995, and the orders sanctioning the amalgamation were filed with the Registrar of Companies on 22.11.1996 (the effective date). Under the scheme of amalgamation, the shareholders of JFAL were allotted 45 shares of JSL for every 100 shares of JFAL held by them. Accordingly, the appellants were allotted shares of JSL in lieu of the shares of JFAL.
 - 3.3. The appellants, in their returns of income filed for the assessment year in question, claimed exemption under Section 47(vii) of the I.T. Act in respect of the receipt of JSL shares in lieu of JFAL shares, treating the same to be capital assets. However, in the assessment completed under Section 143(3) *vide* order dated 29.02.2000, the Assessing Officer treated the shares of JFAL

3 For short, “the I.T. Act”

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as stock-in-trade, denied the exemption under Section 47(vii), and brought to tax the value of JSL shares as business income, computed with reference to their market value. The said order was upheld by the Commissioner of Income Tax (Appeals).

3.4. On further appeals, the Tribunal *vide* order dated 17.02.2005, allowed the assessee's appeals by observing that it was unnecessary to decide whether the shares were held as stock-in-trade or capital assets since no profit accrues unless the shares held by the appellants are either sold or transferred for consideration, irrespective of the nature of holding. It was further observed that there was admittedly no sale of shares and, therefore, the only question for consideration was whether the allotment of JSL shares in lieu of JFAL shares under the scheme of amalgamation amounted to a "transfer". Following the decision of this Court in ***Commissioner of Income Tax, Bombay v. Rasiklal Maneklal (HUF) and others***⁴, the Tribunal concluded that there was no transfer of shares and, consequently, no taxable profit could be said to have accrued to the appellants.

3.5. The Revenue challenged the Tribunal's decision before the High Court, raising the following substantial questions of law:

"1. Whether shares received by the assessee on amalgamation are entitled to the benefit of section 47(vii) without the Tribunal concluding that the said shares were held by the assessee as capital assets?

2. Whether the benefit of Section 47(vii) is limited to determination of capital gains and only in regard to capital assets?

3. Whether income would accrue to the assessee on shares received by amalgamations and will be taxable in view of non-applicability of Section 47(vii)?"

3.6. After hearing both sides, the High Court, by the impugned judgment, disposed of the appeals in favour of the Revenue and against the assessee. In doing so, it held that the Tribunal

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had erred in placing reliance on ***Rasiklal Maneklal*** while failing to consider the later and binding decision of this Court in ***Commissioner of Income-tax, Cochin v. Grace Collis and others***⁵. The High Court observed that where the shares of the amalgamating company were held as capital assets, the receipt of shares of the amalgamated company would constitute a “transfer” within the meaning of Section 2(47) of the I.T. Act, though such transfer would be exempt under Section 47(vii). However, in the alternative scenario where the shares were held as stock-in-trade, the High Court held that upon the assessees receiving shares of the amalgamated company in lieu of those held in the amalgamating company, the assesses had, in effect, realised the value of their trading assets, and the difference in value would be taxable as business profit under Section 28. In reaching this conclusion, the High Court relied upon the decision of this Court in ***Orient Trading Company Ltd. v. Commissioner of Income Tax, Calcutta***⁶. Accordingly, the matter was remanded to the Tribunal for determination of the nature of the appellants’ holding of JFAL shares, i.e., whether such holdings constituted capital assets or stock-in-trade.

- 3.7. Aggrieved thereby, the appellants have preferred the present appeals before this Court.

CONTENTIONS OF THE PARTIES

4. Mr. Ajay Vohra, learned Senior Counsel for the appellants, primarily submitted that the impugned judgment of the High Court is liable to be set aside as it travels beyond the jurisdiction conferred under Section 260A of the I.T. Act. It was pointed out that the appeals before the High Court were admitted on a limited question, namely, whether the Tribunal was correct in holding that where the assessees get shares of the amalgamated company in lieu of shares of the amalgamating company, no transfer takes place. However, while disposing of the appeals, the High Court went further and proceeded to examine the taxability of such receipt, treating it as stock-in-trade or a capital asset. Since that issue was neither specifically raised nor

5 (2001) 248 ITR 323 (SC) : (2001) 3 SCC 430

6 (1997) 224 ITR 371 (SC) : (1997) 3 SCC 340

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framed at the time of admission, the adjudication was impermissible and contrary to the framework laid down by this Court in **Shiv Raj Gupta v. Commissioner of Income-Tax, Delhi⁷**.

- 4.1. It was further submitted that the receipt of shares of the amalgamated company does not amount to either a “sale” or an “exchange”. It was urged that upon amalgamation, the amalgamating company stands dissolved and consequently, its shares cease to exist. Therefore, when shareholders receive shares of the amalgamated company in lieu of the extinguished shares of the amalgamating company, there is no subsisting property capable of being exchanged and accordingly, no taxable business income arises from such transaction. Moreover, the definition of “transfer” under Section 2(47) is relevant only for the purpose of computing capital gains and has no application to stock-in-trade. Only the exploitation or realisation of stock-in-trade gives rise to business income, which is to be computed strictly in accordance with Section 28 of the I.T. Act.
- 4.2. Reliance was placed on the decision of this Court in **Vania Silk Mills P. Ltd v. Commissioner of Income-Tax⁸**, wherein it was held that the mere destruction or loss of an asset does not constitute a “transfer”. The term “transfer” in Section 45 connotes that there must be something transferred to someone – some property, right, or interest passing from one person to another. When an asset ceases to exist, there can be no such transfer. Further reliance was placed on **Commissioner of Income-Tax, Andhra Pradesh v. Motors & General Stores (P) Ltd⁹** wherein, it was held that to constitute an “exchange”, there must be a subsisting property capable of being transferred or exchanged. Reference was also made to **Rasiklal Maneklal**, in which, it was held that the receipt of shares of an amalgamated company in lieu of shares held in the amalgamating company under an approved scheme of amalgamation, does not amount to an “exchange”. Consequently, it was submitted that the allotment of shares in the amalgamated company, in substitution for the

7 (2020) 425 ITR 420 (SC)

8 (1991) 191 ITR 647 (SC)

9 (1967) 66 ITR 692 (SC)

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shares held in the amalgamating company, does not amount to a realisation of stock-in-trade by way of sale or exchange, so as to give rise to taxable business income.

- 4.3. The learned Senior Counsel submitted that the authorities relied upon by the High Court were distinguishable from the present case. In ***Orient Trading***, the assessee had exchanged shares of one existing company for shares of another; that case did not involve amalgamation or dissolution of the company whose shares were exchanged. Likewise, the English decision in ***Royal Insurance Co. Ltd v. Stephen***¹⁰ dealt with realisation of investments, not stock-in-trade by an insurance company assessed under a special statutory regime, and is inapplicable under Indian law. Similarly, ***Hindustan Lever and another v. State of Maharashtra and another***¹¹ concerned the legislative competence to levy stamp duty on an order of amalgamation. Observations therein as to the transfer of property between amalgamating and amalgamated companies were made in a wholly different context and cannot govern the computation of business income.
- 4.4. On the concept of accrual of business income, it was urged that taxable income arises only when a debt *in praesenti* is created in favour of the assessee, though payable in future, as laid down in ***E.D. Sassoon & Co. Ltd v. Commissioner of Income-Tax***¹². Hypothetical or illusory benefits cannot constitute taxable income, as held in ***Commissioner of Income Tax, Bombay City I v. Shoorji Vallabhdas & Co.***¹³, ***State Bank of Travancore v. Commissioner of Income-Tax, Kerala***¹⁴, ***Godhra Electricity Co. Ltd v. Commissioner of Income-Tax***¹⁵ and ***Commissioner of Income-Tax v. Excel Industries Ltd. and another***¹⁶. Even if the fair market value of the shares allotted in the amalgamated company on the date of allotment exceeds

¹⁰ 14 Tax Cases 22

¹¹ (2004) 9 SCC 438

¹² (1954) 26 ITR 27 (SC)

¹³ (1962) 46 ITR 144 (SC)

¹⁴ (1986) 158 ITR 102 (SC)

¹⁵ (1997) 225 ITR 746 (SC)

¹⁶ (2013) 358 ITR 295 (SC)

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the book value of the shares in the amalgamating company, such appreciation is purely notional. Real income would arise only upon the actual sale of the allotted shares, and until such realisation no business income accrues.

- 4.5. It was also emphasized that the scheme of the Act itself supports this view. Wherever the legislature intends to tax notional or deemed income, it has enacted specific provisions, for example, Section 28(iv) or valuation rules such as Rule 11UAB. Further, Section 49(1)(iii)(e) specifically provides that for capital gains, the cost of shares in the amalgamated company shall be deemed to be the cost of shares in the amalgamating company. By parity of reasoning, in the case of stock-in-trade also, the original cost must be preserved and any profit should be recognized only at the time of realisation.
- 4.6. It was finally submitted that the receipt of shares of the amalgamated company in lieu of shares held in the amalgamating company, even when such shares are held as stock-in-trade, does not constitute a “sale” or “exchange” giving rise to taxable business income. Any benefit is, at best, hypothetical until the shares are actually sold. The impugned judgment of the High Court, which disregards settled principles and binding precedents, is erroneous and liable to be set aside.
5. On the other hand, the learned Additional Solicitor General appearing for the respondent(s) – Department opposed the present appeals and supported the impugned judgment of the High Court. It was submitted that if shares are held as stock-in-trade, the profit accruing from the receipt of shares of the amalgamated company in lieu of those of the amalgamating company would be taxable under the head “profits and gains of business or profession”. For the purpose of analyzing this issue, it is assumed that the assessee held the shares of the amalgamating company as stock-in-trade prior to the amalgamation, though this issue remains to be decided by the Tribunal on remand.
- 5.1. It was submitted that the Tribunal fell in error in holding that no profit accrues unless the shares held by an assessee are either sold or transferred otherwise for consideration, irrespective of the nature of holding. The Tribunal did not refer to any sub-section of Section 28 of the I.T. Act to support its conclusion that a sale or transfer alone can give rise to “profits and gains of business

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or profession”. It failed to engage with Section 28 entirely, relying instead solely on ***Rasiklal Maneklal***. That decision, it was pointed out, is relevant only to the taxation of capital gains under the Income- tax Act, 1922, and has been clarified to be inapplicable by this Court in ***Grace Collis***. Since the issue of Section 45 is not under contest in these proceedings, ***Rasiklal Maneklal*** has no further bearing.

- 5.2. It was submitted that the High Court rightly held that the spotlight should not entirely be on the concept of “transfer” but instead on whether there is business income in the hands of the assessee, and further that income is recognised when it is earned or realized, irrespective of whether it is in cash or kind”. This finding demonstrates that transfer is not a necessary precondition for taxation of business income under Section 28.
- 5.3. According to the learned Senior Counsel, the appellants themselves admitted in their written submissions that the definition of “transfer” under Section 2(47) has no application to the computation of business income. To this extent, the appellants do not dispute the High Court’s finding. Yet, the appellants continue to contend that realisation of stock-in-trade giving rise to taxable business income can only be through sale or exchange. Such a submission has no basis in light of Section 28.
- 5.4. It was further submitted that the plain language of Section 28 makes it clear that profits and gains of business or profession are chargeable irrespective of whether they arise by way of sale, exchange, or otherwise. Unlike Section 45, which specifically requires a transfer of a capital asset, Section 28 is agnostic to the manner in which income accrues. In particular, Sections 28(i) and 28(iv) bring out this position, covering profits, gains, and benefits arising from business activities, whether convertible into money or not.
- 5.5. Reliance was placed on ***Orient Trading***, where this Court held that the exchange of securities by a share dealer amounted to realisation of stock-in-trade, resulting in taxable profits. The said decision directly answers the appellants’ contention as it involved stock-in-trade and upheld that realisation may occur upon exchange, and not merely upon sale.

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- 5.6. Applying the above legal principles, the learned Senior Counsel submitted that the High Court was correct in concluding that upon amalgamation, the shares of the amalgamating company cease to exist and their value stands realised either in cash (for dissenting shareholders) or in shares of the amalgamated company (for approving shareholders). Such realisation, when resulting in profit, is taxable under Section 28.
- 5.7. The learned Senior Counsel submitted that the appellants' reliance on cases such as ***E.D. Sassoon & Co. Ltd*** and ***Motors & General Stores (P) Ltd*** is misplaced. ***E.D. Sassoon***, in fact, supports the Revenue's case by holding that income accrues when the right to receive is acquired, even if actual receipt is later. ***Motors & General Stores*** has already been distinguished in ***Orient Trading*** as being confined to the meaning of "sale" in Section 10(2)(vii) of the 1922 Act, and is therefore inapplicable. Similarly, ***Rasiklal Maneklal*** and ***Vania Silk Mills*** pertain to capital gains and transfer under Section 45, which the appellants themselves concede, have no bearing on the computation of business income.
- 5.8. It was further submitted that the levy in the present case is not on hypothetical income. As explained in ***Excel Industries***, income accrues when it becomes due and when there exists a corresponding liability on the other party. Here, by virtue of the amalgamation scheme sanctioned by the Court, there was a corresponding liability on the amalgamated company to issue shares (or pay cash to dissenters) in exchange for the extinguished shares of the amalgamating company. This satisfies the test of real income under ***Excel Industries***.
- 5.9. Even assuming, without conceding, that the Tribunal was correct in requiring a "sale" or "transfer", it was argued that a scheme of amalgamation itself has "all the trappings of a sale", as held in ***Hindustan Lever***. Thus, even on the appellants' theory, the taxable event occurred.
- 5.10. Finally, on the appellants' contention regarding valuation of shares, the learned Senior Counsel submitted that this issue was considered and rejected by the CIT(A) with cogent reasoning, and that the Tribunal may examine this factual

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issue afresh on remand, if necessary. That issue, however, need not detain this Court, which is concerned only with the legal question.

- 5.11. Accordingly, the learned Senior Counsel submitted that the High Court's reasoning is sound, the Tribunal's judgment is unsustainable, and the present appeals deserve to be dismissed.

ANALYSIS AND FINDINGS

6. We have heard learned counsel appearing for the parties and perused the materials available on record.
7. By order dated 10.02.2021, this Court stayed the effect and operation of the impugned judgment and order under challenge.
8. Apparently, the appellants were shareholders of JFAL. Pursuant to the orders of the High Courts of Andhra Pradesh and Punjab and Haryana dated 19.09.1996 and 03.10.1996, JFAL merged with JSL, a widely held public company. Upon the amalgamation become effective, JFAL ceased to exist as a legal entity. In terms of the share exchange ratio approved under the scheme, shareholders were allotted 45 shares of JSL against 100 shares of JFAL.
 - 8.1. During the relevant assessment year, the appellants claimed exemption under Section 47(vii) of the I.T. Act in respect of the receipt of JSL shares, contending that the shares of JFAL were held as capital assets. The Assessing Officer, however, denied exemption, holding that the shares of JFAL constituted stock-in-trade in the hands of the appellants. He accordingly taxed the difference between the value of the JSL shares (as on the appointed date) and the book value of JFAL shares. The CIT(A) upheld this view, dismissing the appeals on the finding that the appellants' acquisition of shares was an adventure in the nature of trade, attracting taxation under Section 28 of the I.T. Act. Thus, there were concurrent findings that the assesseees belonging to the same group which controlled JFAL, engaged in a scheme for profit-making by exchanging their stock-in-trade holdings in JFAL for shares of JSL.
 - 8.2. On further appeals, the Tribunal, by order dated 17.02.2005, allowed the assesseees' claims. It declined to decide the factual

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question whether the JFAL shares were held as capital assets or as stock-in-trade, holding instead that no profit accrues unless the shares are either sold or transferred for consideration, irrespective of the nature of holding.

- 8.3. In the Revenue's appeals, the High Court by the impugned judgment, set aside the Tribunal's order and remitted the matter for fresh consideration. The High Court returned two findings: first, that if shares are held as capital assets, an amalgamation is indeed a transfer within the meaning of Section 2(47) of the I.T. Act, though exempt under Section 47(vii). The assessee no longer dispute this finding before this Court. Second, the High Court held that if the shares are held as stock-in-trade, the profit arising to the assessee from the receipt of JSL shares in lieu of JFAL shares would be taxable as "profits and gains of business or profession" under Section 28. It is the second finding, which has necessitated the present appeals before this Court.
9. At the outset, the learned Senior Counsel appearing for the appellants raised a preliminary objection that the High Court had transgressed its jurisdiction in remitting the matter to the Tribunal with an observation that, if the shares were stock-in-trade, the taxability would arise under Section 28 of the I.T. Act. It was urged that such an issue was neither expressly framed as a substantial question of law by the High Court nor raised by the Revenue in its appeals. Reliance was placed on **Shiv Raj Gupta**, where this Court held that the High Court cannot decide a new question of law without formally framing it under Section 260A (4) and without affording the parties an opportunity to meet that case. The following paragraphs are apposite in this context:

"18. It can be seen that the substantial question of law that was raised by the High Court did not contain any question as to whether the non-compete fee could be taxed under any provision other than Section 28(ii) (a) of the Income Tax Act, 1961. Without giving an opportunity to the parties followed by reasons for framing any other substantial question of law as to the taxability of such amount as a capital receipt in the hands of the assessee, the High Court answered the substantial question of law raised as follows:

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(Shiv Raj Gupta case [CIT v. Shiv Raj Gupta, 2014 SCC OnLine Del 7305: (2015) 372 ITR 337], SCC OnLine Del paras 63 & 65)

“63. In view of the aforesaid discussion, we deem it appropriate and proper to treat Rs 6.60 crores as consideration paid for sale of shares, rather than a payment under Section 28(ii)(a) of the Act. ...

...

65. The substantial question of law is accordingly answered in favour of the appellant Revenue and against the respondent-assessee but holding that Rs 6.60 crores was taxable as capital gains in the hands of the respondent-assessee being a part of the full value sale consideration paid for transfer of shares. The appellant Revenue will be entitled to costs as per the Delhi High Court Rules.”

Clearly, without any recorded reasons and without framing any substantial question of law on whether the said amount could be taxed under any other provision of the Income Tax Act, the High Court went ahead and held that the amount of INR 6.6 crores received by the assessee was received as part of the full value of the sale consideration paid for transfer of shares — and not for handing over management and control of CDBL and is consequently not taxable under Section 28(ii)(a) of the Income Tax Act. Nor is it exempt as a capital receipt being non-compete fee, as it is taxable as a capital gain in the hands of the respondent-assessee as part of the full value of the sale consideration paid for transfer of shares. This finding would clearly be in the teeth of Section 260-A (4), requiring the judgment to be set aside on this score.”

- 9.1. Undoubtedly, Section 260A envisages that an appeal to the High Court lies only where a substantial question of law arises. Sub-sections (3) and (4) mandate the formulation of such questions,

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while the proviso to sub-section (4) preserves the Court's power, for recorded reasons, to entertain any other substantial question of law not earlier framed. For ease of reference, the said provision is reproduced as follows:

“260-A. Appeal to High Court. — (1) *An appeal shall lie to the High Court from every order passed in appeal by the Appellate Tribunal before the date of establishment of the National Tax Tribunal, if the High Court is satisfied that the case involves a substantial question of law.*

(2) The Principal Chief Commissioner or Chief Commissioner or the Principal Commissioner or Commissioner or an assessee aggrieved by any order passed by the Appellate Tribunal may file an appeal to the High Court and such appeal under this sub-section shall be—

(a) filed within one hundred and twenty days from the date on which the order appealed against is received by the assessee or the Principal Chief Commissioner or Chief Commissioner or Principal Commissioner or Commissioner;

(b)....

(c) in the form of a memorandum of appeal precisely stating therein the substantial question of law involved.

(2-A) The High Court may admit an appeal after the expiry of the period of one hundred and twenty days referred to in clause (a) of sub-section (2), if it is satisfied that there was sufficient cause for not filing the same within that period.

(3) Where the High Court is satisfied that a substantial question of law is involved in any case, it shall formulate that question.

(4) The appeal shall be heard only on the question so formulated, and the respondents shall, at the hearing of the appeal, be allowed to argue that the case does not involve such question:

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Provided that nothing in this sub-section shall be deemed to take away or abridge the power of the court to hear, for reasons to be recorded, the appeal on any other substantial question of law not formulated by it, if it is satisfied that the case involves such question.

(5) The High Court shall decide the question of law so formulated and deliver such judgment thereon containing the grounds on which such decision is founded and may award such cost as it deems fit.

(6) The High Court may determine any issue which—

(a) has not been determined by the Appellate Tribunal; or

(b) has been wrongly determined by the Appellate Tribunal, by reason of a decision on such question of law as is referred to in sub-section (1).

(7) Save as otherwise provided in this Act, the provisions of the Code of Civil Procedure, 1908 (5 of 1908), relating to appeals to the High Court shall, as far as may be, apply in the case of appeals under this section.”

- 9.2. The scheme is consciously modelled on Section 100 of the Code of Civil Procedure, 1908, which similarly confines jurisdiction in second appeal to substantial questions of law. Both provisions embody the legislative policy of limiting higher appellate interference to questions of law, while at the same time, permitting the Court to deal with necessary or incidental questions that arise, provided reasons are recorded and parties are heard. In a recent judgment in ***R. Nagaraj (dead) through legal heirs and another v. Rajamani and others***¹⁷, this Court held that although a separate issue need not be framed on every point, a finding on a disputed question, while deciding a connected issue, is sufficient.
- 9.3. In the present case, the High Court did not specifically frame the question of law as to whether the substitution of shares

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was taxable under Section 28 of the I.T. Act. However, the said issue went to the very root of the matter, and the High Court was bound to consider it in view of the issue already framed by the Tribunal and the submissions advanced by both sides before the Tribunal as well as before the High Court. Such a question was incidental or collateral to the main issue, and the absence of a formal formulation would not vitiate the impugned judgment of the High Court.

9.4. Furthermore, the present case does not fall within the mischief noticed in ***Shiv Raj Gupta*** for the following reasons:

- First, the Tribunal itself had framed the substantial issue as “*whether any income accrues to the appellants on the event of substitution of shares of Jindal Ferro Alloys Ltd. by the shares of Jindal Strips Ltd. under the scheme of amalgamation approved by the High Court of Andhra Pradesh and High Court of Punjab & Haryana*”. While answering this question in the negative, the Tribunal left open the determination of whether the shares were held as investments or as stock-in-trade. Once such a finding was recorded, the real question of law was not merely the applicability of Section 47, but more broadly the taxability of the amalgamation transaction under the Act.
- Second, in appeal, the High Court framed the following substantial question of law: “*Whether the Tribunal was correct in holding that where the assessee gets shares of the amalgamated company in lieu of shares of the amalgamating company, no transfer takes place?*” This formulation was wide enough to cover not only the application of Section 47 but also the broader question of taxability of such substitution of shares under the Act. The High Court did not itself assess income under Section 28, but only clarified that if the shares were stock-in-trade, the exemption of Section 47 would not apply, and the matter required reconsideration by the Tribunal so as to determine whether the shares were held as stock-in-trade or as capital assets, as without that determination the taxability or eligibility for exemption could not be ascertained.

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- Third, there was no violation of natural justice in the present case, unlike in **Shiv Raj Gupta** where an altogether new head of income was introduced without notice to the assessee. Here, the High Court expressly recorded the preliminary objections and submissions of the appellants with respect to Section 28 and dealt with them. Thus, the parties had full opportunity to address this aspect before remand. Merely because a specific substantial question of law was not framed, it cannot be concluded that prejudice was caused to the parties, if both parties had the opportunity to address the issues in dispute.
- 9.5. Reference may also be made to **Mansarovar Commercial Pvt. Ltd v. Commissioner of Income-Tax**¹⁸, where a similar contention was raised based on **Shiv Raj Gupta**. This Court held that issues incidental or collateral, on which the parties have been fully heard, can be considered by the High Court even if not expressly framed as substantial questions of law, especially where they arise directly from the Tribunal's findings. The following paragraphs from the said decision are pertinent in this regard:

“45.13. As regards the reliance placed upon the decision of this Court in Shiv Raj Gupta v. CIT [Shiv Raj Gupta v. CIT, (2021) 11 SCC 58 : AIR 2020 SC 3556], by the learned Senior Counsel appearing on behalf of the appellants on non-framing of substantial question of law in terms of Section 260-A of the Act so far as the interest liability is concerned, it is submitted that the said decision shall not be applicable to the facts of the case at hand and more particularly in case of an interest which is automatic and mandatory. It is submitted that in the said case, the dispute was with respect to capital gains which by its very nature is a separate head of income and the issue relates to the very taxability. That therefore, failure to raise a question of taxability of capital gains in a particular case may tantamount to a failure in raising

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a substantial question of law in terms of Section 260-A of the Act. However, the same may not apply on interest as the interest is automatic and mandatory.”

“85. As regards the submission on behalf of the assesseees that no substantial question of law was framed on levy of interest, at the outset, it is required to be noted that both the parties made submissions on levy of interest elaborately which have been dealt with and considered by the High Court in light of the Constitution Bench decision of this Court in Anjum M.H. Ghaswala [CIT v. Anjum M.H. Ghaswala, (2002) 1 SCC 633]. Even otherwise, the said issue can be said to be incidental or collateral. Even otherwise, in view of the decision of this Court in Anjum M.H. Ghaswala [CIT v. Anjum M.H. Ghaswala, (2002) 1 SCC 633] holding that the levy of interest under Section 234-A is statutory interest and mandatory and automatic, thereafter the said issue cannot be said to be a question of law.”

(Emphasis Supplied)

- 9.6. Accordingly, the High Court cannot be said to have exceeded its jurisdiction under Section 260A in making the impugned observation on Section 28 before remanding the matter. The preliminary contention of the appellants is, therefore, devoid of merit and stands rejected.
10. Now, another issue that arises for determination in these appeals is whether the High Court, while remanding the matter to the Tribunal to ascertain whether the shares of the amalgamating company were held as stock-in-trade or as capital assets, was justified in recording a finding that, if such shares were held as stock-in-trade, the allotment of shares of the amalgamated company pursuant to a court-sanctioned scheme of amalgamation would give rise to taxable business income in the hands of the appellants under Section 28 of the I.T. Act.
11. These appeals, therefore, raise a substantial question concerning the taxability of gains said to arise on amalgamation, where shares of the amalgamating company held by the assesseees as stock-in-

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trade, stand substituted by shares of the amalgamated company. The core controversy is whether such substitution, in and of itself, constitutes a realisation giving rise to taxable business income under Section 28 and if so, the conditions under which such accrual or receipt can be said to arise in the commercial sense, or whether the incidence of taxation arises only upon the subsequent sale of the substituted shares.

12. Before proceeding further, it is apposite to refer to the statutory framework covering the issue involved in the present appeals. The relevant provisions of the I.T. Act are extracted below, for better appreciation:

Section 2(1B) – Amalgamation

“‘amalgamation’, in relation to companies, means the merger of one or more companies with another company or the merger of two or more companies to form one company (the company or companies which so merge being referred to as the amalgamating company or companies and the company with which they merge or which is formed as a result of the merger, as the amalgamated company) in such a manner that—

(i) all the property of the amalgamating company or companies immediately before the amalgamation becomes the property of the amalgamated company by virtue of the amalgamation;

(ii) all the liabilities of the amalgamating company or companies immediately before the amalgamation become the liabilities of the amalgamated company by virtue of the amalgamation;

(iii) shareholders holding not less than [three-fourths] in value of the shares in the amalgamating company or companies (other than shares already held therein immediately before the amalgamation by, or by a nominee for, the amalgamated company or its subsidiary) become shareholders of the amalgamated company by virtue of the amalgamation,

otherwise than as a result of the acquisition of the property of one company by another company pursuant

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to the purchase of such property by the other company or as a result of the distribution of such property to the other company after the winding up of the first-mentioned company.”

Section 2(14) – Capital asset

“capital asset” means –

(a) *property of **any kind** held by an assessee, whether or not connected with his business or profession,*

(b) *...*

(c) *...*

but does not include—

(i) *any **stock-in-trade** [other than the securities referred to in sub-clause (b)], consumable stores or raw materials held for the purposes of his business or profession.*

(j) *...”*

Section 2(47) – Transfer

“transfer”, in relation to a capital asset, includes,

(i) *the sale, exchange or relinquishment of the asset; or*

(ii) *the extinguishment of any rights therein; or*

(iii) *the compulsory acquisition thereof under any law*

...”

Section 28 – Profits and gains of business or profession

“The following income shall be chargeable to income-tax under the head “Profits and gains of business or profession”,—

(i) *the profits and gains of any business or profession which was carried on by the assessee at any time during the previous year;*

...

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(iv) the value of any benefit or perquisite arising from business or the exercise of a profession, whether—

(a) convertible into money or not; or

(b) in cash or in kind or partly in cash and partly in kind;]

...

(vi-a) the fair market value of inventory on the date on which it is converted into, or treated as, a capital asset determined in the prescribed manner;

....”

Section 45(1) — Capital gains

*“Any profits or gains arising from the **transfer of a capital asset** effected in the previous year shall, save as otherwise provided in sections 54, 54B, 54D, 54E, 54EA, 54EB, 54F, 54G and 54H, be chargeable to income-tax under the head “Capital gains”, and shall be deemed to be the income of the previous year in which the **transfer took place.**”*

Section 47 – Transactions not regarded as transfer

“Nothing contained in section 45 shall apply to the following transfers:

....

(vii) any transfer by a shareholder, in a scheme of amalgamation, of a capital asset being a share or shares held by him in the amalgamating company, if—

(a) the transfer is made in consideration of the allotment to him of any share or shares in the amalgamated company except where the shareholder itself is the amalgamated company, and

(b) the amalgamated company is an Indian company;

....”

12.1. The above provisions make it clear that the scope of taxability on amalgamation depends on the nature of the shares held.

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Section 2(14) excludes stock-in-trade from the definition of a capital asset, while Section 2(47) defines “transfer” only in relation to capital assets. Section 28 casts a wide net, taxing the “profits and gains of business or profession”, including benefits or perquisites arising from business, whether convertible into money or not, or in cash or kind. Section 45 imposes capital gains tax only on the transfer of a capital asset, subject to exceptions under Section 47, including the transfer of shares in a scheme of amalgamation. Section 47(vii) specifically exempts from capital gains tax any transfer by a shareholder of a capital asset being shares of the amalgamating company, in consideration of the allotment of shares in the amalgamated company, provided the amalgamated company is an Indian company. There is a difference between a charging provision and an exemption provision. A provision that enables the levy of tax on a particular transaction is a charging provision. Only a transaction that is covered by a charging provision is taxable. Only if the transaction is taxable can there be an exemption. Therefore, the transfer of shares arising out of an order of amalgamation, even if it is treated as a capital asset, is generally taxable but would be exempt from taxation only if both the requirements under Section 47 (vii) are satisfied.

13. On behalf of the appellants, it was contended that no taxable event arises at the stage of amalgamation. According to them, income can be said to arise only upon the actual realisation or sale of the substituted shares, and not at the point of their allotment in the amalgamated company. The scheme of the Act, it was submitted, proceeds on the foundational premise that only real income is taxable unless Parliament, by express words, enacts a contrary legal fiction. Illustratively, Section 28(via) expressly deems the fair market value of inventory converted into a capital asset to be taxable, even without the receipt of money. This demonstrates that where the legislature intends to tax notional accretions, it does so explicitly. In the absence of any analogous deeming provision in respect of amalgamations, Section 28 cannot be judicially expanded to cover hypothetical or unrealised gains.
14. Conversely, on behalf of the Revenue, it was submitted that Section 28 does not predicate the existence of a “transfer”, “sale” or “exchange”. What the provision taxes are the “profits and gains

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of business or profession”, which may be realised either in cash or in kind. Where stock-in-trade ceases to exist and is substituted by another commodity or asset of ascertainable value, profit accrues. According to the Revenue, the language of Section 28 is wide enough to encompass all benefits or advantages arising from business activity, irrespective of the form of realisation. Therefore, once the shares held as stock-in-trade in the amalgamating company ceases to exist and are replaced by shares of the amalgamated company of higher value, a business profit arises which is liable to be taxed under Section 28.

Scope of Section 28

15. Before considering the rival submissions, it is necessary to delineate the scope of Section 28. The provision contemplates the chargeability of the “profits and gains of any business or profession” carried on by the assessee during the relevant previous year. What is material, therefore, is that there must be income arising from or in the course of business to be treated as profits or gains. Such profit must be ascertainable with reasonable definiteness at the relevant point of time, and the assessee must have either received it, or acquired a vested right to receive and commercially realise it, even if the receipt is in kind. It is not necessary for the benefit to be capable of being converted into money. Significantly, Section 28 does not prescribe any precondition as to the precise mode through which the profit must arise. The moment any income arises out of business or profession, the provision becomes applicable. It does not incorporate the definition of “transfer” under Section 2(47), unlike Section 45. It is sufficient if there is “income”, and the “transfer”, whether it is actual, material, or immaterial, is not relevant. The two provisions thus operate in distinct and independent fields. As already mentioned, the language of Section 28 – “the profits and gains of any business or profession” is deliberately wide, i.e., the charge itself is cast in wide terms. It is well settled that charging provisions, while construed strictly, are not to be read in an unduly narrow manner when the language of the provision itself is wide.

- 15.1. In ***Mazagaon Dock Ltd v. Commissioner of Income Tax and Excess Profits Tax***¹⁹, this Court held that the language

19 AIR 1958 SC 861

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of Section 42(2) of the 1922 Act, though strict in nature, could not be artificially restricted. Expressions such as “business” and “profits derived” were held to be of wide import in fiscal statutes and must be construed broadly to give effect to the legislative intent. The Court rejected the narrow interpretation urged by the assessee and clarified that wide words used in charging provisions cannot be cut down merely to avoid unusual or harsh consequences. Similarly, in **Ujagar Prints Etc. v. Union of India and others Etc.**²⁰, the Court reiterated that wide statutory language must receive its full amplitude and cannot be artificially confined. Further, in **Commissioner of Customs (Import), Mumbai v. Dilip Kumar and Company and others**²¹, this Court clarified that “strict interpretation” does not connote a literal or pedantic reading. Instead, legislative intent must be combined with the words of the statute to arrive at a meaning that is neither too narrow nor too broad.

- 15.2. Thus, business profits may accrue or be realised in diverse circumstances, even in the absence of a conventional sale, transfer, or exchange in the strict legal sense. To confine the operation of Section 28 to such modes would unduly restrict a provision that Parliament has intentionally couched in broad terms. Illustratively, waiver of a trading liability has been treated as taxable business income under Section 28, as held in **Commissioner of Income Tax v. T.V. Sundaram Iyengar & Sons Ltd.**²² Again, in **Commissioner of Income Tax v. Meghalaya Steels Ltd**²³, this Court noted that under Section 28, income from cash assistance, by whatever name called, received or receivable by any person against exports under any scheme of the Government of India, would be income chargeable to income tax under the head “Profits and gains of business or profession”. It was held that if cash assistance received or receivable against exports schemes is included as income under the head “Profits and gains of business or profession” subsidies which go to the reimbursement of cost

20 (1989) 3 SCC 488

21 (2018) 9 SCC 1 (5-Judge Bench)

22 (1996) 222 ITR 344 (SC)

23 (2016) 383 ITR 217 (SC)

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in the production of goods of a particular business would also have to be included under the same head, and not under the head “Income from other sources”. Likewise, in ***Commissioner of Income Tax, Delhi v. Woodward Governor India P. Ltd***²⁴, this Court held that foreign exchange fluctuations on trading items directly affect the profit and loss account, thereby forming part of the computation of business profits. Although that case concerned the deduction of fluctuation losses, its reasoning underscores that real income under Section 28 may accrue without any conventional “transfer”.

- 15.3. It therefore emerges that Section 28 is a comprehensive charging provision designed to bring within the tax net all real profits and gains arising in the course of business, whether convertible into money or received in money or in kind, and irrespective of whether such accrual or receipt of income is accompanied by a legal transfer in the strict sense.

Amalgamation – Concept and Legal character

16. Amalgamation, in corporate law, signifies the statutory blending of two or more undertakings into one. It is distinct from winding up: while the transferor company ceases to exist as a separate corporate entity, its business, assets, and liabilities are absorbed into and continue within the transferee. As held in ***Saraswati Industrial Syndicate Ltd v. Commissioner of Income Tax***²⁵, the transferor company ceases to exist, and the transferee emerges with a blended corporate personality, inheriting all rights and liabilities. Stroud’s *Judicial Dictionary of Words and Phrases* (9th Edn.) describes amalgamation as the “welding or blending of two or more concerns into one”. Black’s Law Dictionary (11th Edn.) similarly defines it as the “act of combining or uniting; consolidation; amalgamation of two small companies to form a new corporation”. In ***Walker’s Settlement, In re***²⁶, amalgamation was explained as the state of two companies being so joined as to form a third, or of one company being absorbed into another [See: ***Religare Finvest Ltd. v. State (NCT of Delhi)***²⁷].

²⁴ (2009) 312 ITR 254 (SC)

²⁵ (1990) Supp. SCC 675

²⁶ 1935 Ch 567 (CA)

²⁷ (2024) 1 SCC 797

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- 16.1. Notably, the Companies Act, 2013 contains no express definition of amalgamation. Instead, Sections 230 – 232 prescribe the procedure and spell out the legal effect, namely, the extinguishment of the transferor's corporate identity and the vesting of its assets, rights, and obligations in the transferee. Thus, amalgamation – ordinarily effected through a scheme of compromise or arrangement sanctioned by the Court or Tribunal – is founded on agreement between shareholders and creditors, but its legal effect is statutory: upon sanction, all assets, rights, and liabilities of the transferor vest in the transferee by operation of law. In other words, amalgamation is more than a mere contractual transfer; it is a statutory process of substitution.
- 16.2. In **Commissioner of Income Tax v. Mahagun Realtors (P) Ltd²⁸**, this Court explained that amalgamation is unlike liquidation. Though the corporate shell of the transferor disappears, its business continues within the transferee, and courts therefore identify the successor-in-interest upon whom rights and obligations devolve. The relevant paragraphs are extracted below for proper understanding:

“19. Amalgamation, thus, is unlike the winding up of a corporate entity. In the case of amalgamation, the outer shell of the corporate entity is undoubtedly destroyed; it ceases to exist. Yet, in every other sense of the term, the corporate venture continues – enfolded within the new or the existing transferee entity. In other words, the business and the adventure lives on but within a new corporate residence i.e. the transferee company. It is, therefore, essential to look beyond the mere concept of destruction of corporate entity which brings to an end or terminates any assessment proceedings. There are analogies in civil law and procedure where upon amalgamation, the cause of action or the complaint does not per se cease – depending of course, upon the structure and objective of enactment. Broadly, the quest of legal

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systems and courts has been to locate if a successor or representative exists in relation to the particular cause or action, upon whom the assets might have devolved or upon whom the liability in the event it is adjudicated, would fall.”

*“21. In *Saraswati Syndicate [Saraswati Industrial Syndicate Ltd. v. CIT, 1990 Supp SCC 675]*, the facts were that after amalgamation, the transferee company claimed exemption from tax, of a sum which had been allowed as a trading liability, on accrual basis, in the hands of the transferee company which had ceased to exist. The Revenue disallowed that claim; that view was upheld. This Court stated that : (SCC pp. 679-81, paras 5-6)*

*“5. ... In amalgamation two or more companies are fused into one by merger or by taking over by another. Reconstruction or “amalgamation” has no precise legal meaning. The amalgamation is a blending of two or more existing undertakings into one undertaking, the shareholders of each blending company become substantially the shareholders in the company which is to carry on the blended undertakings. There may be amalgamation either by the transfer of two or more undertakings to a new company, or by the transfer of one or more undertakings to an existing company. Strictly “amalgamation” does not cover the mere acquisition by a company of the share capital of other company which remains in existence and continues its undertaking but the context in which the term is used may show that it is intended to include such an acquisition. See: *Halsbury’s Laws of England, 4th Edn., Vol. 7, para 1539*. Two companies may join to form a new company, but there may be absorption or blending of one by the other, both amount*

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to amalgamation. When two companies are merged and are so joined, as to form a third company or one is absorbed into one or blended with another, the amalgamating company loses its entity.

6. In General Radio & Appliances Co. Ltd. v. M.A. Khader [General Radio & Appliances Co. Ltd. v. M.A. Khader, (1986) 2 SCC 656], the effect of amalgamation of two companies was considered. M/s General Radio and Appliances Co. Ltd. was tenant of a premises under an agreement providing that the tenant shall not sublet the premises or any portion thereof to anyone without the consent of the landlord. M/s General Radio and Appliances Co. Ltd. was amalgamated with M/s National Ekco Radio and Engineering Co. Ltd. under a scheme of amalgamation and order of the High Court under Sections 391 and 394 of Companies Act, 1956. Under the amalgamation scheme, the transferee company, namely, M/s National Ekco Radio and Engineering company had acquired all the interest, rights including leasehold and tenancy rights of the transferor company and the same vested in the transferee company. Pursuant to the amalgamation scheme the transferee company continued to occupy the premises which had been let out to the transferor company. The landlord initiated proceedings for the eviction on the ground of unauthorised subletting of the premises by the transferor company. The transferee company set up a defence that by amalgamation of the two companies under the order of the Bombay High Court all interest, rights including leasehold and tenancy rights

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held by the transferor company blended with the transferee company, therefore the transferee company was legal tenant and there was no question of any subletting. The Rent Controller and the High Court both decreed the landlord's suit. This Court in appeal held that under the order of amalgamation made on the basis of the High Court's order, the transferor company ceased to be in existence in the eye of the law and it effaced itself for all practical purposes. This decision lays down that after the amalgamation of the two companies the transferor company ceased to have any entity and the amalgamated company acquired a new status and it was not possible to treat the two companies as partners or jointly liable in respect of their liabilities and assets. In the instant case the Tribunal rightly held that the appellant company was a separate entity and a different assessee, therefore, the allowance made to Indian Sugar company, which was a different assessee, could not be held to be the income of the amalgamated company for purposes of Section 41(1) of the Act. The High Court was in error in holding that even after amalgamation of two companies, the transferor company did not become non-existent instead it continued its entity in a blended form with the appellant company. The High Court's view that on amalgamation there is no complete destruction of corporate personality of the transferor company instead there is a blending of the corporate personality of one with another corporate body and it continues as such with the other is not sustainable in law. The true

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effect and character of the amalgamation largely depends on the terms of the scheme of merger. But there cannot be any doubt that when two companies amalgamate and merge into one the transferor company loses its entity as it ceases to have its business. However, their respective rights or liabilities are determined under the scheme of amalgamation but the corporate entity of the transferor company ceases to exist with effect from the date the amalgamation is made effective.”

“30. *In Bhagwan Dass Chopra v. United Bank of India [Bhagwan Dass Chopra v. United Bank of India, 1987 Supp SCC 536] it was held that in every case of transfer, devolution, merger or scheme of amalgamation, in which rights and liabilities of one company are transferred or devolved upon another company, the successor-in-interest becomes entitled to the liabilities and assets of the transferor company subject to the terms and conditions of contract of transfer or merger, as it were. Later, in Singer India Ltd. v. Chander Mohan Chadha [(2004) 7 SCC 1] this Court held as follows: (SCC p. 10, para 8)*

“8. ... there can be no doubt that when two companies amalgamate and merge into one, the transferor company loses its identity as it ceases to have its business. However, their respective rights and liabilities are determined under the scheme of amalgamation, but the corporate identity of the transferor company ceases to exist with effect from the date the amalgamation is made effective.”

- 16.3. At this juncture, it must be noted that the High Court relied on **Hindustan Lever**, which, though not in the context of taxation, observed that amalgamation bears all the “trappings of a sale”. We shall, however, proceed to analyse Section 28

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in the context of amalgamation since the test under Section 28 is somewhat different: it does not hinge on whether there is a sale, transfer, or exchange in the strict legal sense, as already discussed. At the same time, it cannot be overlooked that this Court in ***Grace Collis***, overruling ***Vania Silk Mills***, held that amalgamation, for the purposes of capital gains under Section 45, does involve a “transfer” of shares. Even if that ratio was rendered in the context of capital gains, once this Court has recognized that amalgamation entails a transfer, that conclusion cannot be ignored while considering the ambit of Section 28.

- 16.4. The real question, therefore, is whether an amalgamation – though, in company law, it operates as a statutory substitution of rights – nonetheless gives rise to taxable business profits under Section 28 of the I.T. Act. That enquiry is not concluded merely by characterising the event as a “transfer”. It requires a deeper examination of whether the substitution of shares results in real commercial profits, having accrued or arisen in the course of business, so as to be chargeable as business income under Section 28.

Whether there is receipt or accrual of income upon amalgamation

17. In the context of amalgamation, what transpires is essentially a statutory substitution of one form of holding for another. The shareholder’s interest in the transferor company is replaced by a corresponding interest in the transferee company. For the purposes of Section 28, the first test is whether such substitution constitutes either a receipt or an accrual of income.
 - 17.1. It is settled law that income yielding business profits may be realised not only in money but also in kind. Thus, where an assessee receives shares of the amalgamated company in place of its shares held as trading stock, there is, in form, a receipt of consideration in kind. Though such amalgamations receive the sanction of the Court/Tribunal to be effectuated, they are preceded by decisions taken in meetings of shareholders. In such meetings, valuation reports are placed before the shareholders, and for the amalgamation to be approved, 90% of the shareholders must vote in favour of the amalgamation.

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The report contains details of the share exchange ratio. Though the value of each share is determined at that stage, it is not tradable, as no right is vested at that point. Ordinarily, such receipt arises only upon the actual allotment of shares, since until that point no asset is placed in the hands of the assessee. It cannot, however, be ruled out that in certain cases, the terms of the sanctioned scheme may themselves create, from an earlier date, a vested and imminent enforceable right to allotment; in such situations, one may speak of “accrual”. The general position, nevertheless, is that what the law recognises in amalgamation is the receipt of shares in substitution of trading assets.

Commercial realisability

18. Coming to the next test, it must be underscored that mere receipt of shares does not suffice to attract Section 28; commercial realisability is also required when income is received in kind. Moreover, in ***Kanchanganga Sea Foods Ltd v. Commissioner of Income Tax***²⁹, it was observed that the recipient of income must have control over the income received, emphasising that mere receipt in kind is not enough.
 - 18.1. It must also be clarified at this stage that amalgamation, in strict legal terms, does not amount to an “exchange.” In ***Rasiklal Maneklal***, this Court held that the allotment of shares in the amalgamated company under a court- sanctioned scheme is not the result of a bilateral bargain between two parties, i.e., there is no mutual or reciprocal transfer of ownership. Since the amalgamating company itself ceases to exist, the element of mutual transfer that characterises an exchange is absent. Therefore, amalgamation, as held in other decisions, is to be understood as a statutory substitution of holdings, and not as an “exchange” in the legal sense.
 - 18.2. Thus, the jurisprudence discloses three related strands: first, cases such as ***Orient Trading***, relying on English decision (***Royal Insurance Co. Ltd. v. Stephen***), which will

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be discussed later, emphasise that receipt of an asset of definite money's worth in substitution for another may amount to commercial realisation attracting Section 28; second, the decision in **Rasiklal Maneklal**, which clarifies that allotment on amalgamation is not an "exchange", along with other decisions holding it to be a statutory substitution; and third, the ruling in **Grace Collis**, which makes it clear that, notwithstanding its statutory character, amalgamation does involve a "transfer" within the meaning of the Income-tax Act.

- 18.3. Reconciling these strands, the true test under Section 28, as already noted, is not the legal label of "exchange" or "transfer", but whether the assessee, in consequence of the amalgamation and thereby of its business, has obtained a profit that is real and presently realisable. The well-known real-income principle, as emphasised in **E.D. Sassoon and Shoorji Vallabhdas**, must be applied. Therefore, the enquiry for the Court is whether, as a result of the amalgamation, the assessee has in fact realised a profit in the commercial sense. This assessment may turn on whether:
 - (A) The old stock-in-trade has ceased to exist in the assessee's books;
 - (B) The shares received in the amalgamated company possess a definite and ascertainable value; and
 - (C) The assessee, immediately upon allotment, is in a position to dispose of such shares and realise money.
- 18.4. If these conditions are satisfied, the substitution bears the character of a commercial realisation and the profit may be taxed under Section 28. Where, however, the allotment of shares is merely a statutory substitution mandated by the scheme of amalgamation, without yielding an immediately realisable benefit, no income can be said to accrue or be received at that stage, and taxability arises only upon the eventual sale of the shares. For instance:
 - (A) If a shareholder of Company A receives shares of Company B pursuant to a court-sanctioned amalgamation, but such shares are subject to a statutory lock-in period during which they cannot be sold in the market,

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the allotment cannot be equated with a commercial realisation. It represents only a replacement of one form of holding by another, without any immediate gain capable of monetisation.

- (B) Similarly, where the amalgamated company is closely held and its shares are not quoted on any recognized stock exchange, the mere allotment of such shares does not generate a realisable profit, since no open market exists to ascribe a fair disposal value.

- 18.5. These illustrations, which are not exhaustive, underline that unless the assessee is, by virtue of the substitution, placed in possession of an asset which is freely tradable and of an ascertainable market value, the principle of real income bars taxation at the stage of amalgamation. Thus, the substitution of shares upon amalgamation does not, by itself, give rise to taxable income under Section 28. What must be established is that the transaction has the attributes of a commercial realisation resulting in a real and presently disposable advantage. Where this test is satisfied, taxability may arise at the stage of substitution. Otherwise, the accrual or receipt of income is deferred until actual sale.
- 18.6. In other words, as noted earlier, the governing test under Section 28 is not the presence of a sale, exchange, or extinguishment of rights in the technical sense, but whether the assessee has, in consequence of business operations, come into possession of a real and presently realisable commercial benefit. This may take the form of money directly received, or assets in kind capable of being immediately disposed of for money's worth. The shares, therefore, must be readily available for trading to be treated as stock-in-trade.
19. We may now refer to the judgment in ***Orient Trading***. Although it dealt with an exchange, the observations therein as to the nature of "realisation" are of general application. The Court, relying on English decision (***Royal Insurance Co. Ltd. v. Stephen***), explained that a realisation takes place when the old investment ceases to figure in the affairs of the company and its worth – whether by way of profit or loss – can be determined with finality in monetary terms. At that point, the old investment is regarded as closed and a new

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investment is treated as having commenced. The emphasis is that realisation is not merely a matter of accounting entries, but arises where the former asset is replaced by a new and distinct asset of ascertainable value, thereby crystallising the economic outcome of the earlier holding. Lord Trayner, in ***Californian Copper Syndicate Ltd v. Inland Revenue***³⁰ observed that “no doubt here the price took the form of fully paid shares in another company, but, if there can be no realised profit except when that is paid in cash, the shares were realisable and could have been turned into cash”. On this reasoning, even the exercise of an option, such as the choice to accept shares of the amalgamated company in lieu of the old holding, may amount to a realisation of the old asset, subject to the other conditions being satisfied, as discussed. The relevant portions of the judgment in ***Orient Trading***, are as under:

“8. The decision of Rowlatt, J. in Royal Insurance Co. Ltd. v. Stephen [(1928) 14 TC 22 : 44 TLR 630] was approved in the said case. In the case of Royal Insurance Co. Ltd. v. Stephen [(1928) 14 TC 22 : 44 TLR 630] the appellant-company had, under the Railways Act, 1921, to accept new stocks in the amalgamated companies in exchange for the stock held in the companies which were absorbed and which resulted in loss to the appellant-company. The claim of the appellant-company for deduction of such loss was upheld by Rowlatt, J. who held: (TC pp. 28-29)

“At the bottom of this principle of waiting for a realisation, I think there is this idea; while an investment is going up or down for income tax purposes the company cannot take any notice of fluctuations, but it has to take notice of them when all that state of affairs comes to an end, when that investment is wound up I will say — ‘wound up’ is an unfortunate expression perhaps and I will say when an investment ceases to figure in the company’s affairs, when it is known exactly what the holding of that investment has meant, plus or minus to the company, and then the company starts so far as that portion of its resources

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is concerned with a new investment. Then one knows where one is and it is no longer a question of paper, it is a question of fact and that is a realisation. I think that is the point of view from which it ought to be looked at, and looking at it from that point of view the company is right. It has done with the investments in the companies. They have disappeared. It is known exactly in money. It is known now exactly what their holding of them has meant to the company. They will never more go up or down. What will go up or down now are the different shares in the new companies, altogether different investments really, and therefore I think that the old investment is closed and realised and a new investment is started.

9. Similarly in Californian Copper Syndicate Ltd. v. Inland Revenue (Harris, Surveyor of Taxes) [5 TC 159], decided by the Court of Exchequer in Scotland, Lord Trayner has said: (TC p. 167)

“But it was said that the profit — if it was profit — was not realised profit and, therefore, not taxable. I think the profit was realised. A profit is realised when the seller gets the price he had bargained for. No doubt here the price took the form of fully paid shares in another company, but, if there can be no realised profit, except when that is paid in cash, the shares were realisable and could have been turned into cash, if the appellants had been pleased to do so. I cannot think that income tax is due or not according to the manner in which the person making the profit pleases to deal with it.”

11. The subsequent decision of the House of Lords in British South Africa Co. v. Varty (Inspector of Taxes) [1966 AC 381 : (1965) 2 All ER 395 : (1965) 3 WLR 47] does not lend assistance to the submission of Shri Puri. In that case the appellant-company in 1953 had lent 200,000 pounds to a gold mining company and in return had received, inter alia, an option to subscribe for 100,000 shares in the mining company at 1 pound per share, the value of the shares then being 19 Sh. 6 d a share. In 1954 when the value of the shares had gone up to 43 Sh. 6 d a share

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*the appellant exercised the option and obtained shares worth 217,500 pounds for which they paid 100,000 pounds. The company was assessed for income tax on a profit of 11,75,000 pounds. On behalf of the company it was urged that upon the exercise of the option there was a realisation because the option which was a "trading asset" or an item of "stock-in-trade" was exchanged for or was replaced by a different item of stock-in-trade which had a value in money's worth. The said contention was rejected by the House of Lords (Lord Guest, dissenting). It was held that the appellant-company never, in fact, realised their option in the sense of passing it on for a consideration to someone else and that there was neither a sale of the option or its exchange for something else and that when the company exercised their option or used or availed themselves of their rights they did not make the end of the trading transaction and that there was merely the end of the beginning of a trading transaction. It was emphasised that there was no element of exchange as there was in *Royal Insurance Co. Ltd. v. Stephen* [(1928) 14 TC 22 : 44 TLR 630] and in *Westminster Bank Ltd. v. Osler (Inspector of Taxes)* [(1933) 1 ITR 65 : 1932 All ER Rep 917, HL]. (See Lord Morris of Borth-Y-Gest at pp. 394-395.) Lord Guest, in his dissenting judgment, however felt that the option was a trading asset of the appellant-company and, applying the principles laid down in *Royal Insurance Co. Ltd. v. Stephen* [(1928) 14 TC 22 : 44 TLR 630] and *Westminster Bank Ltd. v. Osler (Inspector of Taxes)* [(1933) 1 ITR 65 : 1932 All ER Rep 917, HL], held that the exercise of option amounted to a realisation of the option which resulted in a trading profit of 11,75,000 pounds. This would show that the principles laid down in *Royal Insurance Co. Ltd. v. Stephen* [(1928) 14 TC 22 : 44 TLR 630] and *Westminster Bank Ltd. v. Osler (Inspector of Taxes)* [(1933) 1 ITR 65 : 1932 All ER Rep 917, HL] have been affirmed by all the Law Lords and the difference amongst them was only as regards the applicability of the said principles to the facts of that case.*

13. *Having regard to the principles laid down in the decisions aforementioned, it must be held that the High Court has rightly taken the view that as a result of their having*

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taken the shares in the second company in exchange of the shares of the first company the assessee had made realisation of the value of the shares of the first company and the difference between the price of the shares of the first company and the second company on the date of such exchange, i.e., Rs 4,06,000, has to be treated as a profit of the assessee and has been rightly assessed as income of the assessee. We, therefore, do not find any merit in the appeal and the same is accordingly dismissed, but in the circumstances with no order as to costs."

20. The Privy Council in **Raja Raghunandan Prasad Singh v. Commissioner of Income Tax**³¹, recognised that income may be received in kind as well as in cash, and that the equivalent of cash may constitute income, but stressed that what is received must be "money's worth". It was clearly observed that there must be an actually realised or realisable profit or loss. The following passages are pertinent in this regard:

"Their Lordships fully recognise that income may be received in kind as well as in cash and that the receipt of an equivalent of cash may be a receipt of income. In the case of Californian Copper Syndicate v. Harris [(1905) 6 F. 894 : 5 Tax. Cas. 159.], a company which dealt in mining properties sold certain property for fully-paid shares in another company and was held to be liable to income-tax on the profit made on the transaction although no cash passed, but this was on the ground that the shares taken in exchange were realisable and were thus money's worth and the equivalent of cash. In the case of Royal Insurance Company, Ltd. v. Stephen [(1928) 44 T.L.R. 630 : 14 Tax. Cas. 22.], an insurance company, which admitted that any profit which it made on the realisation of investments was liable to tax, effected an exchange of securities in pursuance of a railway amalgamation scheme. The new stocks received in place of the surrendered stocks had at the date of the exchange a definite market value which

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*was less than the original cost to the company of the surrendered stocks. A claim was made by the company in computing its profits to deduct the difference loss sustained by it. For the Crown it was contended that there has been no realisation of investments, but merely an exchange of one set of investments for another. The company's claim was upheld by Rowlatt, J. on the ground that it had in substance realised its former holdings and received for them money's worth of, a definite amount. The loss was thus a realised loss susceptible of exact estimation in money. The transaction was on "a money basis." Reference may also be made to the recent case in the House of Lords of Westminster Bank, Ltd. v. Osler (15th November, 1932) [(1933) A.C. 139.], where the bank surrendered certain holdings of National War Bonds in exchange for other Government securities and the Crown claimed tax on the excess value of the substituted over the original securities. The question was whether these transactions were the equivalent of a realisation of the original holdings, and it was held that they were. "The exchange effected in the present case," said Lord Buckmaster, "was in fact the exact equivalent of what would have taken place had instructions been given to sell the original stock and invest the proceeds in the new security." The bank had thus in effect realised its profit, for it had received in money's worth of a definitely ascertained amount. **From these cases it is plain that the essence of the matter is that there must be an actually realised or realisable profit or loss.***

Applying this principle to the assessee's transaction in 1904, their Lordships are of opinion that there was in the circumstances no realisation of the principal and interest of the original mortgage of 1894 and that when the assessee received, the new mortgage for Rs. 7,33,135, which included the principal and interest of the original mortgage, they did not thereby receive payment or the equivalent of payment of the principal and interest of the original mortgage. No doubt the grantors of the new mortgage were not identical with the grantor of the original mortgage

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and the property mortgaged was greater in extent, but the substitution effected cannot in any real sense, be described as the equivalent of a realisation of the original mortgage, principal and interest. What happened was that the assesseees received a new and substituted security for an existing debt. To give security for a debt is not to pay a debt. If the assesseees had received payment in kind of the amount outstanding on the original mortgage, in the shape, say, of realisable shares or bonds, the case would have been different, but they merely received further and better security for their debt. It is, in their Lordships' view, quite immaterial that the assesseees discharged the original mortgage and all liability under it, for that was merely an incident in the transaction whereby the new security was substituted for the old. Their Lordships accordingly hold that the assesseees did not by virtue of the transaction of 1904 receive payment of the arrears of interest amounting to Rs.2,33,135 then outstanding on the mortgage of 1894; that the assesseees were not liable to be taxed on this sum as being income received when the new mortgage was granted; and that this sum of arrears of interest (though after 1904 secured by the new mortgage) continued to retain its character and remain due to the assesseees down to the time of the judicial sales of November, 1924, and January, 1925. In so holding their Lordships find themselves in agreement in result with the Commissioner and the High Court."

21. In **Raja Mohan Raja Bahadur v. Commissioner of Income Tax**³², this Court held that where commercial assets are received in satisfaction of an obligation, income embedded in such assets is deemed to be received when title passes, irrespective of actual sale. The Court again took note of the observations made in the **Californian Copper Syndicate** case. The following paragraphs from the decision are apposite:

"4. Under Section 4 of the Income Tax Act, 1922, the total income of any previous year of a resident assessee

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*includes all income, profits and gains from whatever sources derived which are received or are deemed to be received in the taxable territories in such year by or on behalf of such person, or accrue or arise or are deemed to accrue or arise to him in the taxable territories during such year, or accrue or arise to him without the taxable territories during such year, or having accrued or arisen to him without the taxable territories before the beginning of such year and after the 1st day of April, 1933, are brought into or received in the taxable territories by him during such year. The Act does not contain much guidance as to cases in which tax is to be levied on income received, and cases in which tax is to be levied on income accrued or arisen. Section 13 however requires that income, profits and gains for the purposes of Sections 10 and 12 shall be computed in accordance with the method of accounting regularly employed by the assessee. **If accounts are maintained according to the mercantile system, whenever the right to receive money in the course of a trading transaction accrues or arises, even though income is not realised, income embedded in the receipt is deemed to arise or accrue. Where the accounts are maintained on cash basis receipt of money or money's worth and not the accrual of the right to receive is the determining factor. Therefore, if commercial assets are received by a trade maintaining accounts on cash basis in satisfaction of an obligation, income which is embedded in the value of the assets is deemed to be received : the receipt of income is not deferred till the asset is realized in terms of cash or money. It makes no difference whether the receipt of assets is in pursuance of an agreement or that the trader is compelled by law to accept the assets from the debtor. Once title of the trader to an asset received is complete, whether by a consensual arrangement or by operation of law, he receives the income embedded in the value of the asset.** In *Californian Copper Syndicate (Limited and Reduced) v. Harris (Surveyor of Taxes)* [5 TC 159] Lord Trayner in dealing with a case of assessment to income tax of a Company formed for the purpose, inter alia, of*

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acquiring and reselling mining property resold the whole of its assets to a second Company and received payment in fully paid shares of the purchasing Company, observed:

“A profit is realised when the seller gets the price he has bargained for. No doubt here the price took the form of fully paid shares in another company, but, if there can be no realised profit, except when that is paid in cash, the shares were realisable and could have been turned into cash, if the appellants had been pleased to do so. I cannot think that Income tax is due or not according to the manner in which the person making the profit pleases to deal with it.”

Counsel for the appellant contended that the bonds were intended to renew the promise to pay the amount due by the debtor through his agent, and by the renewal of the promise even if the original liability was extinguished and a fresh liability was substituted, no income was received by the appellant.

5. We are unable to agree with that contention. The Government of the State undertook to pay the amount of the bonds in satisfaction of the liability of the debtor. The liability of the original debtor was extinguished and a fresh obligation was undertaken by the State Government in substitution of the original liability. The Government had the right to recover the amount due under the bonds from the landholder, but on that account the Government did not become the agent of the landholder for payment of his debts. Even if the Government was unable to recover the money from the landholder, the liability undertaken by the Government under the bond remained unimpaired. The bond was a security for payment of the debt which completely replaced the original liability of the debtor.”

22. This Court in **Commissioner of Income Tax v. Ashokbhai Chimanbhai**³³, reiterated that profits do not accrue from day to day

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but are ascertained by a comparison of assets at two points in time. Further, the test of accrual is whether the person entitled thereto has a right to claim the profits. The following paragraphs are relevant in this regard:

“6. Under the Income Tax Act, income is taxable when it accrues, arises or is received, or when it is by fixation deemed to accrue, arise or is deemed to be received. Receipt is not the only test of chargeability to tax; if income accrues or arises it may become liable to tax. For the purpose of this case it is unnecessary to dilate upon the distinction between income “accruing” and “arising”. But there is no doubt that the two words are used to contradistinguish the word “receive”. Income is said to be received when it reaches the assessee : when the right to receive the income becomes vested in the assessee, it is said to accrue or arise. Fletcher Moulton, L.J., in In re The Spanish Prospecting Co. Ltd. [(1911) 1 Ch 92] observed at p. 98:

*“The word ‘profit’ has * * * a well-defined legal meaning and this meaning coincides with the fundamental conception of profits in general parlance; although in mercantile phraseology the word may at times bear meanings indicated by the special context which deviate in some respects from this fundamental signification. ‘Profit’ implies a comparison between the state of a business at two specific dates usually separated by an interval of a year. The fundamental meaning is the amount of gain made by the business during the year. This can only be ascertained by a comparison of the assets at the two dates.”*

In the gross receipts of a business day after day or from transaction to transaction lie embedded or dormant profit or loss: on such dormant profit or loss undoubtedly taxable profits, if any, of the business will be computed. But dormant profits cannot be equated with profits charged to tax under Sections 3 & 4 of the Income Tax Act. The concept of accrual of profits of a business involves the

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determination by the method of accounting at the end of the accounting year or any shorter period determined by law. If profits accrue to the assessee directly from the business the question whether they accrue de die, in diem or at the close of the year of account has at best an academic significance, but when upon ascertainment of profits the right of a person to a share therein is determined, the question assumes practical importance, for it is only on the right to receive profits or income, profits accrue to that person. If there is no right, no profits will be deemed to have accrued. This principle was applied by this Court in E.D. Sassoon & Co. Ltd. v. CIT [26 ITR 27]. The material facts bearing on that principle were these: E.D. Sassoon & Co. Ltd, — called “Sassoons” — were the managing agents of a Company which may be called ‘the United Mills’ and were entitled to receive a percentage of annual net profits of the Company as their remuneration. On December 1, 1943 Sassoons assigned to Messrs Agarwal & Co. their office as managing agents and all their rights and benefits under the managing agency agreement. Accounts of the managing agency commission payable to the managing agents for the calendar year 1943 were made up in 1944 and commission for the whole year was paid to Messrs Agarwal & Co. thereafter. In the course of assessment proceeding of Sassoons it was debated whether in respect of commission earned by the managing agency, tax was payable on the entirety of the commission by Messrs Agarwal & Co. or by Sassoons or it was liable to be apportioned between Messrs Agarwal & Co. and Sassoons. This Court held (Jagannadhadas, J. dissenting) that Messrs Agarwal & Co. alone were liable to pay tax on the whole of the remuneration received under the contract of service between the United Mills, because the managing agency was entire and indivisible, and the remuneration or commission fell due to the managing agents, only on completion of a definite period of service and at stated periods it being a condition of recovery of wages or salary that the service or duty should be completely performed. Remuneration as managing agents constituted according to the Court “a debt” only at the end of each such period of

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service and no remuneration or commission was payable to the managing agents for broken periods. After referring to the observations of Fletcher Moulton, L.J. in the Spanish Prospecting Co. Ltd. case [(1911) 1 Ch 92] (already set out), Bhagwati, J., observed that “it would be absurd to suggest that the profits of the company could accrue from day to day or even from month to month”. The working of the company from day to day could certainly not indicate any profit or loss, even the working of the company from month to month could not be taken as a reliable guide for this purpose. If the profit or loss has to be ascertained by a comparison of the assets at two stated points, the most businesslike way would be to do so at stated intervals of one year and that would be a reasonable period to be adopted for the purpose. In the case of large business concerns the working of the company during a particular month may show profits and the working in another month may show loss. The business during the earlier part of the year may show profit or loss and in the later part of the year may show loss or profit which would go to counterbalance the profit or loss as the case may be in the earlier part of the year. It would therefore be reasonable to determine the profit or loss as the case may be at the end of every year so that on such calculation of net profits the managing agents may be paid their remuneration or commission at the percentage stipulated in the managing agency agreement and the shareholders also be paid dividends out of the net profits of the Company.

7. Counsel for the Commissioner submitted that the judgment in E.D. Sassoon Co. Ltd. case [26 ITR 27] proceeded upon the special character of a managing agency agreement and did not purport to lay down a general rule that accrual of income depends on quantification, or that right to payment of an ascertainable amount does not arise till accounts are made. Counsel also submitted that in sale transactions of a trading venture profits accrue to the trader from transaction to transaction and are embedded in each transaction carried on by the trader, and the charge imposed by Section 4(1)(a) is not deferred till settlement

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of accounts. On that premise, counsel said, that profits dormant or embedded in the transactions carried on by Messrs Amrit Chemicals accrued from transaction to transaction till November 12, 1955 and properly belonged to the assessee and were liable to be taxed in the hands of the assessee notwithstanding any subsequent disposition of those profits by the assessee. In support of his contention counsel relied upon Turner Morrison & Co. Ltd. v. CIT [23 ITR 152] — a case decided by this Court. In that case an Indian Company received commission on sales effected in India of goods received from a foreign company. The Indian Company handled the cargo arriving at Calcutta and made disbursements in connection therewith, collected and after deducting expenses including their commission remitted the balance to the foreign principal. It was held by this Court that the income, profits and gains derived from sale of goods by the Indian Company in British India were assessable to tax under Section 4(1)(a) as income, profits and gains received in the taxable territories by the Company on behalf of the foreign principal. The Court in that case observed at p. 160:

“There can therefore, be no question that when the gross sale proceeds were received by the Agents in India they necessarily received whatever income, profits and gains were lying dormant or hidden or otherwise embedded in them. Of course, if on the taking of accounts it be found that there was no profit during the year then the question of receipt of income, profits and gains would not arise but if there were income, profits and gains, then the proportionate part thereof attributable to the sale proceeds received by the Agents in India were income, profits and gains received by them at the moment the gross sale proceeds were received by them in India and that being the position the provisions of Section 4(1)(a) were immediately attracted and the income profits and gains so received became chargeable to tax under Section 3 of the Act.”

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*8. These observations were, it may be noticed, made in rejecting the contention raised by counsel for the taxpayer that in the gross sale proceeds received by him in India, there was no income at all. Counsel for the Indian Company said that the gross sale proceeds were merely credit items in the account and that several amounts were to be debited in the same account and if there remained any credit balance, such balance alone could be regarded as stamped with the formal impress of income capable of being dealt with as such : income could therefore be said to have been received only at that stage. The Court did propound that when gross sale proceeds are received in which is embedded income, that income will enter the ultimate computation of the total profits assessable to tax. But that is not to say that the profits accrue or arise to a trader from day to day or from transaction to transaction. The observation that to the income, profits and gains embedded in the gross receipts Section 4(1) was immediately attracted also does not warrant the inference that the Court intended to lay down that profits accrue to a taxpayer before the right thereto has come into existence. **"Profits" as pointed out in E.D. Sassoon Co. Ltd. case [26 ITR 27] do not accrue from day to day or even from month to month and have to be ascertained by a comparison of assets at two stated points. The Court also pointed out in that case that the test for ascertaining whether profits have accrued or arisen is whether the person who is entitled thereto has a right to claim the profits."***

23. Accordingly, where under a scheme of amalgamation the shareholder merely receives, in substitution, shares of the amalgamated company in lieu of the shares held in the amalgamating company, there is no real or completed profit capable of being taxed under Section 28, unless it is shown that the shares are held as stock-in-trade and are readily available for realisation. In the absence thereof, what takes place is only a statutory vesting and substitution of one form of holding for another. Unless and until the substituted shares are commercially realisable – whether saleable, tradeable, or by whatever other mode of disposition so described – so as to yield real income, no taxable event can be said to arise.

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Definite valuation

24. The next test, which is well settled, is that profit must be capable of definite valuation, so that the real gain or loss stands crystallized. Judicial decisions have consistently underscored that “profits”, in the commercial sense, are ascertainable only when the old position is closed and the new position is determined in terms of money’s worth – whether by sale, transfer, exchange, or statutory substitution. This principle is an application of the doctrine of real income and applies with equal force to stock-in-trade as it does to other forms of commercial receipts. Therefore, the test is not satisfied merely by the receipt of realisable shares in substitution of earlier holdings; such shares must also be capable of quantification.

24.1. In **Commissioner of Income Tax v. Woodward Governor India (P) Ltd.**³⁴, this Court reaffirmed the settled principles of commercial accounting, particularly that profits can be ascertained only by a comparison of assets at two defined points in time, and that unrealised gains embedded in stock-in-trade are not brought to charge unless and until they are crystallised in terms of money’s worth. The following paragraphs are apposite:

“28. One more aspect needs to be highlighted. Under Section 28(i), one needs to decide the profits and gains of any business which is carried on by the assessee during the previous year. Therefore, one has to take into account stock-in-trade for determination of profits. The 1961 Act makes no provision with regard to valuation of stock. But the ordinary principle of commercial accounting requires that in the P&L account the value of the stock-in-trade at the beginning and at the end of the year should be entered at cost or market price, whichever is the lower. This is how business profits arising during the year need to be computed. This is one more reason for reading Section 37(1) with Section 145.

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29. *For valuing the closing stock at the end of a particular year, the value prevailing on the last date is relevant. This is because profits/loss is embedded in the closing stock. While anticipated loss is taken into account, anticipated profit in the shape of appreciated value of the closing stock is not brought into account, as no prudent trader would care to show increased profits before actual realisation. This is the theory underlying the rule that closing stock is to be valued at cost or market price, whichever is the lower. As profits for income tax purposes are to be computed in accordance with ordinary principles of commercial accounting, unless, such principles stand superseded or modified by legislative enactments, unrealised profits in the shape of appreciated value of goods remaining unsold at the end of the accounting year and carried over to the following year's account in a continuing business are not brought to the charge as a matter of practice, though, as stated above, loss due to fall in the price below cost is allowed even though such loss has not been realised actually.*

30. *At this stage, we need to emphasise once again that the above system of commercial accounting can be superseded or modified by legislative enactment. This is where Section 145(2) comes into play. Under that section, the Central Government is empowered to notify from time to time the accounting standards to be followed by any class of assessee or in respect of any class of income. Accordingly, under Section 209 of the Companies Act, mercantile system of accounting is made mandatory for companies. In other words, accounting standard which is continuously adopted by an assessee can be superseded or modified by legislative intervention. However, but for such intervention or in cases falling under Section 145(3), the method of accounting undertaken by the assessee continuously is supreme.*

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33. *It is well established, that, on general principles of commercial accounting, in the P&L account, the values of the stock-in-trade at the beginning and at the end of the accounting year should be entered at cost or market value, whichever is lower—the market value being ascertained as on the last date of the accounting year and not as on any intermediate date between the commencement and the closing of the year, failing which it would not be possible to ascertain the true and correct state of affairs. No gain or profit can arise until a balance is struck between the cost of acquisition and the proceeds of sale. The word “profit” implies a comparison between the state of business at two specific dates, usually separated by an interval of twelve months. Stock-in-trade is an asset. It is a trading asset. Therefore, the concept of profits and gains made by business during the year can only materialise when a comparison of the assets of the business at two different dates is taken into account.”*

- 24.2. Accordingly, in the context of amalgamation, the issue does not turn on the accrual of income in the abstract sense, but on whether the assessee has received a commercially realisable consideration in kind. Upon sanction of the scheme, there is only a statutory substitution of rights; no asset then exists in the hands of the assessee that is capable of commercial realisation. The charge under Section 28 crystallises only upon allotment of the new shares, when the assessee actually receives realisable instruments capable of valuation in money's worth. At that point, the old stock-in-trade ceases to exist and stands replaced by new shares having a definite market value. Since these shares are received in the course of business and in substitution of trading assets, their receipt represents a commercial profit or gain arising from business activity. What attracts Section 28 is, therefore, the receipt of shares coupled with their present realisability and their nexus with business. These three conditions—actual receipt, present realisability, and ascertainability of value—together determine the timing of taxability in cases of amalgamation. Consequently, the profit

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arising on receipt of the amalgamated company's shares may be taxed under Section 28 where the shares allotted are tradable and possess a definite market value, thereby conferring a presently realisable commercial advantage. This conclusion flows from the real income principle and not from any judicially created fiction. Equally, it must be emphasised that where such attributes are absent, the Court cannot, by analogy, extend Section 28 to tax hypothetical accretions in the absence of an express statutory mandate.

- 24.3. It is further clarified that the principles enunciated herein lay down a fact-sensitive test. The enquiry whether, consequent upon an amalgamation, the allotment of new shares has resulted in a real and presently realisable commercial benefit must be determined on the facts of each case. The burden lies on the Revenue to establish the same. It is thereafter for the Tribunal, as the final fact-finding authority, to apply these principles to the evidence on record.

Timing of Taxability

25. Having established that the charge under Section 28 may be attracted if the shares are saleable, tradable, *etc.*, and of definite market value, thereby conferring a presently realisable commercial advantage, it becomes necessary to clarify the general principle. In the context of amalgamation, three points in time require to be distinguished. First, the appointed date specified in the scheme, which determines corporate succession and continuity between the transferor and transferee companies. Secondly, the sanction of the scheme by the Court, which gives statutory force to the amalgamation. At these stages, however, there is only a substitution of rights by legal fiction, without any asset in the hands of the shareholder capable of commercial exploitation. Thirdly, the allotment of new shares in the amalgamated company, which alone crystallises the benefit in the shareholder's hands, for it is only then that the old stock-in-trade ceases to exist and is replaced by new shares of definite market value capable of immediate realisation. Even if the scheme contemplates the issue of shares in a certain ratio from the appointed date, until allotment there is no identifiable scrip or tradable asset in existence in the hands of the assessee. Thus, the charge under Section 28 is not attracted on the mere sanction of the scheme or

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on the appointed date, but only upon the receipt of the new shares, when the statutory substitution translates into a concrete, realisable commercial advantage.

26. Without prejudice to the broader question of chargeability under Section 28, it was contended on behalf of the appellants that even if the fair market value of the shares allotted in the amalgamated company exceeded the book value of the shares held in the amalgamating company, such excess would be merely hypothetical and illusory until the shares were sold, given that market value is inherently fluctuating. As discussed, the test under Section 28 is not postponed until an actual sale, but is satisfied once the assessee comes into possession of an asset of determinable and presently realisable value in substitution of its trading stock. The fact that such value may fluctuate subsequently does not render the benefit unreal; valuation for tax purposes is always carried out at a particular point in time, notwithstanding subsequent volatility. What matters is that, on the date of allotment, the assessee must have received realisable instruments capable of being valued in money's worth, and such receipt constitutes a real, and not a notional, commercial gain.

Distinction between Capital and Business assets

27. Notably, Section 47 of the I.T. Act expressly carves out an exemption in respect of certain transfers in the context of amalgamation, but that exemption is confined to capital assets. The rationale is plain. Where a shareholder holds shares as an investment, the underlying object is to remain invested in the corporate venture, and a mere amalgamation ordinarily does not alter that position. While the possibility of tax avoidance in the investment field cannot be ruled out altogether, the legislative judgment reflects that the risk is relatively low. The exemption under Section 47 is thus founded on the recognition that amalgamation, in the capital field, is essentially a corporate restructuring and not a true realisation of profit. It is also common in business parlance for entities to hold shares either as investments or as stock-in-trade.
- 27.1. By contrast, Section 28, which governs profits of business, contains no such carve-out, nor could it be otherwise. The nature of stock-in-trade is wholly different from that of an

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investment. Stock-in-trade represents circulating capital: it is held not for preservation or appreciation, but for conversion into money in the ordinary course of business. In ***Commissioner of Income Tax v. Express Newspapers Ltd.***³⁵ it was observed as follows:

“... The profits and gains of business and capital gains are two distinct concepts in the Income Tax Act: the former arises from the activity which is called business and the latter accrues because capital assets are disposed of at a value higher than what they cost the Assessee. They are placed under different heads; they are derived from different sources; and the income is computed under different methods.....”

- 27.2. In this context, the substitution of one trading asset by another, such as the receipt of shares in an amalgamated company in lieu of shares held as stock-in-trade in the amalgamating company, cannot be equated with a mere continuation of an investment. It represents a commercial realisation in kind, for the new shares are distinct assets with a definite and presently realisable market value.
- 27.3. If amalgamations involving trading stock were insulated from tax by judicial interpretation, it would open a ready avenue for tax evasion. Enterprises could create shell entities, warehouse trading stock or unrealised profits therein, and then amalgamate so as to convert them into new shares without ever subjecting the commercial gain to tax. Equally, losses could be engineered and shifted across entities to depress taxable income. Unlike genuine investors who merely restructure their holdings, traders deal with stock-in-trade as part of their profit-making apparatus; to exempt them from charge at the point of substitution would undermine the integrity of the tax base.
- 27.4. Accordingly, while the Act makes an express exception for amalgamation of capital assets, no such exception is contemplated in the case of business assets. Section 28 is deliberately cast in wide terms to bring to tax real and presently

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realisable profits arising in the course of business, and in the context of stock-in-trade, the allotment of shares upon amalgamation constitutes precisely such a taxable realisation.

Application to the present case

28. In the present case, the Tribunal, relying on **Rasiklal Maneklal**, held that no “transfer” occurs in a scheme of amalgamation. The High Court, however, found this view unsustainable, observing that under the 1961 Act, as clarified in **Grace Collis**, the extinguishment of rights in the shares of the amalgamating company constitutes a “transfer” within the meaning of Section 2(47). Since such transfer is exempt under Section 47(vii) only in respect of capital assets, the High Court proceeded to examine whether shares held as stock-in-trade would nonetheless give rise to taxable business income under section 28.
- 28.1. The High Court reasoned that once the shares of the amalgamating company ceased to exist and were substituted by shares of the amalgamated company, there was a cession of the old trading stock and its replacement by a new commodity of ascertainable market value. On this footing, it held that a realisation of business profit had occurred, taxable under Section 28. Relying upon **Orient Trading** and **Hindustan Lever**, the Court observed that shares received on amalgamation are fundamentally new assets, and the process results in realisation of value irrespective of shareholder status. The taxable event, therefore, depends on the substance of the transaction and not merely accounting entries. On this reasoning, the Tribunal’s findings were set aside, the question of law was answered in favour of the Revenue, and the matter was remitted to the Tribunal.
29. As already noticed, the correctness of this reasoning constitutes the core issue in the present appeals. In view of the foregoing discussions, we reiterate that Section 28 of the I.T. Act is of wide import and encompasses all profits and gains arising in the course of business, even when such profit is realised in kind. The statutory substitution of shares of the amalgamating company by shares of the amalgamated company is not a mere neutral replacement; where the new shares are freely marketable and possess a definite commercial value, the event constitutes a commercial realisation giving rise to

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taxable business income. The principle laid down in ***Orient Trading*** and similar authorities makes it clear that such profit need not await actual sale if the benefit received is real and presently realisable.

30. We thus hold that where the shares of an amalgamating company, held as stock-in-trade, are substituted by shares of the amalgamated company pursuant to a scheme of amalgamation, and such shares are realisable in money and capable of definite valuation, the substitution gives rise to taxable business income within the meaning of Section 28 of the I.T. Act. The charge under Section 28 is, however, attracted only upon the allotment of new shares. At earlier stages namely, the appointed date or the date of court sanction, no such benefit accrues or is received.
31. Accordingly, the main issue is answered in favour of the Revenue, in principle holding that the receipt of shares of the amalgamated company in substitution of stock-in-trade can give rise to taxable business profits under Section 28. However, the actual application of this principle to the facts of the present case, including whether the shares received are freely realisable or otherwise subject to restrictions, or whether the shares are held only as investment, is a matter requiring factual determination. In these circumstances, the proper course is to remit the matter to the Tribunal for fresh adjudication in accordance with law.
32. Before parting, we may observe that business, by its very nature, admits of profits arising in diverse forms, whether in money or in kind, yet the common denominator is that the benefit must be concrete, capable of commercial realisation, and not a mere paper re-arrangement. Amalgamation, as a statutory substitution, ensures continuity of enterprise but also extinguishes one form of holding and replaces it with another. As we have held, where such substitution confers on the assessee realisable assets of definite market value, a commercial realisation takes place, and Section 28 is attracted. At the same time, courts must remain alive to the distinction between genuine commercial gain and hypothetical accretion. The touchstone is, therefore, the doctrine of real income, applied with due regard to the facts of each case, ensuring that the tax charge operates neither oppressively nor evasively, but in harmony with the legislative design, to tax true profits of business, however manifested, while eschewing illusory gains.

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33. In fine, the judgment of the High Court is affirmed, and all these appeals stand disposed of in the aforesaid terms. There is no order as to costs.
34. Pending application(s), if any, shall stand disposed of.

Result of the case: Appeals disposed of.

[†]Headnotes prepared by: Divya Pandey

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v.

M/s Ansal Crown Infrabuild Pvt. Ltd. & Ors.

(Civil Appeal No(s). 8465-8466 of 2024)

12 January 2026

[Dipankar Datta* and Augustine George Masih, JJ.]

Issue for Consideration

Issue arose as to whether persons who were arrayed as respondents in the consumer complaints but ultimately against whom no notice was issued and the complaints did not proceed, could be brought within the net of execution, on the premise that they were directors/promoters of the judgment-debtor company.

Headnotes[†]

Consumer Protection Act, 2019 – s.71 – Insolvency and Bankruptcy Code, 2016 – s.14(3) – Enforcement of orders of District Commission, State Commission and National Commission – Execution proceedings – Consumer complaints by the flat buyers against the builders for possession of the flats, allowed and builders directed to complete the project – Non-compliance of the order by the builder – Initiation of execution proceedings – Meanwhile corporate insolvency resolution process initiated against the builder and moratorium came into force – Persons arrayed as respondents in the consumer complaints by the flat buyers but against whom no notice was issued and the complaints did not proceed, if could be brought within the net of execution, on the premise that they were directors/promoters of the judgment-debtor company:

Held: Decree cannot, by process of execution, be employed to shift or enlarge liability so as to bind persons who were neither parties to the decree nor otherwise legally liable thereunder – Where the judgment debtor is a company, the liability of its shareholders or joint venture partners remains confined to the extent of their shareholding or to such guarantees or undertakings as may have been expressly furnished by them – On facts, the appellant-association of flat

* Author

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buyers neither pleaded nor established that the respondents 2 to 9-directors/promoters had furnished any guarantee or surety in respect of the investment made in the project, nor has any material been placed on record to attract the application of s.14(3) – Once a moratorium has been declared against the judgment debtor company-ACIPL, the modes of execution contemplated u/s.71 including attachment and sale of movable or immovable property, attachment of bank accounts, or withdrawal of decretal amounts from the accounts of the judgment debtor, stand interdicted – Execution proceedings cannot, thus, be permitted to continue indirectly against the respondents 2 to 9, who are neither judgment debtors nor guarantors, and against whom no independent liability under the order allowing the complaints has been established – CP Act envisages a complete adjudicatory process founded on service of notice, pleadings, opportunity to contest, leading of evidence, and recorded findings of fact and law – These are not mere procedural formalities but substantive safeguards that precede the fastening of liability – No such adjudicatory exercise was undertaken qua the respondents 2 to 9 – No pleadings attributing any personal role to them, no evidence led to establish individual culpability, and no findings returned fixing personal liability – In the absence of these foundational elements, execution proceedings cannot be utilised as a surrogate forum to impose liability where none has been adjudicated – Invocation of the doctrine of piercing the corporate veil wholly unwarranted – Lifting of the corporate veil is an exceptional measure, to be resorted to only upon a clear finding that the corporate personality was abused for fraudulent or dishonest purposes – Such a finding must be preceded by specific pleadings and a determination on merits – No such allegation of fraud or misuse of the corporate form was either pleaded or established before the adjudicatory forum – In the absence of a prior and reasoned determination justifying disregard of the corporate personality, the directors/promoters cannot be exposed to personal liability through execution – NCDRC committed no error of law or jurisdiction in declining to execute the order against persons who were admittedly not parties to the complaints – Order binds only ACIPL – Appellant did not challenge the order of the NCDRC declining to issue notice to the respondents 2 to 9 and directing it to file amended memo of party with ACIPL as the sole respondent, and cannot now enlarge the order through execution. [Paras 13-15, 17, 18, 20-23]

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Case Law Cited

Rajbir v. Suraj Bhan [2022] 16 SCR 932 : (2022) 14 SCC 609;
Electronics Corpn. of India Ltd. v. Secy., Revenue Deptt., Govt. of A.P. [1999] 2 SCR 1078 : (1999) 4 SCC 458 – referred to.

List of Acts

Insolvency and Bankruptcy Code, 2016; Consumer Protection Act, 2019; Companies Act 2013.

List of Keywords

Consumer complaint; Notice; Execution; Directors/promoters; Judgment-debtor company; Enforcement of orders of District Commission, State Commission and National Commission; Execution proceedings; Flat buyers; Builders; Possession of flats; Initiation of execution proceedings; Corporate insolvency resolution process; Moratorium; Decree; Doctrine of piercing the corporate veil; Lifting of the corporate veil; Corporate personality; Adjudicatory forum.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No(s). 8465-8466 of 2024

From the Judgment and Order dated 20.06.2024 of the National Consumers Disputes Redressal Commission, New Delhi in EA Nos. 27, and 28 of 2023

With

Civil Appeal No(s). 8539, 10874-10877, and 10878 of 2024

Appearances for Parties

Advs. for the Appellant(s):

Bishwajit Bhattacharyya, Sr. Adv., Chandrachur Bhattacharyya, Sahil Tagotra.

Advs. for the Respondent(s):

Jayant Bhushan, Ms. Ruchi Kohli, Sr. Advs., Sanjay Jain, Vikas Agarwal, Jayant Chawla, Sonam Sharma, Palaash S. Singhai, Kamakshi Singh Rao, Rahul Gupta, Sudarshan Singh Rawat, Vikas Aggarwal, Ms. Saakshi Singh Rawat, Sunny Sachin Rawat.

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Judgment / Order of the Supreme Court

Judgment

Dipankar Datta, J.

CIVIL APPEAL NOS.8465-8466 OF 2024

1. The lead appeals call in question the judgment and order dated 20th June, 2024¹ of the National Consumer Disputes Redressal Commission² dismissing Execution Application Nos. 27/2023 and 28/2023 filed by the appellant against the respondents 2 to 9 (directors/promoters of M/s. Ansal Crown Infrabuild Pvt. Ltd.³). Such applications arose from two final orders rendered by the NCDRC while deciding complaints lodged by the appellant bearing nos. CC/2600/2018 and CC/86/2018 respectively.

FACTUAL BACKGROUND

2. Appellant is an association of flat buyers which entered into Flat Buyer Agreements with ACIPL for units in Ansal Crown Heights. *Vide* individual builder buyer agreements, ACIPL promised to handover possession of the apartments within a period of 36 months from the date of execution of the agreements, which expired for all the buyers in the time period from December, 2013 - December, 2015. Possession of the flats not having been delivered, the appellant instituted two consumer complaints – the first on 10th, January 2018 (on behalf of 45 flat buyers), and the second on 26th November, 2018 (on behalf of 20 flat buyers). The respondents were ACIPL and its directors/promoters being the respondents 2 to 9.
3. While admitting CC/86/2018, the NCDRC *vide* order dated 25th January, 2018 directed that the proceedings would continue only against ACIPL and not the respondents 2 to 9. Accordingly, the appellant was directed to file amended memo of party impleading ACIPL as the sole respondent.

1 impugned order

2 NCDRC

3 ACIPL

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4. Subsequently, CC/2600/2018 came to be lodged wherein ACIPL was arrayed as the sole respondent, in conformity with the earlier admission order.
5. On 28th February, 2022, the complaints were allowed and directions were issued to ACIPL to complete the project; obtain the occupancy certificate; and hand over possession of the flats to the buyers, i.e., the allottees, with interest @ 9% per annum on the amounts deposited by them from the committed date of possession until the offer of possession or, alternatively, if the allottees were unwilling to wait for possession, ACIPL was directed to refund the entire amount deposited with interest @ 9% per annum, to be paid within six weeks, failing which interest @ 12% per annum would apply for the period of default.
6. Owing to ACIPL not complying with the said order, the appellant initiated proceedings for execution. During this time, corporate insolvency resolution process having been initiated under the Insolvency and Bankruptcy Code, 2016⁴ against ACPIIL, a moratorium had come into force. NCDRC, accordingly, *vide* order dated 18th May, 2023, adjourned proceedings *sine die*, including against the directors of ACPIIL with the following observations:

“ ... So far opposite party Nos.2 to 9 are concerned, they were not party in the main complaint. If the decree cannot be executed against opposite party No.1 due to moratorium under Section 14 of the IBC, it would not be appropriate to proceed in same execution against opposite party Nos.2 to 9. In the light of order of National Company Law Tribunal, this Matter is adjourned sine die with liberty to the Parties to file an Application for listing of the Case in the event the National Company Law Tribunal alter, modify or vacates of the Order or decides the proceedings finally.”
7. Appellant then challenged the *sine die* adjournment granted by the NCDRC by filing Civil Appeal Nos. 4247, 4480 and 4481 of 2023 before this Court. The said appeals were allowed *vide* order dated 17th January 2024, whereby the abovementioned order of the NCDRC was set aside. This Court directed that the execution proceedings may

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continue against the respondents 2 to 9, while granting them liberty to raise all available objections, including the plea that they were not liable to satisfy or implement the order sought to be executed. This Court held that the moratorium under Section 14 of the IBC shields only the corporate debtor and does not extend to directors/promoters.

8. Upon revival, the appellant pressed the execution applications against the respondents 2 to 9. As noted, the NCDRC dismissed the execution applications insofar as they sought to proceed against the respondents 2 to 9, holding that the order is executable only against ACIPL, the sole respondent in the original complaints.

ISSUE

9. The core controversy lies within a narrow compass. Question that arises is, can persons who were arrayed as respondents in the consumer complaints but ultimately against whom no notice was issued and the complaints did not proceed, could be brought within the net of execution, on the premise that they were directors/promoters of the judgment-debtor company. NCDRC has answered this question in the negative. We are called upon to decide whether such view warrants interference.

ANALYSIS AND OBSERVATIONS

10. It is not in dispute that at the stage of admitting CC/86/2018, the NCDRC consciously admitted the complaint on 25th January, 2018 only *qua* the respondent no. 1, namely ACIPL, while declining to issue notice to the directors and promoters. A specific direction was issued to amend the memo of parties accordingly, whereafter notice was issued only to ACIPL. The said order was never assailed and, therefore, attained finality.
11. Proceedings in the complaints thereafter continued on that basis alone. No pleadings were directed to be filed against, nor issues framed in relation to the directors or promoters, and no findings came to be recorded against them at any stage of the adjudicatory process. Once the *lis* stood consciously and finally confined to ACIPL, the adjudication culminated in an order binding exclusively ACIPL and none else. The order neither records any determination of liability against the respondents 2 to 9 nor contains any direction requiring them to perform or refrain from performing any act. In the

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absence of pleadings, adjudication, or findings against them, the essential foundation for fastening liability upon the respondents 2 to 9 is plainly lacking.

12. Since, the judgment and order in CC/86/2018 and CC/2600/2018 had not been passed against the respondents 2 to 9, at the stage of execution, the order passed against ACIPL could not be enforced against them. It is settled law that execution must strictly conform to the decree. This principle has been reiterated in a catena of precedents. For the purpose of this discussion, we may profitably refer to ***Rajbir v. Suraj Bhan***⁵ where this Court held that:

“14. It is well settled that the executing court cannot go beyond the decree. The decree must be executed as it is. Though, it is indeed open to the executing court to construe the decree; it cannot go beyond the decree ...”

13. It is trite that a decree cannot, by process of execution, be employed to shift or enlarge liability so as to bind persons who were neither parties to the decree nor otherwise legally liable thereunder. Where the judgment debtor is a company, the liability of its shareholders or joint venture partners remains confined to the extent of their shareholding or to such guarantees or undertakings as may have been expressly furnished by them.
14. In the present case, the appellant has neither pleaded nor established that the respondents 2 to 9 had furnished any guarantee or surety in respect of the investment made in the project, nor has any material been placed on record to attract the application of Section 14(3) of the IBC.
15. Once a moratorium has been declared against the judgment debtor company, i.e., ACIPL, the modes of execution contemplated under Section 71 of the Consumer Protection Act, 2019⁶ including attachment and sale of movable or immovable property, attachment of bank accounts, or withdrawal of decretal amounts from the accounts of the judgment debtor, stand interdicted. Execution proceedings cannot, therefore, be permitted to continue indirectly against the respondents 2 to 9, who are neither judgment debtors nor guarantors,

5 (2022) 14 SCC 609

6 CP Act

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and against whom no independent liability under the order allowing the complaints has been established.

16. This Court in ***Electronics Corpn. of India Ltd. v. Secy., Revenue Deptt., Govt. of A.P.***⁷ underscored that a clear distinction must be maintained between a company and its shareholders by observing as follows:

“15. A clear distinction must be drawn between a company and its shareholder, even though that shareholder may be only one and that the Central or a State Government. In the eye of the law, a company registered under the Companies Act is a distinct legal entity other than the legal entity or entities that hold its shares.”

17. We are in complete agreement with the approach adopted by the NCDRC that the CP Act envisages a complete adjudicatory process founded on service of notice, pleadings, opportunity to contest, leading of evidence, and recorded findings of fact and law. These are not mere procedural formalities but substantive safeguards that precede the fastening of liability. In the present case, no such adjudicatory exercise was undertaken *qua* the respondents 2 to 9. There are no pleadings attributing any personal role to them, no evidence led to establish individual culpability, and no findings returned fixing personal liability. In the absence of these foundational elements, execution proceedings cannot be utilised as a surrogate forum to impose liability where none has been adjudicated.
18. It is apposite to note that the invocation of the doctrine of piercing the corporate veil is wholly unwarranted in the present factual matrix. The lifting of the corporate veil is an exceptional measure, to be resorted to only upon a clear finding that the corporate personality was abused for fraudulent or dishonest purposes. Such a finding must be preceded by specific pleadings and a determination on merits. No such allegation of fraud or misuse of the corporate form was either pleaded or established before the adjudicatory forum. In the absence of a prior and reasoned determination justifying disregard of the corporate personality, the directors/promoters cannot be exposed to personal liability through execution.

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19. Appellant placed reliance on the order of this Court dated 17th January, 2024. The order reads as follows:

“11. Therefore, we are of the view that only because there is a moratorium under Section 14 of the IBC against the company, it cannot be said that no proceedings can be initiated against the opposite party Nos. 2 to 9 (the respondent Nos. 2 to 9) for execution, provided that they are otherwise liable to abide by and comply with the order, which is passed against the company. The protection of the moratorium will not be available to the directors/officers of the company.

12. Therefore, we set aside the impugned judgments and orders and remit the execution application to the National Commission. The execution will continue against the opposite party Nos. 2 to 9 (the respondent Nos. 2 to 9) in the execution application.

13. It is open for the opposite party Nos. 2 to 9 (the respondent Nos. 2 to 9) to raise a contention that they are not bound to implement the order sought to be executed. They are entitled to file additional objections along with documents raising the issue of executability as against them.

14. We clarify that the issue whether opposite party Nos. 2 to 9 (the respondent Nos. 2 to 9) to the execution are otherwise liable, will have to be decided by the National Commission in accordance with law.”

(emphasis ours)

20. A plain reading of the said order shows that it addressed a limited issue, namely, whether the existence of a moratorium under Section 14 of the IBC, against ACIPL, operated as a bar to the continuation of execution proceedings against its directors/promoters. This Court held that the moratorium, by itself, does not preclude execution proceedings against directors or officers, provided they are otherwise liable.
21. Importantly, the order did not determine or declare any personal liability of the respondents 2 to 9. On the contrary, this Court expressly left it open to them to raise all objections as to executability and clarified

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that the question whether they are otherwise liable to comply with the order was required to be decided by the NCDRC in accordance with law. The order dated 17th January, 2024, therefore, merely removed the moratorium-related impediment and did not expand the scope of the order or fasten liability upon the directors.

22. Viewed in this light, the impugned order of the NCDRC, which examines the issue of executability against the respondents 2 to 9 on its own merits and declines to proceed against them in the absence of any legal or factual basis for personal liability, cannot be said to be inconsistent with the order of this Court.
23. Having heard learned counsel for the parties and having perused the record, we are of the considered view that the NCDRC committed no error of law or jurisdiction in declining to execute the order against persons who were admittedly not parties to the complaints. The order binds only ACIPL. Appellant did not challenge the order dated 25th January, 2018 of the NCDRC declining to issue notice to the respondents 2 to 9 and directing it to file amended memo of party with ACIPL as the sole respondent, and cannot now enlarge the order through execution. Hence, in our opinion, the appeals must fail.
24. Consequently, the appeals are dismissed.
25. However, this dismissal will not preclude the appellant from pursuing any remedy available in law against the promoters/directors, including proceedings under the Companies Act, IBC, or civil law, should the statutory requirements therefor be satisfied.
26. There shall be no order as to costs.

CIVIL APPEAL NOs.8539, 10874-10877 & 10878 OF 2024

27. These appeals involve similar questions of fact and law as raised in the lead appeals and for the reasons aforementioned, the same too stand dismissed.

Result of the case: Appeals dismissed.

Sujata Bora
v.
Coal India Limited & Ors.

(Civil Appeal No. 120 of 2026)

13 January 2026

[J.B. Pardiwala* and K.V. Viswanathan,* JJ.]

Issue for Consideration

Whether the appellant was wrongly denied employment, despite having qualified for the interview, and declared unfit on the ground that she had multiple disability but had applied as a visually handicapped candidate (since the notification advertising the vacancies did not provide for “multiple disability”); intersectionality of disability with gender justice.

Headnotes[†]

Rights of Persons with Disabilities Act, 2016 – “reasonable accommodation” – Constitution of India – Art.41 r/w 14 & 21; Art.142 – Advertisement was published by Coal India Limited (CIL) for recruitment of Management Trainees – Notification advertising the vacancies did not provide for “multiple disability” and the appellant applied for the post under the Visually Handicapped (VH) category – Appellant was denied employment despite having qualified for the interview on the ground that she was not only suffering from visual disability but also from residuary partial hemiparesis – Writ petition filed by Appellant – Single Judge found that CIL, a Public Sector Corporation could not refuse appointment in the multiple disabilities category and quashed the Initial Medical Examination (IME) result however, since, the appellant had approached the Court after the completion of the recruitment process, she was allowed to participate in the ensuing recruitment process (2023) in the reserved category for persons with disability – Order set aside by Division Bench – Challenge to – All India Institute of Medical Sciences directed to constitute a Board of experts and for co-opting Dr. Satendra Singh working on disability rights for

* Author

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a long time, for assessment as regards disability – Report submitted, according to which the appellant suffers 57% of disability, which is above the benchmark disability, i.e., 40%:

Held: Appellant at the first instance was wrongly denied her employment pursuant to the 2019 notification – The Single Judge of the High Court moulded the relief in view of the passage of time and directed her to be considered from the IME stage for the 2023 recruitment – By interim order passed earlier, one post was also kept vacant – On facts, Division Bench of the High Court was not justified in setting aside the judgment of the Single Judge merely because the panel had expired – The report from AIIMS finds her with 57% disability, rendering her eligible for the appointment under the reserved quota – Appellant qualified for the interview in 2019 selection and was denied employment due to no fault of hers – Her disability exceeded the benchmark disability and only because the notification advertising the vacancies did not provide for “multiple disability” and the appellant applied as a visually handicapped candidate, she was denied employment – Order of Division Bench of High Court set aside – A supernumerary post be created for the appellant – Chairman of Coal India to provide a suitable position/posting commensurate with the ability of the appellant, and in such circumstances, she be provided a suitable desk job with a separate computer and keyboard, as per universal design as defined u/s.2(ze) of the Rights of Persons with Disabilities Act, 2016 – Chairman of CIL to post the appellant at North Eastern Coalfields Coal India Ltd., having an office at Margherita, Tinsukia, Assam – Order passed in the peculiar facts and circumstances of this case, in view of Art.41 r/w 14 & 21 of the Constitution and in exercise of power u/Art.142.[Paras 8, 29-31]

Constitution of India – Article 142 – Intersectionality of disability with gender justice:

Held: In the present case, a single woman is before this Court who has the urge to succeed notwithstanding the disability she encounters – Technicalities like expiry of panel for the year or the factum of interim order reserving a vacancy having come to be passed after the expiry of panel cannot come in the way of our doing complete justice – Especially when the denial of employment in 2019 was no fault of her's. [Para 23]

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Disability rights – Corporate Social Responsibility And Disability Rights – UN Guiding Principles on Business and Human Rights (Guiding Principles), as endorsed by the United Nations Human Rights Council in 2011; Working paper “Disability and CSR Reporting: An analysis comparing reporting practices of 40 selected multinational enterprises”, produced by the ILO Global Business and Disability Network, referred:

Held: Rights of persons with disabilities have to be viewed from the prism of Corporate Social Responsibility in order to protect and further such rights – True equality at the workplace can be achieved only with the right impetus given to disability rights as a facet of Corporate Social Responsibility – Disability inclusion is a vital component of the “Social” dimension in the Environmental, Social and Governance (ESG) framework – Rights of Persons with Disabilities Act, 2016. [Paras 27, 28]

Case Law Cited

Omkar Ramchandra Gond v. The Union of India, 2024 INSC 775 : [2024] 10 SCR 673; *Anmol v. Union of India*, 2025 INSC 256 : [2025] 2 SCR 1142; *Om Rathod v. Director General of Health Services* [2024] 10 SCR 2187 : 2024 SCC OnLine SC 3130; *Ch. Joseph v. Telangana SRTC* [2025] 8 SCR 320: 2025 SCC OnLine SC 1592; *Rajive Raturi v. Union of India*, 2024 INSC 858 : [2024] 11 SCR 970; *Minerva Mills Ltd. v. Union of India* [1981] 1 SCR 206 : (1980) 3 SCC 625; *Jane Kaushik v. Union of India*, 2025 SCC OnLine SC 2257 – referred to.

Barsky v. Board of Regents, 347 U.S. 442 (1954) – referred to.

Books and Periodicals Cited

“Disability and CSR Reporting: An analysis comparing reporting practices of 40 selected multinational enterprises”, produced by the ILO Global Business and Disability Network; 2024 guide on “Putting the ‘I’ in ESG: Inclusion of Persons with Disabilities as Strategic Advantage of Sustainability Practices for Corporates and Investors”, the ILO Global Business and Disability Network.

List of Acts

Rights of Persons with Disabilities Act, 2016; Constitution of India.

Sujata Bora v. Coal India Limited & Ors.**List of Keywords**

Employment wrongly denied; “multiple disability”; Applied as a visually handicapped candidate; “reasonable accommodation”; Disability rights; Visual disability; Residuary partial hemiparesis; Above benchmark disability; Directive principles; Fundamental rights; Coal India Limited (CIL); Public Sector Corporation could not refuse appointment in the multiple disabilities category; Visually Handicapped (VH) category; Management trainee (personnel and HR); Document verification (DV) and Initial Medical Examination (IME); UN Guiding Principles on Business and Human Rights (Guiding Principles), as endorsed by the United Nations Human Rights Council in 2011; Supernumerary post; Order passed in peculiar facts and circumstances of the case; Corporate Social Responsibility.

Case Arising From

CIVIL APPELLATE JURISDICTION: Civil Appeal No. 120 of 2026
From the Judgment and Order dated 03.07.2024 of the High Court at Calcutta in MAT No. 2325 of 2023

Appearances for Parties

Advs. for the Appellant(s):

Amol Nirmalkumar Suryawanshi, Prashant Shrikant Kenjale, B Dhananjay, Ms. Damini Vishwakarma, M/s Juristrust Law Offices.

Advs. for the Respondent(s):

Vivek Narayan Sharma, Mrs. Mahima Bhardwaj Kalucha, Akash Singh, Adhiraj Wadhera, Dinesh Sharma, Rajeev Kumar Jha, Shubham Awasthi.

Judgment / Order of the Supreme Court**Judgment**

J.B. Pardiwala & K.V. Viswanathan, JJ.

Lack of physical sight does not equate to a lack of vision.

- Stevie Wonder

1. An advertisement was published by Coal India Limited (CIL) for recruitment of Management Trainees in 2019. The appellant applied

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for the post under the Visually Handicapped (VH) category. appellant was selected for the interview. By a communication of 1st July 2021 appellant was called for document verification (DV) and Initial Medical Examination (IME). The appellant appeared for the IME in September 2021, however, she was declared unfit on the ground that she was not only suffering from visual disability but also from residuary partial hemiparesis. Aggrieved the appellant filed WPA No. 970 of 2023 before the High Court of Judicature at Calcutta.

2. A learned Single Judge (Lapita Banerjee J.) after a thorough analysis of the relevant provisions of the Rights of Persons with Disabilities Act, 2016, (for short 'RPwD Act') and the relevant notifications found that CIL being a Public Sector Corporation could not refuse appointment in the multiple disabilities category and that it was incumbent upon CIL to suitably modify the recruitment notifications. The learned Single Judge found that the IME result of 23.09.2021 that declared the appellant unfit, was liable to be quashed. However, since, the appellant approached the Court after the completion of the recruitment process. The Court allowed the appellant to participate in the ensuing recruitment process (2023) in the reserved category for persons with disability. The learned Single Judge made it clear that the recruitment process of the appellant will be considered from the stage of IME, and if found eligible she will be given appointment as Management Trainee upon compliance of all formalities. The learned Single Judge's judgment was dated 10.08.2023. It must also be pointed out that pending the disposal of the writ petition, by an interim order dated 27.03.2023, one post was ordered to be kept vacant in the cadre of management trainee (personnel and HR).
3. CIL carried the matter to the Division Bench. The Division Bench, by the impugned, order found that the writ petition was filed after the expiry of the panel and even the interim order was passed after the expiry of panel and hence, directing the authorities to consider the candidature in respect of the same recruitment process or in the next recruitment process was not tenable. The Division Bench set aside the judgment of the Single Judge.
4. Aggrieved, the appellant carried the matter to this Court. This Court, by multiple orders on 28.11.2025, 12.12.2025 and 18.12.2025, directed the All India Institute of Medical Sciences to constitute a Board of experts and for coopting Dr. Satendra Singh who has been working on disability rights for a long time.

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5. The order dated 18.12.2025 which incorporates all the earlier orders reads as under.

“1. Our order dated 28-11-2025 reads thus:-

1. It is the case of the petitioner that she is a visually handicapped person with 60% low vision in both eyes and also has residual functional partial Hemiparesis.

2. In terms of qualification, the petitioner has graduated with the degree in Economics and pursued post graduation from Assam Women’s University in MBA (Human Resources).

3. The respondent no.1 is a Maharatna Public Sector Undertaking under the Ministry of Coal, Government of India.

4. It appears from the materials on record that in pursuance of the advertisement dated 16.12.2019 issued by the respondent no.1- company, the petitioner applied for the post of a Management Trainee in Personnel and HR discipline.

5. She applied as a reserved candidate in the Visually Handicapped (VH) category.

6. It is her case that she produced two certificates dated 7.4.2012 and 2.1.2021 respectively, issued by the District Social Welfare Officer, Jorhat, Government of Assam and the Public Works Department, Government of Assam through the Joint Director of Health Sciences, Jorhat, respectively, both of which certified that the petitioner is visually impaired to the extent of 60-70% visual disability.

7. On the other hand, it is the case of the respondent no.1 that the disability is not to the extent of 60-70% but is to the extent of 30%.

8. What we have understood is that if it is the case of the respondent no.1 that the disability is to the extent of 30%, then the petitioner cannot be said to be falling within the ambit of “person with benchmark disability”.

9. What is important in the present case is to ascertain whether the disability is a functional disability or not.

10. For this purpose, we direct the Director of All India Institute of Medical Sciences (AIIMS), New Delhi to

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constitute a Board of experts and one of the members in the said Board should be Dr. Satendra Singh.

11. Dr. Satendra Singh has been working on disability rights, since a long period of time.

12. Once, we receive the report of the Medical Board, we shall proceed to pass further orders.

13. The petitioner shall appear before the Board on 05.12.2025 along with the copy of this order.

14. Registry shall inform the Director of AIIMS, New Delhi about the order passed by this Court today and also furnish full set of papers to the Director, AIIMS at the earliest.

15. Post this matter for further hearing on 18.12.2025.”

2. After the aforesaid Order, a further Order was passed dated 12-12-2025. The same reads thus:-

“1. The matter was mentioned today in the morning bringing it to our notice that despite there being a specific order passed by this Court dated 28-11-2025, the Director of the All India Institute of Medical Science (AIIMS), New Delhi has not constituted a Board of Experts.

2. We had also stated in so many words that one of the Members in the Board should be Dr. Satendra Singh.

3. The main matter is coming up for hearing on 18-12-2025.

4. We once again remind the Director, AIIMS of our order dated 28-11-2025. We are further informed that the petitioner namely Sujata Bora is in Delhi past one week. She has been examined so far only by two Doctors and not in accordance with our Order dated 28-11-2025. The Director, AIIMS is requested to look into the matter at the earliest.

5. The Registry shall communicate this order to the Director, AIIMS at the earliest.”

3. In pursuance of our Order dated 28-11-2025, referred to above, the All India Institute of Medical Sciences, New Delhi has forwarded the Medical Report.

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4. *The final impression in the Report dated 16-12-2025 reads thus:-*

“The candidate is diagnosed with right sided 7th nerve palsy, lagophthalmos, exposure keratopathy and 6th nerve palsy in the right eye. The left eye visual acuity and visual field does not correlate with the clinical examination findings and ocular investigations, therefore visual disability cannot be assessed. To confirm benchmark multiple disability because of presence of right side facial paralysis, opinion may be taken from PMR department/multiple disability board. Neurosurgery department has review old available record, but if current neurosurgical status evaluation is needed, detailed neurological examination, new MRI and other investigations will be required by them.”

5. *According to the AIIMS, New Delhi for the purpose of confirming the benchmark, multiple disability because of presence of right side facial paralysis, opinion should be taken from PMR department/multiple disability board, i.e., Physical Medicine and Rehabilitation Department.*

6. *The report further reveals that the Neurosurgery Department has looked into the old records available but for the purpose of current neurosurgical status evaluation, a detailed neurological examination with new MRI and other investigations should be undertaken.*

7. *Let the needful be done at the earliest and a fresh Report be submitted before us.*

8. *One copy of this Report dated 16-12-2025 be furnished to the learned counsel appearing for the petitioner as well as for the learned counsel appearing for the respondents – Coal India Limited.*

9. *Post it on 8-1-2026 as part-heard.*

10. *The petitioner – Sujata Bora is personally present in the Court today.*

11. *We are informed that she is in Delhi past couple of days.*

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12. We request the Director, AIIMS, New Delhi to undertake the necessary further investigations of Ms. Bora from tomorrow itself.

13. The Registry to inform about this order to the Director, AIIMS, New Delhi at the earliest.

14. Dasti permitted.

15. Ms. Sujata Bora shall reach the office of the Director, AIIMS, New Delhi tomorrow, i.e., 19-12-2025 by 10.30 a.m.”

6. In pursuance thereto, the appellant was medically examined by a Committee of doctors appointed by the All India Institute of Medical Sciences (AIIMS), New Delhi. The examination was for the purpose of assessment as regards disability.
7. We have received a report dated 01st January, 2026. According to the report, the appellant suffers 57% of disability, which is above the benchmark disability, i.e., 40%.
8. The Division Bench on facts was not justified in setting aside the judgment of the Single Judge merely because the panel had expired. The appellant at the first instance was wrongly denied her employment pursuant to the 2019 notification. The learned Single Judge moulded the relief in view of the passage of time and directed her to be considered from the IME stage for the 2023 recruitment. By interim order passed earlier, one post was also kept vacant.
9. Today the situation is, the report from AIIMS finds her with 57% disability, rendering her eligible for the appointment under the reserved quota.
10. We had an opportunity to interact with the appellant, and we have found her to be a lady of grit and determination. She wants to excel in her field and work hard.
11. We heard Mr. Prashant Shrikant Kenjale, the learned counsel appearing for the appellant, and Mr. Vivek Narayan Sharma, the learned counsel appearing for the CIL.
12. We are of the view that the appellant qualifies for the appointment to the post of Management Trainee.

Sujata Bora v. Coal India Limited & Ors.**CONCEPT OF REASONABLE ACCOMMODATION**

13. This Court in a series of judgments has highlighted the concept of “reasonable accommodation” - a concept enshrined in the RPwD Act and which emanates from Article 41 of the Constitution of India read with Articles 14 and 21 of the Constitution of India. In **Omkar Ramchandra Gond v. The Union of India**, 2024 INSC 775, this Court held as under: -

“40. ...Section 2(y) of the RPwD Act, defines “reasonable accommodation” to mean necessary and appropriate modification and adjustments, without imposing a disproportionate or undue burden in a particular case, to ensure to persons with disabilities the enjoyment or exercise of rights equally with others. The concept of reasonable accommodation would encompass within itself the deployment of a purposive and meaningful construction of the NMC Regulations of 13.05.2019 read with the Appendix H-1 guidelines in a manner as to further the objectives of the RPwD Act. The reasonable accommodation as defined in Section 2(y) of the RPwD Act should not be understood narrowly to mean only the provision of assisting devices and other tangible substances which will aid persons with disabilities. **If the mandate of the law is to ensure a full and effective participation of persons with disabilities in the society and if the whole idea was to exclude conditions that prevent their full and effective participation as equal members of society, a broad interpretation of the concept of reasonable accommodation which will further the objective of the RPwD Act and Article 41 of the Directive Principles of State Policy is mandated.**”

(Emphasis supplied)

14. Reiterating the holding in **Omkar** (supra) in **Anmol v. Union of India**, 2025 SCC OnLine SC 387, this Court held as under: -

“20. As would be clear from the above, flexibility in answering individual needs and requirements is an essential component of reasonable accommodation. There cannot be a “one size fits all” approach. However, in the

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guidelines appendix H-1 to regulations of 13.05.2019 of “both hands intact, with intact sensations, sufficient strength and range of motion” are considered essential to be eligible for the medical course.”

15. In ***Om Rathod v. Director General of Health Services***, 2024 SCC OnLine SC 3130, this Court while explaining how without the gateway right of reasonable accommodation, a person with disability would be excluded from the mainstream held as under: -

“29. The principle of reasonable accommodation is not only statutorily prescribed but also rooted in the fundamental rights guaranteed to persons with disabilities under Part III of the Constitution. Reasonable accommodation is a fundamental right. It is a gateway right for persons with disabilities to enjoy all the other rights enshrined in the Constitution and the law. Without the gateway right of reasonable accommodation, a person with disability is forced to navigate in a world which excludes them by design. It strikes a fatal blow to their ability to make life choices and pursue opportunities. From mundane tasks of daily life to actions undertaken to realise personal and professional aspirations - all are throttled when reasonable accommodations are denied. Reasonable accommodation is a facet of substantive equality and its failure constitutes discrimination. In Vikash Kumar v. UPSC, this Court adjudicated on whether a person with a writer’s cramp is entitled to a scribe for writing the examination. Allowing the use of a scribe, this Court held that the benchmark standard can only be applied where expressly stipulated. Section 2(s) of the RPWD Act defines a person with disability as a person with long term physical, mental, intellectual or sensory impairment which, in interaction with barriers, hinders their full and effective participation in society equally with others. Therefore, a person - to be considered as a person with disability - does not have to qualify any benchmark. The principle that the rights and entitlements cannot be constricted by adopting a benchmark as a condition precedent was also upheld by this Court in Avni Prakash v. NTA.”

(Emphasis supplied)

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16. In ***Ch. Joseph v. Telangana SRTC***, 2025 SCC OnLine SC 1592, highlighting the concept of alternative employment as a facet of reasonable accommodation, this Court held as under: -

“17. The Respondents’ defence based solely on internal circulars and a mechanical reading of Regulation 6A(5)(b) cannot override this obligation. **Retirement on medical grounds must be a measure of last resort, only after the employer exhausts all reasonable avenues for redeployment. This principle is inherent in the concept of “reasonable accommodation”, which is now recognised as an aspect of substantive equality under Articles 14 and 21. The failure to explore alternate employment before resorting to medical retirement is not merely a procedural lapse—it is a substantive illegality that violates the Appellant’s right to livelihood and equal treatment.**”

(Emphasis supplied)

17. In ***Rajive Raturi v. Union of India***, (2024)16 SCC 654, explaining how reasonable accommodation seeks to achieve individual justice by encompassing dignity, autonomy, choice of the individual and furthers non-discrimination, this Court held as under: -

“38. As highlighted by the Committee on the Rights of Persons with Disabilities in General Comment 6, reasonable accommodation is integral to the principle of inclusive equality, acting as a facilitator for substantive equality. [General Comment on Accessibility, CRPD/C/GC/2, para 25.] The General Comment articulated the relationship between reasonable accommodation and accessibility as follows:

“23. The duty to provide reasonable accommodation is an ex nunc duty, which means that it is enforceable from the moment an individual with an impairment needs it in a given situation (workplace, school, etc.) in order to enjoy her or his rights on an equal basis in a particular context. Here, accessibility standards can be an indicator,

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but may not be taken as prescriptive. Reasonable accommodation can be used as a means of ensuring accessibility for an individual with a disability in a particular situation. Reasonable accommodation seeks to achieve individual justice in the sense that non-discrimination or equality is assured, taking the dignity, autonomy and choices of the individual into account. Thus, a person with a rare impairment might ask for accommodation that falls outside the scope of any accessibility standard. The decision to provide it or not depends on whether it is reasonable and whether it imposes a disproportionate or undue burden.””

(emphasis supplied)

FUNDAMENTAL RIGHTS AND DIRECTIVE PRINCIPLES OF STATE POLICY

18. Explaining how directive principles and fundamental rights are two wheels of a chariot, this Court in *Minerva Mills Ltd. v. Union of India*, (1980) 3 SCC 625, speaking through Chief Justice YV Chandrachud in a memorable passage held as follows: -

“56. The significance of the perception that Parts III and IV together constitute the core of commitment to social revolution and they, together, are the conscience of the Constitution is to be traced to a deep understanding of the scheme of the Indian Constitution. Granville Austin’s observation brings out the true position that Parts III and IV are like two wheels of a chariot, one no less important than the other. You snap one and the other will lose its efficacy. They are like a twin formula for achieving the social revolution, which is the ideal which the visionary founders of the Constitution set before themselves. In other words, the Indian Constitution is founded on the bedrock of the balance between Parts III and IV. To give absolute primacy to one over the other is to

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disturb the harmony of the Constitution. This harmony and balance between fundamental rights and directive principles is an essential feature of the basic structure of the Constitution.”

(emphasis supplied)

19. Justice Douglas of the U.S. Supreme Court in **Barsky v. Board of Regents**, 347 U.S. 442 (1954), said:

“The right to work I have assumed was the most precious liberty that man possesses. Man has indeed, as much right to work as he has to live, to be free and to own property. To work means to eat and it also means to live.”

20. It is the most precious liberty because it sustains and enables a person to live and the right to life is a precious freedom. Life means something more than mere animal existence and the inhibition against the deprivation of life extends to all those limits and faculties by which life is enjoyed. Article 39(a) of the Constitution, which, is a directive Principle of State Policy, provides that the State shall in particular, direct its policy towards securing that the citizens, men and women equally, have the right to an adequate means of livelihood.
21. Article 41 reads as under:

“41. Right to work, to education and to public assistance in certain cases

The State shall, within the limits of its economic capacity and development, make effective provision for securing the right to work, to education and to public assistance in cases of unemployment, old age, sickness and disablement, and in other cases of undeserved want.”

22. Article 37 provides that the Directive Principles, though not enforceable by any court, are nevertheless fundamental in the governance of the country. The principles contained in Articles 39(a) and 41 must be regarded as equally fundamental in the understanding and interpretation of the meaning and content of fundamental rights.

INTERSECTIONALITY OF DISABILITY WITH GENDER

23. In the present case, we are also concerned with the intersectionality of disability with gender justice. Here is a case where a single woman is

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before us who has the urge to succeed notwithstanding the disability she encounters. Can technicalities like expiry of panel for the year or the factum of interim order reserving a vacancy having come to be passed after the expiry of panel cannot come in the way of our doing complete justice? We certainly do not think so, especially when the denial of employment in 2019 was no fault of her's. We say this on the special facts obtaining in this case.

24. In **Jane Kaushik v. Union of India**, 2025 SCC OnLine SC 2257, this Court held as under: -

“85. Similarly, in *M. Sameeha Barvin v. Joint Secretary, Ministry of Youth and Sports*, 2021 SCC OnLine Mad 6456, a female athlete with 90% loss of hearing and lack of speech ability was denied participation in the World Deaf Athletics Championship due to her female gender and the additional vulnerability in travel associated with her disability. In the said case, one of us (R. Mahadevan, J.) discussed the concept of intersectionality to emphasize that addressing difficulties and barriers faced by a person from the perspective of only one axis of discrimination may not ensure substantive equality for them if they face multiple axes of discrimination. Therefore, a study of equality from an intersectional point of view subscribes to the understanding that factors or markers of discrimination do not operate in isolation. Hence, reasonable accommodation of persons placed at the intersections of various grounds of discrimination, can also not be unidimensional. The relevant portions of the judgment are reproduced below:

“16. In the Indian context, it is often seen that the factors like caste and gender are intrinsically linked. Similarly, disability and gender are linked in a way that make females with disabilities more vulnerable to such cumulative or compounded disadvantage and resultant discrimination. Here, it is important to emphasize that the difficulties and barriers faced by a person facing any

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one axis of discrimination, for example-gender, are different from a person facing multiple axis of discrimination like disability, caste and gender together. The different identities within the same person intersect and co-exist in a way so as to give the individual a qualitatively different experience than any one of the individual markers of discrimination or any of the individual characteristics. Therefore, where the axis of discrimination intersect, it is essential to view such cases from the lens of intersectionality in order to understand that the barriers, the challenges, the stigma as well as the practical difficulties faced by such persons are not only more intense, but also different and unique which call for a more in-depth and all-encompassing approach for addressing their grievances and ensuring substantive equality to them. Intersectionality, therefore, rejects a narrow or limited understanding of equality where the factors or markers of discrimination are isolated or are in singular spheres.

XXXXXXXXXX

24. In the Convention on the Rights of Persons with Disabilities as observed by the Committee in General Comment No. 6, “intersectional discrimination can be direct, indirect, denial of reasonable accommodation, or harassment”. This approach has also been reiterated by the Supreme Court in *Vikash Kumar v. UPSC* wherein, the supreme court has held that “disability-based discrimination is intersectional in nature and policy of reasonable accommodation thus cannot be unidimensional”. The Convention on the Elimination of Discrimination against Women Committee (CEDAW), which promotes action in order to support persons with disabilities and

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their families and caregivers, also recognises that the categories of discrimination cannot be reduced to watertight compartments. In General Recommendation No. 25, the CEDAW committee suggests “the adoption of special measures for women to eliminate multiple rounds of discrimination”.”

86. The aforesaid leaves no manner of doubt in our minds that redressal of a disadvantage cannot be devoid of an understanding of the other impediments that an individual may face on account of other identity markers that may cause such an individual to be stigmatized and marginalized. The avowed objective of substantive equality may be rendered unworkable if actions and measures to achieve the said goal suffer from a parochial understanding of discrimination.

(Emphasis supplied)

CORPORATE SOCIAL RESPONSIBILITY AND DISABILITY RIGHTS

25. The UN Guiding Principles on Business and Human Rights (Guiding Principles), as endorsed by the United Nations Human Rights Council in 2011, have the following to say on the aspect of “the Corporate Responsibility to Respect Human Rights”:

“12. The responsibility of business enterprises to respect human rights refers to internationally recognized human rights – understood, at a minimum, has those expressed in the International Bill of Human Rights and the principles concerning fundamental rights set out in the International Labour Organization’s Declaration on Fundamental Principles and Rights at Work.

... Depending on circumstances, business enterprises may need to consider additional standards. For instance, enterprises should respect the human rights of individuals belonging to specific groups or populations that require particular attention, where they may have adverse human rights impacts on them. In this connection, United Nations instruments have elaborated further on the

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rights of indigenous peoples; women; national or ethnic, religious and linguistic minorities; children; **persons with disabilities**; and migrant workers and their families...”

(Emphasis supplied)

26. The working paper “Disability and CSR Reporting: An analysis comparing reporting practices of 40 selected multinational enterprises”, produced by the ILO Global Business and Disability Network, concluded that:

“The rights of the people with disabilities are human rights. Consequently, enterprises have an obligation to respect these rights, avoid infringement, and address adverse human rights impacts with which they are involved. Thereby following the current approach of CSR endorsed by the UN and the EU.

Providing equal rights to people with disabilities implies addressing it from a non-discrimination angle, and not exclusively as a diversity or inclusion issue.”

(Emphasis supplied)

27. Thus, it is abundantly clear that rights of persons with disabilities have to be viewed from the prism of Corporate Social Responsibility in order to protect and further such rights. True equality at the workplace can be achieved only with the right impetus given to disability rights as a facet of Corporate Social Responsibility.
28. Disability inclusion is a vital component of the “Social” dimension in the Environmental, Social and Governance (ESG) framework. In its 2024 guide on “Putting the ‘I’ in ESG: Inclusion of Persons with Disabilities as Strategic Advantage of Sustainability Practices for Corporates and Investors”, the ILO Global Business and Disability Network urged **“companies and investors to view disability inclusion not just as a compliance issue, but as a strategic advantage that enhances business performance, resilience, and societal impact.”**

(Emphasis supplied)

29. The appellant qualified for the interview in 2019 selection and was denied employment due to no fault of hers. Her disability

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exceeded the benchmark disability and only because the notification advertising the vacancies did not provide for “multiple disability” and the appellant applied as a visually handicapped candidate, she was denied employment.

30. Keeping in mind the above principle we direct that a supernumerary post be created.
31. We are sure that the Chairman of Coal India will provide a suitable position/posting commensurate with the ability of the appellant, and in such circumstances, she be provided a suitable desk job with a separate computer and keyboard, as per universal design as defined under section 2(ze) of the Rights of Persons with Disabilities Act, 2016.
32. We request to the Chairman of Coal India Ltd. to post the appellant at North Eastern Coalfields Coal India Ltd., having an office at Margherita, Tinsukia, Assam.
33. We clarify that we have passed this order, in the peculiar facts and circumstances of this case, keeping in mind Article 41 read with Article 14 & 21 of the Constitution.
34. We make it clear that we have passed this order additionally in exercise of our power under Article 142 of the Constitution of India.
35. We place on record our sincere gratitude to Mr. Vivek Narayan Sharma, the learned counsel appearing for the Coal India Ltd., for using his good offices and bringing around a very happy end to this litigation.
36. We also express our deep and sincere gratitude towards all the doctors who examined the appellant and also the Director of AIIMS, New Delhi.
37. For the reasons stated above, we set aside the order of the Division Bench of High Court of Judicature at Calcutta, in MAT 2325/2023. The appeal is disposed of in the above terms.

Result of the case: Appeal disposed of.

